

Coforge (COFORGE)

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"Coforge Limited

Q1 FY '24 Earnings Conference Call "
July 20, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Coforge Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikas Jadhav, VP Investor Relations. Thank you, and over to you, sir.

Vikas Jadhav: Thank you, Yashashri. Good evening to all. You would have received our Q1 FY '24 results by now. They have been already filed in the exchanges and also on the Investors section of our website. I have with me today, our CEO, Mr. Sudhir Singh, our Chief Customer Success Officer, Mr. John Speight; and our Deputy CFO, Mr. Saurabh Goel. Mr. Ajay Kalra, our CFO, was unable to join us today because he's indisposed. He's thankfully well on the road to full recovery and we expect him to rejoin work by next week. He should join us, for the next quarterly call.

We'll begin the call with opening remarks from the management team. And post that, we'll open the floor for the questions. With that, now I would like to hand over the call to our CEO, Mr. Sudhir Singh. Over to you, Sudhir.

Sudhir Singh: Thank you, Vikas, and a very good afternoon. Very good morning, very good evening to all of you across the world folks. Thank you very much for making time to attend our quarter 1 investor call. I shall start off by reading from my prepared remarks and shall lead with a quick summary of our performance in quarter 1 before we get into section -wise details. And then, as always, we'll take questions. On with the prepared remarks that I shall make now.

Exceptional execution by Team Coforge in a testing environment allowed us to deliver another quarter of sustained, robust and profitable growth. We have registered a CC growth of 2.7% quarter -on-quarter and 18.4% year -on-year in quarter 1, the quarter under review.

This continued growth follows our performance in the last two quarters where we had recorded sequential CC growth of 3.7% and 4.7%, respectively. Growth in Q1 also came on the back of a 5 -year USD300 million TCV deal and yet another 5 -year USD65 million TCV deal in the BFS vertical. During the quarter, we increased our net headcount by 1,000 employees exactly to support future growth. We fully rolled out the annual salary increments for all our employees on the first of April. We honoured all commitments to onboard all campus and lateral hires.

We met our commitment to distribute around 21,500 iPads to employees to mark our USD1 billion milestone. We paid out in full the annual bonuses of fiscal year '23, and we saw our attrition dropped down further to 13.3%.

The quarter saw a record quarterly order intake of USD 531 million and has set us up very well for meeting our annual revenue guidance of 13% to 16% CC growth and the annual adjusted EBITDA guidance of around 18.3% adjusted EBITDA.

With those opening comments, from my prepared remarks, I shall now take you through the quarterly performance and our assessment of the business outlook.

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QUARTERLY PERFORMANCE – REVENUE ANALYSIS

Start with revenue analysis. I'm pleased to report during the first quarter, Q1 FY '24, the firm registered a sequential revenue growth of 2.7% in constant currency terms, 2.8% in U.S. dollar terms and 2.4% in Indian rupee terms, respectively. You will recall the last 2 quarters: we've grown sequentially CC by 3.7% and 4.7% respectively. On a year -on-year basis, our revenues grew by 18.4% in CC terms, 13.9% in USD terms and 21.4% in INR terms.

During the quarter, our BFS vertical grew 3.1% quarter -on-quarter in CC terms, and it contributed

31.1% to the revenue mix. The insurance vertical registered a second consecutive quarter of strong

growth, and it grew 4.3% Q -on-Q in CC terms. It contributed 22.6% to the revenue mix.

The Travel portfolio grew 1.3% Q -o-Q in CC terms and contributed 18.5% to the total revenue. The others vertical portfolio saw a growth of 1.8% in CC terms in Q1 and contributed 27.8% of the total revenue mix.

Within the regions, Americas grew by 5.6% sequentially in CC terms, the EMEA region remained flat, and the Rest of the World grew by 1% sequentially in CC terms.

We saw strong growth across our top customers during the quarter. During the quarter under review, our top 5 and top 10 customers grew 12.2% and 9% sequentially, respectively. The top 5 clients contributed 25.1% to revenues, while the top 10 contributed 37.7% to the revenues. Our resilient performance under an uncertain macro has been underwritten by our continued ability to expand our footprint within our key accounts.

During Q1 FY '24, the offshore revenues saw a further pickup and stood at 51% of the total revenues. Once again, as noted earlier, the shift towards higher offshore revenues over the last 2 years has been an important structural margin support for the firm.

With that, I shall now move on to the margins and operating profits discussion.

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS

During the quarter, we delivered an adjusted EBITDA of USD43.4 million and INR 3,544 million in INR terms. This reflects an adjusted EBITDA margin of 16% for the quarter. Our gross margin in the quarter has gone up by 30 bps year-on-year, and our SG&A has increased by 80 bps year -on-year reflecting in a 50 bps decrease in adjusted EBITDA Y -o-Y.

The margin decline quarter -on-quarter in Q1 is in line with our usual quarterly margin progression through the year where we see a decline every year in Q1 over Q4 (of the previous year) , and we see a strong subsequent ramp up thereafter. Based on our performance in Q1 on adjusted EBITDA margins, we remain confident of delivering on our annual margin guidance of around 18.3% adjusted EBITDA for fiscal year '24.

The decrease quarter -on-quarter in adjusted EBITDA in this quarter, Q1 was on account of 4 key factors. They are, and I'll walk you through those. Global salary hikes, which were effective from day one of quarter one. It has to be noted that we have taken a conscious call not to defer annual Q1 FY'24 earnings call

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salary hikes. It is pertinent also to note that Coforge has dispersed the annual variable pay for all its eligible employees in quarter 1 with absolutely no cuts.

Second, the firm's net headcount has increased by 4.3% during the quarter and it went up by exactly 1,000 employees. This has been done to support our efforts to deliver an annual CC growth of 13% to 16% for the year, which is our current revenue guidance and which we feel confident about.

Third factor with a year -on-year reduction in the margins -- for the margins was on account of hedge gain and losses, which we take in revenue. Adjusting for hedge gains in quarter 1 fiscal year '23 versus the losses in quarter 1 fiscal year '24, the impact of hedge loss in the quarter would be around 60 bps.

And finally, fourth, we book all our annual visa costs in Q1, and we have done so in this year as well. Lastly, our Q1 consolidated PAT adjusted for the USD1 billion milestone celebration cost stood at INR1,818 million, which reflected a year -on-year increase of 21.4% in INR terms.

I shall now move on to the order intake commentary.

ORDER INTAKE

I'm very pleased to report an all -time high order intake of USD531 million during the quarter under review. This was a tough quarter. And yet, this was a record order intake. This is the sixth consecutive quarter where the firm has reported an order intake

of more than USD300 million. An unimpaired

large deal signing velocity based on an exceptional focus on execution, has allowed Coforge to deliver continued growth even in a tough demand constrained quarter like Q1.

In terms of geographic regions, Americas contributed USD155 million, EMEA USD346 million and the Rest of the World, USD30 million to the order intake. As mentioned earlier in my commentary, we signed a large deal of USD300 million TCV with an existing BFS customer. With this signing, we have locked the business over the next 5 years period with a minimum commitment of USD 60 million per annum.

Furthermore, another USD65 million TCV deal with more than 50% of it representing new business was signed with an existing customer, again in the BFS space. The first win that I talked about was a consolidation opportunity that we led discussions around and the second was a proactive cost takeout deal where we have taken over the wallet from an existing vendor. We believe that signing these 2 large BFS deals in a challenging environment like Q1 reflects the strength of our capability stack and the execution intensity that marks our concern.

Our executable order book, which reflects the total value of locked orders over the next 12 months stands at USD897 million, almost USD900 million, and it is up 20.4% year-on-year.

PEOPLE

On the people front, at the end of the first quarter, our headcount stands at 24,224 and we've seen a net addition of 1,000 people, as I said earlier. Utilization, including trainees, during the quarter stood at 81% compared to 81.5% in quarter four fiscal year '23. Last 12-month attrition during the quarter stood at 13.3%.

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Employee attrition at Coforge and I've said this many times, continues to remain amongst the lowest across the Indian IT services industry. I should now request John Speight, Customer Success Officer at Coforge to walk us through capability and delivery insights. Over to you, John.

DELIVERY OPERATIONS & CAPABILITY BUILD

John Speight: Thank you, Sudhir. Today, I'll be focusing just on our AI capabilities. Over the last 4 years, we've invested significantly in building out our capabilities in areas such as natural language processing, NLP, machine learning and deep learning. During this time, we've developed and deployed in excess of 100 solutions to more than 45 solutions in areas such as investment recommendations, fictitious travel bookings, and underwriting decisioning.

To make this real, I will talk you through one of our AI implementations.

For a leading airline, we implemented graph AI and machine learning to enable a leading airline to capture analytics, highlight inefficiencies and proposed changes that could reduce the gate turnaround times for their airplanes.

We believe the effective application today of generative AI using large language models known as LLMs, such as ChatGPT, can drive exponential value for our customers. As such, we are accelerating our AI strategy to position Coforge as an AI-first organization. We are embedding AI into all of our service offerings, including EPO, software engineering, product engineering and quality engineering.

Our AI strategy consists of 6 levers.

One, we are leveraging our partnerships with leading U.S. universities working together on AI research and training.

Two, we are co-innovating, developing and monetizing solutions with our customers.

A good example was Quasar e-BOL, where we've actually used AI to automate the end-to-end processes for tracking data latency, and we're going to market this.

Three, we are creating accelerators that allow us to build, train and implement AI solutions at speed.

Four, we are focusing on relationships with the hyperscalers and the low code/no code devices such as Salesforce, Pega, ServiceNow, we've identified as infusing AI into their platform.

For example,

today, we are the first partner to have solutions available on the Azure marketplace.

Five, we are ramping up our training and certification programs. We have a core team today of around 1,000 trained AI specialists across the hyperscalers in the part of that business. We plan to train in excess of 1,000 more over the next few quarters.

Sixth, we are investing in our AI innovation labs to build out more industry-specific use cases.

I'll quickly highlight our recent implementation using generative AI.

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For U.S. health care provider, we have actually integrated GPT large language model for triaging incoming patient requests then summarize and storing the findings within their electronic health records or EHRs, as I know.

Lastly, we've recently developed a solution using smart glass for insurance clients. It helps property

inspectors in the field capture videos and convert to documents, then provide risk scoring related to policy issuance and claims adjudication.

I would now like to hand over to Saurabh for further details on the financials.

BALANCE SHEET

Saurabh Goel: Thank you, John. Let me now talk about the balance sheet. So, cash in bank balances at the end of quarter 1 stood at USD45 million as compared to USD73 million previous quarter. And this reduction in cash actually was on account of additional stake that we took over in Coforge BPS, which was 20% and for which USD41 million was paid out. The borrowings in the quarter stood at USD110 million as compared to USD41 million in the previous quarter.

Capex during the quarter stood at USD8 million, bill debtors at 61 days as compared to 72 days same quarter last year. Unbilled was same at 14 days as in Q1 of last year and in the last quarter, it was 12 days. OCF stood at negative at USD20 million, which actually reflects the total bonus payout that we have done in Q1, and the payout related to the USD1 billion celebration. And this is pretty much in line with what we see every year in Q1. For the full year perspective, we expect the OCF to be 70% of EBITDA.

With this, I would now like to hand it over to Sudhir for the comments on outlook.

Sudhir Singh: Thanks a lot, Saurabh. Summing up an outlook. We came into Q1, ladies and gentlemen, you know this, on the back of two very strong quarter growth with the previous two quarters having seen the firm registered a CC growth of 3.7% and quarter four was actually 4.7%. Q1, the quarter under review, was a challenging quarter for the industry but record intake, strong deal conversion, continued strong growth in key accounts, an exceptionally committed global team that we continue to invest in, and you've heard about what we've done. And upfront investments that we made with the addition of 1,000 more employees to service future growth, has set us up well for the remainder of the current year.

To conclude, we reiterate our annual revenue growth guidance of 13% to 16% in constant currency terms fiscal year '24. We reiterate our conviction that our gross margin will improve by 50 bps over FY '23 in FY '24, and we do reiterate that we remain committed to delivering an adjusted EBITDA of around 18.3% in FY '24 basis the performance that we've already clocked as a firm in FY '23.

With that, I conclude my prepared remarks that I just read out, and I look forward to hearing your comments and to addressing your questions. Thank you very much for listening in.

Moderator: We have a first question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

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Dipesh Mehta: So just want to get a sense about the USD 300 million deal, which you suggested. If you can provide some more detail about the kind of work and whether any new component into it because you indicated about consolidation deal.

A related question is if

if I look next 12 months order intake, it is showing relatively moderate growth

despite USD60 million ACV kind of addition. So, if you can provide some detail on that.

Second question is about the overall demand environment. compared to last quarter when we entered into Q1 and now compared with it when we are entering into Q2. Any change in demand environment, either positive or negative or whichever, if you can provide some colour?

And last question is about the vertical wise, if you can provide some strength about underlying demand momentum. I understand because of very strong deal intake in BFS. Obviously, near-term growth may be strong, but if you can provide some sense about underlying demand drivers.

Sudhir Singh: Thanks, Dipesh. Just noted down the questions you came out with. I understand you have four questions. The first one, specifically, the question that you had was around the USD300 million deal.

Obviously, a very welcome deal from our perspective, as you can imagine, this came from a client relationship, which started less than three years back, hence, the importance of this deal.

The other aspects of the deal that I do want to share with you is, that it is in the banking space. It ensures that USD60 million minimum from the specific client is locked in. A lot of what we've started with is consolidation of revenues that were already aligned with us or were about to be aligned to us. But we plan to use this as a bedrock around which to grow further revenues on a go-forward basis.

It clearly establishes us within this client in that specific country as the preeminent partner for them. And hence, this is of our value to us. So USD60 million per year, over the next 5 years as we see it, is assured from a client relationship that started less than 3 years back. And deal also interestingly and finally is not one that is margin dilutive. It's been done at running margins, which again ties back to my assertion around a lot of confidence around delivering on the adjusted EBITDA guidance for the year.

Second question that you had was around order executable. Order executable actually is very strong.

Dipesh, if you look at our numbers at about USD897 odd million, that's almost USD900 million, our order executable year-on-year is 20.4% higher than the same number in the same quarter last year.

So, we feel very good and solid about the order executable.

Third question that you had was around the demand environment. I said this in the last quarterly call, and I maintained that in an investor conference that we did in Mumbai in the middle of the quarter.

The demand environment continues to be stressed. That's one factor cannot be denied.

The second thing that we think is, again, as immutable as the fact that we remain confident that we will continue to find avenues for growth to deliver on the annual revenue guidance that we've given.

Those are the two assertions that I will make around the question around demand environment, continues to be tough and yet, we will deliver on 13% to 16% CC revenue growth for the year.

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Fourth question that you had, I believe, was the BFS vertical -specific commentary. BFS vertical, we continue to see banks struggling with coming up with decisions in the short to medium term, given these somewhat uncertain macros and maybe macros that are resolving somewhat, but macros that they continue to observe very clearly and closely for the time being.

Certain segments, Retail and Commercial outside mortgages do seem to be seeing a slight uptick.

Asset Wealth Management continues to be resilient. But overall, the sector is still in our wait -and-watch mode. I trust I answered all 4 of your questions. Those are the 4 that I have noted down.

Dipesh Mehta: Sir, just one follow -up about the next 12 -month order book, I was referring to more from a quarter - on-quarter perspective

ive because USD60 million yet if added. So, is there any material incremental component part of the ACV?

Sudhir Singh: I mean if you look at last quarter, Dipesh, our order executable was 20% higher than the same quarter -- the same corresponding quarter. This year, it's 20.4% higher than the same quarter last year. Our guidance is only 13% to 16%. Our track record over the last 6 years has been that our order executable growth , very closely mirrors the actual revenue growth that we deliver in the subsequent 12 months. So, 20.4% is the number that we feel good about.

Moderator: We have a next question from the line of Abhishek Pathak from HSBC. Please go ahead.

Abhishek Pathak: So, my question was BFS for Coforge has grown by almost 5% last quarter and again, 3% sequentially despite an industry -wide slowdown and you also have a pretty healthy deal activity here as well. So are the offerings for Coforge meaningfully different as compared to peers, that's number one. And the other bit to look at it is what's the split for discretionary versus nondiscretionary in our portfolio, if we may look at it that way?

And the second question is most IT companies have talked about deferrals or discretionary cuts in BFS clients . But the technology spends expensed in the P&L for most large banks reporting have not seen any such dip. So, I mean, could you help us reconcile these two things? And what's missing?

Sudhir Singh: Sure, Abhishek, thanks for the questions. I noted down what I believe are three questions. One is BFS, the continued strong growth in the driver the reof. If you look at us, Abhishek, for seven quarters running before for us, 5% and 3% sequential growth is actually slow growth. Because if you go back seven quarters before that, we were growing double digits sequentially for seven straight quarters. So, the 5% and 3% in relative terms, I suspect, is very solid performance. I would submit it's not great performance by the yardstick that we hold ourselves to. So, we have, like the rest of the industry slowed down, of course, we slowed down from a higher base, hence, 5% and 3% right now.

The second question that you had was, is there something about our client offerings in the BFS space that sets us apart? I suspect it's less about client offering. It's more around the strategy that we've built over 6 years . This isn't something that's happened over the last 2, 4 or 6 quarters.

This firm , Coforge , materially with roughly about 24,000, 25,000 consultants across the world largely focuses on BFS, essentially Financial Services and Travel only. Everyone across the organization or at least 2/3 of our organization, 3/5 of the organization, whatever cut you take. The

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graduate engineer trainee all the way to the front -end consultant, they keep moving around the financial services space itself.

The client experience, the relationship depth that we have , is what allows us not just to sustain volumes but to actually go and start eating up wallet share at a time like this , when consolidation deals are in play. We are stepping out there.

We've carved out some of them and we keep winning them. The USD65 million second deal that I talked about. More than half of that was new revenue for us. It was revenue that we've rested away from another partner that the bank has, and it's largely come because of the acute focus that we have on BFS across segments . It's across the full 9 yards, asset wealth management, payments, commercial, retail, mortgage.

So that's number two. Number three, the question was around deferrals. And do we seek deferrals? The answer is yes. And as I said, that's why our growth has slowed down to 3.3%. And number four, I think your question, if I remember that right, was around expense cuts are not very visible in the financial statements of large banks and why is growth slowing down

. I won't know the answer to

that. We aren't really slowing down too much, and I would need to hypothesize about it.

We feel good about BFS. I said this at the beginning of the year. We said we'll grow 13% to 16% CC as a firm and we said that all our three core verticals, BFS, despite the slowdown, Travel with the tailwinds, Insurance with the resilience that it has and the differentiated offerings we have, all of them will broadly be also again, evenly balanced in terms of growth and deliver the same. We continue to maintain that.

Moderator: We have our next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Sudhir, can you give some colour in terms of the 2 large deals that you have separately talked about USD300 million and USD65 million, I guess, since it's 5 years, effectively, the ACV is almost USD73 million. So, in terms of ramp -up and contribution, say, to the next 12 months, is the entire USD73 million flows through? Or these are deals where there is a step -up every year in terms of revenue accrual?

Sudhir Singh: All USD73 million is going to be more or less evenly spaced out, Rishi. I mean there's going to be a little bit of an up and down, but this isn't the kind of construct where we'll start off very slow and then ramp up over time. Out of the USD73 million, USD60 million, as I said again at the outset, has been a consolidation deal where a big element of what we've talked about was already with us. So, it's not going to be a step jump. The step jump will be from the remaining portion that comes in, but the revenue stream is going to be uniform almost right through over the next 5 years. We do expect on top of that USD60 million revenue stream every year over 5 years to build a lot more because now we end up being the primary partners.

Rishi Jhunjhunwala: Understood. So sorry, if I missed out, but have you called out how much of that USD 60 million was already there versus new scope?

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Sudhir Singh: No, we haven't, and we don't do that for large deals. But what we did call out was the USD 65 million, more than half of it was taking over the wallet share of another partner we were competing with at that specific bank and a significant chunk of this USD 300-odd million was revenue that was with us already or was about to be aligned with us already.

Rishi Jhunjhunwala: Understood. The other thing is on the margin trajectory through the course of the year, effectively to maintain guidance, you need probably a 400-basis points margin expansion through the next 3 quarters. So just trying to understand, given that some of the large deal ramp -ups that you have and the hiring that you have done in that backdrop, what will be the key levers which will drive such a meaningful expansion? I know that you typically have this kind of a trajectory on an annual basis, but are there any specific tailwinds that you can call out beyond the normal expansion that you see?

Sudhir Singh: Rishi, we are not expecting to do anything spectacular this year compared to what we've already done in the last 2 years. If you look at the last 2 years, quarter 1 has always been between 16% to 16.5%. Quarter 4 has been around 19.5% to 20.5%. That's the natural ramp. It's also a function of how we are set up. We ensure that the full annual increment happens on the first of April. We ensure that the full annual visa cost is taken up in quarter 1 itself. We ensure that all our investments in terms of setting up a bench for future growth is taken at the beginning of the year, which is again something that we've done by doing a net headcount addition of 1,000 people in this quarter itself.

So, hereafter, it's not going to be something that we haven't done operationally, repeatedly over the last 2 years. The ramp will be more or less in line with what we've

talked about. 2 years back in

quarter 1, if I remember right, our margin was 16.1%. That year, we closed the full year with an adjusted EBITDA of 18.7%.

This year, in quarter 1, our adjusted EBITDA is 16%, we plan to follow the same ramp. Guidance we've given is only 18.3%, around 18.3%. So, the trajectory is going to be the same. The levers will again continue to be the same. The fact that offshore revenue is going up as strongly as it is. This is, I guess, the ninth or the 10th quarter of offshore revenue expansion.

It is again going to be the fact that our pyramid will continue to get flattened. Out of the 1,000 people that we added this quarter, 200 are graduate engineer trainees, fresh campus hires. And I said this earlier, we honoured every offer that was there in the market, for campus, for lateral, because we feel confident about the growth.

The same ramp, as always, nothing new. Quarter 1 margin also has been more or less in line with

what we've done in the last 2 years. Overall margin for the year will also stay in line, Rishi.

Rishi Jhunjhunwala: Understood. And just last question on Travel and Transportation. So basically, we have seen some bit of moderation in growth over the past couple of quarters. More I'm talking about from a Y-o-Y and even Q-on-Q this quarter was slightly soft. And we have some of the industry research firms have talked about contracting activity in Travel and Transportation slowing down. Given the kind of exposure that you have, which is more around, say, airlines, airports and all that, can you give some colour in terms of how the underlying demand environment in that segment is?

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Sudhir Singh: Sure, Rishi. When we look at Travel, airlines and airports, the demand environment continues to be strong. Those sectors continue to be more supply constrained. When we look at surface logistics and hospitality, we are seeing initial signs of softening. Clubbing all of this together, we still maintain, and we still believe that our Travel and Transportation, Hospitality growth will be more or less in line with the company's growth. This year, all 3 core verticals should be fairly evenly balanced.

Moderator: We have a next question from the line of Saurabh Sadhwani from Sahasr Capital.

Saurabh Sadhwani: I just wanted to understand what are your hiring plans going forward for this fiscal? And has the cost reduced for the talent. So basically, we have seen attrition go down, but also has the cost reduced for skilled talent?

Sudhir Singh: Sure. Saurabh, our hiring plans for the year continue to be in line with the growth that we anticipate.

You can work out the growth numbers to land between 13% to 16%. What we need to do is lock a growth number of sequentially, somewhere between 2.5% to 3.5% for the remaining 3 quarters. Going forward, we continue to hire. We've already built up a solid bench to provision for the growth that we see, especially to service some of the large deals that I was talking about.

Our hiring will continue in [inaudible] because we feel confident about the fact that the growth will continue as per the plan that we've shared with you. As far as cost is concerned, yes, you're right.

Attrition has fallen, gives us more leeway in terms of how we operate. Though how we operate doesn't change and never will. We continue to be employee centric. We continue to make increments on time, pay bonuses on time, honour every commitment that we make to the market on time.

We have initiated cost containment exercises. We finished the first tranche. We feel good about the plans that we made to take cost out for the rest of the year. And that's also another place where a lot of the confidence around replicating what we've done in terms of margin ramp through the year, last year and the year before last, comes from.

Moderator: We have our next question

from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal: Congrats on a very solid performance once again. So, sir, a couple of questions that I have. One is, of course, if you look at the executive order book that we have, it is around USD 897 million at this point of time. I know you've mentioned it before that this is basically -- I mean, we have rarely seen any slippages in this.

So given the kind of uncertainty that we are facing at a macro level at this point of time, could this very well be assumed as the minimum amount of, let's say, the executable that we will have in the next coming 12 months. And there's a fair degree of certainty about none of the deals in this part being put on hold or being pushed out in future.

Sudhir Singh: Yes, Vibhor, if you look at our record, not just over the past few quarters, but over the last 6 years, the reason why our declared order executable number growth, has a very strong correlation with actual revenue that we delivered in the subsequent 12 months is largely because of, A, how we calculate that order executable. We don't take framework contracts, generic contracts and put that into order executable. We only look at signed contracts when we aggregate this.

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We believe that, despite what is happening in the macro, almost all of the signed contracts that we have, their integrity will hold. It's obviously clearly getting augmented over time. So, we feel confident that we will not see slippages, and we have not seen material slippages over the last 6 months even.

Vibhor Singhal: Got it. That's definitely a lot reassuring. My second question today was just on the Banking segment.

I know I think may be we start before -- I'm sorry -- I maybe I probably want to spend a little bit more on this. How do you -- I mean, for us, the banking continues to do well in this quarter also and has been quite stable. Just wanted to check what is your outlook on the overall banking industry per se, not just specific to our clients.

Look, our clients are doing good for us. But overall, do you think there is still a lot of uncertainty or hesitancy and volatility in the banking segment, which could impede the overall banking sector

spend. Our business clients might continue to do well for us, which is a great thing as we are seeing that in the results as well. But for the overall industry, do you see that continuing? Or how have you seen that change over the past 3 months, if I could maybe ask that.

Sudhir Singh: Well, if I look at what we saw a quarter back, versus what we see today, I would say things haven't changed materially, though anecdotally basis client conversations that I've had as recent as Thursday last week, the CIO of a large bank, there do seem to be silver linings that seem to be appearing. I talked about it earlier in the call, retail and commercial outside mortgage, spend confidence, seems to be increasing, especially for next year.

So, the CIO, who I had a conversation with last Thursday, seemed far more confident. I'd say far, far more confident than the same gentleman was 3 months back. I know it's anecdotal. I'm sorry, I can't give you something that's more targeted, but that's how I would characterize the demand and the macros as we see it.

Vibhor Singhal: Got it. Just one last bit on that. Mortgage, you mentioned that outside of mortgage, things are looking still maybe at least some bit of silver lining, mortgage rates, I think last month reported, 6.97%, do you see more pain in the mortgage business for maybe some more time?

Sudhir Singh: Well, our mortgage business is, A, extremely small. B, in many ways, we think it's bottomed out. The volumes there crashed and burned last year. So, we really can't see a worst-case scenario than what exists right now. Anything that happens, we suspect can only be for the good, given what's already

ready happened to mortgage volumes.

Moderator: We'll take our next question from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: So, I have two questions. One is on your insurance verticals. So, it's been two good quarters, two good consecutive quarters in insurance. What really is driving growth for us in this space? And are there any material differences between demand trends in U.S. and Europe? So, these are my 2 questions.

Sudhir Singh: Sure, Shradha. We are seeing strong growth, particularly in the P&C, SMB sector of our Insurance Services business. A lot of it is getting driven by the alliances that we have in this space, the older Q1 FY'24 earnings call July 20, 2023

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ones that we have like the one with Duck Creek, also the newer ones that we formed, which are doing well for us, like the alliance that we have with Bond-Pro in the Surety space.

So, P&C, SMB clearly doing well. Some of our partners are foraging aggressively outside North America, and we're traveling along with them in those journeys and picking up new clients and new revenue streams that, again, is doing well for us. Our AdvantageGo business revenues again have rebounded and that, again, is adding to the momentum that we see in Insurance.

Insurance, I've said this three quarters back, and there were a lot of questions around what is the outlook. We had maintained that the insurance business will grow in tandem with the firm's growth in FY '24. And we'd also said that because of the uncertain macros, it was very important not to bank on any one core vertical to make sure all 3 were growing to offset any unexpected issues, which are likely to crop up anytime, anyhow, anywhere in 12 months. That's how I would characterize insurance.

U.S. and Europe at the current point in time, for us, both seem to be doing well. I've seen a lot of commentary around the fact that demand in the U.S. is subdued. But if you look at this quarter numbers, our U.S. geo grew 5-plus percent. While Europe was flat, but Europe was flat after some very strong quarters, and Europe is likely to rebound again. So, for us, both continue to be happy hunting grounds.

Shradha Agrawal: Right. And just one last question. I don't know if I missed it. But your balance sheet showed your other borrowings, the number has moved up quite a bit. So, what is it related to?

Sudhir Singh: Saurabh, can I request you to take that?

Saurabh Goel: Yes. So Shradha. This is related to the additional stake that we have bought in Coforge BPS. So, this was an acquisition which was done in 2021. We had only bought 60% stake then. So USD 41 million has actually been paid out to buy additional stake in Coforge BPS. So largely that amount.

And then in quarter 1, typically, our bonus payout happens. And then there are other capital commitments that get paid out. So, I think more around that, but a large portion gets allocated to Coforge BPS.

Moderator: We have our next question from the line of Abhishek Bhandari from Nomura.

Abhishek Bhandari: Sudhir, I just had one question. You shared a lot of details around your initiatives on AI. Thanks for that. But in terms of revenues, when do you see a material contribution coming from this particular line of business? And also in the Analyst Day, you had hinted at initially an inflationary kind of scenario possibly in voice based BPO, BPO in general and also sometimes somewhere in testing? Do you still think the opportunity is going to be on a net basis positive from a revenue perspective? I mean happy to hear your thoughts on when do you think we could see a real contribution from this AI-related business for us?

Sudhir Singh: So, Abhishek, there's a lot of commentary around AI investments. Let me just put it this way, the line that I see between AI, automation, analytics is very diffused. So, specifically to call out Q1 FY'24

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something and call it out as pure play AI is a little difficult. I think, it's still early stages for doing it. If I were to go back to my leaders and ask them what is the revenue that they're deriving from AI? You would be surprised that how high the number would be because everybody in the automation service line, everybody in the AI service line, everybody in the analytics service line would raise their hands and talk about, even the cloud service line, and the product engineering service line would talk about how they're going with an AI-first approach.

I wouldn't get into the investment piece of it just yet. Have we delivered, GenAI or cognitive AI-based engagements? The answers are very clear resounding yes. Cognitive AI-based work that we've been doing has been going on for the last four years. GenAI, there are four projects. Small projects, AI-only projects that have been delivered, but everything else that you touch. When you look at cloud, the business that we have around Helios, that whole thing is AI-first. When I look at product engineering, again, there's a very strong injection of AI-based technologies, the Copilot equivalence that is going on.

As far as the deflationary piece is concerned, the second question that you had, we believe overall, from a company perspective, AI should be a growth enabler. We feel very, very solid about growth on a go-forward basis. Certain aspects will obviously get impacted more. We do maintain the BPO industry. Even our own BPO business, we're keeping a very strong eye out for, what impact, AI interventions can have around processes that we handle. Testing again continues to be an area where we believe AI-based interventions have a way and a possible route to disrupting a lot of revenue streams.

So, we're keeping an eye out for it, but if you ask me, overall, how do we feel about AI coming into this space? Do we see more opportunities than deflationary impact? The answer is net, we do expect it to be positive. But what is the investment? I think it's still very premature for us to be calling out numbers.

Abhishek Bhandari: Thank you, Sudhir. Sudhir, my second question in the final question is while you've addressed, you are very confident of this 20% growth in 12-month executable order book translating to 13% to 16% growth. My question is, given all this uncertainty what is prevailing, which is beyond anybody's control, what kind of stress testing have you done amongst your clients?

Do you think this 4% to 5% gap what you've kept between your growth of order book to revenue is enough to manage those exigencies. Things are evolving fast, and we have been seeing certain guidance cut by some of your larger peers. So, just want to ensure that the stress testing is strong enough for you to maintain that 13% to 16%?

Sudhir Singh: Trust me the stress testing is about as strong as it can be. And our view of the world doesn't come top down from order executable. It goes ground up from projects/accounts and then we start aggregating it. When we look at our numbers, last quarter was a 4.7% sequential growth. This quarter has been a 2.7% sequential growth. When I look at 13% to 16%, we really need to do very badly to come anywhere below 13%.

And I don't think -- and you can see that from the net headcount addition that we've done in the deals that we've signed; we will come there. Even at about 2.5%, Saurabh, please keep me honest on this, Q1 FY'24 earnings call
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even at a 2.5% sequential growth for the next three quarters, only 2.5% we will still come to about 14.5% CC growth. So, we've tested this just about every which way as you can imagine. And most years, the guidance that we give is more or less in line with the executable growth. This year, we are trying to be extremely conservative given the uncertain macros and

and giving a lower guidance, that guidance we maintain and that guidance we will deliver on.

Abhishek Bhandari: Thank you and all the best for the whole year.

Sudhir Singh: Thank you.

Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you for the opportunity and Sudhir congratulations on good numbers in your top accounts. I want to check, what's giving you confidence on this guidance? Is it that there is less of from I'd say, project-based, application maintenance sort of deals that you have where there is a possibility of

some of those being seen as discretionary and the kind of work that you're doing, it's a lot more from some might say quick ROI. Is that what gives you confidence that clients will continue with these programs?

Sudhir Singh : No, I mean, what gives us confidence is our track record over the last 6 years. This is not a new team. We came together 6 years back. Quarter-on-quarter as a firm, even through the pandemic, when 30% of our business was in travel, we gave a guidance and we delivered, actually over-delivered on it. So, our confidence stems not from the nature of the breakup of the project-based business versus any other cut you can apply.

It comes from a grounds-up aggregation of the SOWs that we have signed. It comes from daily conversations that we have with our clients. It comes from the fact that our large deal velocity has continued to be unimpaired. It's actually accelerated even in a quarter like Q1. And it comes from the fact that, I think, more than to anyone else, we've proven to ourselves that every time there's a consolidation, we come out on the right side of that mix USD300 million was a classic example of it.

Our confidence doesn't stem from forward-looking plans. It comes from our past record. It comes from the experiences that we, as a team, have gone through repeatedly over the last 6 years, it comes from the fact that every time we've given a guidance, we have met it and in almost every case, exceeded it. This time, we are being, by our standards, very conservative.

Our executable is 20.4%. We're giving a guidance of only 13% to 16%. This year, Quarter 1, we've done 2.7% after doing 4.7% growth in Quarter 4. All we need to do is 2.5% to come at the midpoint of our guidance. So, I mean, we really can't, having stress tested our numbers, think of any scenario. We will not deliver on our revenue guidance. That's how I would put it.

Ravi Menon : Thank you so much, Sudhir, very happy to hear that. Best of luck. And one more if you can just add that good decision to give the wage hike now. And it looks like the quantum is also normal, right? I mean you've not really cut back on this, saying that overall, the hiring environment is not great?

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Sudhir Singh : I'm sorry, Ravi, can you repeat that question once again, please? I'm sorry, I lost...

Ravi Menon : I'm just asking about the – that it looks like the wage quantum, the wage hike seems to be a normal year wage hike rather than you looking at the demand in the hiring market and kind of toning it down a little bit compared to normal years?

Sudhir Singh : We've toned it down, but only a little because the low attrition rate that we have helps us in just about -- in more ways than just financial computation, right? The fact that our employees are staying longer with the clients that we assign them to delivers growth for us. So, we've just dialled it down a little bit, not very materially.

What we have ensured is that we haven't delayed it, which is the point that I made. And what we've also ensured is that we haven't paid only a part of our workforce and not the other part. So, everyone's got it. Not just the increments, but their full annual bonuses with no exceptions.

Moderator : Thank you. We have our next question from t

he line of Abhishek Shindadkar from In Cred Capital.

Please go ahead.

Abhishek Shindadkar : Thanks, and congrats for a good quarter. I just have one question. The new client addition number has moderated substantially. Now I know, we are signing large deals, but is this a function of more about the environment or is it a conscious effort to pursue smaller number of clients, but the large deals within those clients?

Sudhir Singh : I mean, let me make sure I get this right. We've been signing and Saurabh feel free to jump in and come up with numbers. We've been signing -- if you look at our record, we normally sign about 8 to 11 large clients every quarter. Over the last 4 quarters to 6 quarters, ever since John took on his role as the Customer Success Officer, we've talked about very consciously focusing equally on the farming side of the business and making sure that the clients that we sign are only high-quality clients with large wallets where we think we can scale up.

So, a lot of the investments have gone into supporting that strategy. John's team is in play, driving growth on the lines of what I talked about earlier at large accounts and that strategy has worked for us. Saurabh, would you like to add to that?

Saurabh Goel : Yes. And I think a couple of more things what you've strategically changed is that the hunting team has been giving us to actually go after tail accounts, which are long tail, we're sitting with farmers and not growing. So, what you've done is, we've asked them to actually focus on those accounts where you already have M SAs whether you're doing some work, some SOWs are already in place and you're doing some work with them, but those accounts have not grown.

So, the whole hunting orientation has been to grow these tail accounts, flat accounts which have not moved. And that's why you see that, and the focus has been only to open the M HAs, which is must-have accounts and very specific named accounts, which are called out in the beginning of the year.

All the incentives of the hunting team are actually linked to either grow the tail accounts, which are

assigned to them in the beginning of the year or focus on the must-have accounts, which are again listed, agreed in the beginning of the year, so that you have focused hunting strategy rather than trying to open a number of accounts .

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Abhishek Shindadkar : That's helpful. So, you know, where I was coming from is that for the past 6 years, 7 years, so we've been running almost 14 accounts a year . Last year's Q1 number was roughly 12 accounts, new accounts I'm talking of. And this year, we are starting with 6. So, it is what I want to give perspective, but really helpful?

Sudhir Singh: Thanks, Abhishek.

Moderator: Thank you. We have our next question from the line of Ruchi Burde Mukhija from Elara Capital.

Please go ahead.

Ruchi Burde Mukhija : Thank you. My question is building on an earlier question regarding AI, thank you for the details that you have shared. Here, I just wanted to get your understanding in terms of the timelines, how would you think it will evolve? Do you expect enterprise adoption on this, whether need to start earlier and the deflationary pressures will take some time as the maturity of these AI applications need to develop before clients start to ask for some concessions from that?

Sudhir Singh : John, since you talked about AI in your conversation, would you like to take that? And I can layer it.

John Speight: Yes. Could I just have the question repeated. It was a bit garbled for me. Could you repeat, please?

Moderator: Ms. Ruchi can you use your handset, please and repeat your question.

Ruchi Burde Mukhija : Here I'm trying to understand in terms of timelines between the revenue incidents versus the deflationary pressure from the AI, how that will unfold? Will it be something like this, wh

ere revenue

incidences start earlier with the enterprise adoption and new use cases being experimented, maybe for clients to ask for concessions because of the AI evolution in coding, the deflationary plays out was a little slight lag. Is that something to think on these lines or you think both will evolve in tandem?

John Speight : I think it will evolve both in tandem. I mean, the thing what we're seeing now with AI is that it's actually becoming an amazing productivity play and many of our customers and hence, why we're embedding it within all -- not just in the solutions, but in the ways, we work, which will drive that productivity -- will actually -- I mean we can deliver more , with less. And that combined with moving to a much more outcome orientated structure , where revenue is tied more to actual outcomes and deliverables. We see as a positive for us.

Sudhir Singh : And let me add on to what John said, Ruchi. We expect over the next 3 years to 5 years, our analytics service line, our automation service line, our cloud service line to be driving growth for us, and they will be driving this growth because analytics is going with an analytics plus AI approach, automation is going with an automation plus AI approach. Cloud is going with an AI embedded approach.

Net-net, we believe for Coforge this is going to be a clear positive. Now if the question is, will AI only as a new service line be a great revenue booster. I think, still early to say, but will AI plus our existing service lines of analytics, automation and cloud be a great revenue booster and therefore, will revenue for Coforge go up overall? The answer is a very solid, resounding yes. Did we answer your question, Ruchi?

Ruchi Burde Mukhija : Yes, absolutely. Thank you very much.

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Sudhir Singh : Thank you.

Moderator : Thank you.

Vikas Jadhav: Yashashree, we can actually close the call, it is already 5 now. Maybe can hand over to Sudhir again.

Sudhir, your closing comments, please.

Sudhir Singh : Thanks very much, Vikas. And ladies and gentlemen, thank you very, very much for your time. Late evening in India, I really appreciate your time, your interest, your questions and your comments.

They've always helped us in the past to refine our strategy and to re-pivot ourselves as required.

Thank you once again. I look forward to speaking with all of you next quarter. Stay safe.

Moderator : Thank you. On behalf of Coforge Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: - This transcript has been edited for readability purpose .

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This presentation contains forward-looking statements. In some cases, you can identify these forward-looking statements by the use of words such

as “outlook,” “believes,” “expects,” “potential,” “continues,” “may,” “will,” “should,” “could,” “seeks,” “predicts,” “intends,” “trends,” “plans,” “estimates,” “anticipates” or the negative version of these words or other comparable words. Among other things, the outlook for the full fiscal year 2022, the business outlook and quotations from management in this announcement, as well as Coforge's strategic and operational plans, contain forward-looking statements. Coforge may also make written or oral forward-looking statements in its periodic reports to regulators, in its annual report to shareholders, in press releases and other written materials and in oral statements made by its officers, directors or employees to third parties. Statements that are not historical facts, including statements about Coforge's beliefs and expectations, are forward-looking statements. Forward-looking statements involve inherent risks and uncertainties. A number of factors could cause actual results to differ materially from those contained in any forward-looking statement, including but not limited to the following: the performance of the Coforge's clients; the successful implementation of its business strategy; its ability to compete effectively; its ability to maintain its pricing, control costs or continue to grow its business; the effects of the novel coronavirus (COVID-19) on its business; the continued service of certain of its key employees and management; its ability to attract and retain enough highly trained employees; and its involvement in any disputes, legal, regulatory, and other proceedings arising out of its business operations. All information provided in this presentation is as of the date of this presentation, and Coforge undertakes no obligation to update any forward-looking statement, except as required under applicable law.

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"Coforge Limited

Q2 FY '24 Earnings Conference Call "
October 19 , 2023

MANAGEMENT : MR. SUDHIR SINGH – CHIEF EXECUTIVE OFFICER –
COFORGE LIMITED
MR. JOHN SPEIGHT – CHIEF CUSTOMER SUCCESS
OFFICER – COFORGE LIMITED
MR. AJAY KALRA – CHIEF FINANCIAL OFFICER –
COFORGE LIMITED
MR. SAURABH GOEL – DEPUTY CHIEF FINANCIAL
OFFICER – COFORGE LIMITED
MR. VIKAS JADHAV – VICE PRESIDENT , INVESTOR
RELATIONS – COFORGE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Coforge Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikas Jadhav, VP, Investor Relations. Thank you and over to you sir.

Vikas Jadhav: Thanks Zico. Good morning to all. You would have received our Q2FY24 results by now. They have already been filed with the stock exchanges and also available on the Investor Section of our website. We have with us today our CEO – Mr. Sudhir Singh; our Chief Customer Success Officer – Mr. John Speight, Mr. Ajay Kalra our CFO, and our Deputy CFO – Mr. Saurabh Goel.

We'll begin the call with opening remarks from the Management Team, and post that we'll open the floor for the questions. Before we begin, please note that some of the statements made in today's discussion relating to the future, should be construed as forward -looking statements and may involve risk and uncertainties. Please refer to the disclaimer to this effect in slide number two of company's Q2 results presentation.

With that, I would now like to hand it over to our CEO – Mr. Sudhir Singh. Over to you Sudhir.

Sudhir Singh: Good morning, good afternoon and good evening to all of you across the world, folks. Thank you for joining us today as we share our Q2'FY24 performance and the business outlook.

We meet today in the shadow of a material change in the shareholding structure of Coforge that has taken place since we met last quarter. As you are aware BPEA EQT, which was the promoter of the firm, has sold its entire stake over the course of the last three months. Consequently, Coforge has emerged as the only material Board governed professionally run Indian IT services firm in the industry. We believe that as the Indian IT services industry matures this ownership construct of professionally run firms will likely increase and we take our responsibility as being the first professionally run firm very seriously. It shall be the intent of my team to ensure that in the years to come we set a benchmark around governance and performance that will do justice to the trust that the investors have placed in us.

Moving on, I am pleased to report that in Q2, the quarter under review, Coforge has delivered another strong performance despite the challenging and uncertain macroeconomic environment. At the end of the first half of the current fiscal year, our revenue has grown 16.2% in CC terms, 18.7% in INR and 13.2% in USD terms.

In Q2, we've recorded robust sequential growth, seen a significant sequential growth in our margins, sustained our large deal signing velocity, ensured broad based growth across all verticals, continued with our net headcount increase led by both lateral and campus hiring and also continued our investments in SG&A to sustain our growth trajectory in the coming years. At Coforge we

have always believed that superior execution is key to driving sustained performance. This quarter was again reflective of the execution intensity that is uniquely Coforge.

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With that preamble, let me move on to the quarterly performance and the revenue analysis.

QUARTERLY PERFORMANCE – REVENUE ANALYSIS

I am pleased to report that during Q2FY24, Coforge reported revenue of \$278.1 million, registering a sequential growth of 2.3% in Constant Currency (CC) terms. In USD and INR terms, the sequential growth was 2.3% and 2.5% respectively.

On a YoY basis, Q2 revenues grew by 14.1% in CC terms, 12.6% in USD terms

and 16.2% in INR terms.

I shall now detail vertical -wise growth for the quarter under review.

During the quarter, our banking financial services vertical reported again, a sequential growth of 3.8% in CC terms and contributed 31.6% to the revenue mix. The insurance vertical registered a third consecutive quarter of strong growth registering a sequential growth of 2.4% in CC terms. It contributed 22.6% to the revenue mix.

The travel vertical grew 2.3%, Q-o-Q in CC terms and contributed 18.5% to the total revenue. The other verticals portfolio saw a growth of 0.6% in CC terms and contributed 27.3% to the total revenues.

During the quarter under review, top five clients contributed 23.5% to revenues while the top ten contributed 35.2 % to the revenues.

During the quarter, quarter 2 that is, offshore revenue contribution saw a further pickup and stood at 52 % of the total revenues versus around 51 % in quarter 1 FY 24.

As I have noted earlier, in previous quarters, this shift towards higher offshore revenues over the last two years has been an important structural margin support for the firm.

With that I can now move on to the margins and the operating profits discussion.

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS

During the quarter, we delivered an adjusted EBITDA of \$48.8 million in USD and Rs. 3,997 million in INR terms. This reflects an adjusted EBITDA margin of 17.6% for the quarter, an expansion of 160 bps sequentially. We are satisfied to see continued expansion in our gross margin, which has gone up by 180 bps QoQ and 42 bps on a YoY basis. This is in -line with our adjusted EBITDA gross margin guidance expansion of 50 bps during the year.

Our quarter two SG&A as a percentage of total revenue stood at 14.9% and has now increased by 121 bps year on year as we continue to invest in the business which was the plan right at the outset. SG&A now stands at around 15% of revenue, which was the target that we had set for ourselves.

Reported EBITDA margin stood at 15.3% and saw an expansion of 33 bps Q -o-Q. Q2 saw a one -time increase in ESOP costs, and I repeat, a one -time increase due to acceleration in ESOP costing . We expect the ESOP costs to normalize from quarter three onwards.

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Consolidated PAT for quarter two stood at INR1,810 million, which was a Q -o-Q increase of 9.5%.

ORDER INTAKE

Coming to order intake, we recorded an order intake of \$313 million during the quarter under review. This is the seventh consecutive quarter where the firm has reported an order intake of more than \$300 million. In terms of geographic regions, America's contributed \$118 million, India \$138 million, and the Rest of the World , \$57 million to the Q2 order intake.

While the macros and the IT spend environment continues to remain challenging, we signed three large deals in quarter 2 . In addition to these three large deals, we secured a \$10 million TC V cross -sell based contract in our BPS business, and we secured our first sizable transformational win in the Guidewire space for a large US Auto and Home Insurer.

Our executable order book, which reflects the total value of locked -in orders over the next 12 months, now stands at \$935 million, and it is up 16.6% on a Y -o-Y basis.

Coforge also signed eight new logos during the quarter. People metrics now.

PEOPLE

At the end of the second quarter, headcount stood at 24,638 employees and saw a net addition of 414 sequentially. I think it's important to point out that in the first six months of the current fiscal, our net headcount has grown by 1,414. You will have noted that this quarter our net headcount grew 1.7% following a sequential growth of 4.3% in the previous quarter.

Utilization including trainees during the quarter stood at 80% compared to 81% in Q1 of 524.

There's a slight drop on account of campus fresh graduate

addition.

We continue to do campus fresh graduate s addition as I said last time as well. Last 12 months, IT services attrition during the quarter stood at 13%. Employee attrition at Coforge continues to remain amongst the lowest across the Indian IT services industry. As you're aware, we fully rolled out the annual salary increments for our employees on time on the 1st of April. We had honoured all commitments and continue to do so to onboard campus and lateral hires. And we had again paid out in full on time the annual bonuses of fiscal year 23 in Q1 24 itself.

With those comments, I shall now request John Speight, Customer Success Officer, Coforge to walk us through capability and delivery highlights. John over to you.

John Speight: Thank you, Sudhir. I shall now touch upon the highlights of the quarter related to our delivery operations.

In our BFS business, we have successfully implemented a new system at a major European bank to replace their UK based legacy Mortgage Retention platform. This has reduced the turnaround time to process mortgage applications by 50%, and increased offers released by 25%.

We created a class-leading portfolio aggregation service for our largest banking technology clients. This has enabled them to target large Private Banks who manage client assets held in-house and at external custodians. For the same client we successfully migrated over \$250Bn assets under Q2 FY'24 earnings call

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management for a major US bank onto their Wealth Management hosted platform, the largest migration to date.

In the Insurance sector, our ongoing commitment to expand our Guidewire capabilities has resulted in Coforge being selected for a multi-year deal by a major US based carrier to transform, and then support their Personal Lines business. A tier 1 specialty insurance carrier appointed us as their strategic integration partner to design, develop, and deploy more than 350 business services on Microsoft Azure over the next 18 months.

Our Insurtech AdvantageGo closed a major deal with a global specialty reinsurer to implement their new product, the Underwriting Workbench. It is a class-leading solution that consolidates all information in a "single pane of glass" to enable efficient underwriter decisioning.

For a large travel technology client, we successfully migrated more than 40 global airlines and 9000 travel agencies onto a new Passenger Name Record system hosted on Google Cloud.

The Company has received a notice from a client in the North America region regarding the client's intent to seek indemnification for third party claims and costs associated with a claimed breach of contract by the Company. The Company has responded to the client's notice, and is not a party to any litigation or other formal proceeding. Notwithstanding the receipt of such notice, the Company continues to provide services to the client on a regular basis with no impact on the revenues received from such client.

In our last earnings call I talked about Coforge being an "AI-first" organization. We continue to develop and showcase our Quasar platform, it now provides more than 100 pre-built frameworks and solutions that clients can use to develop and build their own Gen AI powered solutions. We recently used to help (1) a leading UK retailer reduce monthly losses from customer returns and (2) A tier 1 insurance carrier to increase customer retention ratios.

Continuing with the AI theme, I wanted to highlight an organization-wide program we initiated to understand the benefits that Github Copilot could deliver for our clients. We are training and implementing Copilot across development, testing, documentation, and code migration; tracking the velocity and quality improvements on engagements. In one case we were able to demonstrate a 25% productivity improvement on existing maintenance programs for a global human capital

management firm.

Lastly, we continue to focus on expanding our relationship with partners who are heavily invested in AI, that is, the hyperscalers and the low-code/no-code providers such as SFDC, Pega and ServiceNow. For example, today we now have 8 solutions available on the Microsoft Azure marketplace and are currently working with GCP and AWS to host our solutions onto their equivalent marketplaces.

I would now like to hand over to Ajay for further details on financials.

Ajay Kalra: Let me provide few more details on the financials.

Total cash and cash equivalents as at September 30, 2023 was Rs 3,259 compared to Rs. 5,699mn as at March 31, 2023. This was lower by Rs 2,440mn during the period. This reduction of cash

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was due to payment of dividend amounting to Rs.2,322mn. We also paid Rs. 3,523mn towards acquisition of additional stakes in subsidiaries.

OCF to EBITDA for Q2 stands at 49%. Our H1 OCF/EBITDA was at 1%. Looking at our past trends, we generate most of our OCF in the second half of the year. In the first half we have significant payment like variable compensation, interest, etc. We expect the OCF/EBITDA ratio to be in the range of 65% to 70% in FY24.

The debtors at the end of the quarter stood at 64 days of sales outstanding compared to 70 days in Q2FY23. Cap ex for H1 is at US\$ 12 million.

ESOP costs have increased this quarter due to accelerated vesting on achievement of a certain milestones. Hence could be about 30 bps higher than envisaged. However, we expect this to be lower next year.

With that I will hand over the call back to Sudhir for his comments on outlook.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thanks very much, Ajay.

As I had shared earlier, at the end of the first six months of the current fiscal we have registered a revenue growth of 16.2 % in CC terms, 18.7% in INR and 13.2% in USD terms.

We believe that sustained growth is a function of both signing large deals and equally importantly ensuring that existing business is retained. Over the last six years the order executable that we announce every quarter has correlated very strongly with the actual revenue and growth that we have seen in subsequent quarters. This has happened because not only has the large deal median size and velocity gone up but also because our repeat client business at 93% is best in class for a firm our size. This ability to sign large contracts and also sustain existing book of work gives us comfort that in FY'24 and beyond we shall deliver sustained and robust growth.

Basis our performance to date, we reiterate our annual revenue growth guidance of 13% to 16% in constant currency terms for FY'24 and an Adjusted EBITDA margins similar to the FY 23 level.

With that, I conclude my prepared remarks, and I look forward to hearing your comments and addressing your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Abhishek Pathak from HSBC. Please go ahead, sir.

Abhishek Pathak: Yes, so Sudhir, my question was around deal activity. So most large peers have reported healthy multi-billion dollar deal wins, but they've largely been around cost takeout. And you know, they've been saying that the appetite for smaller deals and the deal velocity has become quite slow.

Now despite that, Coforge and even some peers of similar size have continued to report healthy DCV numbers. So how do we reconcile this? And for Coforge specifically, what offerings are clients willing to spend on in the current backdrop, which they are not willing to sort of pause or Q2 FY'24 earnings call

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stop. And assuming this macro uncertainty persists, what is the nature of deal conversations you expect to have in FY '25?

Would they be materially different to what we are seeing right now? And how

do we think about

the nature of demand in FY '25? Thank you.

Sudhir Singh: Thank you, Abhishek. I can say straight off the bat that we do not relate to commentary that you received from some of the larger peers. We continue to see a deal velocity that continues to be very robust. We continue to see median deal size climb up. And when we look at the funnel even going forward, we feel very confident around the fact that it's the width and the probability of closure around large deals for us specifically stays very strong.

So, that's how I would characterize everything that we're seeing right now. We continue to see, if I were to actually parse out where we see large deals in the hopper going forward as well, we continue to see digital transformation as a theme that has not really played out 100% or as a theme that has petered out despite the cost constraints that are there.

Product innovation, legacy modernization, cloud migration continues to hold and deals continue to come in to organizations that are resilient and adaptable. We continue to see a very significant focus from organizations across sizes to very seriously consider challenger organizations like Coforge which have crossed the billion dollar threshold and are by no metric small, domain focused and tech focused challenger organizations.

We continue to see opportunities in Gen AI and advanced analytics. So if I were to just pull this all together, productization, legacy modernization, product innovation, cloud migration, the ability to look at challenger organizations as organizations that have both the capability and the differentiated customer centricity and hunger to satisfy enterprise client demands is what is causing us to see the number of deals that we are seeing and more importantly converting them at scale.

Moderator: Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go

ahead.

Sandeep Shah: Yes, thanks. Thanks for the opportunity. Sudhir first question, any recent conversation with the client gives you any change in view and demand outlook where some of your other peers globally like Globant has been talking a recovery in the second half of the calendar year. Are you expecting any green shoots getting emerged?

Sudhir Singh: Sandeep, in BFS we see green shoots but we are trying to balance them against the geopolitical uncertainty that prevails. Insurance within the P & C space, we do see productization and work with product vendors like Duck Creek, Bond-Pro, even Guidewire that John talked about during the call, as spaces where demand is seeing a clear uptick.

Within the Travel space, we're looking at productization, customer experience, and security as potential areas where we see emerging green shoots. Those are the sub -segment -wise views.

Overall, on the macro front, the macro, I do want to reiterate continues to be challenged and demand does continue to be stressed.

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Sandeep Shah: Okay, fair enough. And last quarter you said to achieve the midpoint of the growth guidance we have to grow at 2.5% compounded Q -on-Q from 2Q to 4Q. This quarter is tad lower despite the great deal wins of the first quarter. So do you expect a pick -up in the growth in the second half? Because some of your peers have been also calling out higher than normal furloughs. So how do you see the second half and when do you expect the first quarter and second quarter deal wins, first quarter particularly which was robust, to start converting into revenues?

Sudhir Singh: Our deal wins have converted into revenues. I think it would be very unfair to start comparing our performance when we've grown 16.2% at the end of the first half with the kind of challenges that the industry has . Even though we say it ourselves, is an exceptional growth.

So we wouldn't really want to go back and try to take what w

e've already done, complete that and

contrast that with what the other peers have done. As far as we are concerned, every time we've called out large deals, we've also shown revenue growth post that .

Look at the last four quarters of results, look at the first six months results. We believe large deals have to continue to translate into revenue growth for us. Going forward, if we grow, to hit the lower end of our guidance, all we need to do is grow 1 .6% sequentially for two more quarters. To get to the higher end, we have to sustain the revenue growth that we've been seeing.

We're already at more than 16% growth at the end of the first half. The macros are stressed. We believe that 13 % to 16 % will hold under almost every situation. And that's why we're going with the given range that we gave six months back when the year started.

Sandeep Shah: Okay, fair enough. And last question in terms of margins, to achieve the adjusted EBITDA margin being at flat, the ask rate is still at 135 bps, 140 bps, which we want to improvement in the next two quarters. So what levers which will help us to pull out such a big margin in quarter after quarter in the second half? And is it fair to assume the ESOP cost on a full year basis would be close to 1.1% versus 0.7% last year?

Sudhir Singh: I'll let Ajay take the second question. As far as the first question is concerned, Sandeep, we are not planning to do anything this year which is very different from what we have done in the last three years. Second half, margins will see a significant growth. Q3 to Q2 sequentially, we will see a very significant growth.

We have already seen a 160 bps sequential growth. We expect the growth again to be very significant around 100 bps or higher, Q3 over Q2. So there's nothing this year by way of a new lever that we plan to flex in order to get to the guidance that we've given. Trajectory will continue. The one point that I do want to add is last year at around this time when the firm was heading into the second half, we were looking at hedge losses. This year, given the currency movements, we are looking at hedge gains. So that's why we feel confident, as I said at the outset, of getting back around the same adjusted EBITDA margin levels as last year. Ajay, over to you for the ESOP question.

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Ajay Karla: Thank you, Sudhir. Sandeep, as I had mentioned in my opening remarks, the cost would be approximately 30 basis points higher than we have envisaged in FY24 . You are right, it will be around in the range of 1 % to 1.1% for the full year, for the financial year '24.

Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead sir.

Manik Taneja: I thank you for the opportunity. I had a question with regards to our offshore revenue mix which

has seen a significant increase post COVID and we continue to step up the pedal over there. How should we be thinking about this metric going forward? That's question number one and the second question was with regards to the outlook on the travel and transportation vertical. We've had some commentary from global companies in terms of some cost pressures or demand cooling off. How do you see this translated to business outlook for us from a 20 to 18 months standpoint?

Sudhir Singh: Manik, let me take your questions in order. The first question was around offshore revenue. When we hit 48 odd percent, this question was popping up and we were, we tried to be very conservative and said that we don't expect it to climb materially. But it continues to climb. Going forward, we expect the climb to be far more gradual, but we still believe given what's happened over the last four quarters, the number will continue to climb. But it will be climbing far more slowly than it has over the last 8 to 12 quarters.

As far as travel and transportation is concerned,

the commentary that you talked about is commentary that we empathize with, we relate to some extent. Travel transport, we are seeing pockets of spend coming up. They are centered around security. Spend is centered around digitization. They are centered around productization and they are also centered around spend being directed towards customer experience-based projects. Having said that, there are initial signs of, I wouldn't say stress, but of a normalization in spend going forward. We would expect our travel vertical going forward in the next 12 months to 18 months to continue to grow in line with the broader firm's growth but not to outpace it.

Manik Taneja: Sure, and one last one, if you could also talk about the Board reinforcement, board ownership change that has happened at the company.

Sudhir Singh: I'm sorry, I lost you, Manik, would you please repeat that question?

Manik Taneja: Sure, Sudhir. I just wanted to understand your thoughts around the reinforcement of the Board post ownership change.

Sudhir Singh: Yes, Manik, as I said at the outset, the leadership team, the Board, believes it's a privilege, it's a very serious responsibility for us to have emerged as the first professionally run Board Governed IT Services organization.

Today during the Board Meeting two of the Directors from Barings Private Equity Asia have stepped down. We've called it out as part of our result pack as well. Going forward, the Board is working, the NRC of the Board is working, towards reconstituting the Board and we would expect that process to get consummated or largely be in shape over the next one quarter to two quarters. And we will update you post the next Board meeting.

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Manik Taneja: Sure. Thank you and all the best for the future.

Sudhir Singh: Thank you, Manik.

Moderator: Thank you. Our next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi, thank you. So you've shown pretty broad-based growth across all verticals. Can you explain BFS where I think most peers have struggled but you actually shown pretty good growth?

Sudhir Singh: That's right, Ravi. As we said, there are green shoots, even though the macros are stressed. Digital transformation spend has not necessarily gone away. The play around product innovation, the play around legacy modernization, the acceptance of challenger organizations like Coforge, at a \$1 billion close to 55% of our revenue comes from financial services, has really picked up. So we are seeing growth from some of the areas that I talked about. We are seeing growth also because of our ability to penetrate increasingly at scale into Tier 1 financial services organizations as a very credible challenger. And we also continue to see growth across BFS in areas like advanced analytics.

John, would you like to add to that?

John Speight: Yes, I would actually. There's a few things on this, and it's been feedback from some of our Tier 1 banking clients. When we've been working with many of these clients it's been very focused in very specific areas. We haven't spread ourselves across the whole enterprise, we've focused on very-very key business aligned areas and many of those are in the non-discretionary spend areas. So we're heavily involved in a number of Tier 1s around payments processing as you may be well aware there's some major changes going on at the moment.

There's also in the regulatory and the compliance space, two areas where we're heavily involved in the transformations going on at banks. So the combination of us being very, very focused and therefore very, very competent in key areas along with it being with in the non-discretionary and transformation areas, has meant we've been able to grow where others have struggled.

Sudhir Singh: Thank you, Ravi.

Ravi Menon: One more follow-up, if I may. You

r BPS business also has held up pretty well. I know that you

only have probably a small exposure to what we just spoke about in the fall, but can you speak about what are the areas that are growing well in your BPS business?

Sudhir Singh: In the BPS business, Ravi, the overriding premise behind doing the SLK acquisition two years back was because it was a banking only focus BPS business and the our premise was that we would be able to extend that business more actively into Insurance and Travel verticals, which has happened. We were also convinced that we could take the BPS capabilities across the other financial services clients of Coforce, and that again has happened.

Today when we talked in the commentary section about new wins, we talked about three large deals, but equally importantly, we talked about a \$10 million BPS deal. The fact that we've been able to get new leaders, both at the front end and at the back end over the last two years after the acquisition was consummated, the fact that the team has seen very significant investments come Q2 FY'24 earnings call

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in. The fact that it is possibly an exceptionally stable, not just management team, but a business with possibly the lowest attrition across any BPO player. And the fact that our AI and analytics business have been able to work very closely with the BPO team to make a difference has really helped.

John, any other comments on that?

John Speight: Yes, one comment I'd like to make there is the fact that we've combined automation and technology with our BPS. We haven't just focused on people on seats. We've actually focused on how we deliver value to our customers and that resonated very, very well.

Moderator: Thank you. Our next question is from the line of Shraddha Agarwal. Please go ahead, ma'am. From Asian Market Securities.

Shraddha Agarwal: Congrats, Sudhir, on a steady quarter. Two questions from my side. Can you highlight more on the three large deals that we've done, as in what is the proportion of net new deal contribution and any highlight on which sectors have you won these deals wins?

And the second question is to you, Saurabh. I mean, when you said that adjusted for hedge losses, EBITDA margin would have seen an expansion of 200 bps. But when I look at the hedge loss number in absolute term, it seems to be flat on a Q-on-Q basis. So how does the margin expansion of 200 bps come through then?

Sudhir Singh: Thanks, Shraddha, for both the questions. Saurabh, would you like to take both questions, color around the three large deals and the hedge loss question?

Saurabh Goel: Yes. So, three large deals came in. One was from the BFS space, which was a new account. And this was an account which we were kind of going after for the last six months. So it's within the BPS space, so within banking. So that is one. It's a new logo, 100% new revenue.

Then the other two large deals came in. One from the travel vertical within the EMEA space and one was a renewal.

Sudhir Singh: Yes, and as Saurabh said, out of the two travel deals, one was with one of the leading Middle Eastern airlines and the other one was with another, possibly the leading European airline. So that's where the two travel deals came from. And as Saurabh said again, Shraddha, what was interesting about the BFS win was that we've opened a new client in BFS last quarter, despite everything that's talked about around the uncertain macros, with a large deal. So it's not an incremental scoop.

Saurabh, would you like to address your again, the hedge loss question as well?

Saurabh Goel: So hedge losses in the current quarter were flat as compared to the previous quarter. Next quarter going forward, these hedge losses will convert to hedge gains. So we will, assuming the currency remains at the current levels, we at least assume there will be a 50 bps flip on the margins just because of

hedge losses getting converted to hedge gains. So that's where we are today. So currently we are at almost INR10 crores of hedge losses in quarter 2, which at current levels will get converted, if I just do mark-to-market, close to INR3-odd crores of hedge gains. So there will be a fillip of INR13-odd crores going forward as we move to Q3 and probably even more in Q4.

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Shraddha Agarwal: Got it, Saurabh. Yes, got it. And the last bit from you, Sudhir, on the, so I mean, some of our larger peers have been indicating stress in their existing work of business because of discretionary projects being on hold by certain accounts. So do we see a similar situation for our discretionary book or how do we see our existing work of business altogether?

Sudhir Singh: Shraddha, I believe they are right. The macros are stressed. But we have also always maintained that for robust growth to happen as a firm and as a team, we should not just be signing large deals. That is vitally important, but we should be focusing equally strongly on retaining the existing book

of business. Otherwise, the good fancy stuff gets done, large deals are announced, and when you look back subsequent quarters, you don't find revenue going up. And that's largely because the quiet drip that keeps happening around delivery because of client dissatisfaction or a lack of client delight, more than negates whatever good comes from signing large deals. So what has worked for us is the fact that our repeat business for a firm our size is possibly one of the highest at 93%. Just summarizing the answer, yes, everyone's right when they talk about the macros being stress. But are we able to retain our business? I think the answer is yes. And that answer is also borne by the fact that not only have we been calling out over the last four quarters large deals, but we've been backing that up with actual revenue growth and material growth subsequently.

Shraddha Agarwal: Thank you, Sudhir, and all the best.

Sudhir Singh: Thank you.

Moderator: Thank you. Our next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Yes, thanks for the opportunity. A couple of questions. You know, one, a couple of levers that you've talked about in terms of margins over the medium term. One was the initiatives around reduction in ARC (Average Resource Cost). And second is increasing the offshore mix towards closer to 55% versus 52% where we are today. So just wanted to understand on both these metrics how much -- so of course offshore mix we can see, but on the ARC, how much we have progressed and by when do we expect how much expansion coming through that?

And on the offshore side, any timelines in terms of by when do you expect to reach that 55% -plus number?

Sudhir Singh: Rishi, I'll give it a good shot and then I'll request Ajay also to chime in if he has other comments.

55% offshore is what we're heading towards, but I don't believe it's going to be a very rapid, upward line towards 55%. So it's a little difficult to call out how many quarters this will take, though we do think that's where we are likely to track to and get to.

As far as ARC is concerned, we are not happy with the progress that we have made on ARC.

Second half is when we expect to be very aggressive around ARC reductions. I called this out earlier also. We were possibly one of the few, if not the only tech services firm that on the 1st of April gave 100% of the increments. We gave very high variable payouts as well. So when I look at ARC, are we at the midpoint of the year on ARC where we wanted to be at the beginning of the year?

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The answer is no. But are we equally committed that we will deliver on the ARC promise before the end of the year? The answer

again is a very strong yes. So long story short, we are not happy with the cost out that has happened so far. We are now going to be heads down, working on making sure that the ARC drops more significantly in the second half going forward.

Ajay, would you like to add to that?

Ajay Kalra: Sure, Sudhir. As you mentioned, Sudhir, we are working on the ARC and we are focused to drive it down, though it has not happened till now, however, there are actions that we are taking and we believe that by the end of the year, we will be at the targets that we had set out ourselves for and that's another key word that we have for the margin improvements for the second half.

Rishi Jhunjhunwala: Understood. And second question is just on your other vertical outside of BFS and transportation. So I guess you had in the past talked about splitting it up sometime in the near future, but just among the two or three key verticals within that, can you give some color in terms of how the momentum is building there?

Sudhir Singh: Yes. Retail, Rishi, seems to be doing well. Much smaller base but material growth that we've seen.

Public sector has already scaled up. It's almost about 7% to 8%, roughly about 7% of our aggregate revenues and that business continues to be robust. We do expect it to go up.

You're absolutely right about the fact that we have committed to carving out a new vertical and calling out those numbers. We will start doing that starting next year because end of the year might be a logical time to start making changes to the reporting structure.

Rishi Jhunjhunwala: All right, thank you. All the best.

Sudhir Singh: Thank you.

Moderator: Thank you. Our next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani: Hi. So despite the furloughs in Q3, you expect a margin expansion of 100 basis points. So I understand that partially it's due to the hedge gains expected, but what are the other levers?

Sudhir Singh: So let me just be very clear. In Q3, we expect revenue growth to be tepid because all of us, all four of us out here are not standing and talking about the fact that we will not see significant furloughs.

We will, like any other organization. Revenue growth will be tepid, margin expansion will be significant, which is a point that Saurabh made, 100 bps, possibly higher, around 100 bps at least.

One driver, as you rightly said, because of the hedge gain, the reversal on the hedge front that we talked about. Second driver, what we just talked about, the ARC initiative that Ajay and I were talking about. We expect that going forward to be also a significant event. Did I miss anything?

Ajay, Saurabh.

Saurabh Goel: Yes, so I think we also every year either towards the end of September or beginning of October do a client event. So that will again add almost 40 -odd bps into the margins next quarter. So I think as we move from Q2 to Q3, one is hedge losses converted to hedge gains. Second is the impact of Q2 FY'24 earnings call

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a client event which happened in Q2, which was an annual event, which will again give the margins for next quarter.

Third thing is ARC initiative has seen slow movement but whatever actions have been taken, some benefit of that will start flowing in from Q3 onwards. So that benefit will start coming in. So I think those benefits will offset the impact of the furloughs and hence we will see at least 100 bps - plus margin improvement. So that's how we're looking at it.

Sudhir Singh: Right, and Saurabh, just to build on what your namesake Saurabh talked about, what we normally did was our annual client event used to happen in quarter 3 of a year. As Saurabh said, we did that in quarter 2 and that for a firm of our size, that is a material spend. We would like to invite some of you to attend it in the future. We like to think we throw a v

ery good event. Because that event

happened in Q2 and the costs have been fully booked by Ajay, Saurabh and their teams, that is not going to be a cost impact in Q3 and hence the 40 bps of upside that he was talking about.

Saurabh Sadhwani: Okay, okay. Thank you, thank you.

Sudhir Singh: Thanks, Saurabh.

Moderator: Thank you. Our next question is from the line of Abhishek Kumar from JM Financial. Please go ahead, sir.

Abhishek Kumar: Yes, hi. Thanks, good morning. Sudhir, my question is on the events, BFS, from what I hear, what we hear from most of the players is that most of the deals out in the market are kind of vendor consolidation, cost takeout deals. At the same time, we continue to win new logos in the BFS space. So I just want to understand who are we winning against? Are we kind of consolidating local subcontractors or are we winning against some of the larger peers in this space?

Sudhir Singh: Abhishek, in the real world, other than analyst reports, mid-tiers don't compete with mid-tiers. So firms of our size, if I look at 19 out of our top 20 clients, our biggest competitor there is a scale IT player. Could be anyone from Accenture to Deloitte to the TCSs of the world. These wins are coming against those players. They always have, and I suspect they always will.

Very rarely, if at all, do you have a mid-tier competing with a mid-tier at scale in an enterprise IT companies. So that's the ground reality. John, would you like to add to that, beyond the smile?

John Speight: Not too much, but Yes, I mean, we are winning against the Tier 1s significantly. And I think, it's down to the fact that we're able to execute so well. We've got a recent case in Australia where we won against a Tier 1 and took part of the business and because the ability to actually execute so well we're actually taking more and more business. That's just a classic example of what we're achieving.

Abhishek Kumar: Okay. Second question is maybe on the smaller deals. You know, a significant part of our deal wins still constitute of smaller deals. Just wanted some color on the kind of deals which we are winning here, these are largely renewal or we are also getting a net new deal? And any change in the type of deals here and the pipeline that we have in the smaller deals too.

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Sudhir Singh: So Abhishek, to the point that John made earlier, the smaller deals are one on the back of execution. No client as much as a vendor that is delivering well ever to leave. That's an axiom in our industry. That's where most of the growth comes from. The headlines come from large deals, the growth comes from delivery. While we're signing large and small deals, it would be very unfair to start characterizing them into three or four buckets. These deals are contextual - depending on the client, depending on where they are on their tech journey, depending on where they are on the budget spends. They are of all kinds. I know, it's fashionable these days to try to bucket them into cost consolidation or something else. They include cost consolidation deals. They include a lot of productization deals, they still include innovation deals. As to your question around NN, as I said, one of the three large deals that we signed during the quarter was signing a new client with a \$20 million plus contract. John, would you like to add more color to that?

John Speight: Not too much, Sudhir. I keep coming back, and you mentioned the execution and quality. And

what we're finding is a lot of the CxOs that we're dealing with are actually turning around and saying, you're different because of the quality of your execution. And what is helping us is, as we're seeing in the public sector at the moment, so in the UK, is where those CxOs, they tend to move around every few years into other parts of the public sector. And they're actually reaching out to

us as soon as they get into those new organizations to say, how can we get you into our organization? And that's helping us develop. But it's all on the back of execution.

Abhishek Kumar: Great, that's helpful. One maybe last clarification. Sudhir mentioned, you expect Q3 to be stepped, then in that case, that will really increase the ask rate for Q4 significantly. So in that context, I just wanted to understand, are we seeing that kind of pickup as we stand today? Or maybe in other words, are you still confident of achieving, even the upper half of the guided band?

Sudhir Singh: Difficult to say, Abhishek. What we are absolutely crystal clear on is that the guidance that we gave at the beginning of the year - which was very aggressive guidance - 13% to 16% growth, is the guidance we will deliver on. Q3 is going to be soft. It will be soft for the industry. Furloughs this year have been very aggressive. We believe, and we've always said this, that we have a very strong fix given the execution that John talked about on two quarters here on.

We at least internally know the broad number we will land at in Q3. Anyway, almost one month out of three is gone. Even on Q4 we have a clear fix. Q4 should see a material upside compared to Q3. Tepid of course is a qualitative term, so our intent is to make sure that Q3 is not terribly tepid.

Abhishek Kumar: Sure. That's helpful. Thanks and all the best.

Sudhir Singh: Thank you.

Moderator: Thank you. Our next question is from the line of Rahul Jain from Dolat Capital. Please go ahead, sir.

Rahul Jain: Yes. Hi, thanks for the opportunity. Just one question that since of course you mentioned some of the things that will benefit the profitability near term and for this year but as a measure to protect margin or do cost optimization, is there an active program given that there is a potential risk of Q2 FY'24 earnings call
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growth slowdown at some point, or you are saying that, since the momentum for you is continuing, you are looking more on the cost optimization, but more on the growth side of the business?

Sudhir Singh: Well, we always look at cost optimization, but we do not do cost optimization on the back of cost cuts that impact our employees. We believe that is counterproductive and those kind of optimizations are attempted by firms that are not confident of growth. We are crystal clear, we are a growth firm. We will deliver growth, not just in FY '24, where the guidance is 13% to 16%, but in FY '25, '26, '27 and there on. So, are we focused on cost optimization? The answer is a definite yes. But please also remember, we possibly are the only IT services firm that on the 1st of April this year gave 100% increments, gave exceptionally high variable payouts compared to the previous year. Cost optimization, will we do it? The answer is, yes. Will we do it at the expense of things that in the long term will hit the growth trajectory of the firm? The answer is no.

Rahul Jain: Sure, that's very encouraging, thanks.

Sudhir Singh: Thank you, Rahul.

Moderator: Thank you. Our next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question. I'm sorry, I joined the call late, so I don't know. I hope the question has been answered. So, Sudhir, my just one question is on the margin guidance. I think for long we have kind of guided margins on the adjusted basis. But at the end of the day, the ESOP cost that we give, the ESOP cost that we adjust the margins for is a part of the business and it's part of the compensation that we get to do.

So any roadmap or any outlook as to when we could actually look at providing a margin guidance on a reported basis. Because the gap between the two, is quite big, even for this quarter, for multiple quarters. And eventually that cost just translates down to the

profit numbers and eventually the

profitability of the company. So any color on as to, when we could probably move to more of a reported basis margin guidance, which could help get better understanding than the report of the company?

Sudhir Singh: That's a fair question, Vibhor. Ajay had pointed out earlier in the call that this year there has been a spike in quarter 2. We expect the cost to normalize quarter 3 onwards. And next year, as Ajay had said, we expect the ESOP cost to come down. Ajay, correct me if I'm wrong, by about 30 bps, 40 bps, from wherever we're likely to land up in fiscal year '24. We've taken note of your suggestion and we will work on that and then revert to you in the future around giving reported EBITDA guidance as well.

Vibhor Singh: That's very interesting. Thanks a lot. Thanks, Sudhir. That's it from my side. I think most of the questions have already been answered. I wish you all the best.

Sudhir Singh: Thank you, Vibhor. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Ashish Das from Mirae Asset Capital Market. Please go ahead.

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Ashish Das: Hi, good morning and thanks for the opportunity. So, Sudhir, I just want to understand. Usually we say that Q2 used to be a strong quarter in terms of revenue growth for a year. Now, this quarter we have the growth is moderated compared to Q1 and so just wanted to understand your view, why this it happened this time that Q2 growth is not so strong?

Sudhir Singh: Well, Q2 growth of 2.3% has still meant that at the end of the first half, we're growing 16.2% over the first half last year in CC terms, Ashish. That 2.3% growth follows 2.7%, 3.7% and 4.7% growth. So if you look at the last four quarters, sequential growth has been between 2.3% to 4.7%. If you were to ask me, why is there been a slight deceleration, the answer is the same that we heard on the call repeatedly. The macros are tough and that's why we are at the number that we are at right now.

At the same time, it's important to reiterate what we said at the beginning of the year. We will deliver on it. That guidance we have maintained and we will continue to maintain. Even at the end of Q3, you will not hear from me, Ajay, John, Saurabh something different. We will deliver on the guidance given at the beginning of the year, which was an aggressive guidance. That's how I would respond to that question.

Ashish Das: Okay. And my second question is, I can see that top accounts, I'd say top five, top 10, got declined quarter-on-quarter. Is there anything to read there?

Sudhir Singh: No, Ashish, I won't read much there because last quarter the top five accounts, if I remember right, went up 12.5% sequentially. Saurabh keep me honest on this, but was it about 12.5%?. That was a massive spike. The growth has normalized. Top account relationships are solid. Growth on a secular long-term basis will continue to be solid.

Ashish Das: Okay, good. Thank you.

Sudhir Singh: Thank you.

Moderator: Thank you. Our next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, sir. Just a clarification. Sir, you mentioned and quantified about the hedge gains in the Q3 and Q4. Sorry, I missed it. If you can repeat the same it would be helpful?

Saurabh Goel: Okay, so I mentioned that in current quarter, we had a hedge loss of INR10.5 crores which if the currency stays at the current levels, don't move much, we should be seeing a hedge gain of INR3 crores in the next quarter and it will only expand in Q4. So that's what I said.

Sandeep Shah: Okay, perfect. So that may drive 50 bps - 60 bps kind of a Q1 -Q2 tailwind...

Saurabh Goel: Easily.

Sandeep Shah: Okay. Perfect.

Saurabh Goel: 50 odd bps, assuming the currency stays at the current levels, it should be a 50 bps same.

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Sandeep Shah: Okay, so Sudhir in that scenario, that plus no client event, which will have a tailwind of 30 bps, 40 bps, margin up move could be higher than 100 bps in the Q3 itself, right?

Sudhir Singh: Well, I hope you're right. That's the intent. It's a valid question, Sandeep. That's going to be our intent. A lot of it will also play into currency movements as well. Hence, we've said broadly about 100 bps. We will attempt to try to make it beyond 100 bps sequentially.

Saurabh Goel: And Sandeep, what will happen is we all know there'll be furloughs in the next quarter. So benefit of this, a part might get set off against the furlough impact but three levers, one the loss is getting converted to hedge gains, second is the client event and bit of actions that were taken in Q2 around ARC, some benefit will start flowing in that will get set off against the furlough impact that's coming in, but net-net, we're still looking at 100 bps at least, and then looking at beyond that. So that's how I will table the overall basis quarter for.

Sudhir Singh: Thanks, Ajay, you were trying to say something. Would you like to add to that?

Ajay Kalra: Hello, Sandeep, I was just trying to mention the point about the furloughs, because that's going to offset the gains that we are going to have so, And...

Sandeep Shah: Ajay sir, is it correct to assume ESOP cost may decline by 30 bps - 40 bps by FY '25?

Ajay Kalra: Yes, they will decline if no further ESOPs are given on the current level, they will decline at around

30 odd bps next year.

Sudhir Singh: There is a high probability, as Ajay just said, Sandeep, that it will decline by about 30 bps.

Sandeep Shah: Okay, thanks. Thanks a lot and all the best.

Sudhir Singh: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session. I now hand the conference over to Mr. Sudhir Singh, CEO, Coforge Limited, for closing comments.

Sudhir Singh: Ladies and gentlemen, thank you very much for your time. I realize it's early morning in India and late evening in the States. Thank you very much for your time, for your interest, for the commentary and for the insights that you leave us with. I just wanted to point out that over the last few quarters, we have also started doing this investor call over video. We are not much to look at (laughs!) but if you do want to join the video link going forward, we would really appreciate seeing you as we answer your questions. We will make sure that the video transcript is also uploaded immediately after this conversation on our website. Thank you once again and we look forward to seeing you next quarter.

Moderator: Thank you. On behalf of Coforge Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: - This transcript has been edited for readability purpose .

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Call: Jan 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

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"Coforge Limited Q1 FY2025
Earnings Conference Call "
July 23 , 2024

Management: Mr. Sudhir Singh – Chief Executive Officer
Mr. John Speight – Chief Customer Success Officer
Mr. Saurabh Goel – Chief Financial Officer
Mr. Vikas Jadhav – VP, Investor Relations

Q1 FY'25 earnings call
July 23, 2024.

2 Moderator: Ladies and gentlemen, good day and welcome to the Coforge Limited Q1 FY2025 earnings conference call. Please note, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Please note, this conference is being recorded. I now hand the conference over to Mr. Vikas Jadhav, Vice President, Investor Relations at Coforge Limited. Thank you and over to you, sir.

Vikas Jadhav: Thanks, Inba. Good morning to everyone, you would have received our Q1 FY2025 result. The result is also available on the investor section of our website, so we have with us today our CEO – Mr. Sudhir Singh; our Chief Customer Success Officer – Mr. John Speight, and our CFO – Mr. Saurabh Goel. We will begin the call with opening remarks from the management team and post that, we will open the floor for questions. Before we begin, please note that some of the statements made in today's discussions relating to the future should be construed as forward-looking statements and may involve risk and uncertainties. Please refer to the disclaimer to this effect in our Q1 FY2025 earnings press release. With that, I would like to hand over the call to our CEO – Mr. Sudhir Singh. Over to you, Sudhir.

Sudhir Singh: Thank you Vikas and a very good morning and good evening to all of you across the world, ladies, gentlemen. Thank you for joining us. Thank you for joining us today as we share our Q1 fiscal year 2025 performance and the business outlook.

Q1 has been a very eventful quarter for the firm. I am pleased to report that we have begun the fiscal year on a positive note, setting in place a very firm foundation for robust growth in the remaining quarters of the year. A 3.7% sequential CC growth excluding India with a concurrent expansion in EBITDA by 210 bps Y-o-Y in the same quarter, a record headcount quarterly increases of 1,886, a very significantly improved operating cash flow of \$23.2 million for Q1 and a never strengthening order executable, next 12 month booked orders, which now is 19.3% higher Y-o-Y gives us confidence that the quarters to come shall see robust and profitable growth.

Regarding the acquisition of Cigniti Technologies, I am very pleased to report that we have already secured a 28% stake and we shall secure 51 to 54%

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3 ownership of Cigniti during Q2 itself. On the 5th of July, we have assumed Board and thereby operational control of Cigniti Technologies. Q2 results of Cigniti shall be delivered under the watch of the reconstituted team that is now running that business as we speak. Cigniti incidentally announced their Q1 results yesterday where they declared a 2.4% sequential US dollar growth, a 16.7% sequential increase in their EBITDA and a 10% sequential increase in their PAT. We expect that the Cigniti business shall show even greater momentum going forward and we believe that a reflection of that performance will be their likely performance in Q2 where not only revenue, but also margin expansion is expected to be very significant. With a cash of \$50 million in the balance sheet, the Cigniti business is healthy and poised for significant growth in the quarters and years to come.

On a different note, we are now increasingly partnering with our clients to

implement real -life AI programs, going beyond just proofs -of-concept. For example, for an investment management firm, we are leveraging GenAI to automate generation of hedge fund reporting, reducing the time required from weeks to hours. During the quarter we also made available on the Microsoft Marketplace our Copilot Offering to optimize the insurance underwriting processes.

Finally, before I get into granular details, I would like to call out that starting this quarter we have started reporting Gove

rnment (ex. India) as a new vertical and have also started including OCF in the fact sheet.

With that preamble, I shall now talk you through the quarterly performance and our assessment of the outlook.

QUARTERLY PERFORMANCE – REVENUE ANALYSIS

Starting off with the revenue analysis, I am pleased to report that during Q1 fiscal year 2025, the firm registered a sequential revenue growth of 1.6% in CC terms, 1.6% in US dollar terms, and 1.8% in Indian rupee terms respectively.

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4 It is important to note that Co forge's global revenues from all markets outside India grew 3.7% in CC terms during the quarter. India , in Q1 declined 30% Q -o-Q and contributed only 3.8% to our overall global revenue.

During the quarter in reported terms, our banking financial services vertical grew 10.4% Y -o-Y and contributed 31.8% to the revenue mix. The insurance vertical registered a 2.5% Y -o-Y growth, contributed 21.4% to the revenue mix. The travel vertical grew 5.4% Y-o-Y and contributed 18.1% to the total revenue. The fourth vertical, the new vertical, government excluding India, grew 10.5% Y-o-Y and contributed 7.8% to the revenue mix. Other emerging verticals portfolios saw a growth of 12.4% Y-o-Y in Q1, and they contributed 21% to the total revenue mix.

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS

With that, I shall now move on to the margins and operating profits discussion. During the quarter, we delivered an EBITDA of 49.6 million USD, registering a year-on-year growth of 22.2%. This reflects an EBITDA margin of 17% for this quarter versus 14.9% in the same quarter last year. This is a sizable increase; you will note of 210 b ps Y-o-Y at the reported EBITDA level. Our PAT , adjusted for Cigniti related transaction expenses , has increased by 26.9% Cigniti in US dollar terms and that reflects a 148-bps improvement i n PAT on a Y-o-Y basis.

ORDER INTAKE

Moving on to the order intake for the quarter. I am very pleased to report an order intake of \$314 million during this quarter under review. This is the tenth consecutive quarter where the firm has reported an order intake of more than \$300 million. We have signed two large deals in this quarter. Our executable order book, which reflects the total value of locked orders over the next 12 months, stands at US\$ 1,070 and is up 19.3% YoY. We also signed 10 new logos during the quarter.

PEOPLE

On the people front and I believe this is important, at the end of the quarter, our head count stood at 26,612 and we saw a net headcount addition of 1,886 people

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5 in this quarter itself. Utilization including trainees during the quarter stood at 81.6% compared to 81.7% in Q4. As I have noted earlier, the net headcount addition in Q1 for Coforge is more than the net headcount addition over the previous four quarters in fiscal year 2024.

Last Last Twelve -Month (LTM) attrition during the quarter stood at 11.4%. I

shall now request John Speight, Customer Success Officer Coforge, to walk us through capability and Delivery highlights

DELIVERY OPERATIONS & CAPABILITY BUILD

John Speight : Thank you, Sudhir.

I shall now touch upon the highlights of the quarter related to our delivery operations.

In the Banking & Financial Services sector, we have emerged as a strategic partner for a leading investment solutions provider with a five -year vendor consolidation deal. We also signed an enterprise network deal with a global wholesale banking firm, and closed a three -year operations deal for a US regional bank to provide voice & back -office support out of Augusta & India.

The Insurance Sector has seen increased activity this quarter, securing a \$20 plus million project to transform the core platform of a major insurance company. We also signed a multi -year managed

service agreement with a leading mutual insurance company, along with a further deal with a prominent specialty insurance provider; strengthening our expertise in supporting insurance growth.

In the Travel sector, we secured a key deal with a major US based freight transportation company, implementing our PRISM engine to automate their freight rating processes.

Meanwhile, in the Retail sector, we have been awarded a strategic 3 -year managed deal to drive operational efficiency and customer experience for a retail giant. We also finalized a major, multi -year deal to streamline the supply chain systems for a major food distribution organization.

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6 Our Government Business excluding India continues to grow; one of the recent wins was a 3 year managed program to design, implement and support a mission critical system for a UK regulator.

Our AI capabilities continue to grow at speed, with new solutions being released to the market on a regular basis. The latest example, available on the Microsoft Marketplace was our Copilot Offering to optimize the insurance underwriting processes.

We created and deployed RASA (Rapid Audio Speech Analysis), a system that uses Gen AI to analyse agent interactions, with both voice and chat for feedback, that identifies areas needing improvement, providing insights on possible issues based on customer sentiment.

We have continued to develop QE 360, our platform that enables test Lifecycle automation through AI to disrupt the testing landscape. Features include AI -based test -case generation, LCNC automation creation, AI -based test data management generation, automation self -healing and AI -based visual testing.

We have developed and deployed AI Ticket Manager, our service desk solution that uses GenAI to eliminate L1 activities & significantly reduces L2 tasks by analysing and categorising and creates self -help to end -users.

To support our AI agenda, we have added 50 AI specialists to our team this quarter, we have also accelerated the upskilling of our 25,000+ employees through our "AI Spark" training program.

We have also cemented a partnership with Kofax to train a large team, creating an Enterprise Content Management Center of Excellence for a large US based technology services customer, setting the stage for future collaborations and a joint Go -To-Market strategy.

We received notable industry recognitions this quarter, including the Intelligent Automation Award by Pega, the Worldwide Emerging Industry Partner of the

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7 Year award by ServiceNow, and European Partner of The Year Award by MuleSoft; the latter, for the tenth consecutive time.

We have been recognized in the 2024 UK IT Sourcing Study by Whitelane Research as an Exceptional Performer in Application Services, Digital Transformation, and Cloud & Infrastructure Services

And finally, for the fourth consecutive year, Coforge was certified as a Great Place to Work.

With that, I will pass over to our CFO, Saurabh Goel.

FINANCIAL OVERVIEW

Saurabh Goel: Thank you John.

Let me take you through some of the financial highlights for the quarter. As you are aware, in the past our cash flow generation has been skewed towards H2 with the majority of cash being generated in H2.

We guided towards normalizing the OCF through the year with multiple steps taken towards strengthening the balance sheet. Our Q1 FY 2025 saw a good cash flow generation of \$23.2 million versus negative \$20.5 million in Q1 FY 2024 accordingly the OCF to EBITDA ratio stood at ~47% in Q1 FY2025 .

In Q1, we also repaid the non -convertible bonds of \$41 million, which were bearing a high interest cost. This will help in reducing the interest burden from Q2 onwards. We also believe that by end of this fiscal we should be in a position of being a net

cash company.

We had also guided for improvement in adjusted EBITDA margins for FY2 205 by 50 bps and flat reported EBITDA margins in the beginning of the financial year. At the end of Q1, we are up 189 bps from adjusted EBITDA margin standpoint and 210 bps up in reported EBITDA margin standpoint.

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8 We have also started reporting the OCF in fact sheet from this quarter results apart from the government vertical excluding India as mentioned by Sudhir.

On the non -operating side of cash, you would have noticed a significant increase in cash and cash equivalents by \$266 million quarter on quarter. This is primarily on account of the QIP proceeds.

We have been broadly as per plan towards the closure of Cigniti's acquisition . With 28% stake and the Board control of Cigniti on July 5, 2024 , we now await SEBI's approval for the open offer. We expect to close the open offer in Q2, post which we would initiate the merger process, post approval from the board of both the companies, and this would take about 9 to 12 months from the initiation of merger. The effective date of merger is being contemplated as April 1st 2025.

Coming to Cigniti's numbers, Cigniti reported Q1FY25 revenues of \$56.2 million, which was up 2.4 % sequentially in dollar terms. Q1 adjusted margin was at 12.6 % versus 11 % reported in Q4 FY 2024, an expansion of 160 bps quarter on quarter. Adjusted EBITDA had one -time expense which included provision on account of receivable towards government incentive of Rs. 3,00 .4 million. TDS on ESOPs for prior years amounting to Rs. 55 million and long -term service bonus to few employees of Rs. 35 million. PAT adjusted for one -time transactional expenses stood at \$4.9 million versus \$4.4 million in Q4. Cash and cash equivalents for the quarter stood at \$51.7 million dollars. Coforge will consolidate financials of Cigniti from Q2 onwards.

With that, I will hand over the call back to Sudhir for his comments on outlook.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thank you, Saurabh.

A 3.7% sequential cc growth ex. India with a concurrent expansion in EBITDA by 210 bps YoY in the same quarter, a record headcount quarterly headcount of 1886, a very significantly improved operating cashflow of \$23.2 Mn and an even strengthening order executable which now is 19.3% higher YoY gives us confidence that the quarters to come shall see robust and profitable growth.

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On the margin front we believe that by the end of the first half of the year we shall be operating at a 50 bps higher margin than the First half of last year and that shall set up firmly on the path to meeting our guidance of a 50 bps adjusted EBITDA expansion in this fiscal over last year. With the Cigniti business leadership now operating under our operational control and with all due diligence behind us we remain committed to delivering robust growth across both organizations both in the short and long term.

With that, I conclude my prepared remarks, and I look forward to hearing your comments and addressing your questions.

Moderator : Thank you very much Sir. Ladies and gentlemen, we will now begin the question -and-answer session.

The first question is from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: Thanks a lot, and congrats to the team for a good quarter. A couple of questions. One is that was there a wage revision in the current quarter and if not then what would the profitability performance have been on a Y -o-Y comparison if the wage was effective from 1st of April?

Sudhir Singh: Thank you for the question, Kawaljeet . Wage increase in our case has happened effective the 1st of July. If it had happened effective 1st of April, we believe margins would have been depressed by 130 to 150 bps. Broad assumption would be 140 bps.

Kawaljeet Saluja: Okay got that. The second thing Sudhir is that while of course, the overall confidence on growth is encouraging, right . I was surprised to see a weakness in the financial services verticals and a segment of the market which has shown some level of buoyancy, what would you attribute that to? Let me just complete the final question . The final question that you have spoken a lot about growth excluding the India government business is not that annual seasonal factor wherein the fourth quarter, the government business picks up and there is a

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10 decline in 1Q. So, should you basically really look at performance excluding the India government business from a 1Q standpoint ? Yes, those are my questions. Thanks.

Sudhir Singh: Sure. Let me take both the questions in order Kawaljeet . BFS, we believe it is a temporary blip, and it is a normalization that has happened because last quarter, our BFS business had grown sequentially 6.4 %. It is still Y -o-Y 10.4 % higher. We continue to believe that the BFS business for us is going to continue to drive robust growth, and as we have indicated in the past, we would be disappointed if it does not register at least double -digit growth in this fiscal as well. So that is how I would characterize it. A temporary normalization for a business that has really been on steroids for the last two years from our point of view. Second, as far as growth is concerned , for us , Kawaljeet , we do not really see India seeing a spike. India has always been at only about 4% of our revenues globally. The last two quarters were an aberration where it went all the way up to 5.3%. This quarter, it has come down to 3.8%. So, we do not see the seasonality in India on an ongoing basis. Last year was a bit of an aberration. Where we are right now,

3.8, we would expect India to continue to operate at 4 to 4.5% only going forward as well.

Kawaljeet Saluja: Okay just final question, Sudhir thanks a lot for that. When you think about where you were three months back versus where you are sitting today, do you see a marked difference in your growth outlook? And if yes, can you just walk us through what has changed in the last three months for that higher confidence in growth?

Sudhir Singh: Sure. The first thing Kawaljeet is that on the margins, we see the demand outlook across financial services even though it does not reflect in this quarter performance as having materially improved. We see the outlook for the travel aviation sector as continuing to be extremely strong right now. And we are seeing a rebound in our insurance business. When you look at our numbers, you will find that all the four verticals seem to be delivering good broad-based growth on a go-forward basis. The second thing that gives us confidence is the fact that our next 12-month order book is increasing. It is now \$1,070 million as I called out.

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11 More importantly, it is 19.3 % higher than where that number was at the same time last year. And, Y-o-Y numbers have for the last two quarters been increasing in line with the slightly improved macros that at least we see around the edges. The third thing, and I think this is the best reflection of where our confidence stems from, is the headcount addition. Out of the 1,886 net headcount increases only 250 are graduate engineer trainees from colleges. The rest are folks who have been brought on board. We will see upsides on the revenue front in the quarters to come because of the very strong headcount addition that I talked about.

Kawaljeet Saluja: Fantastic, all the best.

Moderator: Thank you. We will take our next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : Thank you for the opportunity and con

gratulations for the strong performance.

Just wanted to get your sense with regards to the headcount addition that we have seen in the current quarter, while the headcount addition is very impressive, the increase in manpower cost is much lower. So, was this headcount addition skewed towards the later part of the quarter that is question number one? And if you could also talk about the significant step up in on-site hiring and the increase in on-site mix that we have seen in the current quarter. And the third question, once again, related to the wage hikes, if you could help us understand what drove our decision to essentially defer wage hikes by a quarter and how we are thinking about our plans to essentially manage our average resource cost which was suggested to be a significant margin lever over the foreseeable future.

Sudhir Singh: Thank you for the questions Manik. Headcount addition was 1886, 250 of those are graduate engineer trainees who will take between 4 to 8 months to become available. 45% of the 1,886 were BPO resources where the revenue productivity ends up being lower than where it is. And yes, the last piece around that is, most of the headcount addition was towards the second half of the quarter. Even in cases where they have been assigned to projects, where as all of us know, a normal on-boarding and a transition lag to billing that is in place.

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So that is how the 1886 headcount addition played out. Re the other question on wage hikes, we have been extremely fair with our employees over the years. Last year we were possibly the only firm that did do a wage hike on the 1st of April and did a very material wage hike, which was reflected in the margin impact in Q1 last year. This year, the call that we have taken around wage hike was in line with what we have seen across the industry and in line with the fact that our ARC (Average Resource Cost) over the last two and a half years has gone up almost

40% and needed a correction. That was the business call that led to that decision. Did I answer both your questions Manik, or did I miss any one of them?

Manik Taneja : So, these are just to essentially get sense on how should we be thinking about this ARC cost on a go-forward basis given the onsite step-up in terms of hiring and the relatively subdued pressure on intake in the quarter?

Sudhir Singh: Yes, the onsite increase has been a marginal increase, Manik. So, I do not expect that to adversely affect ARC in any manner. The program that we have in place to put a strong check on ARC is firmly in place and will continue to deliver. We will also announce in the rest of this week, the name of the leader who has come in and is running global delivery for us. And the principal mandate, not the principal, but the most immediate mandate I have handed over to him as a global delivery head is to make sure that he works with Saurabh and his team to continue to keep a very sharp eye out on ARC. To make sure that at a minimum we deliver on our margin commitment and hopefully do slightly better than that by the time this fiscal year ends.

Manik Taneja : And the last one before I get back into the queue, if you could talk about the weakness that we have seen in terms of revenue growth within our top customers this quarter because it appears that the growth is supported outside of top 10 customers this quarter.

Sudhir Singh: Yes actually, Manik the weakness was only in the top five. Top six to 10 have done very well. Our top five have a preponderant number of banking clients. As I said earlier in response to Kawaljeet's question, banking has seen normalization

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13 after I believe about 12 or 13 quarters of extremely significant growth. Q 2, we would expect banking and these accounts from the banking sector to

bounce
back.

Manik Taneja : Thank you and wish you all the best.

Moderator: Thank you. We will take the next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question and congrats Sudhir and Saurabh for a solid quarter. So, Sudhir two questions from my side. I mean, last year we did phenomenally well in terms of the overall revenue growth rate. Despite the fact, I think we face challenges in the top clients in almost all our verticals, be it travel, banking, insurance. What is the outlook on the top clients in those specific verticals for this year? You did mention that of course, this quarter the banking sector saw some bit of a normalization, but how is the pickup in those specific lines in the insurance, the top two travel accounts and of course banking as well, do we expect them to have bottomed out and pick up the growth momentum and hence the growth to be driven in the next few quarters by the top five and the top ten accounts or do you think it is going to take some time to basically pick up momentum given where they are at this point of time? And then I have a second question.

Sudhir Singh: Vibhor we expect the momentum to be back starting Q2 itself. It might pick up further in the subsequent quarters, but Q2 should see this metric getting corrected. The intent always is to make sure that growth comes from the top five, top 10, and the subsequent accounts. So, we would expect with the normalization in this quarter around large banking clients getting corrected, these numbers to start falling back in the normal pattern from Q2 itself.

Vibhor Singhal: Got it, got it. Secondly if I can just pick up your brain on the travel vertical. Banking of course you have mentioned and I think a lot of the other players in the industry are also commenting on pick up in used BFS. But how is the travel segment looking like because I think after the initial, let us say, pick up in

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14 spending post -COVID, most of the travel clients had kind of held back their tech spends because they were getting organic growth any which ways because of the surge in travel across the world. Has that spend revived? Are we looking at some peak closures in near future? And how do you see it this vertical panning over out given it did not do exceptionally well last year? How do you see it doing this year.

Sudhir Singh: I see travel doing better than last year for us. We look at travel as a composite of three different sub-segments. The first one for us of course is airlines and for airlines when we look at IATA data also, they are still looking at a 10.7 % year-on-year increase in passenger demand for the whole aviation industry. And in this segment, we are clearly seeing a technology re-haul across airlines that is going on especially after the Southwest fiasco that had happened on December 2022. And we continue to see both big data and biometrics again, being areas where there is significant demand coming in. Interestingly, I do want to point out Vibhor that now we work with five out of the top 10 airlines in the world. So, this sector, to that extent that it has seen a 10.7% Y-o-Y increase in passenger demand as per IATA, the outlook is good and we feel good about it. The second sector that we operate in is hospitality and that is continuing to thrive with the increase in demand that we have seen leading to implementation of solutions that are supporting frictionless stays and there is a lot of AI driven personalization also we have seen. The third sub-segment is logistics and in that sub-segment we anticipate no growth in 2024. The focus there remains on supply chain resilience more than anything else, and on cost containment through AI and automation. John, would you like to add something else to this?

John Speight: Not t

oo much Sudhir. I think you covered most things well there. I think in the hospitality side and air lines I think we will continue to see significant growth. And obviously, there is quite a lot of work we are seeing coming up on the legacy modernization and transformation. Obviously, a lot of it being driven by AI and the way it is being now used to fast track the migrations. But I do see that growth continuing, certainly in the markets I am working in.

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15 Vibhor Singhal: Sure, that was helpful. Sudhir if I could just dwell a bit further on this, sorry to pull it back it is a very interesting conversation that I think we are having on that front. I think a couple of industry experts have kind of hinted that in the specifically in the airline industry, the kind of passenger traffic growth that we are seeing, of course, that is leading to very good cash flows for the airlines, which should eventually turn out into high expense. But given the already level of automation, I mean, the contactless baggage check-in and all those things that the airlines have done, the scope, let us say or the intent of further let us say improvement in tech spends had basically temporarily if I may say come down for the airlines. Would you agree with that? Did we also see that to some extent last year and do you see that changing a lot or do you think it is not the case and the tech spend and the intent of higher tech spend s continues in the airlines.

John Speight: I was just going to say based on our findings so far, the spend is continuing. A lot of effort is going into lot of the operational back-end processes as well, as the front-end customer experience. Also, there is increasing amount of work going on the e-commerce, the loyalty schemes as well, surrounding the core airline businesses.

Sudhir Singh: You are right, John. And if I can also give you some anecdotal references there, we work with the two largest GDS's in the world. We also work with possibly one of the oldest PSS and border management services organizations in the world. I know John would have gone and met them, but I met the CTO of one of the GDS's and the CEO of the other firm that I talked about. And in both instances, this could be specific to these organizations, the outlook as they see it around their tech spend remains resilient.

Vibhor Singhal: Got it, got it. Thank you so much for taking my questions. If I can just squeeze

one question for Saurabh. Saurabh could you just help us elaborate what were the exceptional items for Cigniti in this quarter and what is the core margins for the business that we are looking going ahead on a quarterly basis.

Saurabh Goel: So Vibhor, in the current quarter, so there were three -line items wherein the exceptional expenses came in and one of that was already part of the contingent

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16 liability that they reported. So, it was a government incentive around S CIS and it was Rs. 300.4 million so that was one and then the other one was TDS on ESOP expenses pertaining to prior period of 2017 -2018 wherein there was some demand that came in the current quarter. Again, it was a known issue, but long pertaining issue and it has been settled which is Rs. 55 million and then in previous quarter in Q4 there was long service bonus that was given to employees. A couple of employees were left out, few of them and they have also been given that long service bonus in the current quarter and hence it is close to Rs. 35 million. Now, putting all of this together right now the adjusted EBITDA margin for the quarter was 12.6 %, the wage hike s for larger part of the delivery organization up to band 4 has already been given and we are looking at substantial margin expansion in quarters to come. I think between Q2 to Q4, we are looking at 16% plus EBITDA

margin going forward.

Vibhor Singhal: And you are not expecting any more exceptional items, I would say.

Saurabh Goel: We are not expecting any more exceptional items which will impact consolidation because there are certain settlements that must happen but that will be taken care as part of PPA already, so it will not impact. So, what I got has already been baked in PP A. Even this S CIS was part of my PPA, but because this came in and got settled in Q1 itself and hence we took a hit and it will get adjusted in PPA now.

Vibhor Singhal: Got it, got it. Thank you so much for taking my questions. I know I was short my time, but thank you so much for answering my questions and wish you all the best.

Moderator: Thank you. Our next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. I have two questions. First about the margin. Can you help us understand margin decline quarter on quarter , what factors led to margin decline because wage hike was not there and rest of the metrics seems to be stable . So, if you can help us understand what factor led to Q -o-Q weakness in

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17 margin. Second question is about insurance. I think you indicated about recovery in insurance and we are I think hearing for some time but if I look underlying growth momentum perspective it is not showing any material change. So, if you can give some comment even deal intake wise, we have seen some momentum in the prior quarters. So, if you can give what is working in insurance and what is yet not played out or so that gives some sense about how to expect trajectory of growth. Thank you.

Saurabh Goel: So Dipesh couple of things one we book the visa cost in Q1 of every financial year. So, every financial year you will see that we would have a margin dip of roughly 350 bps between Q4 and Q1. 220 to 250 would be on account of wage hikes and 100 bps would be on account of visa cost plus some renewals that will happen on Microsoft licenses, true ups and all of those. So, in the current quarter, we did not have wage hikes. In Q2, we expect wage hikes to be much lower than what they have been in the past, point number one. Number two, there was visa cost that came in the current quarter, plus there was increase in on -site headcount, increase in on -site ramp -up that had happened because of which the margins were lower. So, these were primarily two reasons. And we are at 17.9% adjusted EBITDA in the current quarter. By end of H1 as Sudhir also mentioned

in his remarks, we will be 50 bps higher versus the H1 previous year which would mean that the drop in margins in Q2 because of wage hikes will not be as significant as it has been in the past.

Sudhir Singh: Coming on to the Insurance question that you talked about Dipesh, we had talked about a very significant deal in the last quarter. The ramp up of the deal has proceeded. It has been one of the largest ramp ups that we have seen in Insurance for a while. At the current point in time insurance Y-o-Y growth for the firm is 2.5%. We believe if current projections hold at the end of Q2, that number should be up materially.

Dipesh Mehta: Okay, thank you.

Moderator: Thank you. We take our next question from the line of Ashwin Mehta of Ambit Capital. Please go ahead.

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Ashwin Mehta : Thanks for the opportunity. Just one question to Saurabh. Saurabh in terms of the transaction charges taken this quarter does it cover both the QIP as well as the acquisition? And do we envisage any further transaction charges going forward?

Saurabh Goel: Current quarter almost covers pretty much anything and everything that was done on the transaction. So a very minimal expenses on the merger would come in I think, but we are pretty much done.

Ashwin Mehta : Okay, fair enough. And in terms of margin impacts for the next quarter is it more like 130 to 150 bps in the next quarter?

Saurabh Goel: Yes, on account of wage hike, but then there will be some efficiencies and hence I think the guidance is that we will be from H1 to H1 perspective we will be 50 bps higher.

Ashwin Mehta : Okay, thanks Saurabh thanks and all the best.

Moderator: Thank you. Our next question is from the line of Ravi Menon from Macquarie please go ahead.

Ravi Menon : Thank you for the opportunity and congrats on really strong growth in Americas. I want to understand why are we seeing that and also in Europe, why is there a decline now? You had several quarters I think about eight, nine quarters of good growth there. And finally, that is down a bit. And on BFSI too actually you spoke about how some of this decline is just blip and we will return to growth, but could you give us some more detail about what sort of programs have come to an end? And are we seeing a spend start in a different spot or with a different set of plans?

Sudhir Singh: US and Europe, Ravi is again tied to Banking. The key Banking clients where we have seen the temporary blip in Q1 are largely Europe-based and that would explain the Europe performance. As far as BFSI is concerned, we expect growth to come back from the same clients. There has just been in some ways a

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19 normalization, a bit of a pause that comes in, in between program transitions but we are not seeing any change in spending and we are not looking at newer clients to drive growth from because the relationships are unstable or the spends have dragged up that is not the case. A lot of the 1,886 people that we brought on board, a significant number of them have either already been aligned to some of these Banking clients or will be aligned almost in the coming weeks that is how we are seeing Banking and Insurance and Europe I beg your pardon .

Ravi Menon : Thanks Sudhir a nd strong ramp -up in BPO is this travel or is this related to the mortgage business picking up? Could you talk a bit about that?

Sudhir Singh: It is right across, Ravi . The SLK acquisition that we had done three years back in order to set up a BPO business, it is now three years and the cross -sell has proven to be very effective.

Growth interestingly in this quarter came from a retail client, which is one of the emerging verticals that we talk about in the BPO space. When we acquired that asset, it was an asset focused on doing process services for Banking, but we have been able to radiate very successfully into Insurance, into Travel, and now into Retail.

Ravi Menon : Great. Thank you. And on this airline customer that you acquired, is this something that is a major customer of Cigniti that you were hoping to get in or that is outside the sense, it is still to be tapped?

Sudhir Singh: None of what I called about as a customer was to anything to do with Cigniti because we will only talk about Cigniti clients starting Q2. The Airline customer that was a long -term Asia -Pacific based airline client of Co forge and the large deal was signed with them.

Ravi Menon : Thank you, Sudhir, and best of luck .

Moderator: Thank you. Our next question is from the line of Abhishek Kumar of JM Financials, please go ahead.

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20 Abhishek Kumar: Hi good morning. My first question is on order book growth. Sudhir, we have seen last few quarters the gap between executable order book growth and the revenue growth has kind of widened. Is it because, the smaller deals which are won and consumed during the years have kind of dried up? And if that is the case, what gives us the confidence that the growth in executable order book would kind of necessarily translate into better revenue growth for us.

Saurabh Goel: So, Abhishek points number one, the growth in executable order book is in line with the kind of deals that we are seeing and at least when we look at this number and we compare it to the billing or the revenue recognition that happens from this order book over next few quarters it has been in line and we have not seen any leakage or shrinkage on this number. I think the only difference has been between the growth that we have reported versus this number because this is from the executable order book to the reported revenue number . As we have always mentioned there are waterfalls of three parts. One is the renewal that would come in through the year. Second part is the existing accounts wherein we will sell new opportunities and new business. And the third bit is the new customers starting to ramp up so it is either the new business in the existing accounts or the new business with new customers wherein the slowness comes in. That is what is impacting the difference between the growth in executable order book and the revenue number that we report. So, it is not that the shrinkage is happening in the executable that we have right now.

Abhishek Kumar: Sure, that is helpful. My second question is on testing. I think in our prepared remarks also, we mentioned a lot of GenAI led automation. And we also hear from some of your peers that testing is one area which is ripe for disruption because of GenAI related efficiency gains. Now, in that context, how do we look at Cigniti's portfolio? Do you think there is a risk because of AI in terms of volume deflation?

Sudhir Singh: I think we have answered this question repeatedly over the last three months since we announced the acquisition. We clearly do not see a risk, and the proof lies in the pudding and in the numbers. We have shared Q1 numbers. I think we have been very, very clear that the fact that this asset under our watch has been

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21 acquired not for testing revenues or testing expertise, where we already had a

\$100 million service line, but for helping set up a Healthcare, a Retail and a Hi-Tech vertical . That plan is absolutely on track. We believe , and we say this emphatically , that Co forge will be one of the fastest growing firms, but Cigniti will grow faster in the quarters and possibly the next few years than even Coforge. Yes, if it is functional testing, clearly GenAI is going to come, disrupt and take away revenues but there are also opportunities around testing in an AI infused environment that we see. In any event, we have not done the acquisition because we wanted testing expertise. We have done it to stand three new verticals. And given everything that we have seen with the team , given that now we have operational control over that entity, given that the sales head is now a Coforge leader and she has moved from Co forge to Cigniti , given that I have best estimates for the next three quarters from her , given that Saurabh has margin estimates and he talked about a very big jump in margins . We feel rock solid about the acquisition that we have done and we believe not just Q2, but Q3, Q4 and next year will prove that this is going to be a high growth, high margin asset under our watch.

Saurabh Goel: No, Sudhir, I think you have covered it all, but ye s I would want to reiterate margin piece Sudhir at least for the business because as we stand today and the progression that we are seeing in Q2, Q3, Q4 margins for the acquired business, 16% is what we have guided, 14% is what we have delivered last year, 12.6% is what they have seen current quarter and I think 16% is bare minimum what we will do, the end eavor will be to exceed that number.

Abhishek Kumar: Great that is very helpful thank you and good luck.

Moderator: We will take our next question from the line of Ashish Das for Mirae A
sset
Capital . Please go ahead.

Ashish Das : Hi, thanks for the opportunity. Saurabh, I have a question for you. If you look at the segmental margin the EMEA segmental margin has declined and sits lowest in last several quarters. Could you just explain to me what is the reason for that?

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22 Saurabh Goel: Yes, so segmental margins number one also has the cost on account of transaction related expenses which have got allocated to them. So, if your segmental margins versus previous quarters, so all that cost has got allocated when we arrived at segmental margins. So, that is point number one. So, it would not be an apple -to-apple comparison. So, that is point number one. Number two, the softness in the BFS vertical has led to a little softness in margins in that region. But otherwise, it is not that the margins for the segments have substantially gone down.
It is because of the allocation of transaction related expenses.

Ashish Das : Okay. And the next question is on the ESOP expenses, this quarter it is on the lower side and earlier it was mentioned that it would increase so what would be the ESOP expenses going ahead in the remaining quarters?

Saurabh Goel: Ashish see ESOP expenses also function of grants being issued to the leadership team so we expect the grants to be issued in the current quarter and we had guided for 160 -170 bps from a full year perspective as ESOP expenses and we stick to that guidance.

Ashish Das : Okay good and one question for Sudhir. Sudhir sees right now you are giving the guidance for Travel, Insurance, and Banking. So, why do not you resume your growth guidance for the year 2025?

Sudhir Singh: No, Ashish, we have taken a very conscious call. We have not given a guidance for this year and we will not be giving a guidance going forward as well. There is no other mid -cap firm in our industry that gives a guidance and we are aligning with that process.

Ashish Das : Thank you so much. All the best.

Moderator: Thank you. Our next question is from the line of Debashish Majumdar from S van Investments. Please go ahead.

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23 Debashish Majumdar : Hi guys, good morning. Hi Sudhir sort of good set of numbers. So, two questions I have Sudhir. If you remember last year, you very clearly called out that H2 there is not any recovery that you are seeing where others were bullish. So, the macro perspective do you think that we are kind of bottoming out and things have started turning back so that is the first question and the second question is I am not asking for a quantitative revenue numbers but earlier you used to call out a relation between your order book and your revenue growth so currently we are around 19 % order book growth so is there any material relation that you can bring it out between the revenue and order book?

Sudhir Singh: So Debashish we believe that the demand is not just bottomed out, but that it is picking up. There was a n initial phase when demand was falling, which is where I think we met more than a year back. There was a bottoming out and now we do not see a very rapid increase, but there is clearly a rebound on the demand front. It is tepid, but it is definite. As far as order book is concerned, the order book you will notice on a Y-o-Y basis for the last two quarters has been reversing. Net of India, even this quarter, the revenue growth has been sequentially 3.7%, which is higher than the 2-3% band that we were normally operating in. So at this point in time, while we have some more internal metrics that we are tracking from an external perspective, what we would like to call out is, on a Y-o-Y basis order book is improving. Therefore, logically in a very gradual manner, sequential growth on a Y-o-Y basis should also start seeing an improvement from where it is.

s. And prior to that I think the head count addition is another metric along with the order book increase which gives confidence.

Debashish Majumdar : Yes absolutely , so one last question on this head count itself . This addition of head count especially in S &M is it more to do with cross cell Cigniti capabilities or it is like our organic business has so much of potential that we are hiring this much of number.

Sudhir Singh: This is organic business. It has nothing to do with Cigniti here. This is all Coforge and this is all organic.

Debashish Majumdar : Okay thank you so much for answering my question. Wish you best of luck.

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Moderator: We will take the next question from the line of Shradha Agarwal from AMSEC . Please go ahead.

Shradha Agarwal : Congrats Sudhir on a good quarter. Just one question from my end how should we look at the depreciation and amortization cost after we consolidate the meeting to our financials?

Saurabh Goel: Shradha so again the purchase price allocation is yet not complete because we will have to true it up depending upon the June financials. But we are looking at a pickup of \$8.5 to \$9 million in the amortization on account of purchase price consideration from Q2 onwards on an annualized basis.

Shradha Agarwal : That is it from my side . Thank you.

Moderator: We will take our next question from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya : Thanks for the opportunity. I have just one question. Within BFSI amongst top five clients, which areas facing the normalization of growth practice wise if you can share that.

Sudhir Singh: As I said it is just a temporary blip. Overall financial services industry particularly as inflation levels and most developed markets are stabilizing towards the target levels given that interest rates appear to be reaching a plateau, the growth in spending is not as I said on the margins seems to be seeing a rebound. So this is a temporary blip for a business which has possibly been the fastest and I am not 100% sure if it is true, but possibly the fastest growing banking business across the industry globally. It is a one-quarter phenomenon. We should be back on the growth path in Q2. So I would not call out anything that is a big concern, there is obviously right now a notable emphasis on upgrading core platforms to facilitate digital transformation imperatives. There are funds that are flowing in there. Retail corporate banking in trend in the focus

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25 on enriching digital channels. So, there is funds coming in there as well, but overall, just a temporary blip as we called out earlier.

Chirag Kachhadiya : Okay, thanks all the very best.

Moderator: Thank you. That was the last question. I now hand over to Mr. Sudhir Singh, CEO of Coforge Limited for closing comments.

Sudhir Singh: Ladies and gentlemen thank you very, very much for your time and for your interest. As always, these were incisive, probing questions that also educate the nuances around our business and we really appreciate your time around us. We look forward to seeing you three months from now in the next quarterly call. Stay safe and thank you once again.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Coforge Limited, that concludes today's conference.

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"Coforge Limited
Q2 FY20 25 Earnings Conference Call"

October 23, 2024

Management: Mr. Sudhir Singh – Chief Executive Officer
Mr. John Speight – Chief Customer Success Officer
Mr. Saurabh Goel – Chief Financial Officer

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Moderator : Ladies and gentlemen, good day and welcome to Coforge Limited Q2 FY2025 Earnings Conference Call . Please note all participant lines will be in the listen -only mode and this conference is being recorded. We have today with us from the management team Mr. Sudhir Singh, CEO, Mr. John Speight – Chief Customer Success Officer and Mr. Saurabh Goel – CFO. We will begin the call with opening remarks from the management team and post that we will open the floor for questions. Before we begin please note that some of the statements made in today's discussion relating to the future should be construed as forward looking statement and may involve risks and uncertainties. Please refer to the disclaimer to this effect in the company Q2 FY2025 earning press release. With that I now hand the call over to Mr. Sudhir Singh. Over to you Sir.

Sudhir Singh: Ladies and gentlemen, thank you very much for joining us today as we share our Q2 fiscal year 2025 performance and the business outlook going forward.

Q2 has been an exceptionally good quarter for the firm. And not only has the quarter been an exceptionally good quarter, it has also been a quarter that has validated the three key assertions that we made at the beginning of this fiscal year. You will recall that at that time, our three assertions were seen as unconventional and met with some degree of concern. You will also recall that those three assertions, which now stand vindicated, were
Number one - we had shared then that given the incredibly detailed due diligence we had done, we believed that the Cigniti business was foundationally a healthy one. And that growth of both businesses would accelerate remarkably and immediately on account of synergies once we brought them together. That was assertion one.

Assertion two that we had made was that we had shared that even though we were stopping the practice of annual revenue guidance, the health and outlook of our organic Coforge business, and by organic I mean all Coforge businesses excluding Cigniti , was very robust. We were not, repeat not, undertaking an acquisition because our organic business was stressed. We had emphasized then that we were undertaking a material acquisition because our organic business was in the pink of health.

And assertion three that we made at the beginning of this fiscal year was, we were at that time, you will recall, the first management team in the industry to state that we saw a definite and a positive turnaround in the demand environment based not on analysis from any analyst, but based on the buildup of our indents.

Ladies and gentlemen, as you reflect on those three assertions made at the beginning of the fiscal year by us, please contrast them with our Q2 performance that I shall now read out.

In Q2, the Coforge organic business has grown 6.3% sequentially in US dollar terms. While the standalone Cigniti business has grown equally strongly by 6.1% sequentially in US dollar terms with both businesses registering exceptional growth. The firm grew sequentially in Q 2 by 26.8% that is sequentially in US dollar terms. We crossed the \$1 billion run rate only seven quarters back and today seven quarters later, we are now operating at a run rate of almost one -and-a-half billion

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US dollars. What makes this synergy driven performance even more remarkable is the concurrent expansion in EBITDA. The Coforge organic business has increased its reported EBITDA by 125 bps in H1 over H1 of last year. At the same time, please note the Cigniti business has seen its EBITDA jump by 360 bps sequentially to 16.2% in one quarter alone. We expected Cigniti to hit a 16.5% EBITDA target by Q 4, but we now believe that we will hit more than an 18% EBITDA target for the standalone Cigniti business by Q4 this year.

Ladies and

gentlemen, with that preamble, I shall now talk you through the quarterly performance and our assessment of the outlook.

QUARTERLY PERFORMANCE – REVENUE ANALYSIS

Beginning with the revenue analysis, I am pleased to report that during the quarter, the firm

registered revenue of 369.4 million USD. This represents a sequential revenue growth of 26.3% in CC terms, 26.8% in US dollar terms, and 27.5% in Indian rupee terms respectively. Equally importantly, the growth has been evenly spread across verticals, indicating that the growth trajectory of Coforge is likely to serve steam. It is not a lopsided growth that Coforge is experiencing focused on either a particular vertical or a particular geography. All verticals, all geographies are growing robustly.

During the quarter our banking and financial services vertical grew 5.2% sequentially and contributed 31.3 % to our revenue mix. The insurance vertical grew 8.9% that is 8.9% sequentially, and contributed 21.8% to the revenue mix. The travel vertical grew 6.2% sequentially and contributed 18 % to the total revenue. The government vertical outside India grew 6.7% sequentially and contributed 7.8 % to the revenue mix.

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS.

With that, I shall now move on to the margins and the operating profit discussion. During the quarter, we delivered an EBITDA of 58.4 million USD, registering a sequential growth of 17.6% and an year-on-year growth of 37.6%. This reflects an EBITDA margin of 15.8% for this quarter, which is higher by 55 bps over the same quarter last year. You will recall that wage hikes at Coforge were undertaken in Q2 beginning. For the half year ending September 2024, EBITDA margin stands at 16.4%, higher by 125 bps over H1 last year.

ORDER INTAKE

Moving on to order intake, over the last 10 quarters, we have been clocking an order intake of more than \$300 million per quarter. In the current quarter, the firm saw an order intake of 516 million USD, which includes 67 million from Cigniti. The next 12 months signed order book has moved from 1.07 billion in the previous quarter, it has jumped to 1.3 billion in the current quarter. This represents a 40% increase in the next 12 months signed order book over the last year's same quarter. The large deal velocity and signing continues unabated and the velocity seems to be picking up. During the quarter, we signed three large deals one in continental Europe, one in North America, and one in UK.

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PEOPLE

Moving on to people metrics. On the people front Cigniti has added 4430 people to our headcount. Excluding Cigniti, the organic Coforge business added 1441 people, which represents a 5.4% increase sequentially in the net headcount. This increase of 5.4% in net headcount of the organic Coforge business follows the increase of net headcount by 7.5% in the last quarter. Our total headcount for the quarter stands at 32,483 reflecting a net addition of 5,871 employees during the quarter. Attrition continued to be stable and the last 12 month attrition during the quarter stood at 11.4% including the Cigniti attrition, which is at 11.7%.

With that, I shall now request John Speight, Customer Success Officer, Coforge, to walk us through capability and delivery highlights. John, it is all yours.

DELIVERY OPERATIONS & CAPABILITY BUILD

John Speight: Thank you, Sudhir. I shall now touch upon the highlights of the quarter related to our delivery operations.

In the Banking Sector, we continued to grow our strategic partnership with a leading UK bank signing a new three-year deal for legacy modernization to optimize costs and improve their customer satisfaction. We also successfully completed a comprehensive assessment for the wholesale division of a tier one global bank, evaluating their maturity around resiliency, engineering, and

agile organization structures. Planning is now on the work on the next phase.

In the Insurance Sector, we signed a three-year deal for a global insurer to implement an end-to-end GenAI solution to transform automation across their enterprise. For a leading US product provider, we successfully completed the setup of a 500 strong GCC. This is expected to grow to more than 1,000 in the next three years. We also secured a major three-year deal with a tier one insurance major to be their growth and run partner.

In the Travel Sector, a three-year renewal at a major Australian airline will see us continue to provide end-to-end managed services, delivering enhancements across business intelligence, infrastructure, and applications.

In the Retail Sector, we secured a major three-year managed service deal with a top Australian supermarket chain to automate quality engineering services across their e-commerce and mobile channels.

The Government Sector continues to see strong growth. In the UK, we have entered a five-year strategic partnership with a key regulator to deliver CRM solutions that manage partnerships and citizen records. We also closed a multi-year deal for a leading health service provider to provide an integrated contact centre and CRM solution that supports the delivery of urgent patient care to citizens. While in Australia, we are implementing a new loco platform to streamline their processes for a large state government department.

Moving on to partnerships, we are partnering with ERM and Salesforce on an innovative sustainability solution called the Environmental Net Zero Offering or ENSO, launched officially in August, it is a full BPAS offering that helps organizations meet their scope one, scope two, and scope three accounting and reporting obligations under the Paris Climate Agreement. Our strong alliances have continued to develop, starting with a renewed designation as a Microsoft Azure Expert Managed Service Partner, giving us top tier Microsoft partner status, one of only 127 worldwide.

Meanwhile, we are really pleased to announce that Pega has promoted us to their top tier partnership within their Global Elite program. We have developed new migration accelerators to support legacy transformation across key platforms. Our accelerators have the capability to automate over 60% of the migration, delivering savings in both cost and time to value.

We continue to achieve notable industry recognitions during the quarter. Designated by Everest as leader in low-code application development services, Peak matrix, leader in the digital transformation services for mid-market enterprises and major contender in five other categories.

With that, I would like to pass over to our CFO, Saurabh Goel.

FINANCIAL OVERVIEW

Saurabh Goel: Thank you, John.

Let me take you through some of the financial highlights for the quarter. The organic EBITDA margin for the quarter stood at 16.6%, reflecting decline of 126 bps over previous quarter. All wage hikes were rolled out effectively July 1st in the current quarter.

Please note that in the prior years, the impact of wage hike has been 252 to 270 bps. You would also recall that in the beginning of the year, we had not given revenue guidance, but we had guided for gross margin improvement of 50 bps and reported EBITDA being flat for FY2025.

We are pleased to report that at end of H1 FY2025 our organic gross margin is 32.2% up 64 bps. EBITDA is 16.4% up 125 bps; organic EBIT is at 12.9% up 114 bps.

In H1 FY2025, we had acquisition and integration related expenses which had an impact of 2.3% on our profitability. This will get normalized in coming quarters. The depreciation of the consolidated financial statements reflects impact of amortization of intangibles such as customer relationships and non-compete that got created on account

of purchase price allocation because of

Cigniti acquisition. The amortization impact for next three years will be \$10.7 million per year.

The current quarter had an impact of 22 Crores on account of this amortization.

We also guided for 16% EBITDA margin for Cigniti for the current financial year post we acquiring the firm. Current quarter witnessed increase in EBITDA margin to 16.2% which was 360 bps over previous quarter and we are now targeting to improve this to 18% by end of the financial year.

We have received SEBI approval on the open offer and the open offer is expected to get concluded by mid-September. The open offer for the tendering of shares will start in next two, three days from now. At the end of Q2, we have cash balance of \$217 million, which includes \$137 million in the monitoring account from QIP proceeds. Net of that we have \$80 million of cash in the balance sheet and we have a debt on account of working capital of \$86 million.

OCF excluding payment on account of transaction related expenses for H1 stands at \$39.3 million as against the cash burn of 500K, a \$0.5 million in the same period over last year. In Q4 FY 2024,

we had mentioned that we are working towards normalizing the operating cash flow through the year and in this improvement in OCF in Q1 and now in Q2 is a result of the same.

ESOPs have been granted to the leadership team towards the end of September and hence from next quarter onwards the ESOP cost is expected to go up in a range of 180 to 200 bps per quarter for next two quarters. This includes ESOP issued to Cigniti leadership as well and we have used our existing pool for the same.

With that, I will hand over the call back to Sudhir for his comments on outlook.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thank you, Saurabh.

And just a quick correction, as Saurabh said, we have received the SEBI approval on the open offer and it is expected to be closed by mid-November, not mid-September as we called out. So that is only two or three weeks from now.

Summing up in outlook let me start off the Outlook commentary with a broader statement of intent.

The growth story of Coforge is now 29 quarters old. This is a time-tested team that is more hungry today than it was more than seven years back when we first came together. Our sustained and very robust growth at Coforge over the last seven years has been driven by an intense execution oriented culture that is uniquely our own. It is underpinned by a deep rooted personal pride and an ambition

to create a platform that will be the collective legacy of each one of us at Coforge. The last seven years have seen spectacular growth. The next seven years will be better. With that moving on to the outlook, a 27% sequential dollar growth with the organic business having grown 6.3% sequentially, a concurrent and material expansion of 145 bps in H1 in EBITDA, the second consecutive quarter of significant net headcount addition, a large deals pipeline that is looking very robust, and finally, an ever strengthening next 12 months signed order book, which now is 40% higher Y-O-Y gives us confidence that the coming quarter and quarters to come shall see robust and sustained growth. The growth and the margin expansion at Cigniti are a preview, as Saurabh said, of sustained growth and further increases in margin to follow. We have operationally fully integrated the Cigniti team and the synergies have exceeded even our expectations. As noted, we expect Cigniti's standalone EBITDA to go up to 18% plus over the next two quarters alone.

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Overall, our confidence in the commitment that we offered at the beginning of the year to deliver robust and sustained growth is ironclad. Our medium-term guidance of not just hitting the 2 billion mark, but also delivering a concurrent material

expansion in EBITDA is intact. Team Coforge has

turned an execution of the highest order over the last seven plus years. We look forward with confidence and eagerness at the next seven years.

With that, Ladies and Gentlemen, I conclude my prepared remarks and I look forward to hearing your comments and we all look forward to addressing your questions. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from Sulabh Govila from Morgan Stanley, please go ahead.

Sulabh Govila: Hi thanks for taking my question and congrats on a good quarter. So Sudhir you mentioned on the outlook near term as well as going forward. So just wanted to double click on that. In the next quarter particularly, what are you hearing on furloughs from the quarter and the expectation for the same versus let us say last year? And then with respect to verticals, last quarter we had specifically called out BFS to grow, let us say in double digit for the year. Is there any incremental positive change in other verticals also that you have heard during the quarter? That is my question.

Sudhir Singh: Thanks Sulabh. As far as furloughs are concerned, we expect furloughs to be in line with the normal trend in Q3. So we do expect furloughs to happen. We do not expect them to be on the higher or the lower side than they are in normal year. And we bake that into our projections. As far as verticals are concerned, as you have noted, BFS has grown 5.2% sequentially. Insurance, you would have noted as grown almost 9% sequentially, and Travel has grown more than 6%. Government also has grown more than 6%. Specific to our BFS business, we had said that we will deliver double-digit growth. I suspect that is now assured given this quarter's performance. We had also said that we expect growth to happen in a tough macroeconomic environment because all verticals are firing and all verticals will deliver growth that will largely be in the same ballpark. We maintain that assertion going forward as well, Sulabh.

Sulabh Govila: Understood Sudhir. The second question I had, was on Cigniti, is the go-to-market and cross-sell plan already in motion there, and if you could highlight any updates on the same?

Sudhir Singh: Go-to-market plan is firmly in place. At the end of the last quarter, we had talked about the fact that the go-to-market engine was already being headed at that point in time by a Coforge leader who had moved in and had been working with the Cigniti team since two-and-a-half quarters. She is now in-charge. She is the one who has been driving it and the results of her and her team's efforts, not just in terms of driving growth, but in terms of working together as a composite team, part of the broader Coforge fabric, I suspect, are evident for everyone to look at. Cross-sell is moving exceptionally well. So when I talked about the margins having exceeded our expectations, the only thing that has exceeded even margins on the expectation side has been the eagerness with which a team that was largely selling only one service line has embraced the other 10 that they can now sell.

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Sulabh Govila: Understood. If a third question I may ask, related to the bookkeeping question, Saurabh below EBITDA this one-off one transaction related expenses as well as past liabilities from Cigniti just wanted to understand whether they will recur from 3Q or they are done?

Saurabh Goel: So see, we do not expect any past liability to now come in because we have done our purchase price allocation and we have otherwise almost taken care of any expected exposures that were there. So we do not expect anything around past liabilities to come in, number one. Number two, on the integration-related expenses or the merger-related expenses now, s

o you look at last quarter

was a significant number it has come down to 2 odd million dollars. I think it will be sub-million

dollars in one or two quarters.

Sulabh Govila : I understood . Thanks for taking the question.

Moderator: Thank you. We will take our next question from Abhishek Pathak of Motilal Oswal.

Abhishek Pathak : Hi Sudhir, hi Saurabh. Thanks for the opportunity and for us and a great quarter. So I think as Sudhir mentioned, I guess the Cigniti revenue growth was probably a bigger surprise than the margin beat. The first question is considering the demand is now certainly recovering across the board, does it now become easier to sort of cross -sell service lines and services to Cigniti clients in this environment? And if yes, does it significantly sort of change or rather upgrade our expectations from Cigniti versus what we acquired maybe six, seven months back that is one. And

secondly, on the headcount bit, I guess, you have been hiring quite strongly over the past couple of quarters and the utilization levels are now at 82%. I guess a lot of your peers are operating at 85%. So is it tempting to just sort of sweat the asset a bit more and go to 85% and manage margins or even exceed over there or do you think the demand is recovering sort of so much that you still want to hire and still sort of build up that muscle on that concept. Thank you.

Sudhir Singh: Abhishek, thanks for both the questions. As far as Cigniti is concerned, the cross -sell of services was something that we were absolutely assured about because we had spent a lot of time with the sales team of Cigniti , every level of the sales team. And it's not the demand environment recovery that is largely driving the cross -sell effectiveness. It is the fact that that team was primed and it was hungry, and our horizontal business units were primed to sell as well . As I said in my commentary, our organic business was in the pink of health when we did this materia I acquisition. There's a great synergy in terms of our horizontal business units, working hand-in -glove with the Cigniti integrated market -facing unit and that is what is driving the very strong cross -sell, which always gave us a lot of confidence, but hopefully gives everybody on the call also the same confidence , that we have always carried around Cigniti . That is answer one.

Answer two, as far as headcount is concerned, our utilization numbers, 82% that you called out, include trainees. At this point in time, we think our demand environment outlook, our pipeline is very strong. We do not want to sweat the asset anymore. We want to keep utilization at where it is to make sure that the demand gets addressed and the growth that we see in front of us is not missed.

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Abhishek Pathak : Very, very clear, Sudhir. And if I could just squeeze in one more on the Cigniti's margins. So, the three -tiered expansion is incredibly heartening.

Now going forward is there any more low -hanging fruit that you will quite easily pluck and the margins may expand to your guided range or do you think it requires further, it requires more discipline going forward on Cigniti? Thanks.

Sudhir Singh: It is only one quarter . There are still low hanging fruits. We have shared an estimate of 18% over the next two quarters. Most of that should come through addressing the low hanging fruit.

Structural improvements beyond that again are possible, but we will talk about those next year.

Abhishek Pathak : Great, thank you, all the best.

Moderator : Thank you. Our next question is from Debashish Mazumdar from S van Investments. Please go ahead.

Debashish Mazumdar : Good morning to the management team. Sudhir, John, Saurabh excellent set of numbers. So I have three set of questions . First on macro, second on organic Coforge and third on Cigniti. So the first one is for S

udhir obviously. Sudhir if I remember correctly one year back you were the first person to call out that the macro recovery what others are building and it is not going to come so easily. So do you think we have crossed that level and where recovery is kind of started coming back, especially in your set of clients and sectors.

Sudhir Singh: Debashish thanks for the question. You are absolutely right. Last June, when the general impression was that the second half of the calendar year, last year would be great. You are right.

We as a management team had said that there was going to be no demand recovery and I think we did turn out to be right. In March, April this year, we had made another assertion and again that was contrary to the prevailing commentary from our peers that the demand environment has seen a definite and positive turn. We believe that is in play and that demand environment will continue to underpin our grow th going forward.

Debashish Mazumdar : Okay, understood. The second question is related to the Coforge organic business and congrats again for a good comeback quarter with a blown up kind of CC growth. The question that I have is if I see the vertical wise growth and geography wise growth, it seems to be extremely broad

based. So is it like that this 5 % kind of number is sustainable for next two to three quarters because it has not come from any single customer or single vertical and you see that this recovery path is going t o continue for at least for next three to four quarters .

Sudhir Singh: Debashish thanks for the question. As you are aware, we have stopped giving a formal guidance on numbers, but what we can assure you is that the broad-based growth is going to continue. One of the reasons why we did the Cigniti acquisition when we did it was because at that point in time, looking ahead, we were incredibly confident about the broad-based nature and the robust nature of

growth ahead of us. That is why we did it. Growth going forward, as you have noted, business - wise, geography -wise, service line-wise, will continue to be broad-based. It will also, I want to Coforge Limited

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emphasize be robust. At the beginning of the year, we said our growth will be sustained, robust, and profitable. I can assure you, at the midpoint of the year, going forward, the growth will be robust, it will be sustained, and it will be profitable.

Debashish Mazumdar : Sure, sure. Good to hear that. Just a related question to that, if I see our hiring data, so in most of our peers either revenue growth has come in that case hiring does not come or vice versa. In our case we are seeing that both revenue growth and hiring going hand in hand with a very tight utilization level of 80 to 82% and a tight attrition of 10-11%. So what I am trying to understand is

have we cracked a very good model, kind of hiring and growth goes hand in hand, and it does not create any impact on our utilization in a single quarter. We do not go into a lopsided hiring. We have moved into a just -in-time hiring. So just wanted to get some thought on the strategy there?

Sudhir Singh: Debashish it is more to do with the execution than with the strategy. When we say that Coforge has an intense execution orientation, what we mean by that is that I mean, every team member is into the details. We believe the fact that we have been able to forecast and recognize that there was a reversal in the demand cycle basis our own incidents that were flowing in. The fact that we were confident in our assumption to be able to hire a quarter in advance is a reflection of the execution intensity and the ability of our people supply chain leaders to be able to fulfill what our sales leaders were able to sense looking at raw incident data that was coming in.

Saurabh Goel : And I think just to add to that, see when we do a pipeline review because when you start hiring in

advance, the incidents get raised almost 120 to 130 days in advance of the hiring, because it is a one to two months of interview and 90 days of joining period. When we look at a pipeline and our ability to ascertain the deal closure timing and triangulate that with the hiring index is something which is leading to this tight operation that we are managing. So it is a function of estimating when you will close the deal. And that can only happen if you are in the woods, you understand the stage of the deal at which it is in, along with then make sure that you start ramping up, keeping that in mind. So it is a function of both supply chain and the front end, working very, very closely together along with the delivery organization.

John Speight : And one extra point here is the fact that it is all underpinned by the incredible client centricity. We are very, very, very close to our customers. So we understand exactly their businesses and what their expectations are in advance.

Debashish Mazumdar : Sure, sure. Very clear. One last question on Cigniti. In case when we were acquiring Cigniti , we were very clear that there are two, three large clients , which we were targeting to do cross -sell, and there are a few micro -markets which we were targeting to do cross -sell. So do you think that we are getting success? Obviously, numbers showing some amount of improvement for sure. Do you see that we are getting success in those strategies of cross -selling to existing larger clients or Cigniti 's and getting into those micro-markets?

Sudhir Singh: We clearly are Debashish . Last week, we finished a four-day workshop and we looked at every aspect of sales execution. We are getting success slightly ahead of what our expectations which

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were already higher when it comes to cross -sell and we feel very assured about the prospects going forward as well.

Debashish Mazumdar : So just to harp on this point, so in this quarter, growth in Cigniti numbers, we are getting growth from selling higher Cigniti business to the existing clients in a more efficient way or it is like selling more cohorts capabilities to the existing clients of Cigniti ?

Sudhir Singh: In this quarter, the growth has largely come from selling Cigniti only revenues. The pipeline on cross -sell, it has built up, is building up, and I suspect we will start seeing the first effects of that from quarter three onwards.

Debashish Mazumdar : Sure, sure. Thank you very much for answering my question. Wish you all the best.

Moderator : Thank you. Our next question is from Vibhor Singhal from Nuvama. Please go ahead.

Vibhor Singhal : Thanks for taking my question and congrats Sudhir and team yet again for a very strong performance. Sudhir my first question was on the travel vertical. This vertical had a pretty weak FY2024 and not just for us entire in fact for the entire industry. What is the outlook on this vertical?

How are we seeing this? The growth has been quite strong this quarter for sure. So are things turning around? Are airlines, hospitality and other parts of it looking to increase their expense? And any other large deal pipeline or deal that you might have signed or you might be looking to sign in coming quarters would be helpful.

Sudhir Singh: Vibhor t hanks for the question. The large deal pipeline for the travel vertical is looking extremely promising. We are seeing deals spanning spend areas of IT modernization and mainframe offload, that is one area. We are seeing significant India GCC ramp up led deals in travel, that is the second

area. We are seeing e-commerce and NDC for airlines led deals, which is a third area. And then we are seeing guest experience and personalization for hospitality as the fourth area. So travel, the pipeline is robust. The large deal pipeline is very promising at this point in time.

Vibhor Singhal :

And what marks this change in the outlook for the vertical from the commentary that we are hearing from peers, I believe in the airlines companies are still re lying under the pressure of delayed delivery from Boeing and that is why many of their program mes have been pushed out and hence the expense have been kind of muted. Any colour on that? What has changed and what is the view on the airline specifically?

Sudhir Singh: So our travel exposure Vibhor is centered around airlines, airports , and travel tech. Travel tech is doing exceptionally well from a spend perspective. Travel tech firms are truly in a massive spend phase right now. Airlines saw a significant positive correction about four to six quarters back. Spends there have now stabil ized, but our farming efforts and very active displacement of competition efforts are working well for us.

Vibhor Singhal : Got it. That was really helpful. My second question, Sudhi r, is on the overall banking segment. So of course excluding insurance, insurance of course a rock solid quarter this year. On the banking vertical, what are we looking at in terms of let us say, new growth areas over and above our existing

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capabilities? How does Cigniti add? I am sure Cigniti has more presence in the other verticals that we are looking to form, but any contribution from Cigniti in that, but if not, how is the overall outlook on banking, specifically on any other sub-verticals that we might be looking to spawn?

Sudhir Singh: Cigniti , Vibhor, the largest vertical that they have is banking, and therefore to that extent, the ability to cross -sell horizontal businesses in that functional space has gone up. Specifically, to banking, the segment overall, as all of us know, continues to have macroeconomic uncertainties and those are stemming largely from geopolitical events, high inflation, compliance -related complexities and so on and so forth. Now, looking ahead, while the uncertainty in the sector is expected to conti nue, we do find in our case with our clients that they are boosting investment in IT, in cloud and data areas in particular. There is also significant interest in this space in GenAI. And at least anecdotally, we are exploring ways to reduce cost or to improve customer experience by incorporating GenAI. One other area I do want to call out before we close this is one other priority area for investment that we are seeing is in financial crime prevention. That is one space. We are seeing compliance to digital operational resilience act in the European Union. And John can talk more to that. And we are seeing investment in systems to support open banking initiatives, which is a third space that is coming up. So financial crime, digital operation resilience act in Europe, and investment in systems to support open banking initiatives. John, would you like to add to that?

John Speight : Thank you, S udhir. I will say not too much because you have covered significantly most of the points that I was actually was going to raise. The only thing I would add is to stress the open banking space obviously in the US now that is ramping up. That is, I think, a key area. Compliance you have mentioned ongoing. I think legacy modernization you will see increasingly becoming more and more key. And the role of GenAI is actually having in driving that legacy modernization agenda. I think that is about it Sudhir.

Sudhir Singh: And Vibhor and one thing that we have never talked about is the fact that we had a very significant exposure to the mortgage industry, but we never use that significant exposure to the mortgage industry as a reason for slowing down on the banking side. With a decrease in interest rates that is now happening, the mortgage sector also we believe is going to have a gradual resurgence. And hopefully that will boost loan origination and processing vol

umes and it should have a positive uptake on our technology spend there .

Vibhor Singhal : Got it and since you have touched upon the cord, any colours to how much mortgage could be in terms of revenue size or percentage of revenue?

Sudhir Singh: I do not think we call out at a sub -segment level Vibhor. We just call out at a segment level. So sub-segment revenue mix is not something that we have.

Vibhor Singhal : Sure, not a problem. Thanks so much for the detailed explanation from yourself and John. I have just have some bookkeeping questions for Saurabh trivial , but necessary nonetheless. Saurabh, you mentioned the new ESOP scheme has been approved and the cost for that will come in from Q3 and that would be how much basis point as you mentioned. I am sorry, I missed that part.

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Saurabh Goel : So roughly 180 to 200 bps. So we had called out in the beginning of the year that ESOP cost will be roughly 180 bps for the year and that was the basis , the assumption that the ESOP grant would have been given in the Q 1 itself. But now, because the grants have been given in Q3, almost beginning of Q3, we expect that cost to be in a range of 180 to 200 bps , more towards 200 bps .

And it is for first two quarters, which is Q3 and Q4. Then we get into Q1 of next year, 60, 70 bps of the old plan cost will go away. So that is how it will look like.

Vibhor Singhal : So next quarter we are looking at 180 to 200 basis point headwind on a Q -on-Q basis.

Saurabh Goel : On a Q -on-Q basis. Incremental impact will be 120 bps not 200 bps. 70-80 bps is already sitting in the P&L. What I am talking about is the incremental. Incremental impact will be 120 bps . The total cost of ESOPs .

Vibhor Singhal : Okay got it. So 70-80 bps is already there in the P&L. Incremental impact will be 120 basis points next quarter and in Q1 another 60 basis points will go away which is of the current ESOP scheme .

Saurabh Goel : Which is the current cost Vibhor you are right .

Vibhor Singhal : So minus 120 in this Q3 same in Q4 and then plus 60 in Q1, just to spread out the maths, got it.

And also there was 14.4 Crores consulting expenses in Cigniti this quarter. Last quarter of course we had some expenses. So, I am assuming these are related to the merger and integration. Are these expenses now done or do you expect some more of them to come in Q3 and Q4?

Saurabh Goel : So the expenses in Cigniti not an account of merger. The expenses on Cigniti you will see that there was a 14 C rores hit in Cigniti , wherein consolidation, it flew down only to 9 Crores, because some expenses were already part of purchase price allocation and hence it did not impact my consolidation. And then 8 C rores of past liability was identified on account of historical taxes and all. So all of those are now behind us. We do not expect at least any past liability, in Cigniti to come and hit the consolidated financial statements going forward. The integration expenses, the merger expenses would be sub-million or so for next couple of quarters and then it will go away.

Vibhor Singhal : Got it, got it. And just last question on the open offer, as per if I read the timeline of the open offer, we are looking to close in terms of post tendering and everything by mid-November and the entire process is expected to close by December 7th if I read the schedule correctly?

Saurabh Goel : December 7th is the last date, which is the most stressed date which can happen. But we expect the whole thing to get closed at least by mid -November. The tendering and everything will get closed.

The payment to the shareholders would have happened by mid-November.

Vibhor Singhal : Got it, got it. Great, thank you so much, Sudhir, Saurabh and John for taking my questions and wish you all the best.

Moderator : Thank you, we take our next question from Manik T an

eja of A xis Capital. Please go ahead.

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Manik Taneja : Sudhir e xtremely strong performance once again. Just wanted to pick your thoughts on a very interesting statement that you made the outside saying that the next seven years look much more exciting for the leadership team. While you have talked about the \$2 billion revenue growth target, but if you would help us understand if you are looking at further explanation in terms of growth given the platform that we you ha ve created now, that is question number one. The second question was with regards to basically more of a bookkeeping question in terms of what is yielding the cash generation for us through recent years, despite the fact that we continue to do extremely well from a growth standpoint. Those are my two questions.

Saurabh Goel : So historically, we have been around 67% of EBITDA of OCF being generated for a financial year.

And the challenge that we had was that always Q1, Q2 we used to burn cash because of bonuses getting paid for the whole financial year in Q1or Q2, increments happening and some vendor payments coming in. So, current year at least the normalization of cash has happened and sitting today H1 we are looking at almost \$40 million of cash being generated. If you are looking at the cash flow of the statuto ry statement, a lot of that is also to do with acquisition related expenses that have got paid out. But otherwise from an operating cash flow perspective, H1 we have generated \$39 million in the current financial year as compared to a cash burn of \$0.5 mil lion in same period last year. We expect that for now, around 67% to 70% of EBITDA is the OCF we would like to operate on. And Ma nik, a lot of large deals today that also come in, they come in with upfront investments in the account either on account of transition or transformation, wherein the recovery starts happening over a period of time. So using our cash to make sure that when we sign large deals, we are making those upfront investments in the account. And that is why we are making sure that we at least operate at 65 to 70% OCF. We look at our DSO, which is debtors -to-sales outstanding . They continue to be healthy at 60. You look at our unbilled , they continue to be healthy at 14 odd days and hence DSO for billed and unbilled both is 74 days. So it is not that I have a receivable problem.

Sudhir Singh: Moving on to the other question that you had Manik about the confidence in the next seven years that confidence is near absolute as far as the collective leadership of the firm are concerned.

Confidence comes from two or three different things. Coforge today is a far more diversified organization than it was seven years back. Seven years back when we got together, almost 40% of

our revenue used to come from airlines and airports only. And five years back, we were possibly more impacted than any other firm, because when COVID came, 30% of our revenue used to come from airlines and airports. So the firm is one, not just bigger, but it has diversified significantly.

Second, as we look at the future, our growth vectors over the last seven years have primarily been industry led. Where we stand with the leaders we have, the untold story of Coforge over the last

two, two-and-a-half years has been behind the curtains work that has been done in terms of leadership, capability, partnership, and alliance build in product engineering, in cloud services, in data services, and experience based technologies. They are now fast becoming additional vectors for growth. The third thing that gives us a lot of comfort is the fact that what we internally call big bets geo-based big bets, the newer geos that we have gone in quietly, but with tremendous intent are playing for us. So it is a mix of one, a diversified industry mix, two a very strengthened horizontal capability mix, and three an exp

anded geo mix that gives us confidence. And as I have said in the closing comments as well, we believe if we can accelerate growth further over the next Coforge Limited
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7 to 10 years, wherever we land up and hopefully it will be in an incredible place, we would all as a collective leadership have created something that we can regard as our collective personal legacy and that is what drives us going forward.

Manik Taneja : Thank you for the detailed thoughts. Sudhir also wanted to get your thoughts around the recent deals. We have seen an increasing share of GCC rollout led deals in the industry including for you. If you could help us understand what is driving that and do you see that as a risk from a medium term standpoint, given the call option that customers would have?

Sudhir Singh: You are right Manik and we concur with you. We also see very strong activity in the GCC space. We believe that unlike the earlier cycles where GCCs used to get set up and there used a boom and bust cycle over three to five years. This seems to be a more concerted push and a more personal agenda driven push. In most cases, GCCs are being helmed or are being driven by Indian origin leaders who have gone up the racks and that number has swelled. So we see this as something that is likely to sustain and we have built up the process of supporting GCC build, the process of creating virtual GCCs within our premises, and the process of supporting both micro and mega GCCs as part of our sales plan going forward.

Manik Taneja : Thank you and all the best for the future.

Moderator : Thank you. Before we take our next question, we'd like to request participants to please limit your questions to two per party. Time permitting you may come back in the queue for a follow up question. We take our next question from the line of Abhishek Bhandari of Nomura. Please go ahead.

Abhishek Bhandari : Thank you for the chance and my questions have been answered. Thank you and all the best.

Moderator : Thank you. We take our next question from the line of Kawaljeet Saluja of Kotak Securities. Please go ahead.

Kawaljeet Saluja: Hi Sudhir exceptional quarter congratulations. Couple of questions Sudhir first is that your deal pipeline and deal wins have been exceptionally strong, which I do not think mirrors across the industry, but nonetheless would love to get your views on whether it is the environment or something has changed in Coforge's portfolio that is the first question. The second question relates to the question asked by Manik on GCCs. I mean, how would you characterize the durability of revenues of GCCs and how are the nature and shape of engagements different? And the third question I have is for Saurabh, Saurabh the gap in the IndAS margins and the fact sheet margins have expanded quite a bit in the current quarter. What would you have to say to?

Saurabh Goel : So two things Kawaljeet on that, so if we look at our segment report, okay, which is again the audited statement, you look at the EBITDA margin reported there which is 14.9 % and that does not include that EBITDA margin of 14.9 % does not include in the one-time transaction related expenses of 20 odd Crores plus the hit that we have taken on account of Cigniti prior year expenses that had come and hit us in the current quarter to the extent of 8 odd Crores. If we just add that Coforge Limited

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back 14.9 % EBITDA margin in the result sheet which is a signed audited result sheet as part of the segmental information will go up to 15.8 odd percent which is also reported in the management fact sheet of 15.8%. So that is the gap between the 14.9 % which is there in the signed segmental results and the fact sheet because there are two items which are not included in the concurrent going forward EBITDA margins or the recurring EBITDA margins.

Su

Sudhir Singh: Coming back to question number one and two, Kawaljeet, the first question that you had shared was around the deal pipeline and what is driving it. We think it is more a function of the mix having evolved. To give you an example of the three large deals that we have signed in the current quarter, one of them is in the healthcare space at the intersection of the healthcare and the government space. Now, healthcare as a vertical was never really material for us. We started talking about building it up about two-and-a-half years back. And the fact that we have signed this deal last quarter, one of the large deals we talked about was from the retail vertical. So part of it is coming in one from an expansion in the credibility that we built across newer verticals that we did not have credibility or capability at

scale earlier. The second set of deals and why they are expanding and hopefully we will have a lot more to report are coming in largely from product engineering. Product engineering for us and we call it engineering internally is for us is one of the largest or I suspect the largest HPU at the current point in time. And engineering, a lot of the credibility that is coming from the advantage go platform that exists, the Mona Lisa platform that exists, the SACS platform that we created on a turnkey basis, the work that we have done with platform players in asset wealth management and travel tech is allowing us to create large deals at scale. That is the second thing that's helping us pick up. And the third thing that is allowing us to widen the funnel and increase the velocity is the geographical expansion Kawaljeet . This quarter, one of the three deals, I talked about one earlier is from continental Europe. Now, Continental Europe, again, you know this very well was not a very happy hunting ground for us in the past. But what we have done over the last three years, quietly but in a very sustained manner, building up a sales presence there under the leadership of John, who is on the call, is what has led to that deal closure as well. So that is our assessment of why the deal pipeline is not just sustained but is expanding. Number two, Kawaljeet , as far as GCCs are concerned, the core mandates when we do get them, the initial mandate on GCC is always a time -bound mandate. For example, we secured a mandate to set up a GCC where the initial mandate was 500 people. That was supposed to be a BOT operation and it was expected to be click revenue that it would fall over a cliff after three years after we handed over operations. But nine months into that transaction with that client that 500 people business is running it has another two years to run. The number that we have been able to inject into the rest of the client is another 700. So we are operating at 1200. I cannot give you a very clear answer there. A core element of the revenue stream that is coming in will have a cliff, I do not know what to call it, a cliff vesting or a cliff fall at some stage. But if we continue to deliver, we are finding that we are able to expand into ancillary spaces. That is how I would characterize the answers Kawaljeet . Kawaljeet Saluja: Fantastic. Thank you so much for the answers Sudhir.

Moderator : Thank you. We take our next question from Ravi Menon of Macquarie. Please go ahead.

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Ravi Menon : Hi, thank you for the opportunity. Congrats on really good revenue numbers , just a few questions. One, it looks like you integrated Cigniti even though you still have only 27.98% stake. I guess this is because you now have control of the company. Is that right?

Sudhir Singh: That is right. We have board control. That is why we have integrated the firm and we have consolidated results.

Ravi Menon : Second is the deal wins of 560 million. It is the third best in any quarter so far. Could you talk a bit about,

how much of a proportion of this are renewable and what is the net new .

Sudhir Singh: Let me just reflect very quickly. The healthcare/public sector intersection was net new , the one I talked about. The Continental Europe deal was net new, which I talked about and the US deal was EN but most of it was new revenue. So largely new revenue, two of them are actually NN and one of them is EN with the accent being on the N and not the E.

Ravi Menon : Great thanks so much. And any of the GCC deals, do they have any build-operate -transfer sort of structure?

Sudhir Singh: Yes some of them as I said in response to Kawaljeet 's questions do.

Ravi Menon : All right thanks so much and best of luck.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand over the call to Mr. Sudhir Singh for closing comments. Over to you, Sir.

Sudhir Singh: Thank you moderator. Ladies and gentlemen, thank you very much for your time. We have always said this and we have always meant it. The questions you ask us, the insights that you provide or the questions provide are a very valuable guide and a milepost for us. We look forward to further interactions both in investor calls and investor meetings. Thank you very, very much for your time and your attention. Thank you.

Moderator: Thank you. On behalf of Coforge Limited that concludes today's conference. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you all for your participation.

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"Coforge Limited
Q3 FY20 25 Earnings Conference Call "

January 23, 2025

Management: Mr. Sudhir Singh – Chief Executive Officer
Mr. John Speight – Chief Customer Success Officer
Mr. Saurabh Goel – Chief Financial Officer

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Moderator : Ladies and gentlemen, good day and welcome to Coforge Limited Q 3 FY2025 Earnings Conference Call. Please note all participant lines will be in listen -only mode and this conference is being recorded. We have today with us from the management team Mr. Sudhir Singh , CEO, Mr. John Speight , Chief Customer Success Officer and Mr. Saurabh Goel , CFO. We will begin the call with opening remarks from the management team and post that we will open the floor for questions. Before we begin please note that some of the statements made in today's discussion relating to the future should be construed as forward looking statement and may involve risks and uncertainties. Please refer to the disclaimer to this effect in the company 's Q3 FY2025 earning press release.

With that I now hand the call over to Mr. Sudhir Singh. Over to you Sir.

Sudhir Singh: Thank you. A very good morning and a very good evening to you across the world , ladies and gentlemen. Thank you for joining us today as we share our quarter three performance and the business outlook.

Today, given the performance of team Coforge in Q3 , it is my privilege to start the commentary with almost the same sentence that I had used at the beginning of the last quarter's call. Here goes that simple yet powerful sentence once again for the second quarter running.

This quarter has been an exceptionally strong quarter for the firm.

In Q3, a quarter normally regarded as a seasonally weak quarter for the industry, the firm has registered a sequential CC growth of 8.4% and a Y -O-Y CC growth of 40.3%.

The Cigniti business has grown 3.5% CC sequentially and the non-Cigniti business has grown 9.4% CC sequentially. I wish to point out that the Cigniti business had already been fully consolidated in Q2 after we had assumed operational control of that business in the beginning of July itself. What makes this quarter's growth performance even more remarkable is the concurrent expansion in EBITDA. The adjusted EBITDA increased by 122 bps sequentially, even as our revenue rose 8.4% sequentially again.

In addition to both strong in quarter revenue growth and margin expansion, the firm has also closed four large deals during the quarter, including one in the Cigniti client portfolio. With that , our 12-month signed order book now stands at \$1.37 billion dollars which is up 40.1% from the same period last year. With this quarter's performance ladies and gentlemen, you will note that in less than two years and I repeat less than two years , the revenue run rate of Coforge has grown almost 60% from \$1 billion to approximately \$1.6 billion. Our inexorable and very rapid march to the next \$2 billion milestone is not just unhindered, but it is actually picking up even more pace. The quarter also marked the complete operational integration of the Cigniti business, which has not just seen robust growth, but has also seen its EBITDA margins jump more than 600 bps to 17.3% from around 11% just three quarters back.

With that preamble, I shall now walk you through the details of the quarterly performance.

QUARTERLY PERFORMANCE – REVENUE ANALYSIS

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Starting off with the revenue analysis, I am pleased to report that during Q3 , the firm registered revenue of \$397.1 million. This represents a year -on-year revenue growth of 40.3% in CC terms, 40.8% in US dollar terms and 42.8% in Indian rupee terms, respectively.

We believe that more than the robustness of our growth, what is really truly remarkable is the balanced nature of the growth across all cuts. That is, across all geo units , all industry verticals and every service line of ours. Our confidence in sustained growth in the future rides off the fact that there is no over reliance on any one growth vector , all vectors and I mean all vectors, including geo-based units, i

ndustry- based units, service lines, client -size cohorts are all firing. And they are all not just growing, but they are all growing very robustly. I t shall reflect quickly on the geo

vertical and horizontal number cuts data of our growth.

Despite furloughs in the current quarter, BFS grew 20.4% Y -O-Y. The insurance vertical grew 20.3% Y -O-Y. The travel vertical grew 43.4 % Y-O-Y, the government vertical outside India grew 48% Y-O-Y and other emerging verticals grew 88.2 % Y-O-Y t hat was the industry cut. From a geo perspective, the Americas grew 9.2% quarter -on-quarter, E MEA grew 8.9% quarter -on-quarter while as you know the firm grew 8.4% quarter -on-quarter overall. From a service line cut perspective, the engineering service line grew 6.3% Q -O-Q and 69.2% Y -O-Y. The intelligent automation service line grew 5.1% Q-O-Q and 11.2% Y-O-Y . The data and integration service line grew 4.1% Q-O-Q and 22.9% Y-O-Y . The BPS service line grew 1% Q-O-Q and 17% Y-O-Y a nd finally, the cloud and infrastructure service line grew 19.4% Q-O- Q and 42.1% Y -O-Y. Finally, the client -sized cut growth rates information is as follows. The top five accounts grew 13.5% quarter on quarter and 22.5% year on year. Top 10 accounts grew 14.4% quarter -on-quarter and 23.1% year -on-year. That was the revenue cut .

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS

Ladies and gentlemen, I shall move on to the margins and the operating profits performance data now. During the quarter we delivered an adjusted EBITDA of \$ 70.5 million registering a sequential growth of 15.4% and a year -on-year growth of 39.3%. The consolidated adjusted EBITDA margin for the quarter is 17.8% and that is up 122 bps sequentially and that too you will recall in a seasonally shorter quarter. There is another aspect of our margin performance that we would like to draw your attention to. The Ci gniti business reported 17.3% margin in the current quarter, which as I said earlier 600 bps higher than what was reported just three quarters back by that business. You will recall that last year Cigniti had reported an EBITDA margin of 12% and Co forge reported adjusted EBITDA margin was 17.6%, reflecting a p ro forma adjusted margin of 16.7%. From that level of 16.7% today we are already operating at an YTD adjusted EBITDA margin of 17.4%, which is an upside of 70 bps on last year's pro forma financials.

ORDER INTAKE

Moving on quickly to the order intake, this is the second consecutive quarter in which the firm has clocked an order intake of more than half a billion US dollars. The number for this quarter, quarter three is \$501 million. The executable order book of the firm has moved from \$1.3 billion in the previous quarter to \$1.37 billion in the current quarter. That represents a 40.1% increase in the next
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12-month signed order book over the last year's same quarter. As I have noted earlier, we signed four large deals in the quarter three of them were in North America and one was in ASEAN.

PEOPLE

Finally, people , the total headcount for the quarter stands at 33,094 reflecting a net addition of 61 1 employees during the quarter. Attrition continues to be stable and the last 12-month attrition during the quarter stood at 11.9%.

With that, I shall now request John Speight , Customer Success Officer , Coforge to walk us through capability and delivery highlights. John, all yours.

DELIVERY OPERATIONS & CAPABILITY BUILD

John Speight : Thank you Sudhir. I shall now touch upon the quarter's highlights related to our delivery operations. Starting as a progress we continue to make towards becoming a true AI first organization . We continue to expand our portfolio of service offerings using AI and GenAI and now have a portfolio of more than 30 capabilities. For example, the implementation of our GenAI powered submission centr e solution for a glo

bal insurance client has cut e -mail processing time from hours to minutes.

Meanwhile, at a leading retail client, we have used a number of our GenAI accelerators to significantly improve application development productivity and quality. We also created an offering to reverse engineer legacy mainframe applications using GenAI. This solution offers 25

to 30% time and cost savings for large modernization program mes.

We are continuing to enhance our Quasar AI platform to help clients deploy agentic AI applications. For example, one of our asset and wealth management customers is using the Quasar agentic framework to automate and improve the quality of their recruitment processes.

We are actively working with strategic partners, Microsoft and ServiceNow to embed AI and GenAI in solutions. This was recently showcased to one of our travel customers, where we leveraged copilot with ServiceNow to improve the productivity of their service desk representatives. Internally, we continue to invest in upskilling our workforce on AI based technologies.

Under our AI Spark initiative, 95% of our workforce has been certified in AI tools and foundational AI concepts. In our AI i nnovation lab, we are working with the AI hardware providers to create innovations around edge AI computing, as well as solutions that can process large datasets for pharma and healthcare organi zations.

On other updates, one area which I want to talk briefly about are global capability centres or GCCs as they are commonly known. We have formed a GCC centre of excellence to help clients establish and or scale GCCs as an integral part of their businesses. Our recent example here was the GCC Coforge Limited
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set up with a leading US -based wealth management firm managing \$1.5 trillion in assets. You will see significant updates in this area in subsequent quarters.

Our sector -specific accomplishments include significant public sector wins such as a large contract to enhance record management and operational efficiency and another large healthcare project to modernize the British healthcare system over the next 60 years with their banking and financial services we expanded our solutions to include Core Banking Testing, DORA compliance, and strengthen the agile frameworks for global banks wholesale banking division. We are also partnering with Fortune 100 bank on a financial crime prevention programme deploying an AI powered platform to combat human trafficking. Finally, in the travel sector, we have started a large programme to develop a scalable, low -code, no -code, SaaS platform, focused on improving customer care processes for a major transport company.

With this, I will hand over to our CFO, Saurabh Goel.

FINANCIAL OVERVIEW

Saurabh Goel : Thank you, John.

Let me take you through some of the financial highlights of the quarter. As mentioned by Sudhir, consolidated adjusted EBITDA margin for the quarter stood at 17.8%. Cigniti reported 17.3% adjusted EBITDA margin and excluding Cigniti adjusted EBITDA margin stood at 17.9%. This is despite headwinds in the current quarter on account of furloughs to the extent of approximately 50 bps. During the quarter, ESOP cost at 2.1% of revenue up 130 basis point over previous quarter and in line with our guidance. This was on account of new ESOP grants that were made towards the end of Q2 FY 2025. We expect this cost to marginally go down over next two quarters and then come down to a level of 100 bps of revenue from Q3 of next year onwards reflecting a tailwind on EBITDA margins in Q3 FY20 26.

Despite amortization of intangibles on account of Cigniti acquisition, the EBIT margin stood at 11.8% for the quarter and at 12.3% on year -to-date basis. This reflects growth of 25.8% in EBIT margins on a year -to-date basis.

The integration and merger expenses in the current quarter were down to \$1.9 million as again

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\$3.5 million in the previous quarter.

The depreciation and consolidated financial statement reflects impact of amortization of intangibles such as customer relationships and non-compete created on account of purchase price allocation.

As mentioned earlier, the amortization impact on a per year basis will be \$10.7 million. The cash and bank balances stood at \$110 million and there was a working capital loan of \$80 million reflecting a net cash position of \$30 million.

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Operating cash flow for Q3 FY 2025 stood at \$47 million against \$33.5 million in the same period last year. Q3 YTD basis OCF stood at \$86.5 million as compared to \$33 million last year.

The Board of Directors based on the recommendation of the audit committee and the Independent Directors at its meeting held on December 27, 2024 considered and approved the scheme of amalgamation of Cigniti with and into the company and their respective shareholders and creditors. Pursuant to the proposed scheme, one equity share of Coforge of Rs.10 each fully paid up for every five equity shares of Cigniti of Rs.10 each fully paid up. The scheme is subject to receipt of necessary regulatory approvals. The effective date of merger is going to be April 1st 2025. The merger process from now on will take around 12 months. Once merger is approved, the minority interest which is reflected in the financial statements will be taken off effective 1st of April 2025.

The adjusted PAT in the PAT sheet reflects net profit excluding that minority interest.

With that I will hand over the call back to Sudhir for his comments on outlook.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thank you, Saurabh.

Moving on to the outlook, a 8.4% sequential CC growth in a seasonally weak quarter, four large deals signed in that very same quarter, all geos, verticals, horizontals, client -size cohorts piling together. A concurrent and material sequential expansion of 122 bps in margins.

A large deals pipeline that is looking very robust going forward. And finally an ever -strengthening next 12-month signed order book, which now is more than 40% higher Y -O-Y, gives us great

confidence that the coming years shall once again see robust and sustained growth delivered by Coforge . I would also like to note that the growth and the margin expansion at Cigniti are a preview and I use the word consciously, a preview of sustained growth and further increases in margin to follow. Within two quarters post -acquisition, the business profile of Cigniti has changed materially on both the revenue and the margin front. A firm that was operating at an EBITDA margin around 12% has seen its margin reach 17.3% in this quarter, while its revenue growth and pipeline are also shaping up strongly. We have operationally fully integrated the Cigniti team and as we shared last quarter, the synergies have exceeded even our expectations.

Finally, before I conclude, a quick final reflection. The Co forge growth story is now into its eighth year. This is possibly one of the most sustained and I double underline the word sustained high growth business trajectories that any team in our industry has carved out. The key to that sustained and accelerating growth trajectory over the last eight years has been an execution DNA that is uniquely our own and an operating culture where the emphasis is on meeting plans and not just sharing plans.

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Team Coforge has turned an execution of the highest order over the last 8 years. We look forward with confidence and with eagerness at the next eight years.

With that I conclude my prepared remarks ladies, gentlemen and I look forward to hearing your comments and along with my team addressing your questions. Thank you.

Moderator : Thank you very much Sir. Ladies and gentlemen we will now begin the question and answer

session. We take the first question from Sulabh Govila of Morgan Stanley. Please go ahead.

Sulabh Govila : Thanks for taking my question and congrats on a very strong quarter.

My first question is with respect to the overall demand environment that we see in the world today, especially with respect to the fact that this is the time when the clients are deciding on their budgets and there is a sort of growth divergence that we have seen with respect to the industry in the last two quarters especially. So just wanted to understand from an industry perspective, what are we hearing from the demand side, especially given that this is a budget time going on?

Sudhir Singh: As we read the demand environment, and as we do bottom -up aggregation of the industries that we are looking at, we have said over the last two quarters and we maintain that there is a definite yet gradual improvement in demand across all sectors that is playing out. From a more immediate perspective, as we look at the three core verticals of the organization - on Travel, the sector continues to show impressive resilience and growth despite the ongoing inflationary pressures. The forecast for next year is a robust 7% growth in revenue passenger kilometers. In BFS, which is the other primary vertical for us, we continue to see demand across multiple micro areas, particularly operational resilience and regulatory compliance. And the same story plays out across insurance and government as well.

Sulabh Govila : And my second question is with respect to Cigniti, the cross -sell that we have seen this quarter, if you could highlight what all services we were able to cross -sell in that particular deal, whether there are more such deals in the pipeline and the current deal, did it involve replacing of existing vendors or it was a new project altogether so just colours around that would be very helpful.

Sudhir Singh: The large deal that we signed, which was one of the four that was signed overall by the firm , the specific large deal at Cigniti was signed with one of the top five customers of the firm. It involved limited amount of cross -sell of existing C oforge services. This question , you will recall, had come up in the last quarter call as well and we had said that the cross -sell pipeline takes practically and empirically around three quarters to settle down. We expect cross -sell synergies to start reflecting in quarter four or quarter one revenue data of Cigniti going forward. The large deal did involve displacement of the incumbent from whom a significant portion of that 20 plus million dollar TCB contract was signed.

Sulabh Govila : Understood. Thanks for taking my question. I will get back into the queue.

Moderator: Thank you. Our next question is from the line of Abhishek Pathak of Motilal Oswal. Please go ahead.

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Abhishek Pathak: Hi, team. Congrats on a great quarter. So just had a couple of questions. So firstly, Sudhir, as Coforge, let us say goes from 2 billion to let us say 3 billion in revenues, how does one expect to sustain the advantages that Coforge currently has in terms of let us say, winning deals, challenging incumbents. Does a bigger size put more pressure or change some of the fundamental modes that you have created? That is one. The second question is deal wins have been quite strong again this quarter. The last 12 month average is close to 490 I believe. And considering there is a certain amount of acceleration in discretionary, can we expect this sum rate to accelerate in the next year? And lastly, just wanted your thoughts on the insurance vertical. There has been a significant amount

of disruption with regards to the California fires and just your perspective on how it affects us, if at all, and how does that change, let us say, the outlook on the vertical that we had maybe last quarter and now. Thank you.

Sudhir Singh: I am going to take your three questions in order. The first question was around the disadvantages of increasing scale. The first thing that I will offer you is just data as proof of how increasing size is impacting our growth numbers. After we crested the billion dollar revenue mark, in less than two years, we have started hitting 1.6 billion run rate. You will notice that our growth rates have actually been increasing over the earlier years. The growth rate increase that has happened of late and that we expect to sustain for a very long time is being driven through three primary factors. The first is a maturing of partnerships as we scale up our ability to become a preferred partner for ServiceNow and for Microsoft, which are core enterprise partners that we are focused on for the next five years. The strengthening of the very strong partnerships that we already have with Salesforce, Pega and Duck Creek becomes that much more easier. The second reason is the investments that we have made. These investments take some time to bear fruit including the Quasar AI platform framework that we have created. A lot of the brand rub-offs and the revenue rub-offs are happening and accelerating. Third, the deep functional expertise which is now more relevant in an AI infused environment is what we think will hopefully not just sustain but will accelerate growth going forward. So that is answer one to question one.

Your second question was around deal wins and whether we expect them to be strong going forward. The answer is a clear emphatic yes. I say this after looking at the aggregate deal pipeline and looking at the different cuts of that pipeline which we look at on an internal basis, every Monday, 9 o'clock on our weekly senior leadership call.

Your third question was around the outlook for the insurance vertical. The California fires are a point in time event. If we look at the next 12 to 15 months and the structural secular change that is happening is that in the insurance space, the SMB market is going through transformation. I am talking SMB specifically. And they are looking for right sized partners with domain industry platform experience across the Duck Creeks, Guidewire, Majesco, Sapien platforms augmented increasingly by low code, no code platform experience. That is a sweet spot for us, has been for seven years, is getting built up, and demand is getting there. The second thing that we are seeing, and this is something that we are dipping into and I have discussed extensively is underwriting effectiveness, claims processing, customer experience, fraud detection, some of the core processes

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on insurance that one looks at. We have been able to with advanced analytics create 30 GenAI Insurance use cases in development out of which 10 are already live. That is the other demand stream that is coming up, which again is getting addressed. Therefore, we feel reassured about the fact that next year, insurance in the aggregate will continue to do well for us.

Abhishek Pathak: Thank you Sudhir that is very clear and all the best. Thank you.

Moderator: Thank you. We take our next question from Vibhor Singhal of Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my questions and congrats on a solid performance yet again. Sudhir a couple of questions for you and then I have one for Saurabh. I mean the growth of course is super strong but just two aspects of this. What are the conversations around the GenAI adoption at this point of time? It was widely believed that the GenAI adoption in the initial stages could actually be deflationary in nature. There could be some cannibalization of revenue. What is your view on this? Are we already into that phase or do you think that we might hit that phase maybe some quarters down the line and how do you see that play

aying out? And secondly, on the travel vertical, just wanted to pick your brain. I think the travel vertical has rebounded quite sharply for us. Last year was not that great of a year. I mean, it was still a good year, but I think still growth was softer than the other verticals. So is this turnaround because of our recovery in our core travel clients like airlines and hospitality or is it because of the travel ancillary companies like logistics or some other domains that we had divested into?

Sudhir Singh: Let me take the first question, which was around GenAI, the impact on growth. GenAI, what we have seen is over the last 18 to 20 months, the demand from a revenue addressing perspective is increasingly pivoting towards engagements that are more focused only on data to begin with. There is a significant amount of work and ask that is coming in terms of setting up scalable data pipelines, in terms of doing an assessment of the data landscape, including assessing data maturity, helping get a grip on the number of data sources and data cleansing. And there is increasing demand and engagements that are being considered in the data vectorization in the infrastructure space, which is largely so that enterprises can move towards supporting AI model training and deployment. AI conversations in some ways, when it comes to actual revenue getting generated, are seeing data

based engagements, data vectorization, infrastructure creation to support AI model training, etc become surrogates for getting that upside and that flip upwards. At this point in time, that is the change we have seen. Therefore, we certainly do not, and I suspect you would have picked this up from our commentary as well, do not see GenAI and this very powerful AI based technology as something that is going to be deflationary from our vantage.

The second question that you had was around Travel and the fact that we performed well. And you are right. We feel very, very bullish about travel. And I said this earlier in response to a question; the travel sector has already shown exceptional resilience and growth despite the inflationary situation and the pressures that have been around. I talked about this, the forecast next year from IATA is that there is going to be a robust 7% growth in RPK, which is revenue passenger kilometers driven by low cost carriers. So that sector seems to be doing well. We are seeing a lot of demand around GenAI and AI platforms, primarily to improve personalization in products and offerings

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and to automate processes. The immediate demand that we are looking at is coming in the Travel sector from Travel tech players, the Travel platform players that are focused on loyalty, that are focused on legacy modernization, and some of which are focused on network and capacity expansion by airlines.

Summarizing, the demand is coming from travel platform players, what we internally call travel tech. It continues to be very strong from airlines and it continues to be very strong from airports who are trying to recreate themselves in some ways effectively as digital malls or real-life malls.

Vibhor Singhal : Got it, got it. Thank you so much for that detailed explanation. I have just a question for Saurabh.

So Saurabh, if you could just briefly outline the impact of the two ESOP schemes that we had. One was in 2019 ESOP scheme, if I am correct. How will that wane out over the next couple of quarters? And of course, you mentioned the current ESOP scheme, when is the timeline for that expected to be a positive impact on the margins? And just a related question our utilization is at 81% at this point of time. I mean, most of our peers are operating at almost 85%. One of your closest peers took that level to around 87% in this quarter. So any specific reason that we are keeping it at these levels? Is it a merger related anomaly

? And do you think this could be a good margin lever going forward?

Saurabh Goel : Vibhor I will take the first question first. So ESOP cost in the current quarter, we had mentioned in the previous call also that as soon as we launch the ESOP scheme, the cost will be close to 200 bps of the revenue. And the current quarter reflects that the last ESOP scheme that was launched in 2019 a part of that has already got vested on 1st of January so while we move into Q4 you will see roughly 20-25 bps reduction because of that and then a part of that is getting vested on 1st of April which means you move to Q1 there will be another 20-25 bps reduction and then between Q1 and Q2 it will sustain at a 1.5 odd percent and then effective Q3 onwards it will go to 100 bps or so. So currently we are at 210 bps it will come down to 150 by Q1, 20, 20 bps in sequentially next two quarters and then 150 bps from quarter one and then to 100 bps in quarter three. So if the EBIT margin or the EBITDA margin in the current quarter was 15.8% or the EBIT margin was 11.8%, you will see a tailwind of at least 100 bps coming in just because of accounting and with further expansion on the EBITDA margin or the gross margin there will be another tailwind of 40-50 bps that would be coming in. So one can expect that the EBIT margin should be expanding close to from 11.8% currently should be hitting roughly 13.5% by Q3 next year.

Vibhor Singhal : Got it. Got it. My question on utilization, if you could just answer that as well, please.

Saurabh Goel : The utilization number one includes 2.5-3% on account of trainees. Freshers included in the utilization that we report which means that for laterals it is 84 and the kind of growth and the pipeline that we see, we believe that 83-84 for laterals is a good utilization number. Beyond that is not sustainable. That is our belief and we would want to focus on growth and have a bench which is ready to be deployed. So we do not want to take this utilization beyond 83-84%.

Vibhor Singhal : Got it, got it. Thank you so much for taking my questions and wish you all the best.

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Moderator: Thank you, we take the next question from Aniket Pande of DSP Mutual Fund. Please go ahead.

Aniket Pande : Thank you for the opportunity. Congratulations to Sudhir and team for excellent performance and execution in a low growth environment into this quarter. I have just two quick questions for you.

My first question is on the large deal wins. The deal wins which you have won into this quarter are specifically into which vertical and what is the nature of those deals? I mean are they more into cost oriented, efficiency driven or they are more into discretionary related work?

Sudhir Singh: Let me give you a quick cut in terms of it and I will give you a very quick rundown in terms of all four and where they come from. The first one comes from an asset and wealth management client.

This is a deal that warrants setting up a specialized GCC for that AWM. This is a new GCC that they are setting up. The second deal comes from the ASEAN region. This is working with a close partner of NVIDIA to scale up data centre operations, AI led data centre operations. The third one is one of the leading airlines of the world, which was led by our testing practice, the Cigniti team. And that focuses largely on AI driven testing and testing in an AI context. The fourth one is a renewal. It is with an insurance client of ours in North America. Aniket, did you get the answer?

Aniket Pande : My second question is the furlough related impact. Is it more in BFSI in this quarter and can we expect revival in that for the next quarter?

Saurabh Goel : So yeah Aniket, so if you look at current quarter there was 50 bps impact both in banking and insurance and because there are mandatory furloughs that get triggered towards the end of the quarter, December quarter and we see that every year and next quarter on we will have that getting reversed and that is why we will see a tailwind on margins as well and both on revenues and margins in the next quarter both in banking and insurance.

Aniket Pande : Thank you so much and best of luck for CY 2025.

Moderator : Thank you. Our next question is from Sandeep Shah of Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity and congrats on a great execution. Sudhir just wanted to understand the profile of the deals on GCC in terms of margin profile will it be slightly linear or non-linear and will this impact our free cash flow and what is the pipeline around GCC deals we are tracking?

Sudhir Singh: Sure, I will kick this off and then I will request Saurabh also to pipe in on the margin piece. Let me give you a quick sense in terms of the nature of the deals. The deals that we had, the GCCs that we are helping set up are coming in three different flavours. They are coming in under a BOT construct, they are coming in, in terms of just setting up a greenfield GCC and they are coming in also in the form of a virtual GCC concept. At this point in time, the GCC offering that Coforge has straddles all three. We call them offerings for brownfield and for greenfield GCCs. That is what we are working across. Saurabh, would you like to address the margin question?

Saurabh Goel : From margin perspective, the margins are normalized margins as we see in any other deal. They do not come at discounted margins because these employees are on our payroll.

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They are not on the payrolls of the client. And a lot of these deals that we are really working on. The client does not even have a legal entity in India. So when we are setting up GCC for them, we are setting up offices and making sure that the office has look and feel, the infrastructure, the way they want and the margin profile continues to be as robust as any other deal.

Sudhir Singh: And this entire offering for Coforge has been created by John who is on the call. John would you like to add something to this?

John Speight : As ever Sudhir fantastic answer from yourself and Saurabh. I think one of the key things that we are trying to do is bring in a whole concept and differentiation about the journey that we take our customers on. And you will see the terminology control your destiny coming through from Coforge. This, along with the type of customers that we are approaching, we see as a key part of our success in this area, currently and in the future. Back to you Sudhir.

Sandeep Shah: Yeah and Saurabh, just the follow up question, any impact on pre-cash where we may have to invest upfront in the asset?

Saurabh Goel : No, not in these. These are normal deals like any other normal ramp up. It does not have any hardware, software or any significant upfront investments would be like any other outsourcing deal. The only good thing is that it is an exclusive deal wherein when we are signing up for GCC deals, we are exclusive partners wherein we are the ones who are setting it up for them and not letting anyone else to come in.

Sandeep Shah: Okay and just last two questions in the earlier calls, we were guiding for a 50 bps increase in the adjusted EBITDA margin and flatish reported EBITDA margin. So do we still stand by because that also requires a big jump in the fourth quarter implied adjusted EBITDA margin. And the second question on the debtors if I look at on Q3 basis it has gone up 30% any reason for that and do you believe that those collection has delayed that means fourth quarter free cash flow could be higher than third quarter.

Saurabh Goel : So number one the DSO has come down. The DSO is more or less flat at 60 odd days including Cigniti. Okay so there is no increase in DSO from that standpoint. I think the increase in debt

ors is only on account of revenue growth and so that is point number one. The DSO is flat at 60 days including Cigniti. Without Cigniti, the DSO has actually come down from 60 to 57 days. So that is point number one. And if I look at debtors that has been reported, it is 19,985 million in the current quarter versus 19,095 million in the previous quarter, which is Q2. And if we compare like to like where in Cigniti was there in both the quarters so it is more or less the same in line with the revenue growth so that is answer to the DSO. What was the second question Sandeep?

Sandeep Shah: In terms of the adjusted EBITDA margin and the total EBITDA margin.

Saurabh Goel : As we mentioned that, pro forma margins for the business, if we take Cigniti into consideration,

last year adjusted EBITDA margins would have been 16.7%. 17.6% was Coforge, 16.12% was Cigniti, consolidated margin pro forma basis was 16.7 %.

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Sitting today we are looking at 17.4 % on a consolidated basis which is roughly 70 bps already higher than what the pro forma financials were point number one. Number two if I exclude Cigniti the YTD margins are already 30 -40 bps higher and we had a guidance of 50 bps and a flat reported EBITDA margin. We believe that the tailwind that we expect in the next quarter on account of furloughs getting reversed plus the actions that are already under play margins will go up. In the current quarter when it was a shorter quarter we have expanded margins by 130 bps we expect to repeat the same thing in the next quarter.

Sandeep Shah: So my question on debtors was more on Cigniti but I agree on the consol basis it has gone down.

Saurabh Goel : See Cigniti, the other piece was, earlier when they were closing books the last month of the quarter was more taken as unbilled so we started making sure that the billing happens in time, and that is why you are seeing a jump in Cigniti otherwise, nothing else.

Sandeep Shah: Thanks and all the best.

Moderator : Thank you. We will take the next question from Shradha Agrawal of MSEC. Please go ahead.

Shradha Agrawal : Congratulations on a great quarter Sir. Couple of questions first is if I look at the top clients performance that number has been very strong and top five , top 10 clients growing at almost upwards of 12-13% on a sequential basis. So anything to highlight there in terms of top client performance?

Sudhir Singh: Thank you Shradha. Our top 10 clients Shradha, all of them come from what is the non-Cigniti portfolio of C oforge. The efforts that we have highlighted over a period of many quarters around key account program management, around making sure that the farming engine is world -class when it comes to stitching together solutions and capabilities and is effective at competitive displacement. It is essentially a function of all of those things coming together. John, as the Customer Success Officer of the firm, you are the person who has driven this. I think you are far more qualified than I am to add more colour here.

John Speight : Thank you. I mean one of the key things we have driven over the last four or five quarters is to pivot towards a very, very much a value -orientated approach. There is no secret sauce. It is understanding your customer, having the right people aligned to the customer, dedicated to those customers, and then understanding at the end of the day what outcomes they are looking for, working out against those outcomes, what are the quantifiable ways in which you can measure those outcomes, and then ensure that you deliver against those outcomes. And that is aligned to the old adage we use often execution, execution, execution means that our customers are happy and see us as a trusted partner. That is it.

Shradha Agrawal : Right and two questions for Saurabh. Saurabh till when do we expect this integration and merge

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related expenses to continue in our books? And what is the difference between reported and adjusted margins in Cigniti?

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Saurabh Goel : So reported and adjusted is basically ESOP cost which is the Coforge ESOPs that have been allocated to Cigniti team that is number one and the difference is not very significant. I think it is 17.3 versus 17.1. Number two, the integration expenses, I guess largely we should be over by end of this year. And previous quarter, as I said that it was roughly \$3.5 million. And I had mentioned last time that in Q3, it will come down, which has come down to now 1.9. We would expect it to further come down and then there will be some minute merger related expenses but large part of the merger related expenses have also now behind us because we have already launched the scheme. So anything to do with audit, anything to do with merchant banker, anything to do with lawyers, a large part has already been booked. So after Q4 you would not see such costs .

Shradha Agrawal : Got it. Just that my numbers show that Cigniti reported EBITDA margin is 16.5% and adjusted EBITDA margin is 17.3%. So wanted to cross check if it is 17.1 and 17.3% that you are talking of or it is 16.5 and 17.3.

Saurabh Goel : I will then come back on that. I think 17.3 minus the ESOP cost was the reported EBITDA margin for Cigniti but I will come back on that later.

Shradha Agrawal : Thank you Sir. That is it from your side .

Moderator: Thank you. We will take the next question from Ashish Das h from Mira e Asset Capital. Please go ahead.

Ashish Dash : Hi thank you for the opportunity. Just want to understand your BPS segment. So I can see the additions of employees continues. Share your outlook on the BPS .

Sudhir Singh: Our approach to BPS , and I will request John also to layer on to my question, our approach to BPS ,

given the size of our business, is AI-led. The work that we are doing, the way in which we establish a beachhead is by leading with what we call AI led ops. That has allowed us incidentally to make a significant beachhead with one of the world's largest retailers in terms of setting up a captive for them in India for AI led ops itself. So AI led ops, automation, and given our size advantage, the ability to drive extreme automation and if required, cannibalize our operations revenues is what has marked us out. Our BPS business is doing well. It is, as I noted earlier, growing 17% year-on-year and we are seeing reasonably strong tailwinds for that business currently. John, would you like to add more color to this?

John Speight : Yes Sudhir. Again the one thing there I would just add is I think Sudhir mentioned size and the fact that we are not shy of cannibalizing. Our whole BPS business is not defined or run on the basis of volume of people on seats. It is very much driven around outcomes and we are automation AI in every stage of what we do in our BPS business to deliver those outcomes, not people.

Ashish Dash : Okay, got it. My second question is, Sudhir when you discussed about your revenue aspirations and the third point you mentioned that you need deep functional expertise for the hyperscalers. So one question I would like to understand, particularly BFS division has been basically driven under your leadership. So it is kind of you guys might not have all the expertise in all the subsegments.

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So just want to understand if you are seeing that the revenue aspiration would be driven by this deep functional expertise, what are the investments you would like to do particularly in the BFS vertical or overall, I just want to understand your thoughts. Like what kind of more investments you require for that deep functional expertise or for other subsegments also.

Sudhir Singh: The four players with whom we spend most of our energy

is, while of course we have like any other

SI a significant ecosystem of partners but the four largest ones are ServiceNow, Microsoft, Salesforce, and Pega Systems. Particularly for Microsoft and for ServiceNow the attraction for working with an SI of our size and scale is the functional expertise that we bring to bear to create solutions for them. A live example of that is the underwriting co pilot that we created in conjunction with Microsoft. Another live example of that is the very interesting solution that we have created in the healthcare space working with ServiceNow, which of course is operating as an AI integrator for the broader ecosystem. That Ashish is how we have been approaching partnerships and that continues to be the way in which we will continue to drive things going forward as well.

John Speight : One of the key things we are also doing is embedding partners' platforms or integrating partner platforms as value adds within COTS products, Duck Creek, Guidewire and so on to actually supplement and augment those solutions for customers and the only way you can do that is by merging technology engineering capability, the knowledge capability around our partner platforms and ecosystems, and also the domain in which you are operating to understand the outcomes that need to be delivered.

Ashish Dash : Okay, got it.

Saurabh Goel : Moderator I would like to address Shradha's question on the Cigniti EBITDA margin. So as I mentioned that 17.3 to 17.1 was the ESOP cost and then there was because both the firms have gone together and went ahead with the merger. So out of \$1.9 million, 300k was in Cigniti because they paid auditors fees, they paid the lawyers' fees and the fees for the merchant banker. So that is why you see that the EBITDA margin was at 16.6% . So that is the reason.

Moderator: We will take the next question from Kawaljeet Saluja of Kotak Securities. Please go ahead.

Kawaljeet Saluja : Hey, thanks Sudhir. Congrats, crazy growth here. A quick couple of questions. One is that you mentioned that ServiceNow and Salesforce is a trending practice, where the area of practice is very strong. Now in both these practices, essentially there is a fair bit of licensed procurement and sale that happens in the December quarter, seasonal trend. So does that hold true for Coforge as well and if yes, can you quantify, let us say the contribution that you had from the sale of third party licenses in the December quarter?

Sudhir Singh: Thanks for the question Kawaljeet and thanks for the comment.

ServiceNow and Salesforce you are right. ServiceNow, Salesforce, Microsoft, and Pega are the four core enterprise partnerships. The intent is to get each one of them , some of them are already beyond the \$100 million mark, . the intent is to get all four of them in short order beyond the \$ 100

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million mark. We do not call out specific license revenues from our enterprise partners, but the intent always is to create managed solutions in which licenses are embedded. It ends up being a two-way street. It ends up strengthening the relationship and you know this better than I do. And therefore, to that extent, we get into these. Whenever we do these managed solutions-based sales, where a software or a license is embedded, the one thing that we do watch out for is the margin. And in the license

-embedded managed solution sales that we have done this quarter, our margins have been North of 30%.

Kawaljeet Saluja : That includes the license cost as well.

Sudhir Singh: Includes it, absolutely.

Kawaljeet Saluja : Fantastic. The second question is for Saurabh. Saurabh, you had a net cash and yet a fairly high negative other income of Rs. 357 million. What explains the disconnect and when does one start seeing a synchronization of other income in sync with your cash balances or net cash balances?

Saurabh G

oel : So Kawaljeet number one, Cigniti's cash was lying idle in the overseas geographies and we were not able to use it because they were not a subsidiary. As we speak, they became a subsidiary on 20th of December. We have already gone ahead and taken board approval and we are working with the transfer pricing partner as well, wherein now on arm's length basis start utilizing that cash across the group. And wherein there is return for Cigniti as a legal entity as well. And we are not paying interest outside to the bankers. So I guess in the current quarter itself you will start seeing the interest expense to that extent coming down.

Kawaljeet Saluja : Okay, fantastic. Thanks a lot.

Moderator: Thank you. We will take our next question from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta : Yeah thanks for the opportunity. Couple of questions. First about the quarter three itself whether it played out, let us say in line with your expectation or better kind of thing compared to let us say beginning of quarter and if it is better what worked well in the quarter. Second question is about the pipeline you indicated very robust deal pipeline so if you can help us let us say when we were two years back, how the nature of the pipeline is shaping for us compared to two years back versus now when we acquired a few capabilities through M&A as well as organic development. So if you can give some sense on how it is helping us to maintain momentum. And last question is for tax rate how one should look o r combine tax rate for the entity thanks.

Sudhir Singh: I will take the first two questions , Saurabh will take the third one and John feel free to jump in whenever you want to.

The quarter has shaped up , it has been a very strong quarter, it was not a surprise to us. If you go back and look at our headcount edition in quarter one, quarter two, it will give you a clear sense of the fact that we were heading towards this. In both those quarters in the commentary and in the question and answer session, we are clearly called out that we were building up an available resource base, that we were keeping utilization where we were because we saw clear and steep

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growth ahead of us. This quarter is a realization and a confirmation of that assertion. Question number two is pipeline and how it is shaping up. It is shaping up extremely well and what we find the most exciting, going back to the point that I made earlier around functional expertise and around the spends around legacy modernization which are AI infused is that the median size of the large deals, at least some of the large deals that we are approaching is disproportionately higher than what we have ever at tempted in the past to close. That is the flavo ur I will leave you with. Tax rate is on you Saurabh .

Saurabh Goel : So Dipesh tax rate is inching towards 25 odd percent. And I think that is how you should start modeling it.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I would now hand over the call to Mrs. S udhir S ingh for closing comments. Over to you Sir.

Sudhir Singh: Ladies and gentlemen, as I said at the outset, while we are closing in on eight years of very sustained and very robust growth, as a management team in many ways, we believe we are just getting started. We look forward with excitement and eagerness . We look ahead with excitement and eagerness also at the continued interactions that we will have with you every quarter here on.

We value your time, we value your interest . And most of all, we benefit significantly from the insights that you offer. Thank you very much for your time and for your interest. We look forward to meeting you again next quarter. Good night and have a great day.

Moderator: Thank you members of the management. Ladies and gentleman o n behalf of Coforge Limited

that

concludes today's conference. Thank you for joining us.

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"Coforge Limited
Q4 FY20 25 Earnings Conference Call "

May 05, 2025

Management: Mr. Sudhir Singh – Chief Executive Officer
Mr. John Speight – Chief Customer Success Officer
Mr. Saurabh Goel – Chief Financial Officer

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Moderator : Ladies and gentlemen, good day and welcome to Coforge Limited Q 4 FY2025 Earnings Conference Call . Please note all participant lines will be in the listen -only mode and this conference is being recorded. We have today with us from the management team Mr. Sudhir Singh , CEO, Mr. John Speight , Chief Customer Success Officer , and Mr. Saurabh Goel , CFO. We will begin the call with opening remarks from the management team and post that we will open the floor for questions. Before we begin please note that some of the statements made in today's discussion relating to the future should be construed as a forward -looking statement and may involve risks and uncertainties. Please refer to the disclaimer to this effect in the company 's Q4 FY2025 earning press release. With that , I hand over the call to Mr. Sudhir Singh.
Sudhir Singh: Thank you moderator . Ladies, gentlemen, thank you very, very much for joining us today as we share our Q4 and our fiscal year 20 25 performance as also the outlook for fiscal year 2026. Fiscal year 2025 was a landmark year for the firm where we have recorded 31.5% US dollar denominated growth.

In addition, Q4 again has been a landmark quarter for the firm because in this quarter we booked \$2.1 billion of orders in a single quarter. And we have signed five large deals paving the way for what is likely to be a very strong growth year in fiscal year 2026 as well. With that preamble and before I run through our commentary, I want to share an important reminder with you. Almost a year back during the last year annual investor call, we made three assertions. Those three assertions and our performance against those assertions bears remembering as you listen to our commentary today.

Assertion number one a year back, we had shared was that what we were making that we were making a contrarian yet high conviction bet by acquiring Cigniti .

Assertion number two that we made a year back was , we had shared that we were stopping the process of providing annual guidance not because we were unsure of our performance in fiscal year 2025, but because in fact we were very sure that we would continue to drive robust and sustained growth in fiscal year 2025. And as you can see, we have.

And finally, assertion number three a year back that we made was, we had shared that despite the bleak demand outlook painted by some of our peers and analysts for fiscal year 20 25, we had said that we believe that there were definite areas where a focused firm could pivot and drive significant growth and we have.

We are pleased that our performance was exactly in line with the three assertions that we made a year back on this same call. I shall call out the full year and the quarterly performance in order.

A few highlights before we dive into the details. It is not just the 31.5% growth in fiscal year 2025 that is remarkable, but even more important has been the quality of that growth. Our growth in fiscal year 20 25 has been large deals led and has come off the back of 14 large deals signed through the year. The deal momentum has kept accelerating every quarter over the last four

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quarters with five large deals signed in the most recent quarter. Our order book at the end of fiscal year 2025 is now 47.7% higher than it was at the same time last year. The growth again has been balanced. Every industry business unit of Coforge has performed well. Every service line of Coforge has done well. Every geo that Coforge operates in has grown and all client cohorts including top five , top 10 , and top 20 clients have grown. As I noted earlier, in Q 4 we have booked \$2.1 billion of orders which is equal to the entire order book that we did in all of fiscal year 2024. Therefore, we look at the com

ing quarter and the coming year with great confidence.
With that preamble, I shall now walk you through the annual performance.

QUARTERLY PERFORMANCE – REVENUE ANALYSIS

Let us start with annual performance revenue analysis. In fiscal year 2025, we registered a consolidated revenue of \$ 1.445 billion. We clocked a revenue growth of 31.5% in US dollar terms, 33.8% in Indian rupee terms, and 32% in CC terms. Our ability to drive growth in tough macros was aided significantly by growth across each one of the industry verticals that we operate in. The growth was led by the travel vertical which saw 33.7% Y -O-Y growth followed by government outside India vertical which saw a 27.1% Y -O-Y growth.

The banking financial services vertical through the year grew by 20.4% and the insurance vertical grew 13.3%.

Other emerging verticals, including healthcare and retail grew by 67.9% in dollar terms. On the margin front annual performance commentary is as follows. The adjusted EBITDA margin came in at 18% for the year. Our performer adjusted EBITDA including Cigniti was 17% in fiscal year 2024 and the margin improvements have borne clear fruit. Our reported EBITDA was at 13% and our margin improvement efforts have assured us that our reported EBIT shall expand materially in fiscal year 20 26.

QUARTERLY PERFORMANCE – MARGINS AND OPERATING PROFITS

Moving on quickly to quarterly performance revenue analysis, I am pleased to report that following a 8.4% CC sequential growth in Q3, the firm has registered a sequential revenue growth of 3.4% in CC terms in Q4. In USD and INR terms, the sequential growth was 3.3% and 4.7% respectively. The growth during this quarter was led by the BFS vertical which has grown 13.4% sequentially in dollar terms. Our travel vertical grew 7.5% sequentially and the government outside India vertical grew 8.5% sequentially in dollar terms. Other emerging verticals declined 8.3% Q -o-Q in dollar terms. Our top five clients and our top 10 clients declined 5.9% and 4.6% quarter on quarter. You will recall they had grown 13.5% and 14.4% sequentially last quarter. It is important to note that our top five clients and our top 10 clients have grown by 12.1% and 15.1% respectively over the same quarter last year and these relationships continue to be very robust. We expect very robust growth to return to this client cohort in the coming quarters and through fiscal year 20 26.

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ORDER INTAKE

Order intake commentary is as follows. Q 4 was an outstanding; I repeat absolutely outstanding quarter from both an order intake and the number of large deal closure perspective. During the quarter we signed five large deals. The velocity and median size of large deals signed by Coforge has been increasing over the years and I have remarked upon it often. I shall reflect more upon this in my concluding remarks. The total order intake during Q4 was an exceptional \$2,136 million. We have closed fiscal year 2025 with the highest ever recorded order intake of \$3.5 billion and this metric is up 75.1% year on year. The executable order book, which reflects the total value of locked orders over the next 12 months, now stands at a record \$ 1.5 billion. This number some of you might recall was only \$1 billion a year back and has witnessed a 47.7% growth.

PEOPLE

On the people front, our total headcount at the end of Q 4 stood at 33,497. We saw a net people addition of 8,771 people during the year and 403 during the quarter. Utilization during the quarter stood at 82%. Last 12 month iteration for the quarter fell further and is now at 10.9%. We remain as always one of the lowest iteration firms across the industry.

With those comments, I will now hand over the call to John Speight, Chief Customer Success Officer of Coforge for providing insights into our operations and cap

ability creation. Over to you,

John.

DELIVERY OPERATIONS & CAPABILITY BUILD

John Speight : Thank you Sudhir. I shall now touch on the quarter's highlights related to our delivery operations. Starting with the progress on our AI and GenAI capabilities. Q4 saw significant process on the implementation of our AI led solutions. We now have over 200 real -world solutions developed and deployed. All of these solutions, frameworks, and assets are available to our clients by the Coforge Quasar AI Marketplace.

I will now share some examples with you. We implemented a GenAI infused solution for a large US insurer that enabled the automated extraction of policy and claims data for insurers, integrating seamlessly with platforms such as Duck Creek and Guidewire delivering 30% operational efficiency.

For another US insurance company, we base a million documents a year significantly enhancing data extraction accuracy, quality, and speed.

In the travel sector for a major European transportation company, we implemented an AI powered solution that provides real -time insights on next best actions during customer calls.

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Meanwhile, for the world's leading air transport communications company, we implemented an AI based prioritization solution that has been instrumental in reducing by 75% the volume of weather alerts sent to pilots. Agentic AI is driving a lot of interest in the market currently and we are actively building capabilities in this area to deploy Agentic AI solutions. For example, we are developing an Agentic AI-based product catalogue solution for a major US building products distributor to improve their B2B sales effectiveness. We have also used the NVIDIA NeMo framework to develop our model lifecycle as a service offering. This enables organizations to build out their own proprietary AI and GenAI models within managed secure environments, enabling them to safeguard their IP and enable data confidentiality essentially embedded within their proprietary models.

Within Coforge, our engineering teams are leveraging tools such as GitHub Copilot across the software development lifecycle, achieving more than 30% reduction in time and cost on large modernization programmes.

Through our AI Spark programme 94% of our employees are now AI trained and more than 50% of our developers are proficient in GitHub Copilot.

Moving on to partnerships, I want to share a couple of highlights this quarter. In collaboration with ServiceNow, we launched the Coforge Generative AI Center of Excellence, CoE. It will focus on developing Agentic AI solutions that help customers accelerate their ServiceNow adoption journey. Areas of focus include payments processing, fraud detection, dispute management, and digital operations resiliency.

Coforge and ServiceNow have also partnered to accelerate AI powered dispute management. In March, we delivered for a US based branded payment company the first dispute management solution on the ServiceNow platform.

In the cybersecurity space, we achieved tier 1 MSSP status for Zscaler on the back of a successful client implementation of their zero trust architecture. The latest being for telecommunications service provider.

On a final note, we are particularly proud of achieving Pega Global Elite Partner status for 2025.

This prestigious recognition underscores our exceptional capabilities in delivering client value add with Pega led solutions. With that, I will now hand it over to Saurabh Goel.

FINANCIAL OVERVIEW

Saurabh Goel : Thank you, John.

Let me take you through some of the financial highlights for the quarter and the year. During the quarter, we signed the definitive agreement to sell entire stake of AdvantageGo business at a consideration of £ 43 million. As a result, the reported financial performance of the qu

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reflects performance of the continued operations and all metrics in my commentary will be for continued operations until and unless specified otherwise.

During the current financial year, AdvantageGo business generated revenue of \$23 million, EBIT loss of \$5 million and a cash burn of \$8.5 million. During the quarter, we also acquired data and cloud asset in the US generating quarterly revenues of 6 million and our ServiceNow asset in Australia generating a revenue of \$2 million per quarter. Both these acquisitions generate margin in line with company's performance. Revenues from these acquisitions will be largely set off by the sale of AdvantageGo business.

We have also ended the year with net cash of 43.3 million as against a net debt of 9.8 million at the end of FY 2024. From a full year perspective, the revenue for the year stood at \$1.45 billion, reflecting a growth of 31.5% in dollar terms. Adjusted EBITDA margins for the years were 18% and EBITDA margins were at 16.6%. EBIT margins for the years stood at 13%.

The structural changes executed by us and large deals signed during the year reflect our continued focus to drive profitable growth. With these changes, we have a clear line of sight of improving margins over the next two years.

Currently, our cash and bank balance totals to \$1.25 million excluding the \$82 million working capital loan, our net cash position is 43 million. Full year, OCF stood at 147 million as compared to 108 million last year, reflecting OCF to EBITDA of 61%.

Excluding integration expenses, the OCF to EBITDA for FY 2025 stood at 71%. During the quarter, the quarterly revenues stood at \$403.8 million. Including AdvantageGo, the revenues for the quarter were \$410.7 million. Adjusted EBITDA margin in the current quarter, which was a tough quarter, expanded by 100 basis points to 18.7%.

ESOP cost has come down by 33 basis points as we guided in the previous quarter and now

stands at 1.8%. And as mentioned earlier, it is expected to come down to a level of 100 basis points from H2 of this year. The exit debit margin for the quarter stood at 13.2% which reflects expansion of 123 basis points over previous quarter.

Operating cash flow excluding transaction expenses related to integration expenses for Q4 stood at 75 million against 48 million in the previous quarter. This reflects OCF to EBITDA of 108%.

With that, I will hand over the call back to Sudhir for his comments and outlook.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thank you Saurabh.

We are entering fiscal year 2026 with a record signed order book, which is 47.7% higher than where it was at the same time last year. Let us start with that for outlook. Equally importantly, Coforge Limited

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our pipeline of large deals, where we have high conviction that they will be closed in the short term is unimpaired.

For more than eight years, despite the changing macros, both the number and median size of large deals signed by our sales engine has continued to increase year on year that trend despite the uncertain macros the industry is currently facing will continue to be on track.

The Sabre \$1.56 billion deal that we announced through the quarter has seen an impeccable transition and a ramp-up so far. We believe that more than the robustness of our growth, what is truly remarkable is the balanced nature of our growth across all cuts that is across geo units, across industry vertical units, across service lines.

Our confidence in sustained growth in the future rides off the fact that there is no over-reliance on any one growth vector. All vectors including geo-based units, industry-based units, and service lines of firing, they are all not just growing, but they are all growing robustly.

Finally, as we conclude the year, we would like to reflect upon the three key reasons why team Coforge has delivered robust and sustained growth over eight years. Remember eight years, this is not one, two or three years, including during years when the industry has faced headwinds. Those very reasons give us confidence in our quest to be the industry growth leader in fiscal year 2026 as well.

Reason number one out of those three reasons is an execution discipline and an execution intensity that is uniquely our own. For eight years, the three-step iterative process of plan, execute, debrief. Plan, execute, debrief. Plan, execute, debrief has been repeated by every function and every unit of Coforge till it has now become hard-coded in the DNA of our firm. Reason number two is our outsized focus on driving growth essentially through solution based, proactive, large managed services deals. This large deals-based growth approach has meant that our teams count more on wallet share expansion and not client budget expansion as the primary arc for expanding our revenue. We enter every downturn with a strong signed order book and a high conviction short-term pipeline ahead of us, allowing us to outperform irrespective of the macros.

Reason number three is our unwavering eight-year dedication to building deep differentiated architect pools and SME led industry-specific engineering competence. We believe as things stand today after eight years, we are one of the most credible challengers today in the financial services tech partner landscape and we further believe that we have now entered the leaders box in the travel services tech partner landscape.

Our government business outside India and our healthcare business is being built up painstakingly following the exact same approach. Each three of these aspects, the execution intense DNA, the large deal oriented sales mindset, and the industry led engineering focus cannot

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be built overnight. They take years to build, but once built, they become a lasting growth pillar which does not just sustain high growth, but actually accelerates growth every year.

Our growth outlook for fiscal year 2026, despite the uncertain macros that the industry faces is very robust. We believe very significant growth in fiscal year 2026 will be accompanied as Saurabh said by a simultaneous and a material expansion in reported EBIT.

With that ladies, gentlemen, I conclude my prepared remarks and Saurabh, John, and I look forward to hearing your comments and addressing your questions. Moderator all yours.

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. Our first question is from Mr. Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Hi thank you for the opportunity and congrats team on a great quarter. So I have got a couple of questions. Firstly, as you mentioned right over the past eight years, the growth has been quite significant, but would you agree that this is probably going to be an extended period of downturn

for the industry? And if so, does the deal win engine have to kind of permanently pivot towards large deals and cost takeouts or there is still room for discretionary and in other areas that is one. The second question is on the Sabre ramp up. Could you please tell us how the margins have been impacted in the short term and how should we model that? And just on the margins as well, right, I mean how should we expect the reported EBIT margins to expand from here on in terms of margin walk? Thank you.

Sudhir Singh: Abhishek thanks for both the questions. As far as the pivot towards large deals is concerned, that is a pivot that we have embraced over the years. That is not just a pivot that we have done that is part of our approach towards s

ales, irrespective of the macros, discretionary spends up or down, we continue to focus on managed services based proactive solutions led large deals that is not going to change. Difficult for us to comment at this stage in terms of how long the demand downturn is going to last, irrespective of the demand downturn, as you would have noted from our tone, all three of us, we are confident that the large deal velocity and the large deal median size will continue to grow for Coforge. As far as Sabre margins are concerned, it will not have

any downward dip in our margins. Saurabh had guided to the fact that by fiscal year 20 27, reported EBITDA, I am not talking adjusted, reported EBITDA will hit 18%. This year you have seen we are at 16.6%. We will deliver on that pledge.

Saurabh Goel : And Abhishek on EBIT, the Q4 exit EBIT is 13.2. As we mentioned that there is a burn of 50 basis point on advantage for business now that is behind our back. So 13.2 is the exit for the year.

We were looking at \$2 billion of revenue guidance for FY 2027, EBITDA guidance of 18% that translates to typically a EBIT guidance of roughly 14 odd percent but I guess that by end of FY2026, we would have done large part of the journey coverage from 13.2 % to 14 odd percent.

So I think that is where we are.

John Speight : And also just to add regarding the downturn point, I think the continual drive of AI, GenAI to deliver long-term efficiency gains is focusing many organisations on business transformation, Coforge Limited

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legacy modernization, they are having to get the value out of AI, so we expect those to continue actually to accelerate.

Abhishek Pathak: Thank you so much, all the best.

Moderator : Thank you. We take the next question from Vibhor Singhal from Nu vama Equities. Please go ahead.

Vibhor Singhal: Hi thanks for taking my question and congrats Sudhir and team for a solid performance yet again.

So, Sudhir, two questions from my side. One is in terms of growth, you had called out that the pipeline also looks quite healthy at this point of time, despite the very strong bookings that we have had in this quarter. So again, I mean, it is just because we are operating in an environment in which there is quite a benign commentary by a lot of our peers. How do you see this basically pipeline shaping out over the next few quarters? Any specific pockets that you want to call out in which we have seen very good strength that you believe could be the driver of the deal wins next year. The next year growth is of course taken care of by the deal wins this year, but what could be the driver or what segments could you see be the driver of next year's deal wins? Then I have a question for Saurabh, maybe if you can answer this and then I will have a follow up with Saurabh .

Sudhir Singh: Sure s o the drivers in our case, the two areas we are focused on are the same areas that John talked about, transformation and legacy modernization . There is always the cost play that we are always aware of. We expect growth to come from multiple quadrants, not just one or two. If you just reflect back on the five large deals that we have signed in the current quarter, Q4 when the industry in general has been struggling. One of course was clearly the Sabre win. The other deal is a very interesting deal where we are offering GPU as a service at scale. The third one was for one of the largest banks AI led QE services and QE for AI.

The fourth has been a very large Salesforce led win again for a bank and the fifth has been a very interesting \$62 million TCP win from one of the top three clients of the erstwhile Cigniti organization. So it is not just one pillar. It is not just one vector from which we are exploring deals. We see significant avenues. The broad theme continues to be what John talked about, transformation, legacy modernization with cost out pace.

modernization with cost out pace.

Vibhor Singhal: Got it, got it. And specifically, if I could just pick your brains on the travel vertical that is one vertical in which we have seen a lot of airlines coming with profit warnings. United went ahead with a bimodal guidance in terms of the environment. How is the environment in that vertical looking like? I know we had the largest deal in that vertical in this quarter. But going forward, are you seeing some sort of, let us say, uncertainty or delay in decision making from the airlines specifically? The airlines part of the travel vertical.

Sudhir Singh: So it is a mixed bag. I will talk about the pros and the cons both. On the con side, given the

recent change in geopolitics impacting global economy, we are seeing travel industry take a more cautious approach in increasing capacity and sharing their own outlook. Specifically there in the Coforge Limited
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US, while year on year reported travel bookings and revenue are higher for travel and hospitality, a number of companies have reported reduced velocity. And there is a fear of booking cancellations in the near term. More or less the same commentary in Europe, right. Low-cost carriers, digital-first models continue to drive recovery growth, especially in leisure travel space. However, there again rising labor costs, capacity constraints pose ongoing challenges. Interestingly, again, just continuing on that geo arc, we were across Asia Pacific, Middle East, Latin America, Africa, travel demand is growing steadily. So it is not the same feedback as it is coming to North America, Europe. For fiscal year 2026, despite the cons that I talked about, our outlook on travel is strong and we are well poised to grow while factoring in the industry dynamics that I talked about. And this outlook is based on the bookings in hand, the current sales pipeline, and the demand that we are seeing in our existing key accounts in travel still, despite the cons that I talked about. We are seeing client opportunities in travel in GCC setup, in modern airline retailing, in data modernization, in M&A integrations, and in loyalty and personalization. So that is a quick overview in terms of travel, what is happening and what we see going forward. Vibhor Singhal: Got it, got it. That is really helpful the detailed explanation. Just one last question for Saurabh. Saurabh, I think our OCF reported a very sharp jump in this quarter. Last two, three quarters it had been sub \$50 million, this time it is around 74. So if you could just take us through that, can we expect it to be the ongoing run rate over the next few quarters also or are you expecting some headwinds to this number? Saurabh Goel: So Vibhor, this is how at least structurally over the last many, many years that our H2 from an OCF perspective has been higher than H1. In fact, in prior years, the H1 OCF used to be negative or zero and then all the heavy lifting used to happen in H2. So, current year also in H1 our OCF was low largely because of QIP expenses. If we knock that off, we started the year with 30 odd percent OCF and then we went up to 100 odd percent so that we ended up delivering 77% OCF for the year.

I guess on ongoing basis, we believe that anywhere between 67- 70% OCF is what we would generate in the business with the kind of growth that we have seen.

Vibhor Singhal: And that would have the normal seasonality, the first half will be weak and the second half will be stronger.

Saurabh Goel: Absolutely. We are trying everything to make sure that it is smoothened out to an extent but then there are certain structural things which result in heavy payments happening in Q1 and Q2 resulting in OCF to be Q1 and Q2.

Vibhor Singhal: Got it, got it. Great. Thank you so much for taking my questions and wish you all the best.

Moderator: We

take our next question from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra: Hey thank you. Maybe just wanted to talk about the outlook to start with. So yes thanks for taking my call. I wanted to get a sense of the outlook outside of the Sabre deal. We understand Coforge Limited
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that will be a significant component of the growth outlook. But outside of that, if you can share, how does the overall momentum look like, given the environment has probably weakened a bit? And if you can give us any kind of update about the medium term target of hitting \$2 billion in revenues.

Sudhir Singh: As I said, Ankur, we do not believe that the velocity of large deal closure and in Q4, as I just shared, we signed five large deals. Sabre was only one of them. We do not think the velocity or I mean if you leave out Sabre, the median size is going to deteriorate for us. We understand, we acknowledge and I just shared the commentary around travel as well that the demand outlook has worsened. But given the pipeline that we already have, given the sales orientation, which is very sharply structured on proactive proposal creation, we would expect the velocity, we would expect the median size of these large deals to sustain. As far as \$2 billion is concerned, we would not like to share a timeline, I mean given our performance of late, given the commentary you heard, we feel we are going to get there pretty soon. Actually let me make that very soon without qualifying further areas.

Ankur Rudra: Understood and there is no risk to that number for FY2027 that you previously stated right given the weakness in the short term and you are saying very soon.

Sudhir Singh: Oh no, I do not think there is any risk at all to fiscal year 2027 getting to 2 billion. The intent will be to get there faster. We would be a little disappointed if it took us all of fiscal year 2027 end to scrape by to 2 billion dollars.

Ankur Rudra: Understood. In terms of the near term, if you can comment on anything about revenue conversion

from all these large deals, anything to note given some of the weaknesses you might be seeing on travel side which you have acknowledged .

Sudhir Singh: Nothing of concern the immediate quarter they are going to be very good as well as fiscal year 2026.

Ankur Rudra : I appreciate it thank you .

Moderator : Our next question is from the line of Manik Taneja from A xis Capital. Please go ahead.

Manik Taneja : Thank you for the opportunity and congratulations for the steady performance. My question is for Saurabh.

Saurabh, if you could help us understand how does the number of working days in

April, May, June differ and should be a tailwind to sequential growth in the current quarter. If

you can provide some insight into that. And the second question is with regards to the margin outlook, if you could talk about the different margin levers, especially in context of the lower

ESOP charge as well as sales and marketing expenses outside of ESOP expenses and the gross margin proportion that we should be seeing in FY2026.

Saurabh Goel : So couple of things. One when we look at number of days, so yes, there will be a leverage

coming in and that is why I said that between Q3 to Q4, it was a tough quarter and there were

lesser number of days. Even when we did a 100 basis point margin expansion in the current

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quarter, number one. Number two, like you remember that we had given wage hikes in Q2 last year. So again, it is not happening in Q1 for sure this year, which means that there is no depression on margins that is going to come in Q1. And we believe that we will be able to sustain margins that we are delivering now. And to the extent of the adjustment that can happen, would happen on ac

count of these costs that get paid up front for the whole of the year. Apart from that, we believe that the EBITDA margins or the gross margin should hold or gross margin should marginally expand. So that is number one. Number two, from a lever standpoint, 13.2 is the

EBIT exit in Q4 . As you know that by Q3, this ESOP cost is going to come down from current levels almost by 70 -80 BPS further. That is going to flow down into EBIT number in Q3, which will get marginally set up with whatever rate hikes will happen at that point in time. But we believe that between 13.2 to 14 odd percent EBIT, guidance increase that we have, a large part will get covered this year, largely on account of structural changes that have happened in the business, wherein the scale lever will start playing in . The large deal expansion with no depletion in gross margin will start playing in. And that is why we believe that whether it is gross margin or EBITDA margin or EBIT margin should sustain and should expand materially over the next couple of years.

Manik Taneja : So that is helpful. And if I can check in with one more question, if you could clarify on the segmental margins for Asia, they appear to be the highest in several quarters. If you could help us understand what drove the big upswing in terms of segmental margins in this geography.

Saurabh Goel : So what has happened is that Australia as a geography and so a large part of that revenue comes from Australia and it comes from ASEAN. These were two regions which earlier were not doing well but over the last couple of years, maybe I would say 18 odd months, the correction in

Australia happened because of the investments that we had made there.

The new leader that was hired almost two years ago and that margin had already improved. Now the ASEAN business has also started firing and there was some small part of the business which was not doing well even that is behind us so smaller geography not a significant impact on the overall numbers but yes I think there are certain areas which were stressed which are now behind us.

Manik Taneja : Thank you and wish you all the best.

Moderator : Thank you. Our next question is from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta : Yes thanks for the opportunity. Couple of questions. Just want to understand about utilization . I

want to understand our optimal utilization range. Yes, so my question is about utilization. What

is the optimal utilization range you are looking for? And in the context of it if I look at headcount

addition, it is roughly a percent of this quarter, where we are expecting some of the large- deal

ramp -up to play out in the next few quarters. So in that context, if you can provide some sense,

that is question one. Second question is, if I look at your service mix, there is a sharp growth in

engineering while IMS is SOAP . So I just want to get some sense because in geography also,

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America is very SOAP compared to the rest of the world. So there are some quarter specific nuances playing out if you can provide some color around that. Thanks.

Sudhir Singh: So Dipesh utilization we are at 82% for the quarter. We think that is a good number because in our utilization we count pressures as well. The second question was around head count, is it ?

What was that second question ?

Saurabh Goel : So second question is on the head count. See headcount addition for the large deal ramp up had started happening in the last quarter itself that is Q3. And it was getting added over a period of time. So that is why you see the current headcount addition and over next few quarters also, you will see material headcount addition that will be happening.

Sudhir Singh: Also the other thing you have to note around headcount is while we have declared a headcount addition of 400 odd

from that number we have subtracted 600 people of advantage growth. If the business had been continuing as is, this quarter would have seen a 1000 people headcount improve. John, do you want to comment on engineering versus IMS?

John Speight : I did not actually hear the...

Sudhir Singh: The question was engineering contribution seems to be far outstripping the contribution of the infrastructure business.

John Speight : In this point of time I think a lot of it is down to the Sabre deal. A significant proportion of that is pure play engineering services. I mean, that is the major factor that I see affecting that.

Sudhir Singh: Correct and the longer term secular trend that we are also seeing Dipesh in addition to that is our engineering business and we have called it out repeatedly is very firmly grounded in the functional expertise that we bring in across industries and whether it is a geo-based unit or an industry based unit with the new delivery and the new engineering leader that we have had in play for the last 12 plus months that business is picking up incredible speed while the IMS business continues to grow strongly in relative terms, it is picking up speed.

Dipesh Mehta : I understand. And last question about the Sabre deal ramp up, how one should look the ramp up, whether the linear equation is a good way to look at it the way it should contribute over a period of time?

Sudhir Singh: Well, the Sabre ramp up is proceeding extremely well. We would expect the ramp up to continue over a three quarter period and that is proceeding as per plan.

Dipesh Mehta : And contribution would be roughly linear right? Across 13 years if one does that division?

Saurabh Goel : More or less, Deepesh. I mean deal of this size, the revenues are never linear but as you mentioned earlier, it will be as a quote of 10 to 20 million dollars plus minus.

Dipesh Mehta : I understand thank you.

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Moderator : Thank you. Our next question is from Abhishek Kumar of JM Financials. Please go ahead.

Abhishek Kumar : Hi good evening. Thanks for taking my question. First question is on Sabre deal and it is a question that is asked to us very frequently by investors. Given the financial situation of Sabre, do we foresee any risk of ramp down or any challenge to receivables or receivable days? And if at all any risk mitigation that we kind of use to protect ourselves?

Saurabh Goel : So Abhishek, a couple of things. One, we have been working very closely with the leadership team of Sabre. And this is one of those accounts wherein we not only have a connect with the CIO organization or the CTO organization or the CMO organization, but also to CFO and CEO and even at board level. So that is point number one, which allows us to get insights on what the strategy of the business is, what they're planning to do and what are the future steps they are going to take. That is number one. Number two, they very recently announced a sale of their hospitality business, which we were not supporting. It was a small business, roughly \$250-300 billion of annual revenue and \$1.1 billion to pay off their debt. So we were aware of it. So out of the debt of \$4.7- \$4.8 billion, \$1.1 billion will be shaved off. And they have always been operating at a debt of \$3.5 billion. So we continue to monitor. The point I am making is that we continue to monitor their financial performance, their business strategy very, very closely. And obviously, we have also taken non-recourse factoring and we have also taken a credit insurance policy in case anything unforeseen happens. But apart from that, we continue to work very closely with the management team, with the board so that we know what is happening to the customer.

Abhishek Kumar : Okay, that is helpful. My second question is in the others vertical which saw a sharp decline this quarter.

A lot of what is included in the others vertical like retail, healthcare etc seems to be where Cigniti has contributed. So just wanted to understand is that attributable to some softness in Cigniti or that is just quarter noise? Thank you.

Sudhir Singh: It is not. It is not attributable to any softness in the Cigniti portfolio of accounts. As I noted, the second largest deal during the quarter after Sabre is a deal with one of the top three accounts of Cigniti that is a \$ 62 million not five year but a three year TCV deal. The incremental revenue from that deal is going to be bigger than the size of the account was when we took it over. Also the second thing I want to tell you is forget the quarter look at the full year, others vertical has

grown 67% over the previous year. So what you are looking at in this relatively smaller vertical is a temporary quarterly blip, not attributable to any softness in, which continues to be a fantastic acquisition from our vantage, where the pipeline of large deals from accounts that used to be Ciginiti is growing. So to that extent, we feel reassured around Ciginiti.

Saurabh Goel : And Abhishek, just to add to that, so Q3, there was a sharp spike that had happened in others. But I think it is more of PAT revenue that came in Q3 has just gone away. And that is why you see a blip. Otherwise, structurally, year on year basis, you will see that there is growth happening. There is not a single vertical otherwise which is not doing well on an ongoing basis.

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Abhishek Kumar : Okay, great. Thank you so much and good luck.

Moderator : Thank you. Our next question is from Sandeep Shah of Equirus . Please go ahead.

Sandeep Shah: Yes thanks for the opportunity. The first question is, if I look at FY2025 and step out the inorganic growth based on my estimate, we have roughly done a mid-teen kind of organic growth. And if I look at also the announcement on Sabre deal plus other acquisitions, it looks like that the coming year with these announcements will also contribute 15% growth automatically through Sabre and inorganic acquisitions. So is it fair to assume the growth momentum what we have seen in F Y2025 which is upwards of 30% can be maintained in F Y2026 as well?

Sudhir Singh: We cannot give a number based guidance Sandeep but I will just reiterate what we said . We expect very strong growth in F Y2026 as well without qualifying the number; the growth should be very strong.

Sandeep Shah: Okay so Sudhir, you expect the macro headwinds may have some taperness or some impact on organic growth in F Y2026 versus F Y2025?

Sudhir Singh: Not at all. I do not see organic growth slowing in any shape or manner in F Y2026 or FY2025

Saurabh Goel : And Sandeep, just to add to that, I mean, last year when we got into FY 2025, we had a headwind because our quarterly growth rates they were actually coming down. The exit of FY 2023 was around 4- 4.5% quarterly growth, which came down to 1.5% quarterly growth when we exited last year, F Y2024.

This time when we are exiting Q4 , we have had quarters wherein we have grown 6-8% on CC basis on an organic basis. And that is why we believe that directionally, I mean that next year should be better than the current year on an organic basis.

Sandeep Shah: Okay thanks. And just, I have joined late apology for the same. Can you once again give a detail about the organic margin guidance for FY 2026?

Sudhir Singh: We have not given a hard number of guidance. We believe that EBIT will see a significant improvement that is reported EBIT. And our guidance for hitting 18% reported EBITDA in FY2027 also stands.

Sandeep Shah: Okay and Saurabh Sir has said that this year would be between 13.2 to 14.2 at EBIT level.

Saurabh Goel : So I had said that the guidance for FY 2027 was revenue of

\$2 billion, reported EBITDA of 18%

which would mean an EBIT of 14 odd percent. From 13.2 %, a lot of that journey to 14% will get covered this year itself rather than leaving it for next year to kind of scraping towards reaching 14%EBIT number.

Sandeep Shah: Okay thanks. All the best.

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Moderator : Thank you. Our next question is from Vaibhav Chechani of Nirmal Bang. Please go ahead.

Vaibhav Chechani : Congratulations on great set of number and thank you for the opportunity. So congratulations on great set of numbers and thank you for the opportunity. So my question is around the exchange rate. So in our fact sheet, what I found the reported rate is around 86.6. However, when I calculate the reported numbers, which is \$404 million versus Rs.3402 million, it comes with a deviation of around \$2. So, any colour on that?

Saurabh Goel : So, number one, that is just a dollar exchange rate. When you look at our mix, it is a little different from most of the other organizations, wherein almost only 50% of the revenue is actually dollar denominated revenue. A large part of also comes from Pounds, Euros, Australian Dollars and Singapore Dollars. So that is number one. Number two, we also take hedge losses in the top line, which actually translates into a very different number. So these are two reasons why you see just a dollar average rate versus the revenue that is got delivered in the quarter from a reported revenue in rupee terms or dollar term.

Vaibhav Chechani : Understood and Sir second question on that is around the GCC business. So any colour on our GCC business, how is it ramping up and how significant is becoming in our Asia geography because our Asian geography is significant revenue growth in this matter. So is it primarily driven by GCC or GCC is just a part of the higher end growth in Asia geography.

Sudhir Singh: Asian growth is not being driven by GCC Vaibhav, but a lot of our growth is being driven by GCC's. GCC driven or GCC influenced revenue is almost 10% of our aggregate revenues as we speak. The largest deal that we are pursuing right now also is a GCC specific deal currently. So short answer, Asia growth is not necessarily a function of GCC growth, but a lot of our pipeline is significantly influenced by our GCC growth. John, would you like to add more to that?

John Speight : The only thing I would add to that is given the success we have had with GCC over the last 12- 18 months with number of customers, that is in itself being used as referencing into new customers and that is driving change. What we are also finding is a number of organizations are struggling to drive their offshore strategies alone and it is feeding into us significantly and hence why we are having so many conversations with customers in this space.

Sudhir Singh: Thanks John. Thanks Vaibhav.

Vaibhav Chechani : Understood. Thank you so much. That is it from me.

Moderator : Thank you. Our next question is from Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Hello congrats on a great start of numbers. So I have two questions. Cigniti is offering, in one vertical they are offering testing related services. So how that particular division is now
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integrated in this consolidated entity and providing some synergy benefit to the existing business of the Coforge and in the advent of this AI related disruption how this is muted offering on real - time basis will not get impacted by this AI disruption at all and second what risk you see in FY2026 and 2027.

Sudhir Singh: Cigniti QE out of the five large deals that I talked about, two of the large deals were influenced by our

AI for QE and QE for AI -based offerings. That is a hard data point in terms of how successful the Cigniti business, especially the AI -driven QE has been. Second, in November this year, given our confidence around the AI suite in QE, we are organizing an event in New York City, four hours workshop, inviting every analyst there is in the world just to talk about the differentiation that we have built, which was part of our premise around acquiring Cigniti in this space. Third, the Cigniti QE team has been fully integrated into the Coforge unit. There is no longer internally, if you look at us, a standalone Cigniti team. QE is now a horizontal business unit. It is run by Mr. Raghu Krovvidy , who used to be the global delivery head of Cigniti earlier. As far as the risks are concerned, no outsized risk that I can call out when it comes to the revenue. We have not given a guidance, but the confidence that you hear in our tone . We believe we have considered most risk scenarios. We have most importantly considered the demand downturn that our industry is dealing with. And after baking all of that, we still feel extremely confident about what we have shared with you. I am going to request John to lay on anything else to that.

John Speight : Just one thing which we are seeing is the cross -sell up -sell opportunities into the accounts that have been on boarded as part of that acquisition. That is significant because that business that we acquired was 90% QE, small smashing of RPA, digital, but now we have got the full gambit of our engineering, platform plays that actually can deliver value to our those customers and that we are very on leveraging.

Chirag Kachhadiya: Thank you. Our next question is from Vibhor Singhal from Nu vama Equities. Please go ahead.

Vibhor Singhal : Hi thanks for taking my question again. Sudhir just a question on the Sabre deal again. I mean, more of a subjective kind of assessment if I could ask you for. So, I mean, it is very seldom that we see a company of our size, mid -tier company grab such a large deal. These large deals had always been the kind of forte of the large cap companies that we had always seen. Now, you mentioned, of course, that this was a longstanding client. We have had a longstanding relationship and our domain expertise in the travel vertical is also known. But is there a kind of a paradigm shift in which more and more companies like our size are being called for large cap companies? In your pipeline, are there any more large deals that you are chasing? And are the customers now becoming more open towards let us say, including more companies of our size into these large deals as compared to let us say three or four years ago.

Sudhir Singh: Thank you for the question, Vibhor. With our size, we believe we are within touching distance. It is a question of which year we touch \$2 billion. We are no longer a small firm as we see ourselves and as our clients see us. With 33,000 engineers across the world, hopefully likely to be 50,000 pretty soon. It is a fairly significant cohort of engineering talent that we have. The
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Sabre deal was won against two of the largest SIs in the world. When I look at the final shortlist

of four, two of the folks who were against us were two of the largest SIs that do play within our industry. We believe the Sabre deal was won not just because of our industry expertise and travel, but also because of the iterative series of workshops around the engineering solution that we deliver for Sabre, which gave them comfort to choose us as their deep engineering partner for a 13-year period. So that is how we see this. When it comes to pipeline, there are a significant number of large deals in the pipeline which are of a significant scale as well. John, do you want to add to that?

John Speight : Just t

he one thing I want to add is that what we are seeing certainly in Europe a number of the segments proactively bringing in and even defining frameworks, which there are barriers to entry, to encourage engagements with an organization of Coforge's size. And quite often it is to break up those mega deals into smaller, smaller chunks and to do risk and also to ensure outcomes are delivered.

Vibhor Singhal : Got it, got it. Thank you so much for the detailed explanation. Just one last bookkeeping question from Saurabh. Saurabh, if you could provide some update on the Cigniti's share swap proposal, what is the status? Where is the approval pending? And what is the timeline that we are looking for the full integration of Cigniti into our business?

Saurabh Goel : So Vibhor right now it is with SEBI. So exchanges have already cleared and it is sitting with SEBI and then it went to SEBI around end of March. And there are no, I would say, turnaround times that are there typically with regulators, but one can expect anywhere between two to three months. And then NCLT, then shareholders approval.

We believe that somewhere toward December to January is a timeframe when the merger should get consummated. But having said that, as far as we are concerned from a business standpoint and from operation standpoint, apart from the fact that there are two separate listed legal entities running, the business synergies, and the operational synergies have started flowing in already.

And that is where you see the margin expansion, 100 basis point margin expansion on a pro forma basis over last year to current year, or an asset which was \$ 220 million in revenue, with 12% of EBITDA going up to exit of say 18 odd percent in the current quarter . I mean is the result of synergies that have come in between both the businesses.

Vibhor Singhal : Completely agree Saurab . Thank you so much for taking my questions and I wish you all the best again.

Moderator : Thank you. Our next question is from Abhishek Pathak of Motilal Oswal. Please go ahead.

Abhishek Pathak: Sudhir, just very quickly on the client complaint that we, you know, it is been an ongoing issue for the past, I guess, 18 months, but just a brief update on that and how do we expect to sort of close this? Thanks.

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Sudhir Singh: Thank you for the question, Abhishek. The client complaint claims that a hacker tricked service desk agents into resetting employee passwords, allowing access to the client's customer loyalty database. It misrepresents the company's engagement terms, role regarding the database, and the service desk agent responsibilities. The company did not handle and when I say the company, I mean, Coforge, the company did not handle core cybersecurity services for the client. We had no

access to or responsibility for the database, and we were not involved in its management. We are consulting our insurance provider and consulting legal counsel regarding the complaint. The liability amount cannot be determined at this time. We do not want to comment on the name of the client, but the company continues to serve the client regularly since the last 18 months. The client is not a material client of the company and does not form part of even the top 50 clients of the company. So that is an overview in terms of the complaint.

Abhishek Pathak: That is very helpful. Thank you so much.

Moderator : Thank you. We take our last question from Prateek Maheshwari from HSBC Securities. Please go ahead. Mr. Prateek Maheshwari, could you please unmute your microphone and ask your question?

Prateek Maheshwari : Thank you for the opportunity. Guys, I just wanted to ask on your net other income, it continues to be negative and just wanted to check if this could be a strong lever for PBT margin growth next year.

Saurabh Goel : So a couple of thi

ngs. If you look at our presentation, we have explained where the net other income is coming from. So there are two things there. Number one there is interest on borrowings, which is there on the working capital. That is number one. And then there is least discounting, which is a standard because of the right of income assets that is being created. But yes over a period of time, once the working capital utilization starts going down, and with the improvement in the cash flows, the interest income will start going up and will become a lever for PBT expansion. But right now with the growth that we are sitting at and with the working capital requirement that we have and we continue to pay dividends. So we believe that

at least we'll continue for a year or two for now and then we will kind of start thinking of PBT or interest other income as a lever for market expansion. But right now we are first focused on improving EBIT of the organization and then we will start focusing on this.

Prateek Maheshwari : Thank you so much.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to Mr. Sudhir Singh for closing comments.

Sudhir Singh: Thank you moderator Ladies, gentlemen, thank you very much for your time, for your interest and for your support and mentoring and guidance over the years . We look forward to these conversations. We learn from these conversations and we look forward to more of these

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conversations. Thank you very sincerely. We wish you a very good morning or a very good evening or a very good night. Thank you.

Moderator: Thank you members of the management. On behalf of Coforge Limited that concludes today's conference. Thank you for joining us. You may now click on leave icon to exit the meeting.

Thank you for your participation.

Call: Jul 2025

Page 1 of 17 "Coforge Limited Q1 FY26 Earnings Conference Call" July 24, 2025 Management: Mr. Sudhir Singh – Chief Executive Officer – Coforge Limited Mr. John Speight – Chief Customer Success Officer – Coforge Limited Mr. Saurabh Goel – Chief Financial Officer – Coforge Limited

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Moderator: Ladies and gentlemen, good day and welcome to Coforge Limited Q1 FY26 Earnings Conference Call. Please note all participant lines will be in the listen-only mode and this conference is being recorded. We have today with us from the management team Mr. Sudhir Singh, CEO, Mr. John Speight, Chief Customer Success Officer, and Mr. Saurabh Goel, CFO. We will begin the call with opening remarks from the management team and post that we will open the floor for questions. Before we begin please note that some of the statements made in today's discussion relating to the future should be construed as forward looking statement and may involve risks and uncertainties. Please refer to the disclaimer to this effect in the company's Q1 FY2026 earnings press release. With that, I hand over the call to Mr. Sudhir Singh. Sudhir Singh: Thank you moderator and a very, very good morning ladies and gentlemen. Thank you for joining us today as we share our Q1 FY2026 performance and the outlook for FY2026 and beyond. Q1 FY2026 has been an exceptional quarter for the firm. More importantly, we believe that it has set the foundation for what is likely to be yet another exceptional fiscal for the firm. In Q1, the firm recorded 9.6% sequential dollar growth, and we believe we have established a path to deliver 14% reported EBIT in FY 2026 itself. Our sustained, robust and accelerating growth story is now entering its ninth year. Before I delve into the nuances of the quarter's performance, I would like to reflect on the three key reasons that have driven our accelerating and sustained growth over the years. And more importantly, these reasons will continue to power our growth in the quarters and in the years ahead. Reason number one is an execution intensity that is uniquely our own. Execution, the often neglected, but the most essential part of what gets things done is an art which warrants not just setting and sharing lofty plans, but getting into the details of every aspect of bringing those plans to life. Across every aspect of our operations, be it sales operations, solutioning operations, capability, build operations, delivery operations or even acquisition intermediation exercises, we have created execution centric measurement metrics that are atypical and yet are highly effective. For example when it comes to sales execution we do not only use the standard measures of TCV, ACV signed or year-on-year growth delivered to measure execution effectiveness of our sales teams. Those measures are important, but we have learned over time that for us Coforge, the single most important measure for turning in year after year sustained performance is every week's count of proactive large-deal proposals submitted. This approach to measuring and powering sales execution is atypical as I said, and yet as our results prove, it is highly effective. Another reflection of our approach to execution is how we approach our big bets. A big bet could be a geo-expansion play, it could be a capability build play or it could be a new partnership scale-up play. Where we differ in our execution is in severely restricting the number of big bets that we pursue as a firm at any one point in time. And we also differ in our execution in that we have never, ever given up on even one of the big bets that we have undertaken. If a big bet is not turning out as planned, the team working on it is reassigned, but the big bet is not given up on, it is always

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delivered on. Those two examples illustrate reason number one an execution intensity and a single-mindedness that is uniquely Coforge. Reason number two is our hyper-specialization in a f

ew select industries. Over the last eight and a half years, it has been our belief that hyper-specialized industry knowledge remains essential to creating differentiation and value. Technology is an enabler, and industry depth is the blueprint we use to apply it effectively. The industry-first approach is why our clients trust us with some of their most mission-critical initiatives. With the enhanced adoption of AI, organizations are shifting resources from run the business to grow the business. And AI budgets are expanding at double digit rates, making AI the primary engine driving innovation and competitive advantage. Coforge is at the vanguard of this change with real world deployments, executing at scale and making impact across sectors where we have hyper-specialization. We have been able to deliver these real-world deployments mainly because of the deep industry domain knowledge that we bring to the table. Our Quasar AI marketplace has more than 100 case examples of industry-specific solutions that we have delivered. Coforge in sum is turning AI into business critical infrastructure and we believe that industry expertise will remain a critical success factor and a critical growth factor in the new AI era. Reason number three why our growth has been strong and continues to accelerate, is our deep engineering capabilities and assets. Engineering excellence is central to our operations. You' have heard me say this for the last nine years almost. We have built and supported complex platforms for SATs which power half of the world's air cargo. We are now applying this engineering strength to AI integration across the development lifecycle. Our unified delivery platform, Forge-X, accelerates software development and legacy modernization using AI. You will recall that earlier this year, we partnered with a leading travel tech firm to modernize their product suite, delivering results in months instead of years using our own AI tools. This is part of a broader strategy to embed AI across programmes. Real-world AI deployment requires more than just GenAI tech. It demands robust infrastructure, data foundations, and AIOps processes. As systems integrators with a deep engineering DNA, we understand this well. And we have created purpose-built assets from responsible AI frameworks and data readiness tooling to performance optimization and auditability that enable our clients to deploy real-world AI solutions at scale. Quickly to recap, we believe that these three factors are execution intensity, our hyper-specialization in select industries, and our deep engineering capabilities are what have, over the

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last eight years allowed us to build a strong differentiation. And that in turn will allow us to deliver on a sustained basis going forward in the quarters and years to come, robust and sustained growth. With that, I switch over quickly to the nuances, the

details of the Q1 performance. Starting with revenue, I am pleased to report that the firm registered sequential revenue growth of 9.6% in US dollar terms. In Indian rupee and CC terms, the sequential growth was 8.2% and 8% respectively. The growth during the quarter, not surprisingly, was led by the travel vertical, which grew 31.2% sequentially in dollar terms. The other emerging verticals, which include health care, retail, and high tech, grew 12.8%, this is sequential. Government outside India vertical sequentially grew 6.8%. The insurance vertical in turn grew 1.0% and BFS vertical saw a marginal decline of 1.1% QOQ in dollar terms. I do want to point out at this stage that BFS on a YOY basis is growing 32%. And the BFSI segment is a segment where we see large deals in the works and near imminent. Our top five clients and our top 10 clients grew 24.0% and 15.1% sequentially, respectively.

They contributed 20.7% and 29.3% respectively to our overall Q1 revenue. It is important to note that our top five clients and top 10 clients grew by 49.5% and 38.4% respectively over the same quarter last year and those relationships continue to be strong. Moving on to order intake, Q1 was yet another strong quarter both from an order intake and large deals closure perspective. During the quarter we signed five large deals. The velocity and the median size of large deals signed by Coforge has been increasing over the years and I shall reflect more on this in my concluding remarks. The total order intake during the quarter was more than half a billion dollars. The exact number was \$507 million. The executable order book, which reflects the total value of locked orders over the next 12 months, stands at a record \$1.55 billion. This number, some of you might recall was \$1 billion a year back, and is currently 46.9% higher than at the same time last year. On the people front, our total headcount at the end of the quarter stood at 34,187. We saw a net people addition of 1,164 during the quarter. Utilization during the quarter stood at 82.1%, a number we are comfortable with. Last 12 month attrition for the quarter fell further and is now at 11.3%. We remain, as always, one of the lowest attrition firms across the industry. With that, I will now hand over the call to John Speight for providing insights into our operations and capability creation. Over to you, John.

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DELIVERY OPERATIONS & CAPABILITY BUILD John Speight: Thank you Sudhir. I shall now touch upon the highlights of the quarter related to our key capabilities and delivery operations. Starting with updates on our AI assets. This quarter, we launched the Coforge AgentSphere with over 100 foundational agents that can address industry pain points across travel, financial services, and healthcare clients. As Sudhir mentioned earlier, we also launched Forge-X, a unified delivery platform that applies AI to accelerate and streamline software development. It provides assets such as Code Insight AI, a solution that can deliver 10X productivity gains in legacy modernization programmes. With these additions, we now have over 20 core AI assets that accelerate execution of services, such as reverse engineering of legacy code, intelligent test automation, and resilient cloud and infrastructure operations. We also launched a number of agentic AI solutions onto the ServiceNow marketplace, including SmartGen Change from crude change management. This agentic AI workflow is among the top five partner-created AI agents now available on ServiceNow. By applying these innovations across client portfolios, we are shortening time to market, boosting operational efficiency, and improving ROI on technology investments. I will now share a few examples. In banking and financial services, we have developed a GenAI powered solution for the wealth and private banking division of a large multinational bank, providing real-time analysis and automated transcription of the calls. This solution was built in partnership with a leading hyperscaler and has enabled the bank to improve operational efficiency, providing benefits such as summarized conversation view, automated call scores, customer sentiment analysis, and recommendations on next best action. For a leading European bank, we leveraged AI to streamline their customer onboarding, loan processing, and business banking outreach capabilities. This has reduced approval cycle times, reduced the operational costs, and reduced the number of non-performing loans. Meanwhile, for our insurance clients, we developed a GenAI powered ISO circular form summarizer that enabled automated extraction and summarization of circulars and forms data. The solution integrates seamlessly

with platforms such as Duck Creek and Guidewire delivering over a 35% improvement in operational efficiency. In the travel segment, Coforge has just delivered significant value for an airline post-emerger, managing a major passenger service system migration. It was a large-scale digital transformation that has reduced operating costs as well as improving customer experience. Finally for a leading Australian retailer, we have been pioneering the use of GenAI to drive innovation within our quality engineering services. It has created a quality intelligent foundation

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that is used to drive intelligent test case generation. These efforts have been recognized as one of the top three initiatives at the recent ISG Paragon Innovation Awards. Moving on to partnerships. Following a successful service now dispute management rollout in the US, we now offer DisputeXelerate as a prepackaged solution for efficient dispute management based on the ServiceNow financial services platform. Coforge was recognized as a leader in Nelson Hall's NEAT report for ServiceNow across overall, creator workflow, and customer and industry workflow segments, and as an innovator in the employee and technology workflow services. We partnered with Zscaler to launch Secure Access 360 on Microsoft Azure, delivering zero trust access and advanced security capabilities. With Snowflake, we introduced a data insights retrieval AI system built on Snowflake Cortex, enabling non-technical users to access and analyze data with ease. Our growing role as a Snowflake partner further strengthens our enterprise data and AI capabilities. With that, I will now hand over to Saurabh Goel.

FINANCIAL OVERVIEW Saurabh Goel: Thank you John. Before our financial performance, I would like to highlight enhancements made to our disclosures in the current quarter. We have started providing a comprehensive breakdown of the profit and loss statement, balance sheet, cash flow, and EBITDA and EPS reconciliation as part of the management fact sheet. Going forward from a margin perspective, our commentary will focus on EBITDA and EPS rather than adjusted EBITDA. As previously indicated by Sudhir, our Q1 revenue reached \$442.4 million, reflecting a sequential growth of 8% quarter on quarter and 51.5% year on year in CC basis. Organic revenue increased by 5.9% quarter-on-quarter on CC basis. The hedge loss during the Q1 is \$1.9 million, which is reflected in the top line, as against the gain of 100K in Q1 last year. Q1 was a quarter which witnessed a ramp-up of the largest deal ever signed by the company. And because of our execution

intensity we were able to maintain EBIT margins at 13.2%. EBIT for the quarter was \$58.3 million reflecting a 9.2% increase quarter on quarter. The EBIT margin remained flat primarily due to higher amortization of intangibles from the recent acquisitions, as well as increased depreciation related to the AI-powered data centre deal, increased

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subcontractor expenses because of the acquisition, and a ramp-up in the largest deal that we had signed in last quarter, and increased visa cost, which typically comes up in Q1 for renewals. EPS for the quarter is Rs.9.5 per share. It is important to note that this EPS is for split up share that happened during the quarter. This includes a one-time gain of \$8.4 million from the sale of AdvantageGo business. This one-off gain of \$8.4 million was set off by two transactions. One, exceptional expenses on account of a legal cost related to the cybersecurity breach that had happened two years ago. While we maintain errors and omissions insurance coverage and continue to en

gage with our insurers regarding this matter, a provision has been made in the profit and loss statement on prudent basis. This provision will be reversed upon settlement of the claim with the insurer in due course. Additionally, there was a one-time broad-based bonus provision for employees amounting to \$5.5 million adjusting for one-off gains and losses. Normalized EPS stands at Rs.9 per share as against a reported EPS of Rs.9.5 per share. Capital expenditure for the quarter stood at \$65 million with 58 million allocated to an AI data centre project. Over last two quarters, approximately \$85 million have been invested in developing our AI-powered data centre. Of this total investment, \$62 million has been received as advance from the client and has been recorded as deferred revenue on the balance sheet. The balance, 23 million, has been funded through a term loan at an interest rate of 3.5%. The assets have a useful life of five years, resulting in an increase in depreciation. OCF for the quarter stood at 43.8 million, which is 115% of the reported PAT. FCF for the quarter was negative because of the capex incurred in the data centre deal. Billed ESO stood at 64 days, unbilled at 24, and contract assets at 13 days, reflecting a total working capital cycle of 101 days. Update on our merger. Exchange approvals have been received for the proposed Coforge and Cigniti merger, and now we are in the process of filing the first motion filing to NCLT. With that I will hand over the call back to Sudhir. SUMMING UP AND OUTLOOK Sudhir Singh: Thank you Saurabh. Thank you for those comments. Summing up in outlook and I will do this very quickly, the 9.6% sequential dollar growth in Q1, a next 12 month signed order book which is 46.9% higher YOY. A sales execution engine that signed 14 large deals last year and aims to close at least 20 large deals in the current fiscal. A potential pathway to 14% EBIT in FY2026.

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One of the lowest employee attrition rates across the industry. That set of metrics are all pointers to what we believe will be yet another exceptional year for the firm. We remain committed to turning in the ninth consecutive year of robust growth, despite the uncertain macros swirling around our industry. To conclude, we remain very strongly committed to setting performance and capability benchmarks for the industry. As our industry pivots, there will, over time be a new set of leaders and winners. It is our intent to be at the head of that select pack. With that, ladies, gentlemen, I conclude my prepared remarks and all of us look forward to hearing your comments and to addressing your questions. Thank you. Moderator: Thank you Sir. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from Prateek Maheshwari of HSBC Securities. Please go ahead. Prateek Maheshwari: I had couple of questions. First of all congratulations on strong execution the revenues and strong deal wins. I had some question on the margins so could so again on your reported margins as per SEBI format it declined 50 basis point quarter on quarter while you guys have shown adjustments which draw to conclusion that there is some improvement that happened quarter on quarter so I just wanted to understand the work that you have explained on the slide or page 23 about what is the nature of the discounting income that you guys report on long term contracts and this recurring income or mortgage business. Wanted to understand that and what is your guidance on when we see the convergence between the reported margins and semi-format margins. Saurabh Goel: So Prateek let me take that up. So number one, discounting income on long term contracts is an accounting interest entry. So what happens is if you have a long term contract and if y

ou bill \$100 to a client, 90 goes to top line and 10 goes to other income. So it is more of a notional accounting entry and that is why it has been reclassified as part of EBITDA, point number one. Number two, income from mortgage business is something very similar so these two will continue. Apart from that, I have already called out that integration expenses on account of Cigniti acquisition merger, the merger is going on had become insignificant. The acquisition that were done in the previous quarter again only close to Rs.24 million which is \$300,000. And then we are only left with onetime bonus, which we have already called out as a quarter event. And because of which, we have seen that getting reflected in the P&L. So otherwise, there are only two line items which is discounting income and income from mortgage business which is part of the contracts that we have signed and it will continue apart from that nothing else will be there. Prateek Maheshwari: Sourav just some more colour, so on the discounting income it was about 24 million last quarter it has quadrupled this quarter so just wanted to understand like if somebody has to think how should be basically the trajectory of this going forward.

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Saurabh Goel: I mean it is more of an accounting entry as and when the unwinding of the discount is happening the amount keeps going up so if we bill the quarter in the first quarter the amount will be low as and when you keep that the time getting lapsed and you are coming closer to the billing, the amount goes up and then it crashes down. So it is coming more from that perspective. It is an accounting notional interest entry. Otherwise the corresponding value in the balance sheet is sitting as part of receivables. Prateek Maheshwari: Just wanted to understand the capex as well. So over the last five years, capex has increased from 2% of revenues to 5% of revenues. capex was I think based on what is shown on the fixed assets, capex was again higher, you have called out some data centre investments. So just wanted to understand overall what is happening with the capex. It has increased by 350 basis point over the last few years. Saurabh Goel: The increase in capex in Q4 and Q1 was specific for a particular deal that we had signed and as I mentioned in my prepared remarks out of \$85 million, \$62

million have been received so it is a data centre deal wherein we set up a data centre and that is why you also see the increase in the depreciation. Sudhir Singh: Can we go to the next question Saurabh and then we will come back to the gentleman asking the questions over time. Moderator can we roll on to the next question? Moderator: Yes Sir thank you. We will move to our next question that's from Vibhor Singhal of Nuvama Equities. Please go ahead. Vibhor Singhal: Thanks for taking my question and congratulations to the entire Coforge team for a very long solid quarter. Sudhir I have got two questions. One is, I know our performance has not been dependent on the macro environment, which remains quite volatile, but any colour that you can provide as to how is the environment that you are looking at, from the same industry point of view, it has been quite volatile. We have seen the July 9th deadline go and now we are looking at August 1st. Is the tariff uncertainty still looming large? Are the clients still hesitating? I know we have very good pipeline in terms of orders and order book, but on the overall environment some things will be helpful. Sudhir Singh: Vibhor if it is the run the enterprise budget that one is looking at, that budget continues to oscillate in move around basis, the macro uncertainties given the overhang of the tariff related discussions and decisions that are likely but more importantly the change, the enterprise budgets are the budgets where g

iven the proliferation of AI we see that the discretionary nature of the spend has ebbed and those spends from our vantage continue unabated. The large deals that we structure and the ones that we talked about, the co-active large deals are also aimed solidly at the change, the enterprise budget and the enterprise is under pressure given the macro uncertainties.

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Vibhor Singhal: Got it. In terms of our own performance, though it did not leave any quarters which was not met, the banking as well as insurance both were a tad soft in this quarter. Any specific reason to call out or just the quarterly variation and it could be back next quarter itself? Sudhir Singh: We will be back. There is nothing that is going to hold back the growth.

Banking is still growing year on year at 32% for us, insurance at 20% for us. The pipeline is very strong. So we are not concerned around short term, medium term or long term growth across BFSI. It will be robust. Vibhor Singhal: Got it. And if I can just delve on the banking industry yet again, you talked a lot about how our GenAI products are basically helping clients and how we are trying to create an edge for ourselves n that. Any insight that you would be able to provide as to how the AI adoption is looking like in the banking industry, especially the BFS part, not the insurance part, and maybe the insurance part as well if you have time for that. And what are the kind of solutions that we are looking at? Are the basically core banking systems also being looking at being modernized? And what are the different things that we are looking at in this sector; let us say for the next two years? Sudhir Singh: So banking institutions are under pressure to improve ROE amidst the macro uncertainty that you talked about, the higher interest rates and the intensified regulatory scrutiny. This is to your immediate question, driving technology investments focused on cost efficiency, product innovation, REC compliance and customer attention. From our vantage business demand is healthy across commercial banking, lending, wealth management, and risk and compliance. And that has driven in turn by the margin pressure, the need for product innovation, and changes in REC frameworks. Operational resilience, cloud native architectures have become mission critical for banks at this time. And that is also an area of investment. And as you said, we are empowering banks to move beyond AI experimentation towards enterprise scale adoption with a strong emphasis on intelligent automation and advanced risk analytics. And finally, core modernization efforts at banks, to your immediate question, are also gaining momentum, and that has been driven by the need for simplification, for agility, for the strategic retirement of cost free legacy infrastructure. Vibhor Singhal: And you believe we have a very good presence in all of these opportunities that you talked about, which should hold us in good stead over the next years in the entire banking space? Sudhir Singh: It should hold us in very good stead going forward Vibhor. Vibhor Singhal: Sudhir great thanks for those answers. Just one question for Saurabh. Saurabh, I think our margins in this quarter, if I were to basically take a step back, this quarter we had a very strong growth, which was helping us. So if you could basically walk us through the puts and takes for this quarter, that despite some of the operating leverage coming through the growth, how the margins remain tight in this quarter and going forward in the next two to three quarters, I know there is ESOP cost which is going to come down. What are the other levers that we are looking to expand margins to what Sudhir said, are we targeting 14% for this fiscal year itself?

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Saurabh Goel: So we got two things. Number one, historically, Q1 has been a quarter wherein margins get depressed and even without wage hike, it used to come down by 100 BPS or so. This quarter, wherein we were ramping up one of the largest deals and we all understand that when you are ramping up a deal of that scale and size around some 1000 odd people in an account, there are expenses that will come and hit you because the billing does not start at the same time. Despite that, we were able to maintain EBIT margins and I am talking about EBIT because that is what the guidance is going forward. It will still remain flat. And as we move forward, you have always seen that historically, we have expanded margins post Q1 performance. So Q2, Q3 because of the ramp that we are expected to see in Q2 as well, a similar kind of a ramp is going to now help us on margins because whatever had to happen from a ramp-up standpoint has already happened. There is no other headwind in Q2 so we will see that thing ramping up from a marketing perspective. Leverage will start playing out. In Q3, the ESOP cost will start coming down. There will be a headwind of wage hikes in Q3, but a lot of that will be compensated by ESOP cost reduction that is expected in the period. So that is why we are confident that we have had a good start from EBIT margin standpoint for the year and not dropped the margins in Q1. And historically, as we ramped up in future in Q2, Q3, we will continue to see that. Vibhor Singhal: Got it, got it. If I could just squeeze in last thing, what is the timeline that we are looking for the final integration of security? I know you mentioned that we are now going to NCLT. Earlier you had mentioned December 2025 is probably the target. Do you think that the timeline could be met or do you think there could be some spillover from that? Saurabh Goel: I think it is more with regulators so it would be minus a month or two, but December, January should be the timeline. And in case whenever the approval comes in, as I mentioned earlier, the effective date of the

merger is April 1st 2026. Vibhor Singhal: Got it. Thank you so much for taking my questions and wish you all the best. Moderator: Thank you. We take our next question from Abhishek Pathak of Motilal Oswal. Please go ahead. Abhishek Pathak: . Hi Sudhir. Hi Saurabh. Congrats on our execution on revenues. A couple of questions. Firstly, how do we expect the Sabre deal to ramp up sequentially from here on? I mean, sequentially, should we be expecting the TTH vertical to continue to grow over the next three quarters? That is the first question. And the second question is, on a steady-state basis, where do we see our OCF to EBITDA ratios settling? I understand that the deal ramp up in Sabre may have some investments that may be skew that ratio, but over the steady-state, where should we be modeling that number? If you could talk a bit about the BFSI deal and outlook that you were referring to earlier. There has been some mixed remarks around BFSI. The bank results have been good but the numbers are still a little bit of a mixed bag so do you see, any hesitation from clients over there or do you see our offerings still sort of resonate well and we should expect the vertical to grow? Thank you.

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Sudhir Singh: Thanks Abhishek I will take number one and three and Saurabh is going to address the steady state OCF. Sabre deal will continue to ramp up sequentially in Q2 as well. And Q3 onwards we would expect the resource loading, the total headcount to stabilize. Q2, the quarter that we are now beginning in, should again see a sequential growth on the Sabre side. On the BFSI piece, as I said, we are seeing healthy demand across commerc

ial banking, across lending, across wealth management, across risk and compliance. And structurally, the demand is being driven by margin pressures and the need for product innovation and also because of the reasons of trying to stay in line with the changes in REC frameworks. Technical point of view, banking, again, there is high confidence because we believe operational resilience. We believe cloud-native architectures have become mission critical for banks. And that is going to be a secular longer term non-discretionary, non-fluctuating demand spend that we are going to be looking at. And I think banking in general our confidence continues to be high. Our performance over the last four to five years has been very robust. We see absolutely no reason given the fact that the banking sector continues to be driven by the need for simplification, by the need for agility, by the need for retirement of legacy infrastructure, for our growth rates to waver or to taper. Saurabh Goel: On OCF to EBITDA, we will maintain that till the time we continue to grow, 65-70% OCF to EBITDA is what we would like to maintain. Because rest will be needed for increased working capital requirement that is needed for the growth business. Abhishek Pathak: Understood, Saurabh and if I could just follow up, what is the capex outlook for FY2026? Do we expect it to be at similar levels or taper down from here on? Saurabh Goel: No, it will taper down. It will come down to our original levels. Abhishek Pathak: Understood. 2-3% odd or 5% Saurabh Goel: Yes correct. Abhishek Pathak: Thank you so much and all the best. Moderator: Ladies and gentlemen we request you to please limit your questions to two per participant. You may then return to the queue and rejoin the queue if you have more questions. We will move to our next question that is from Sandeep Shah of Equirus Securities. Please go ahead. Sandeep Shah: Thanks for the opportunity. Just on the EBIT margin, the first quarter run rate being closer to 13 and full year being 14, so the exit has to be 15, where we expect some tailwinds, but there would be a wage hike effective 3Q. So in that scenario, what will pull out such kind of a 200 BPS margin improvement in the next three quarters? Saurabh Goel: So Sandeep, two things. One Q1 to Q2 to Q3 you have always seen impact of operational efficiencies coming in and margins going up. Historically, that is point number one. Number two, the wage hike impact is going to be very, very limited in Q3, which will largely get set off by the lower ESOP cost. We are looking at probably 80-90 BPS reduction on the account of ESOP cost

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going down. So I think from that perspective, historically, what we have delivered and from a quarter on quarter margin ramp, we believe that 14% is doable. Sandeep Shah: And just a related question, what could be the depreciation amortization amount going forward? And just observation and a suggestion, this onetime bonus of 458 in my view should not be treated as non-recurring because that is one of the catalyst or one of the reasons for higher growth which is execution intensity. Why I am saying is that as a percentage to last year's revenue has been closer to 40 BPS? Saurabh Goel: So two things, Sandeep this was not something which was part of the part of the existing bonus plan. And this was one off that was decided during the quarter and that is why we put it like that. It is not going to get incurred next quarter or through the year or next year and that is what it has been reflected like that. Anyways, whether we included or excluded reported EPS for the quarter is 9.5 and normalized as I said is 9 and we will continue to ramp from there. Sandeep Shah: Yes and question on depreciation amortization. Saurabh Goel: It will normalize from here. There is no increment happenin

g on that. Sandeep Shah: So it can continue at current level. Moderator: Mr. Shah we request you to return to the queue please. Thank you. We will now move to our next question that is from the Dipesh Mehta of Emkay Global. Please go ahead. Dipesh Mehta: Thanks for the opportunity. Two questions. First question is about the five large deals which we had announced. If you can provide some more detail around those deals. Second question is about the 14% margin which you indicated for the year. Is it as per the BSE reported or as per our presentation kind of format which you gave? If you can provide that clarification. Thanks. Saurabh Goel: See the margins that we are reporting right now as part of the management fact sheet, 14% EBIT is a like to like of a 13.2 that has been reported in the current quarter. Sudhir Singh: And moving on to question number one, five large deals. The first large deal, Dipesh was from what was one of the top three clients of Cigniti. This is an AI infused app modernization, 30 plus million dollar TCV win delivered by GitHub Copilot, Quasar Accelerators and through Intelligent DevOps. This is a US-based client. Second one again is a North America-based client, involves digital transformation to scale up various customer and enterprise processes on Pega Cloud. And our domain expertise and the Pega engineering capabilities were responsible for this. Number three was yet again a North America-based client, transformation of the workplace platform and integration with AI enabled Microsoft Services. Differentiations here, why we won were Microsoft Workplace capabilities and the architecture which was centered around AI enabled Microsoft Services. Number four came from the Middle East where we have secured a mandate to build GCC to help the customer transform their exchange operations. This was driven by our BPS and GCC horizontals working together. And finally, the fifth one came from

of technology infrastructure to enable scaling up of CAC services. I do want to point out, you would have noticed last quarter that we closed a large deal with one of the clients that came with the Cigniti acquisition more than a year back. That was a top three client. This is another one. This is a different client, but it is another top three client. And the third top three client interestingly is where we are pursuing one of our largest opportunities. So as a quick segue back to that acquisition announced last year May and the effectiveness of cross sell that we have indicated many times has been in the works, you are now seeing it in action. Thanks for the questions Dipesh. Moderator: Thank you. Our next question is from Rishi Jhunjhunwala of IIFL. Please go ahead. Rishi Jhunjhunwala: Thanks for the opportunity. Sudhir just wanted to understand the amount of deals that we have won over the past two to four quarters and that has gone up significantly. Can you give some colour in terms of how much of those would be as a result of market share gain where we are displacing some of our similar or bigger size peers versus those where it is incremental work which is potentially coming out of some of the newer technologies that we are pushing? Sudhir Singh: The way we run the sales execution cycle, what we refer to at the beginning of our call, Rishi, is we give credit to our sales teams only for deals that are not renewal. We believe that renewals should be table stakes. A large deal from an internal evaluation perspective is a large deal where the net new revenue being recognized as part of that deal, even if it is a hybrid of existing business, has to be more than \$20 million TCV. So the focus from an execution perspective is not to compensate sales teams for any piece of renewal that is embedded as part of a large deal and to n

ot call out a deal as a large deal internally at least from a sales operations perspective unless the new component is at a minimum a TCV or \$20 million. Almost all of these and this is because 19 out of our top 20 clients our principal competition is a large-scale SI have been won against the large-scale SI's. Rishi Jhunjhunwala: Got it, thank you. The other thing is of course our top five clients have grown stupendously our non top 10 have also grown pretty strong there is some bit of bit of weakness in the top six to 10. Just wanted to understand the nature of that weakness. It is something which is purely temporary. Do we expect it to recover back during the course of the year? Sudhir Singh: You will see a correction immediately. You will see a correction in Q2 itself. Rishi. There is absolutely no structural weakness there. Rishi Jhunjhunwala: Understood. Alright, thank you. All the best. Moderator: Thank you. Our next question is from Abhishek Bhandari of Nomura. Please go ahead. Abhishek Bhandari: Good morning to the management team. Sudhir, I just wanted to understand the near to medium term business outlook on your BFS vertical. When do you think this business starts, coming back to a reasonable growth number on a sequential side? And also in the medium term, what are your plans to go deeper into this vertical on the BFS as you want to become a 2 billion and beyond company.

Sudhir Singh: So the near term outlook and the medium term outlook, both are positive and very positive. And I say this off the back of the best estimate that we have for Q2 and off the back of the high probability large deals pipeline that we are looking at for banking. As I said at the outset, banking for Coforge is growing on a YOY basis by 32%. On a go forward basis, we would expect banking as a percentage of our revenue to continue to hold where it is, because we expect banking and more broadly financial services to continue to almost pace ahead at the same pace as the rest of the firm. Moderator: Thank you. We will take our next question that's from Ashwin Mehta of Ambit Capital, please go ahead. Mr. Ashwin Mehta, could you please unmute your microphone and ask your question now? Ashwin Mehta: Saurabh I just wanted to understand this nature of the data centre capex. So is it more like we own this asset effectively on behalf of the client and over a period the client pays for it, say additional colour here in terms of how this is structured would help. Saurabh Goel: Yes Ashwin so we own the asset and we control the asset. We have placed them in the location where we identified that location. And that is why it has been capitalized and we are providing services on this data centre so client is not concerned about how much is the capex behind it. And client is not concerned about what we do with it. So it is in our books, and we are in control of these assets. Ashwin Mehta: And we can use this asset for any other client, or is it a dedicated one for this client? Saurabh Goel: It is not dedicated. We can use it for whomever we want. Ashwin Mehta: And the second question was in terms of, this is more broader question, like if I look at your free cash flows over the last 5 years, your free cash flows have been largely flattish despite the fact that EBITDA has gone up by 2.6x or revenues gone up by 2.5x. So while you have given a CFO to EBITDA outlook of 65-70% what are we looking at from a FCF to PAT perspective because of the fact that the nature of deals is coming in with a much higher capex versus earlier. Saurabh Goel: So two parts to it Ashwin. One, capex is something which has only happened in this kind of a data centre only for last two quarters and that is about it. And hence when you look at current quarter, it is a blip and not reflective of the FCF of the company, numbe

r one. Number two, we have been acquisitive. So, FCF is a function of whether you do an acquisition or not. And that is why when we look at investment in clients, it gets reflected in OCF and how the OCF is progressing until and unless you are investing in a client in form of a capex, which is getting reflected in the current quarter while building a data centre. So I guess when we are comparing five-year FCF, I do not know which is the base year being taken, but it could be a function because the current quarter is heavy on the capex investment, and that is why we are talking about it. Ashwin Mehta: So I am looking at FY2021 to FY2025 and the FCF is before acquisition and on that also it appears flattish.

Saurabh Goel: I will look at FY20-21 versus FY2025 because FY2020 was a stressed year and that is why FY2021 cash flows went up. It is a point in time view and probably if there is any more detail that you need around it you can reach out to me separately Moderator: We will now invite Mr. Ankur Rudra from JP Morgan. Could you please unmute your connection, Mr. Rudra? Ankur Rudra: Thank you. I think just a broader question, Sudhir and team, how are you thinking about overall balance sheet investments and intensity as you go after this opportunity? You have laid out a lot of differentiation that you

have, not specific to this data centre deal, but would you be able to do a lot more of this? And what are the different types of asset intensive or balance sheet intensive deals that you would be open to doing as you look to capture more market share? Sudhir Singh: Ankur, we do not plan to go any further into the data centre space. Data centre space, as Saurabh has talked about in the past, the total capex was \$85 million, 62 million of which has already been realized by the firm. And it is a shared data centre where we are offering services to one and over time more clients. The balance sheet leverage is largely going to be for acquisitions that fit the valuation and the capability profile of assets that we are looking at, but you will not see more by way or anything material by way of data centre plays in the short to medium term. Ankur Rudra: Thank you. Appreciate the clarification. The second question, overall it has been a fantastic start to the year and growth momentum has been very strong. Because the environment is somewhat uncertain, in your own business momentum, do you see growth in the second half on a year-over-year basis equally strong or stronger or weaker because we have had different comments by some of your larger and smaller peers. I just wanted to know what you are seeing in your business. Sudhir Singh: Second half has to be much stronger than the first half that is axiomatic from a sales execution perspective that underlies the budgeting planning that we do. And that stems off the fact that we approach sales execution from a large deals mindset. Everything that we are going to close in Q2 by way of large deals, a lot of what we have already closed in Q1 has to start translating in the second half as new revenue. So H2 Ankur has to be much stronger than H1 and that is how we are looking at things but thank you for that question. Ankur Rudra: And if I can just clarify that one does that mean that on a year over year growth perspective, constant currency, like for like, the growth will be similar or better than first half? Sudhir Singh: I do not want to put a hard number to this, but all I can tell you is, as I said, Q1 has been a robust growth quarter. Saurabh talked about the fact that we have grown organically, excluding acquisitions by almost 6% CC. I would expect Q2 also to be an equally robust quarter. And H2, just using that term for a third time, should also be a robust second half for us. We feel very confident, Ankur. I mean if that i

s the question, we feel very confident. We see with the advent of AI clients trying to optimize the run budgets, but being extremely open to proactive business case

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led large solutions. And that is a place that is playing out at this point in time incredibly well for us. Ankur Rudra: Thank you. Appreciate the time and best of luck. Moderator: Mr. Singh, there are no further questions from the participants. Over to you for closing comments. Sudhir Singh: Thank you moderator. Thank you ladies and gentlemen. These are very exciting times. The industry has pivoted. The opportunities on the change the business, the transform the business side are many and clients are increasingly open to having conversations which are grounded and led through workshops and a solution-based approach. We aim to stay very closely connected with you for your advice, for your comments and for your insights and we thank you once again for having joined us today for what was once again for us a very insightful set of questions that we were able to address. Thank you, see you next quarter. Moderator: Thank you members of the management. Ladies and gentlemen on behalf of Coforge Limited that concludes today's conference. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you for your participation.

Call: Oct 2025

Page 1 of 22 Coforge Limited Q2 FY2026 Earnings Conference Call October 24, 2025 MANAGEMENT: Mr. Sudhir Singh – CEO- Coforge limited Mr. John Speight – President and Executive Director - Coforge limited Mr. Saurabh Goel – CFO - Coforge limited Mr. Manish Hemrajani – Head - Investor Relations - Coforge limited

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Moderator: Ladies and gentlemen, good day and welcome to the Coforge Limited Q2 FY2026 Earnings Conference Call. Please note all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. We have with us today from the management team, Mr. Sudhir Singh, CEO, Mr. John Speight, Chief Customer Success Officer, Mr. Saurabh Goel, CFO, and Mr. Manish Hemrajani, Head of Investor Relations. I now hand over the conference to Mr. Manish Hemrajani. Thank you and over to you, sir. Manish Hemrajani: Thank you, Inba. Good afternoon and thank you for joining us to discuss Coforge's results for the second quarter of FY2026, which ended on September 30, 2025. Before we begin, please note that today's discussion may include forward-looking statements, which involve risks and uncertainties. Actual results may differ materially, and Coforge assumes no obligation to update these statements. With that, I will hand the call over to Sudhir. Sudhir Singh: Thank you, Manish. Ladies and gentlemen, thank you for joining us today as we share our Quarter 2 Fiscal Year 2026 performance and the outlook for Fiscal Year 2026 and beyond. Quarter 2 has been an exceptional quarter for the firm. The firm recorded 5.9% sequential CC growth and registered an EBIT of 14% for the quarter. The business is on an even keel and key operating metrics, number of large deals signed, free cash flow, order intake, next 12-month signed order book, DSO days, in addition to other metrics like revenue growth, EBITDA, and EBIT margin progression, continue to reflect the robust health of the business. Our sustained, robust, and accelerating growth story, exemplified by Q2 results, is now well into its ninth year. Our growth continues to be driven by an execution intensity that is uniquely our own. Execution, we have always believed is the ability to not just create strategies and share plans, but to actually deliver upon them. Nowhere has the core DNA of execution and getting things done got more clearly reflected than in our ability to transform our core business with AI and to emerge as a partner, dare I say trusted partner, for our clients that has helped move them beyond simple AI pilot projects to true integrated enterprise adoption. We are fundamentally changing the delivery of our technology in BPO services by embedding AI early on, leveraging our proprietary Coforge IP. Our platforms, including Code Insight AI for enhanced software reverse engineering, BlueSwan for integrated automation and orchestration, and ForgeX for rapid transformation are infusing generative AI and intelligent automation into the very fabric of our delivery models. To fully grasp the complexity our clients face on the tech operations front today, please recognize that AI engineering is very much like software engineering. The Coforge Limited October 24, 2025

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challenges are familiar, but the tools are new. The reliance on traditional SQL databases must now be augmented by vector databases and embeddings. Simple API calls are evolving into complex MCP calls to manage the contextual flow of information across models. This is a landscape characterized by technological confusion and nascent protocols. For the next 18 to 24 months, the market will be flooded with competing standards and tools. In this immature ecosystem, our clients need assistance across two different axes. One, they need assistance to help drive a deep understanding of their industry problems and processes. And two, they need assistance with driving a deep understanding of how AI works and critically, how it does not work. The ability to combine deep industry knowledge with honest technical counsel is what allows us to deliver solutions that are not just theoretically innovative, but ones that actually get executed and d

rive genuine profitable outcomes. I shall leave you with two examples of actual work done for clients in the AI realm. And after that, segue into our quarterly results. Example one, we are leveraging code inside AI, our own code intelligence platform to harness the power of advanced LLMs and reasoning models with layered knowledge to decipher massive undocumented legacy codebases at a leading travel industry client. This process involves more than just static analysis. The platform Code Insight AI is designed to reverse engineer the original intent and complex flow of the code, automatically generating high quality documentation that explicitly maps out system behaviors and extracts critical business rules. By creating this comprehensive, structured understanding of the client's core platforms, CodeInside.AI fundamentally enables and de-risks the vital modernization effort. Example 2 is an example of using SLM to do forward engineering. For a mid-sized US bank seeking to modernize its fragmented IT landscape using AI and a low-code platform, we have developed a custom small language model to accelerate low-code application development on the OutSystems platform itself. With those two quick examples, I shall now segue into the quarterly performance and start with revenue analysis. I am pleased to report the firm registered a sequential revenue growth of 5.9% in CC terms. In Indian rupee and US dollar terms, the sequential growth was 8.1% and 4.5% respectively. The growth during the quarter was led by the travel vertical which grew 6.4% sequentially in dollar terms.

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Other verticals which include healthcare, retail, high-tech and manufacturing grew 5.9%. The insurance vertical grew 1.8% and the BFS vertical grew by 4% sequentially. Government outside India vertical grew 0.4% QoQ in dollar terms. Our top 5 clients and our top 10 clients grew 6.2% and 9.8% quarter on quarter respectively. They contributed 21% and 30.8% respectively to our overall quarter 2 revenue. Moving on to order intake. Quarter 2 was yet another strong quarter, both from an order intake and a large deals closure perspective. During the quarter, we signed five large deals. The velocity and median size of large deals signed by Coforge has been increasing over the years, and I shall reflect more on this in my concluding remarks. The total order intake during quarter 2 was 514 million US dollars. The executable order book which reflects the total value of locked orders over the next 12 months, stands at a record \$1.63 billion. This number, some of you might recall, was \$1.3 billion a year back and is currently 26.7% higher than at the same time last year. Moving on to the people front. On the

people front, our total headcount at the end of Q2 stood at 34,896. We saw a net people addition of 709 during the quarter. Utilization during the quarter stood at 82.3%. Last 12-month attrition for the quarter fell further and is now at 11.4%. We remain, as always, one of the lowest attrition firms across the industry. I shall now hand over the call to John Speight, President and Executive Director, Coforge, for providing insights into our operations and capability creation. Over to you, John. **DELIVERY OPERATIONS & CAPABILITY BUILD** John Speight: Thank you, Sudhir. I will now highlight the quarter's delivery and capability milestones. Coforge is advancing with an AI-driven service portfolio. Our strategy captures the surge in enterprise investment in AI infrastructure and data modernization, fueling sustained high-quality growth. We design solutions that address clients' most complex mission-critical challenges. AI is embedded from the outset, delivering clear, measurable returns. Evolve Ops AI anchors our Mission Zero initiative. Clients experienced zero touch operations, zero disruption for enterprise systems, and zero friction for end users. Over 25 clients have completed a full year without a

single P1 incident. This highly automated delivery model expands margins and increases contract value. Our proprietary Quasar AI platform now offers multi-framework agentic support, secure RAG as a service for trusted data, and smart LLM routing for optimal performance and cost efficiency. Client success stories this quarter show the impact of our approach. A major

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U.S. airline and a European insurance company selected Coforge to implement strategic domain data meshes, migrating to cloud platforms like Snowflake and Databricks. These programs established Coforge as the partner of choice for foundational AI infrastructure and recurring data engineering revenue. A leading broker dealer, Fintech, chose Coforge to design and build its agentic AI platform automating complex financial advisory workflows. Another US airline selected us to build its enterprise agentic AI framework on AWS Agent Core, enabling scalable, autonomous business process execution. For one of the world's largest fintech's, we established a new quality engineering hub, leveraging our BlueSwan AI accelerators to embed intelligence throughout the testing lifecycle and accelerate time to market. AI runs through our delivery lifecycle, driving internal efficiency and strong contract execution. Our agentic production support offering for data clients now resolves L1 and L1 and L1.5 issues in nightly ETL cycles, delivering immediate cost savings and optimizing margins on managed service contracts. Our AI-driven service portfolio aligns with the future of enterprise technology spending. Strategic AI programs across engineering, cloud, data, and quality engineering are fueling durable revenue growth, stronger margins, and enhanced shareholder value. With that, I will now hand over to our CFO, Saurabh Goel. **FINANCIAL OVERVIEW** Saurabh Goel: Thank you, John. If you recall, we made some changes to our disclosures last quarter, where we presented a detailed breakdown of our financial statements as part of a fact sheet. This quarter, the fact sheet has been updated to reflect reported profit and loss metrics. All adjustments to P&L have been taken off. As previously stated by Sudhir, for the second quarter, revenue reached \$462.1 million. This figure represents a sequential growth of 4.5% in dollar terms, 8.1% in INR terms, and 5.9% in CC terms. The hedge loss reported for the quarter amounted to INR 307 million as compared to INR 158 million in the previous quarter, reflecting adverse impact of 78 bps in the reported EBIT. ESOP cost for the quarter further reduced to 1.4% to revenue for the quarter reflecting 20 bps upside on EBIT. The EBIT margin for quarter 2 was 14%, an increase of 251 bps quarter-on-quarter and 240 bps year-on-year.

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In the first quarter, a one-time bonus provision for employees amounting to \$5.5 million and \$0.5 million for acquisition-related expenses was recorded. PBT sequentially went up 410 bps, which was on account of foreign exchange gains in the current quarter and an exceptional legal expense of \$3 million in the first quarter related to cybersecurity breach with the client. The PAT for quarter 2 stood at 9.4% of revenue, an improvement of 82 bps compared to previous quarter, and 275 bps year-on-year. Earnings per share for the quarter was Rs.11.2 per share. For the first half of FY2026, EPS was at Rs. 20.7 per share, reflecting an increase of 101% over previous year's first half. Capital expenditure for the quarter stood at \$4 million. Free cash flow increased to \$37.1 million reflecting FCF to PAT ratio of 86%. In addition, the company was able to reduce its credit line, which led to a reduction of interest expenses. Billed DSO stood at 63 days, unbilled at 26 and contract assets at 15 reflecting a total working capital cycle of 104 days. With that I hand over the call back to Sudhir. **SUMMING UP AND OUTLOOK** Sudhi

r Singh: Thank you, Saurabh. And I shall sum this up as follows. The 5.9% sequential CC growth in Q2, a next 12-month signed order book which is 26.7% higher YoY. A sales execution engine that signed 14 large deals last year and has already closed 10 large deals in the first half of this year, a potential pathway to 14% EBIT in FY2026. One of the lowest employee attrition rates across the industry are all, ladies and gentlemen, pointers to what we believe will be an exceptional fiscal 2026. We remain committed, strongly committed, to turning in the ninth consecutive year of robust growth, despite the uncertain macros swirling around our industry. Our growth philosophy, as always, continues to focus on driving very robust organic growth. We overlay that organic growth with a near-perfect record of executing turnarounds of all assets that we have acquired over the last nine years.

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Moving forward, we shall continue to focus on robust organic growth and continue acquisitions as well. With that, ladies and gentlemen, I conclude my prepared remarks, and I look forward to hearing your comments and all three of us look forward to addressing your questions. Thank you. Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question and answer session. Anyone who wishes to ask a question may click on Raise Hand icon from the Participant tab on your screen. We request participants to please restrict to two questions and then return to the queue for more questions. To rejoin the queue, you may click Raise Hand icon again. We will wait for a few moments until the question queue assembles. We take the first question from Abhishek Pathak of Motilal Oswal. Please go ahead. Abhishek Pathak: Hi, am I audible? Moderator: Yes, sir. Abhishek Pathak: Yeah, hi. Hi, team. Morning. Congrats on a great quarter. I think it is great to see, a

great print across revenue margins and cash flow generation. Sudhir, my question is, from a two to three year perspective, how are you thinking about optimizing for all these three metrics going forward, right? Because (a) growth remains paramount, (b) in an uncertain macro where demand still remains kind of sporadic, do we expect pressure on margins for both us and the industry, number two. And number three, on cash flow as well, where we are growing so fast, what is the steady state for these metrics for us going forward from here? And given a choice, how do you optimize across these three? That is the first question. And the second question is, a very interesting sort of data point around revenue per employee that you have shared. It seems to be going up and to be honest that looks like how the industry should move forward. I am interested to know your views on how you are doing it so early ahead of the curve and what will ensure this going forward as well. Thank you. Sudhir Singh: Thank you for the comments and the questions, Abhishek. Let me take them in order. Revenue, our intent, as always, and exemplified by our results over the last nine years, continues to be that over the next two to three years and beyond, we will continue to turn in sustained and robust growth. That is the clear intent. It has not changed. On margins, If we do hit the 14% reported EBIT margin plan for the year, we will, at a minimum, irrespective of the changes in the macros, commit ourselves to delivering on that as the minimum threshold going forward in the years to come. As far as free cash flow is concerned, and as Saurabh had noted in his commentary, there were comments that we received on that last quarter, we believe on a sustained basis, you should expect free cash flow to PAT at around

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70% to 80% going forward. We are very strongly focused on the free cash flow metric as well. As far as the second question around revenue per employee is concerned, you are right. Revenue per employee,

we called out the revenue per employee for our tech services business. It is nudging 70,000 US dollars per employee. It is a metric that we have consciously called out to illustrate the impact of the AI-led platforms that John has been talking about over the last six quarters and the value that they create for our clients and in turn for us. We have always talked about how high quality growth and the best exemplar of that high quality growth we believe is the RPE metric that you have seen. Thank you. Abhishek Pathak: Thank you team and all the best. Moderator: The next question is from Vibhor Singhal of Nuvama Equities. Please go ahead. Vibhor Singhal: Yea, hi. Thanks for taking my question and congrats team on a rock solid performance once again. Sudhir, one question for you and another one for Saurabh which I will take later on. So Sudhir, on the overall demand front, we have seen multiple macro headwinds play out in this quarter, from the hike in H1B visa fees to a very uncertain macro. Of course, evidently it does not impact our numbers at our level. But what is your take on how these could actually, if at all, impact the industry going forward? And a related question is that in our growth trajectory, if we see, I think the first two quarters growth, of course, has been led by the travel vertical because of the large deal that we had closed out. Going forward, next, let's say two to four quarters, which particles or which segments of the business do you think will take precedence in driving the growth? Sudhir Singh: Thanks, Vibhor. Demand front, we talked about it over the last few quarters as well. We continue to believe that demand, especially with the advent of AI, has mutated, but the addressable demand continues to grow at a solid clip. When we look at our three core verticals, banking, insurance, and travel, and when we look at the trends that we see observed within them, we see positive trends. Banking, there are several factors that are aligning to create favorable conditions all the way from lower interest rates to the shifts in the regulatory practices. We are seeing financial institutions embrace real-time everything in the areas of payments or global remittances or security settlements. And of course, there are the efforts in terms of moving to T plus zero as well. So banking, demand outlook in general appears solid from our vantage point. Insurance, as we observe it, the global insurance industry is entering an above trend growth phase. P&C insurance, every metric we are tracking is growing at about almost 4.5% per year. And the growth is increasingly coming from our vantage point by more complex risks, higher claims, rate increases, insurers focusing on specialized products like cyber, etc. And even L&A, we see growth of about 5% per year, driven by higher interest rates and more

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interest in saving products. So that is a quick summary, Vibhor, in terms of demand outlook. We continue to believe that the demand outlook is improving on the margins. It is not a vertical takeover, but it is improving on the margins. As far as your second question is concerned, and then I am sure you have a question for Saurabh, as far as the verticals are concerned, we expect travel to continue to clip along at a solid pace. We believe insurance, in light of the commentary that I just shared, and banking will both do well. The two newer verticals that we have alluded to over the last two years are doing very well for us. One is healthcare, where we think that by the end of this year, we will have a book of business of almost \$100 million. We may not touch that number, but we will be within nudging distance. And the second is public sector outside India, which is a book of business that has already crossed 150 odd million dollars and we think that in the coming quarters, we should start nudging the 200 million dollar run rate on the vertical as well. Those were the answers

that I had for you Vibhor. Vibhor Singhal: Great, great. Thank you so much for those answers. Very clear visibility of growth that you provided. Saurabh, if I can just trouble you for a couple of questions. So in this quarter, if I am correct, we have actually moved all the items like discounting income of long-term contracts and mortgage income and all that from our EBITDA calculations to other income. So now there will be no disparity between the India's EBIT and the PBT reported EBIT going forward as well. Saurabh Goel: Absolutely right, Vibhor. We have moved that to other income. And the detailed breakdown is available in the analyst factsheet in the other income section wherein you will see that the discounting income and the mortgage income and all of that are being reflected there. And quarter one has been recast to reflect that number. And going forward, we will focus on reported EBIT. That is the number we will hold. And FCF to PAT is what we will hold and revenue, anyways, we have been holding. Vibhor Singhal: Got it. And this reported EBIT margin is what we are targeting, that we will touch 14% in FY'26? Saurabh Goel: Yes. Vibhor Singhal: Got it. Really helpful. I think this clarifies a lot of concerns which people had regarding the mismatch in EBITDA numbers. Really good to hear that. Secondly, just a couple of bookkeeping questions. What is basically timeline and the update on the Cigniti acquisition? When do you think this process

can be completed? And secondly, just as we just mentioned that we now have a very large order book in the healthcare segment as well. We have this vertical which we report as others, which consists of healthcare, retail,

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manufacturing and all. Do you think there would be a time, maybe in the next few quarters, when we will start separating them out and basically give out the matrices of those individual verticals separately once they attain that critical size? Saurabh Goel: Sure, Vibhor. So, question number one, the NCLT approval has been received, and they asked us to convene creditors and a shareholders meeting. The date is yet to come out, but as soon as the date comes out, within 35 to 40 days, it is a time-bound thing. It is not that it goes on forever. The meeting has to be convened. After that, it will go back to NCLT for the second motion filing, and then the merger will be completed. We expect that to be getting completed by either December, Jan timeframe. And whenever the merger is completed the minority interest, as I mentioned earlier, will be taken off effective 1st of April 2025 because the effective date of the merger is 1st April 2025. Absolutely right. So that is one. Second, on the healthcare or others component which has become larger, you would recall we used to have a public sector government outside India, used to be the segment which used to be part of others, which we have taken out. So, we at least wait for the business to get at least a critical mass of \$100 million at least. Once that is done, we then start reporting that. So hopefully, we should see a vertical being carved out in next financial year, quarter one of FY2027. Vibhor Singhal: Got it. Great, great, sir. Thank you so much. Thanks for taking my questions and wish you all the best. Moderator: Thank you. Our next question is from Ankur Rudra of J.P. Morgan. Please go ahead. Ankur Rudra: Hi, thank you for taking my call and thanks. Good to see the margins and cash moving up. Hi, can you hear me now? Sudhir Singh: Yes. Ankur Rudra: Hi, good evening. Thank you for taking the question and good to see the margins and cash moving up smartly this quarter. First question is on growth. 1H has been exceptionally strong, clearly held by the travel contract. I recall you had highlighted before that second half could also be stronger. Given how the macro has evolved since then, how has your outlook evolved for the second half and generally? Sudhir Singh: Bo

th John and I will chip in on this. What we discussed last quarter was that second half will be a growth half for us over H1 because our H1 numbers have been extremely strong. We continue to maintain that the full fiscal will be a robust growth fiscal for us. And H2 will also be robust growth half for us. John, do you want to add to that?

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John Speight: Yes, I mean, one thing is to notice, traditionally, our H2, certainly Q4 is one of our strongest quarters. I would also say looking at the growth in our pipeline and opportunities really bodes well. Ankur Rudra: Appreciate it. I think I noticed that this hiring was positive in contrast of other people not hiring at all but still was a bit light on 2%. But I am sure that is not much for us to read from an Outlook perspective. Sudhir Singh: No, that is right. Because the hiring is we continue to focus on not only just the addition of people would focus on utilization as well and that is why you will see that the SG&A cost have got to be reduced because we have kind of moved people who are part of unbilled organization from a delivery perspective or overheads, they have been moved to billing. And that is why you saw that the SG&A has gone down, or the G&A part of the overheads have gone down. And hence the gross margin has gone up. And plus, we are moving into a seasonally weak quarter, which has a lot of holidays and furloughs coming in, hence the hiring observation. Ankur Rudra: Appreciate it. On the margin side, you have delivered 14% margins. I think ahead of what most of us expected. Now, several of your larger peers are actually battling margin issues and we hear of pricing pressures thanks to AI-related productivity paths too. In that background, does it make sense for you to expand margins further from here or reinvest back in either into the business or to keep it margins and your price points more competitive. Sudhir Singh: Ankur, once we hit 14% EBIT, if we manage to hit it this year, we will plan to at a minimum clip along at 14% EBIT, but our primary aim will be to make sure that we prioritize growth over any further EBIT improvement. Ankur Rudra: So at the moment, the idea is to get to 14%, keep 14% for the year. But beyond that, you do not intend to, at the moment, expand margins meaningfully. Sudhir Singh: I mean, if it expands, it expands, but the first imperative will be to prioritize growth and to keep investing in the business and be a very high growth firm. 14% will be the minimum that we will plan to deliver. We will not commit to more than that at this point. Saurabh Goel: Yes, Ankur. Actually, 14% gives us comfort that we are running a business wherein you have enough scope for investments so that the growth keeps coming in. So I think that numbers once achieved for a year, we will just hold that number. Focus will be to reinvest anything that is over and above that for growth, because as Sudhir mentioned, that will be the prime imperative. Coforge Limited October 24, 2025

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Sudhir Singh: Appreciate the comment. Thank you so much. Sudhir Singh: Thanks, Ankur. Moderator: Thank you. Our next question is from Dipesh Mehta of Emkay Global. Please go ahead. Dipesh Mehta: Yes, thanks for the opportunity. A couple of questions. First about the 5 large deals, if you can provide some colour on those deals and particularly if you can touch upon how those deals are changing in terms of size, shape, and complexity, how Coforge is evolving, if you can provide some colors around it, maybe for H1 also helps. Second question is about the DSO. If I look, DSO is steadily inching up. I am including all the contract asset. It is almost eight days up. How one should look this overall working capital cycle evolving for Coforge. You think now we should stabilize or there would be further kind of uptick possible? Last question is about the healthcare. You say others is doing well and you attributed

part of it to healthcare. If you can provide some sense about our focus area and what is working well for us in healthcare and what kind of investment you plan to ensure this growth momentum sustaining in that area? Thank you. And one small question, if I can add, any expectation about furloughs? Thank you. Sudhir Singh: Sure. So, four questions in all. I shall take the large deals questions. Saurabh shall address DSO. John and I will look at healthcare together. And John has just closed a highly complex health care program in this week itself. And we will finally, furlough is an easy yes, easy question. So, we will just take that in advance. We do expect furloughs as we see them every year and we expect them to be at the same scale as we have seen over the past few years, which has been significant. With that, the five large deals, three of the large deals

came from North America. Out of those three large deals, two came in, interestingly, from the insurance vertical in North America, and one came in from an airline, a new airline for us that was an NM deal. In insurance, out of the two large deals, one was an NN deal, a new client. So interestingly, out of the three large deals in North America, two were new clients opened with a large contract. The other two deals came in from the Asia Pacific region. Each of these deals, what we found very interesting is the one of the three deals in North America was around legacy modernization of the mainframe. The new airline where we started a new relationship with a large deal. This was fundamentally focused around digital transformation across all data services and IT services. And the third deal from North America in insurance centered around optimizing operations by implementing AI-infused modern AMS and QE using our own platforms. That is a quick flavor around the five large deals. Saurabh, would you like to address the DSO question? Saurabh Goel: Yes. Thank you. Sudhir. See the reason for increase in DSO is one, the year on year growth is 31%. Last two quarters have been 8% and almost 8% in rupee terms.

Now when we

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arrive at DSO, we are looking at last 12 months revenue, which is inflating the DSO numbers because the currency has moved up significantly that's one. Second is the focus is to make sure that FCF to PAT is being maintained because once that is within control rest everything gets under control. So, the focus will be to maintain FCF to PAT of 80 odd percent, 75 to 80 odd percent. And once we maintain that for a year-on-year basis, that will take care of any concern that we will have on the DSO. This DSO is more of a metric which is impacting, getting impacted because of currency and a 30% growth that we have year-on-year. If you calculate DSO basis current quarter run rate, the numbers will fall significantly. Okay, John. John Speight: Thank you, Saurabh. So, there are few areas on healthcare that is driving our growth. One of the areas is there is a huge focus on how AI can actually be used to automate and improve patient care. So, what we are seeing is a very large drive in improving the end-to-end platforms, the plumbing, the data, the data collection, so therefore that they can create insights and provide that additional comfort to customers, to patients. So that is a big area for us. The other areas we are seeing a lot of focus on the payer and the life science space. Again, it's how AI and data can be used to drive insights and semantics around patient care, drug processing and so on. Sudhir Singh: Dipesh, those were the answers to your four questions. Thank you for the questions. Dipesh Mehta: Thank you. Moderator: Thank you. We take our next question from Kawaljeet Saluja of Kotak Securities. Please go ahead. Kawaljeet Saluja: Hi, thanks a lot and congratulations on a good all-round performance team. My questions are all data-related, so it is all for Saurabh. Saurabh, the first question that I have is, I am

trying to reconcile the big gap between constant currency revenue growth and dollar revenue growth this quarter. Your constant currency is 6%, dollar is 4.5%. I do not, that is like a chunky 150 basis points gap between the two numbers, which seems a little bit at odds with what I have seen for the rest of the players in the industry. Just trying to understand the mechanics and the calculations behind it here. Saurabh Goel: So two parts to it, Kawaljeet, one hedge loss is in the top line. There is a, almost the hedge losses in the top line have doubled, which is all reported in INR. So from Rs. 15 Crores last quarter, we are sitting at Rs. 30 Crores this quarter. So that is one line item which impacts our reported revenue number in either currency. I mean, the tailwind would have been otherwise much, much higher in terms of rupee terms if the hedge losses were not there in the top line. So that is one. Second is the exposure to pound and euro is very significant in

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our case. And over there, there was a headwind rather than a tailwind because of which between dollar and pound there was a significant tailwind because of which the dollar revenue went down. And the third thing is because of the India business growing this quarter. So, these are three reasons because of which the dollar number is lower as compared to and then rupee number is higher. Kawaljeet Saluja: Okay. The second question, thanks for that, Saurabh. The second question that I had is around the headcount addition versus the revenue. I mean, see, your utilization rates have not changed quarter on quarter. Your headcount addition is fairly moderate, actually, and your revenue growth is 6%. So, I am just trying to understand the gap in the headcount addition versus the strong revenue growth with an unchanged utilization. Is there a big bump up in the subcontracting cost or is non-linearity really at play over here? Saurabh Goel: So, I think two parts again. One, you look at revenue per headcount has gone up in the current quarter from 67 odd thousand dollars per annum to 69,000. So, there is nonlinearity, which is getting played out. Number two, the headcount addition that you are looking at between two quarters is a point in time view, but when you are ramping up last quarter, the headcount was added towards the end of the last quarter, there was no full quarter revenue that had come for those people. That is why you are seeing that the headcount increase is only 2% wherein the FTE increase at the same utilization is much larger than that. So that is second point to it. And subcon is not playing an impact here because it is already included in the overall headcount. So, it is not because of the subcon that the headcount has reduced or has not grown that significantly. So that is the reason. Kawaljeet Saluja: Right. The final question is on the hedging philosophy. Now, normally, what I see with companies is that when they have an annual cycle, they want to lock in their currency rates at the beginning of the year, so they are going to roll in 12-month hedge. And they also run balance sheet hedges here. When I look at your hedging, I just get a little bit, what I would say, I am unable to draw a pattern behind the hedging because it is more than doubled on a YoY basis for USD on a sequential basis as well. It has gone up. And the hedge duration seems to be of a far shorter duration so what is the underlying mechanics and the philosophy behind the hedging gap? Saurabh Goel: So, one thing, Cigniti was added. Cigniti, until now, they were not hedging as a legal entity. They never used to hedge. So, hedges for Cigniti have been taken. As far as our hedging policy is concerned, it is very straightforward. We hedge on rolling four quarter basis, which is 90% of the net exposure for the immediate quarter, followed by 80, 70, 60. So the bump up that you see in hedging is because a large business getting added, Cigniti an

d the other acquired businesses that we have taken over. And the policy remains same, it is 90,

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80, 70, 60. And that is why you see that a lot is short term just because of new entity getting added in the overall hedging

policy. Kawaljeet Saluja: Fantastic. Thanks a lot for all the clarifications, Saurabh. Congrats to team. Moderator: Thank you. We take our next question from Prateek Maheshwari of HSBC Securities. Please go ahead. Mr. Prateek Maheshwari, could you please unmute your microphone and ask your question? Prateek Maheshwari: Hi, guys. Thank you for the opportunity. I am very impressed with the all-round performance, especially with the margin improvement and the improvement in the FCF generation quarter-on-quarter basis. Just thank you for the comments on FCF generation. Just wanted to understand how, I think you guys said about how you guys' plan for the first half, second half of this year, and then how do you plan for the FCF generation to improve in the next year as well. And the other question I had was on your growth. I think probably you also discussed a 5 billion plan 5 years out. I just wanted to understand that how do you guys see that with your present verticals and if you would need to add any verticals for that kind of growth. Sudhir Singh: Thank you for the questions, Prateek. John and I will take them together. We haven't given any timeline for hitting 5 billion dollars. All we maintain and we continue to maintain is that we will deliver sustained, robust and profitable growth. The intent of course is to grow at the fastest possible clip. John, do you want to add anything to that? John Speight: I think anything I would add is, and you alluded to it on your commentary earlier on, which is the placement of Coforge with its execution mentality along with its engineering prowess and how we see this aligned with AI will really drive our business, the value we deliver to our customers exponentially over the coming years. Sudhir Singh: Prateek, that is how we would answer the questions. Is there anything else we can answer for you? Prateek Maheshwari: No, thank you so much, Sudhir. Sudhir Singh: Thank you, Prateek. Moderator: Thank you. Our next question is from Sumeet Jain from CLSA. Please go ahead. Sumeet Jain: Yes, hi. Thanks for the opportunity. So, question for you Sudhir, you said that you are seeing demand improving on the margins. So, can you just highlight, is it for Coforge or for the overall industry? That is one. And secondly, do you believe AI is actually a headwind or Coforge Limited October 24, 2025

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a tailwind for the IT services industry. And one question for Saurabh in terms of ETR, we can see the tax rate is pretty volatile quarter to quarter. So what are you expecting for the full year this year, and probably next year as well? Sudhir Singh: Saurabh, would you like to lead? Saurabh Goel: Yes. So, Sumeet, ETR on a sustained basis is roughly 23.5% to 24% is what a sustained ETR is what we would maintain. Last quarter there were certain transactions advantage go related certain things that happened because of which when we carved that out so there were certain tax benefits we got because of that and that is why the ETR was at 17% but on an ongoing basis without any one-off benefit coming in we would believe that 23.5-24% is the number one should bake in the model. Sudhir Singh: Coming back to your earlier question around the demand, as I shared, demand is from our vantage clearly increasing on the margins. And we play in the same sandbox that the other players do. So, we believe that for folks who have the right set of offerings, demand should be increasing on the margins for them as well. We believe that AI is a clear tailwind for firms that understand the domain and also have an appreciation for how to apply the relevant AI-specific technology. There can be no better example of this than the fact that the velocity

of our large deals, despite the macros, continues to increase very, very appreciably. As I had noted earlier, at the end of the first two quarters, the first half of this year, we have already logged in 10 large deals. If you were to contrast that, we had a number of only 14 for all of last year. So that is how I would represent the response to both questions. John, would you like to add to that? John Speight: I would like to corroborate with what Sudhir said about being a tailwind. I think people have underestimated the complexity of implementing AI across the enterprise. Yes, you can do a POC here and there, but to actually get real value out of it needs deep, deep engineering prowess across the whole infrastructure from cloud, data, and then obviously the tooling of actually using that data into your LLMs, your SLMs, and so on to actually derive insights and value. So for us, I think it is a great situation to be in. Sudhir Singh: Sumeet those were the answers. Do you have anything else for us? Sumeet Jain: Yes, just one more extension of this. I mean, like you have already reported a very strong revenue per employee metric improvement at around \$70,000 per annum in this quarter. And I am sure I mean, there are different, different kinds of projects where the AI penetration is slightly higher in certain projects while lower in other. So, do you see this revenue per employee moving at a significant pace over the next 2-3 years, which is an

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important metric to track, to judge the advancement of an IT services company on the AI front? Sudhir Singh: Early days in our view Sumeet, early days, but we think given the success of the Code Insight platform around legacy modernization, reverse engineering that we built and the demand that is coming our way given the clear draw for the EvolveOps platform in the cloud, in the infra management space that we have been looking at, and given the very clear success of the BlueSwan QE AI platform that was something that we acquired with the Cigniti acquisition, we think RPE should continue trending upwards, but as I said at the outset, still early days. I think the jury is out in it. We will have possibly something more definite for you over the next two or three quarters. Sumeet Jain: Now, got it. And maybe one last question, if I can squeeze in, if I see the Cigniti numbers, which were reported separately this quarter, even they had a good sequential growth. So can you maybe briefly highlight, like, how long do you see that cross-selling, up-selling opportunity in the Cigniti being still applicable for you? And is the growth ambitions in healthcare retail vertical primarily on the back of that in the next one year? Sudhir Singh: So as we reflect back as a team, Sumeet, we think that one of the best things and one of the best decisions that we ever made as a team over the last nine years was the Cigniti acquisition. You will recall that we got a lot of flak for that acquisition going into that acquisition. But as we look back, as we look at the current pipeline, the largest deal that we are pursuing today as we speak is a deal with a client that came into our client portfolio from Cigniti. Two out of the top three clients of Cigniti that we acquired over the last five quarters, we have already signed large deals within that portfolio. And not only did we get an outstanding set of leaders, I do want to point this out. This is an acquisition is not just about getting the clients in. Today, if you look at our chief marketing officer, he has come in from Cigniti. Today, if you look at our data automation leader, he came in from Cigniti. Today, if you look at the QE practice head of the firm, he came in from Cigniti. It has been a fantastic integration, acquisition from our vantage, and that business along with the cross-sell that you alluded to, is likely to keep on getting strong. Sumeet Jain: Now got it. That is very helpful and all the be

st to you. Sudhir Singh: Thank you. Moderator: Thank you. Our next question is from Sandeep Shah of Equirus Securities. Please go ahead. Sandeep Shah: Yes, thanks for the opportunity and congratulations on a strong execution this quarter on many fronts. Just wanted to understand a few things about margin. So, when you plan to

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give a wage hike or this time it may not be there because we have distributed some bonuses in the first quarter. Sudhir Singh: We already announced the wage hike effective 1st of October, Sandeep, for the entire organization. Sandeep Shah: And how does that will impact the margin in the coming quarter? Saurabh Goel: So, Sandeep, we are not giving quarter-on-quarter margin guidance, but historically, we have had anywhere a drop of 100 to 150 basis point on the wage hike and then there are other levers wherein ESOP costs will go down. Depreciation and amortization as a percentage of revenue will go down, there will be levers to offset partially the impact of wage hike. So, that is how we are looking at a quarter three phasing out. Sandeep Shah: Okay. So, most of the other questions we have answered just some bookkeeping question. Saurabh, when I look into the disclosure of interest expense, which is beside the least discounting, if I look at the average interest expense divided by the average debt, it comes to 25%, 27%. And if I apply same on interest income as percentage to the cash and bank balance, it comes less than 3%. Can you make us understand how this has been calculated while the interest expense looks very high? Saurabh Goel: No, Sandeep, that is the wrong calculation. You do not look at the year-end or a quarter-end period-end loan amount and arrive at the interest cause basis that there is a consumption of our working capital utilization that happens through the quarter. It is a point in time view. It is not the average utilization of the working capital because it is not a long-term debt that we have in the balance sheet. It is a working capital. It goes up through the quarter. And then as we start collecting on money, the working capital limit goes down. So that is why the interest calculation cannot be done just looking at the balance sheet because it is a point in time view. Sandeep Shah: Okay. And Saurabh, just to get more understanding, what is this nature of discounting income on long term customer contracts and income from mortgage business? You might have explained in the earlier calls, but just quickly if you can make us understand. Saurabh Goel: Discounting income is basically a long-term contract, wherein you are recognizing part of the revenue now, and you are supposed to bill say \$100 to a customer. one year down the line or you are going to collect \$100 from a customer one year down the line so today when you recognize revenue you recognize 90 and balance 10 accretion happens in other income. Sandeep Shah: Okay.

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Saurabh Goel: 100 will go and as your unbilled revenue. So, your unbilled revenue will show 100, you are unbilled on the balance sheet side. Revenue will be 90, 10 will be other income. Sandeep Shah: Okay. And just an explanation on income from mortgage business. Saurabh Goel: Same thing, same transaction. Sandeep Shah: Okay. It is for the long-term contract. Saurabh Goel: Yes. Sandeep Shah: Okay. Thanks, and all the best. Moderator: Thank you. We take the next question from Sulabh Govila of Morgan Stanley. Please go ahead. Sulabh Govila: Thanks for taking my question and congrats on a good quarter. I just had one question related to the deal wins and the executable order book. So, in the last two, three quarters, while we have had a run rate of 500 million odd on the deal wins front, excluding the large deal from Sabre that we have won. The increase in the executable order book this quarter has been quite sharp relative to past few quarters. So just trying to

understand what has led to that. Is it more of a quarterly phenomenon or would you say that you have seen tenure of deals going down this particular quarter. Sandeep Shah: No. Sulabh, so see, one, it is a function of the deals that are getting signed outside of the large deals also. Plus, the deals which have been signed in the previous quarter, when they start ramping up, the next 12-month revenues have started picking up. So, it is a function of the deals which were signed in the previous quarter and the current quarter and the ramp up getting stabilized because of which you are seeing the pickup in the total 12-month executable order book. It is not just the impact of the deal signed in the current quarter. Sulabh Govila: Okay, so there is no change in the tenure of the deal? Sandeep Shah: There is no change in the tenure of the deal. It is not that we have started moving to shorter term deals or anything of that sort. It is just that deals which were signed in the previous quarter and sit towards the fag end of the previous quarter, they started ramping up in the current quarter but not fully ramped up. So, when you sit in the current quarter, without any increase in audit and intake, the 12-month revenue has gone up. Sulabh Govila: Understood. Thanks for taking my question.

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Sandeep Shah: Yes, thanks. Moderator: Thank you. We take our next question from Ashwin Mehta of Ambit Capital. Please go ahead. Ashwin Mehta: Yes, thanks for the opportunity. Just one question. So, any sense on the contribution from Sabre this quarter? Are we at steady state here or further ramp up is expected in 3Q? And did we take over any people in this deal in this quarter or most of it was done in 1Q itself? Sudhir Singh: Ashwin, we are at steady state. We do not expect any further ramp up from Sabre and the rebadging exercise is completely over. Ashwin Mehta: Okay, thanks Sudhir. And just one more question in terms of margins. So, given that we have a margin impact of wages in the next quarter, which you will try to counter through the other measures. What we seem to be then indicating is that there will be a pretty smart improvement in margins in the fourth quarter for us to be at the 14% levels. Would that be the right understanding? Sudhir Singh: That is the intent. That is what we are attempting to do, Ashwin. Ashwin Mehta: Sure. Thanks Sudhir and all the best. Moderator: Thank you. Our next question is from Ravi Menon of Macquarie. Please go ahead. Ravi Menon: Hi. Thank you for the opportunity and congrats on a pretty good quarter. Good to see this broad-based growth and really good to see EPS growth as well. EMEA seems a little soft, especially the order intake also, what is your sense on that. And the rest of the world seems really good. So one of the which geographies or which countries specifically within the rest of the world portfolio are doing well or which verticals are doing well. Sudhir Singh: Sure. So John is going to answer the question around EMEA and the demand outlook for EMEA that we see. I can tell you that from our vantage, Australia, New Zealand, Asia-Pacific, Middle East have not just done well, they continue to trend in a very positive direction, and we feel extremely bullish about those geos and the teams that we have put together. John, your view on EMEA? John Speight: I mean, what we are seeing in EMEA is over the

last couple of quarters, there has been delays and slowdowns in new opportunities and sign off of deals, but we are seeing that actually recovering and we are expecting significant upside over the next two quarters as deals come to be, as that haven't been closed. We see a positive uptick both across

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insurance. We see a lot of pent-up demand and also public sector with decisions from the government actually starting to flow through. Ravi Menon: Thanks for that. Just a question about the unbilled revenue inc

rease. Should we link this to the Sabre deal? And is this why you seem to be confident that free cash flow to PAT will be in a good 70% to 80% range over the longer term. When should we start seeing this come down? Sudhir Singh: So, DSO unbilled that you see right now, Ravi, is not increasing just because of Sabre. There are any development contract that you sign up and any large contract that you sign up there is upfront effort that goes in and there is a requisite billing milestone which when achieved the billing happens. So, it is also a timing difference wherein when you receive approval from the customer and when you bill it. I think the way we are looking at the overall metric when it comes to cash, or the balance sheet is that focus on FCF to PAT and deliver anywhere around 75 to 80 and keep having double digit growth. So, I think that is the focus and the investments will keep going into customers as long as we continue to grow. But if we are maintaining FCF to PAT that keeps giving us comfort. Ravi Menon: Thanks. I have seen a nearly \$17 million increase in the long-term, unbilled revenue quarter on quarter. So, I was just wondering, in absolute terms now, we have added nearly \$53 million to the long-term unbilled revenue year-on-year. So, when would that start reducing? Like, should we think about that as a deal anniversary for Sabre or something like that? Sudhir Singh: No, so again, it is not just Sabre. There are multiple contracts. The long-term unbilled has always been there. It was there previous quarter, the quarter before that as well. So, it is not just because of Sabre, there is increase in liability as well. So, this number, as long as the overall number, as I said again, the overall number FCF to PAT is maintained between 75 to 80. We will be comfortable because if that happens, something or the other is being taken care of. We would want to make sure that FCF to PAT is getting converted at 75% to 80% and that is about it. Ravi Menon: Thanks so much and one last question. Just a clarification. I saw that John has actually been added to the Board. John, congrats on that. I saw that Gautam seems to have resigned. So, is he no longer on the board? Sudhir Singh: No, we shared that earlier as well. And there was an intimation sent to the Stock Exchange. Gautam is no longer with us. And we had shared that immediately after the last board meeting. Ravi Menon: Thanks so much. Best of luck. Thank you.

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Moderator: We take that as the last question for today. I now hand over the floor back to the management team for closing comments. Sudhir Singh: Thank you, Inba. Ladies and gentlemen, thank you very, very much for your time and for your interest. We have said this over the last nine years. We really value these conversations, interactions, and we take away very rich learnings from them. We look forward to staying in touch, and we look forward to speaking with you again at the end of the next quarter. Thank you. Have a great day. Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Coforge Limited, that concludes today's conference. Thank you for joining us. You may now click on the Leave icon to exit the meeting. Thank you for your participation.

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Coforge Limited Conference Call with
Analysts and Institutional Investors

December 26, 2025

MANAGEMENT :

MR. SUDHIR SINGH – CHIEF EXECUTIVE OFFICER

MR. SAURABH GOEL – CHIEF FINANCIAL OFFICER

MR. MANISH HEMRAJANI - HEAD OF INVESTOR RELATIONS

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Page 2 of 20 Moderator : Ladies and gentlemen good day and welcome to Coforge Limited Conference Call with Analysts and Institutional Investors. Please note all participant lines will be in listen -only mode, and this conference is being recorded. We have today with us from the management team, Mr. Sudhir Singh, CEO ; Mr. Saurabh Go el, CFO ; and Mr. Manish Hemrajani, Head of IR. We will begin the call with opening remarks from the management team, and post that we will open the floor for questions. With that I now hand over the call to Mr. Manish Hemrajani. Over to you Sir!

Manish Hemrajani : Thank you , Swapnil. Good afternoon to everyone on the call and thank you for joining us today to discuss Co forge's acquisition of Encora. Please note that we will only be talking about the acquisition on this call and do not plan to take other questions on business. Before we begin, a reminder that today 's discussion may include forward -looking statements , which involve risks and uncertainties. Actual results may differ materially and Coforge assumes no obligation to update these statements. With that I will now hand the call over to our CEO, Mr. Sudhir Singh.

Sudhir Singh : Thank you , Manish . Ladies and gentlemen, it is our absolute pleasure and a great privilege to welcome you to what we believe is a very important announcement and dare I say a very thrilling one. I trust that during the call today the choice of words and the tone that you hear Saurabh and me use will be a testament to the excitement that we see and we feel today and to the immense possibilities that we think that this development presages for Coforge. With that let us kick this off with the prepared remarks .

Ladies and gentlemen, the current leadership of Co forge came together eight -and-a-half years back. Over the last eight years, the firm has delivered one of the highest growth rates of any mid or large cap tech services firm in the industry. The sustained, robust, profitable, industry -leading growth has been achieved on the back of an execution intensity that is uniquely our own. It was aided by the hyperspecialization on select industries and exceptional capability depth in emerging technologies. While most of the growth has been organic, it is important to note that every one of the acquisitions that we have done over the last eight years, and I mean everyone , has been very successful. Over the last eight -and-a-half years, the revenue run rate of Co forge has gone up almost five times, and the market cap of Co forge has increased almost 20 times. It is our intent to ensure that the next eight years see us maintain and improve upon the sustained business performance of the previous eight years that I just shared. We hope to continue to be the industry leaders when it comes to revenue growth with increasing margins and in creasing investor value creation. As we pursue the same, we recognize that a new era of enterprise tech is emerging . One where AI driven by cloud and data is becoming the engine of enterprise reinvention. The next gen enterprise will have its business capabilities defined and executed via a combination of humans and AI agents underpinned by an enterprise data co re and a cloud foundation that is Coforge Limited

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Page 3 of 20 purpose -built for AI. In that context, Coforge believes that the acquisition of Encora is a defining moment for our organization, and I mean a defining moment. It establishes a

scaled AI-led engineering, data, and cloud services-based capability mo at for the firm. This allied with Co forge's

hyperspecialized industry expertise and execution intensity is likely to further accelerate our industry leading growth. It also sets us up as the tech services firm that is likely to be the first to deliver upon the promise of the AI infused future that lies ahead of our industry. You will note that this transaction is an all-stock deal, where the sellers, including Advent International and Warburg Pincus, are rolling over into Co forge and not taking any consideration as cash. This reflects the confidence that the incoming shareholders have in the prospects of the expanded firm.

Let me move very quickly to an overview of Encora. Born in the Silicon Valley, California, Encora is one of the select technology services firms with an AI native DNA that provides software engineering services for digital native companies and Fortune 1000 enterprises. Encora works at the convergence of AI, cloud and data with service offerings that span intelligent process design, agent native product engineering, core modernization, AI foundation, data readiness, and AI ops. Encora has created one of the industry's first composable AI platforms. It is called AIVA, to deliver integrated agentic orchestration and software engineering services. With composability at its core, AIVA lets organizations compose their own intelligent workflows across engineering and business functions. Key attributes, and I will talk about five, that are unique to Encora and position it as a transformative AI-led engineering disruptor include, one, it already has a core AI native asset and internal agentic platform. The AIVA AI platform is not a slideware accelerator, it is a composable agentic platform. Two, unlike most AI native startups, this firm already operates inside Fortune 500 enterprises and has institutional memory inside accounts with multi-year tenured engineers and very high advocacy. Three, its delivery model is already human + agent with significant internal adoption of agentic tooling and a roadmap to transition from horizontal agents to verticalized agents. Four, it has a talent composition that matches AI native winners, not legacy SIs. It is not a labor arbitrage play, but is a compound engineering asset, which is a prerequisite for AI native firms. With significant presence of onshore and near-shore LATAM-based SMEs, it is one of the firms closest to making the forward deployed engineers paradigm real in the distributed tech services model and finally five, this platform can become a software as a services model that is increasingly identified as the winning archetype in our changing industry.

So, with that introduction to Encora, let me talk about the five reasons, which underlie the acquisition rationale. Coforge's acquisition of Encora will create an approximately \$2.5 billion tech services powerhouse with both the scale and capability across AI led engineering, cloud, and data services to drive enterprise grade AI solutions. This acquisition

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Page 4 of 20 is highly synergistic, and I will again call out five reasons that drive the synergies and five reasons that excite us immensely.

Number one, AI-led engineering plus data plus cloud services alone are likely to deliver \$2 billion revenue in FY27. AI-led product engineering business for the firm is likely to be a US \$1.25 billion plus business in FY2027, cloud services, a \$500 million business, and data engineering, a quarter of a billion, US\$250 million business.

The second reason, high-tech and healthcare industry verticals of Coforge are expected to reach material scale immediately post-acquisition. The high-tech vertical will be a \$170 million run rate business with several \$10 million + relationships post-acquisition. The healthcare vertical of the combined firm will be again a \$170 million run rate business. Encora substantially expands Coforge's healthcare presence

in pharma, in MedTech and in

Health Tech, and brings new AI-led solutions such as AI Biomed Research Assistant, AI-enabled patient guardian, multi-omics data ingestion, and AI foundation for clinical trials. Number three, this will reposition Coforge as a player with scaled-up near-shore delivery capability in LATAM, with an exceptional engineering and AI talent base servicing U.S. clients. Encora has a large and widespread near-shore delivery capability with more than 3,100 delivery team strength in its LATAM delivery centers.

Rationale number four. It will significantly expand the West and the Midwest US client footprint of Coforge. Pre-acquisition as you know only 25% of Coforge's North America geo unit revenue came from the US West and Midwest, this acquisition will provide a fillip to Coforge's North America growth plans. Coforge's North America business is expected to jump by around 50% to \$1.4 billion post acquisition.

Finally, and reason number five, is that a combined firm will now have 45 \$10 million + highly scalable relationships. Encora adds 11 \$10 million + tenured client relations with its top 10 client relationship tenures averaging more than 10 years. Ladies and gentlemen, you

know this, Coforge has an exceptional track record of growing acquired client relationships by effective cross-selling and upselling. The most recent evidence of this was the Cigniti acquisition, where all the 10 million plus relationships have experienced strong, dare I say, very strong growth post acquisition. So those were the five reasons around the acquisition rationale. I am going to request our CFO, Mr. Goel, to talk about the transaction details.

Saurabh Goel : Thank you Sudhir. Coforge has signed a definitive agreement to acquire 100% shares of Encora from Advent International, Warburg Pincus, and other minority shareholders. The enterprise value of the transaction is \$2.35 billion, which will be financed as follows. Equity value of \$1.89 billion paid in the form of equity shares through preferential

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Page 5 of 20 allotment by Coforge. This will result in shareholders of Encora holding approximately 20% to 21% on a fully diluted basis assuming the Cigniti merger will go through, and shares will get allotted, and number of shares will increase. We are also looking at a bridge loan or a term loan or a QIP of \$550 million to retire the term loan, which is in Encora, the pricing of the QIP will be determined by SEBI regulations at the time of the transaction. As noted earlier, this transaction is an all-stock deal where the sellers, including Advent International and Warburg Pincus, are rolling over into Coforge and are not taking any consideration as cash. This reflects the confidence that the incoming shareholders have in the prospects of the expanded firm. QIP is one of the many funded options being considered only to retire the debt. If we do decide to do a QIP, it would only happen around closing, which is around 6 months away. We shall also explore other funding options other than QIP and hence there is a possibility that the QIP may never get triggered. The consideration has been agreed at a share price of INR 1815 per share, which is at a premium of 8.5% of today's close. The process and timelines for closing are as outlined below. Shareholders' approval will be secured within 30 days. We will be launching the postal ballot today. Regulatory approvals are expected to take 4 to 6 months and Coforge to assume a debt in overseas GEO to retire existing term loan in Encora on the date of closing, which is expected to be within again four to six months from signing and Coforge to evaluate launch of QIP if required at that point in time.

From financials perspective, the consolidated turnover of Encora Group for FY2026, the estimated number and they follow April to March financial year. So estimated number of

or

FY2026, revenues are around \$600 million, and adjusted EBITDA of the firm is 19%. In FY2024 and FY 2025, the consolidated turnover of the business was \$481 million and \$516 million respectively. With Encora's current margin profile and the anticipated synergies that we see in the business, the combined business is expected to operate an EBIT margin of 14% post amortization of intangibles that will be created as part of the purchase price allocation for this acquisition. Despite the primary infusion, the deal is not expected to be EPS dilutive on a consolidated basis because of the strong margin profile of Encora and expected synergies from the two businesses, that is Coforge and Encora coming together. With this I will hand over the call back to Sudhir for his concluding remarks.

Sudhir Singh : Thank you, Saurabh. As noted at the outset, the Encora acquisition is a defining moment for our organization. Over the last eight years, Coforge has established a reputation for execution intensity, hyper-specialized industry expertise, a perfect track record of making every acquisition very successful, and of course of being one of the leaders when it comes to industry-leading growth. The new \$2.5 billion firm with a \$2 billion enterprise core of AI-led engineering, data, and cloud services, we believe will set the benchmark for making the promise of AI real for enterprises. In turn, this AI infused core led growth is likely to move Coforge's already exceptional growth numbers to the next higher order. With that,

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Page 6 of 20 and with those remarks, ladies, gentlemen, both Saurabh and I conclude our prepared remarks, and we both look forward to your questions.

Moderator: Thank you so much.

Manish Hemrajani : Just before we start the Q&A, just one housekeeping remark. Please limit your questions to the acquisition only we will not take questions on the business. Thank you.

Moderator: Thank you so much. We will now begin with the question-and-answer session. Anyone who wishes to ask a question, may click on the Raise Hand icon from the participant tab on your screen. We will wait for the question queue to assemble. We will take our first question from Abhishek Pathak of Motilal Oswal.

Abhishek Pathak : Hi, team. Am I audible?

Moderator: Yes.

Abhishek Pathak : Hi, Sudhir. Hi, Saurabh. Thank you for that presentation. So, a couple of questions from my

side. Firstly, how should we or rather where should we place Encora 's capabilities on the spectrum of let us say the higher value engineering services companies , which are listed in the US versus a lot of Indian peers that we compete against , so where does Encora compete with over there? That is the first one. Secondly, on the leadership transition or other, how are you considering where the leadership be placed post six months of integration? And thirdly where does the key talent for Encora sit? Is it in the US? Is it in India? and how do you expect that to move once you go ahead with the acquisition? Thank you so much and I will get back into the queue for further questions.

Sudhir Singh : Thank you, Abhishek . Encora as we said , it is an asset that was born in Silicon Valley. It provides software engineering services for digital native companies. It ranks , we believe, and we have spent a lot of time working with the Encora team, at the highest level on the global pedestal when it comes to AI -led engineering offerings across the world. If you were to reflect on some of the services that they offer, these include agent native product engineering, they include AI foundation build, they include data readiness, validation and creation, they run the entire gamut of services across AI Ops. In terms of capability, this is once again just to reiterate, a firm born in the Silicon Valley, servicing some of the cutting - edge , leading high techs across the world, which

would rank and stack up as one of the best,

if not the best in this space, with a peer set anywhere around the world.

Second, as far as the leadership transition is concerned, we will continue to follow the proven acquisition template that we have developed over the last eight years as a Coforge Limited

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Page 7 of 20 consequence of which everyone , with no exception , of our acquisitions has been successful. Changes to the org structure, reporting structure will only get finalized once we have effective control post all regulatory approvals coming in. We shall communicate those changes over a period of time once we get the necessary regulatory approvals.

Abhishek Pathak : Thank you so much.

Sudhir Singh : Thank you, Abhishek .

Moderator: We will take our next question from Vibhor Singhal of Nuvama Equities . Please go ahead with your question.

Vibhor Singhal : Hi, am I audible?

Moderator: Yes, please.

Vibhor Singhal : Hi, Sudhir, Saurabh, and team congrats on this milestone acquisition. Two questions from my side. S udhir, this acquisition definitely appears to be taking us into the direction of product engineering and design services. One of th at maybe the white spaces that we were always looking to but if you could just maybe give us a bit of more color on basically how I think this acquisition is going to help us. The other two drivers that we had mentioned in the analyst meet regarding enhancing our presence on the West Coast and the Midwest in the US, and also in terms of diversifying our portfolio into other domains that we are looking at in terms of growth expansion and second question for maybe both you and Saura bh is, we have always maintained that our acquisitions will be EP S accretive from day one do you foresee that in this case as well? And basically, if some financial details can be shared or are available in terms of how the numbers will flow from the margins to the PAT level in terms of the overall EPS accretiveness of the acquisition ?

Sudhir Singh : Saurabh, why don 't you reassure the folks on the call about the EPS accretion and the margins and then I will come to the first question.

Saurabh Goel : So, Vibhor, thank you for your question. So Vibhor, as part of the prepared remarks, the first thing we looked at while evaluating the firm, I mentioned that the firm will be EPS accretive , so they operate, their revenue is roughly \$600 million in the current financial year obviously we will start consolidating from next financial year. The margins around are around 19%. I am still not betting on how much synergies we would be able to get but there are significant synergies that will come out purely because of the size of the two organizations coming together and when we look at their depreciation and amortization without intangibles that are getting created are almost 1-1.5% o f EBITDA. So plus if we Coforge Limited

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Page 8 of 20 just do the math and look at the amortization of intangibles, it just gives us an EPS, which is including the new shares that will get allotted because as I mentioned \$1.89 billion of worth of equity is getting allotted and if you look at the Regulation 30 that has been disclosed it has been done at Rs.1815 per share , which is at Rs.89.77 is the dollar to INR conversion so if you just do the math you will get to know how many shares are getting allotted, which is close to 93 million shares and with \$600 million of revenue, 19% EBITDA plus the synergy minus the current depreciation of 1-1.5% minus the amortization and the tax will take you

to EPS accretion .

Sudhir Singh : Coming to the first question Vibhor . The first question that you had around the capability. See the way we look at it is this, if you look at us, we have an organic growth engine that is doing extremely well. The sales engine is proven , not recently but over eight years. The execution intensi

ty is best in class for eight years and the hyperspecialization on domain is something that we take great pride in. When we add this asset and we look at what the firm becomes, we become a \$2.5 billion tech services firm with a core \$2 billion out of that \$2.5 billion coming from AI -led engineering, data, and cloud services alone. That is the first thing from differentiation and the growth that it will drive for us perspective that we feel very confident about. The second thing, and we talked about this in earlier investor calls, is this. The coming together of the two organizations stands up t wo scaled up industry verticals from the get -go. High Tech, where we never had much of a presence, and Healthcare that we have been growing at a steady clip . Both of them at about \$170 odd million in terms of size are material and we believe will really scale up. Third, and we have said this again in the past, we believe that our presence in North America, especially the US, has been very lopsided towards the East and the South. Having been born in Silicon Valley, Encora has a preponderance of clients in the Midwest and the West. There is great geographic complementarity that comes in. Fourth, we have been attempting to scale up LATAM for ourselves, but the Encora acquisition gives us more than 3 ,100 outstanding SMEs in the near shore area who are held in very high regard for their AI -led engineering capabilities and finally something that you always heard us say, we said this when the Cigniti acquisition also happened. Post the acquisition, we as a firm will have 45 clients, more than \$10 million, and most of these are tenured relationships. Our track record, forget our confidence, our track record on acquisitions and scaling up clients we believe been exceptional, we think that is going to create a runway for growth. So, when we look at Coforge and Encora coming together, it is not one of two new runways for growth that we see getting created , we see multiple getting created . And that is where the excitement stems from , that is where the confidence also stems from. Did I answer your question Vibhor ? Is Vibhor around ?

Moderator : Yes, we do have Vibhor here.

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Vibhor Singhal : Hi, Sudhir sorry, I think the operator had put me on mute. So can you hear me?

Sudhir Singh : I can. I was just checking if we ha d answered your question.

Vibhor Singhal : No, Sudhir definitely I think this is perfect. Thanks for answering my question in that detail.

Just one followup if I cover a small followup if I can squeeze in. In this type of an acquisition Sudhir, I think at the enterprise value that we have they tend to basically come slightly, basically I would say, slightly higher multiples. So any reason that you would say that the promoters of the entity wanted to exit, and why were they selling out if they were also kind of seeing the similar kind of a runway of growth that we are able to or is it just that we will be able to complement their business much better than they could have individually done so just your color and that would be really helpful.

Saurabh Goel : Let me take that so see the sellers have not exited they have actually rolled over, and I think there was not a process that was running on, so I think it is just that when the conversation started the upside that was visible to the incoming shareholders were actually eventually the sellers. They saw that both the businesses coming together can create more value and that was the confidence they had in both the businesses coming together and hence this deal was stitched. So, it is not that they were looking at cashing out and that is why as I said, not a single consideration has been paid in cash. It is an all -stock deal and the only cash that will be used will be to retire debt w

hich is there in the Company.

Moderator : Did we answer your question Vibhor? I think we have again put him on mute.

Vibhor Singhal : Now I am back on mute. I think just a bit of listening but yes definitely. Thank you so much. I would not bother with this mute unmute thing again. Thank you so much for answering my questions, Sudhir, and Saurabh, and wish you all the best with the year and the acquisition, and wish you guys a very Happy New Year.

Moderator : Thank you so much. We will take our next question from the line of Kawaljeet Saluja of Kotak Securities. Please go ahead.

Kawaljeet Saluja: Can you hear me?

Moderator : Yes please.

Kawaljeet Saluja : Congratulations on this massive transaction. My question is for Saurabh. Can you just walk me through the EPS accretion ma th, or rather ma th, actually because if you look at this

transaction let us say it is \$2.35 billion you assume, let us say 20% of that would go into Coforge Limited
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Page 10 of 20 intangibles so that would be like \$500 million, which if you amortize over a period of seven, eight years will give you an annual amortization charge of \$70 -80 million here. Now, unless and until you assume massive margin expansion, I am just wondering as to how do you get to that EPS accretion math, and I presume you are talking about GAAP numbers here.

Saurabh Goel : Yes, so called it a couple of things. One, the intangible will be around 20 % odd , but the life of the customer relationships will not be seven, eight years, it will be anywhere between 12 to 14 years because of the 25 -year tenure of the relationships that they have today. So, keeping that in mind, depending upon now again, these are all of f the cuff mathematics that we are doing because \$2.35 billion also has a liability that is coming in. So the equity value is less so when we assign customer relationships maybe it was close to 20 maybe 19 but because the life of customer relationships will not be 7, 8 will be close to more towards 13, 14, because of that the amortization would be again anywhere around \$37, \$38, \$39 million with 25 % ETR we should be able to get the same number that I was referring to and I mentioned 19 % is the current EBITDA . As I mentioned there are significant synergies that are there both on the G &A, S&M and operation side even if you assign a percentage or 2 plus the growth that we have been delivering in the past will get you to the EPS that I was referring to.

Kawaljeet Saluja : Is there a tax shield available on intangible amortization?

Saurabh Goel : There are tax losses which are sitting in the balance sheet that we are acquiring so that synergy is over and above .

Kawaljeet Saluja : The second question is that Encora has grown also. They have used acquisitions strategically over the last few years , so can you detail what their organic growth rate would have been in FY 2024 and FY 2025?

Saurabh Goel : So, we will share those numbers later , but I think they have grown at a rate of 7% to 10% over the last two years and before that the organic growth rate was close to 15% to 16%.

Kawaljeet Saluja : How do you square off the valuations for the transaction because when I look at Co forge it is a remarkable growth engine growing at 20% and in the implied valuation you are assigning the same multiple to the revenues of let us say Encora, which has grown at 10% versus Coforge, which seems to have a better growth engine working here.

Saurabh Goel : So, there are two parts to it again. One, we not only looked at revenue multiple we have looked at the EBITDA multiple as well and EBITDA multiple that has been assigned to Encora has been lower than what Coforge is today trading at, number one. Number two, we Coforge Limited
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Page 11 of 20 have n't assigned any benefit of the synergies that will come in because of either the cross - sell or the cross -syn

ergies that are anticipated like we have seen in the past and after that the valuation was done. So, I agree, the revenue multiple is high or closer to Coforge, b ut the EBITDA multiple is lower because the profile of the profitability of the firm is higher than Coforge .

Kawaljeet Saluja : Got that. Just if I can ask one more question, what are the total number of associates which will come on board after this transaction?

Saurabh Goel : 9,200

Sudhir Singh : The other metric that 9 ,200 also gives us, Ka waljeet , is that revenue per employee is also significantly higher than Coforge. Our revenue per employee on tech services is higher than most of our peers, but the Encora revenue per employee is again materially higher than even our revenue RPE .

Kawaljeet Saluja : Got that and Sud hir just a final question for you. I remember the analyst day, you did highlight that when you look at acquisition you focus a lot on the customer profile that you can get on board , so when you looked at Encora what was the bigger weightage, the capability or the customer profile ? if you can just shed some light on it, that would be great.

Sudhir Singh : Kawaljeet , Encora has been one of those very unusual assets that we have evaluated and had an opportunity to sit and have conversations with teams around where we found both the runways were very significant. The capability of course is cutting edge, and we think it is truly cutting edge. It is evidenced by the revenue per employee metric that we were just discussing. It is evidenced by the client roster that they have. It is evidenced by just the genesis of that firm and where it started off and who it works with , so that clearly was a given for us and that is the key metric that we looked at , capability . Clients of course has been exciting not just because 11 new \$10 million clients are getting added , it is also because of the tenure of these clients. The average tenure of the top 10 clients is more than

10 years. So again, just to summarize, one of those very few assets where we found both runways in play, normally one has to pick an asset, choosing one of them. In this case, both of these were the capability and the client portfolio, both of it is extremely attractive.

Kawaljeet Saluja : Fantastic, thank you all the best.

Sudhir Singh : Thank you, Kawaljeet .

Moderator : Thank you so much. We have our next question coming in from Manik Taneja of A xis Capital. Please go ahead.

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Page 12 of 20 Manik Taneja : Good evening . Congratulations to the Co forge team for a bold acquisition. I had one clarification question around data point. First of all, you mentioned that the EBITDA margin profile is about 19% currently. If you could talk about how their margins have trended over the course of last three years, that is question number one ? The second question was basically while the incoming shareholders have rolled the stake into Co forge is there a lock in for them in terms of the stake that they hold in Co forge? And finally, a third question, while you did allude to the 11 \$10 million plus customer base if you could talk about between healthcare and high tech which is the industry segment that you are more excited about on a move forward basis? These are my questions.

Saurabh Goel : I will take the margin question first. So, there are just a little bit of margins historically has been in a range of 17 % to 19%. They are actually hovering towards 19 .5%, 19% is for the year margin that they would achieve and that margin as I mentioned was being delivered with or without any acquisition or anyone coming in so that is on the EBITDA margin front. I think the rollover of equity, maybe Sudhir, you want to take that up?

Sudhir Singh : Sure. Manik, as Sa urabh said earlier, the sellers, including Advent International, including Warburg Pincus are rolling over into Co forge and t

hey are not taking any consideration as cash. As we said, this reflects the confidence that they themselves, along with us, have in the prospects of the expanded firm. In response to the earlier question, as I said, the growth runways that are getting created as a consequence of the firms coming together is not one or two new axis, it is multiple axis, right? One is what you are referring to, Healthcare and High-tech will be great pr ongs for growth. Second, LATAM , having that talent pool will help us move forward. Third, the \$10 million plus relationships. Fourth, the geographic footprint expansion across the Midwest and the West. So that is answer to question number two. Answer to question number three. It is difficult to say whether it is healthcare that excites us more or high tech. Healthcare, as you know, we have been at it for the last two years, a \$170 million business with very deep AI underl aid capabilities, we think will really ramp up with great speed. High tech is an absolutely new vertical that is coming to us. It is again, \$170 odd million. It is underla id by exceptional engineering capabilities and very tenured client relationships because this firm was born in the Silicon Valley and is headquartered there. Did we answer your questions, M anik?

Manik Taneja : That is quite helpful. The last one from m y end , just a clarification question in terms of Encora also has a deep leadership team in terms of how are you thinking about the org structure as the business merges into Co forge?

Sudhir Singh : We have spent a lot of time, Manik, as you can imagine, given the size of the transaction and the excitement that we feel around what it does to our growth numbers and profitability numbers going forward. We have point of views, we have been working with them. The

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Page 13 of 20 first conversation that we had with the sellers was almost 13 months back. So, we have had a lot of time to reflect back, to examine, to spend time with the management team. Plans, if any, we would like to share once we have regulatory approvals and while we do have, we like to think a very good understanding of the strengths and we are very excited about the SMEs and the leaders who are coming here. We will not be able to get into specifics at the current point in time till all regulatory approvals are in .

Manik Taneja : Great. Thank you for answering my questions. Wish you all the best.

Saurabh Goel : Thank you, Mani k.

Moderator : Thank you so much. Our next question is coming from the line of Rishi Jhunjhunwala of IIFL.

Rishi Jhunjhunwala : Thanks for the opportunity. So, there are two, three things here. Firstly, given such a large acquisition, while the existing investors are coming on board, is there any kind of consideration which is linked to future performance of the asset, if at all, in terms of either revenue retention versus what the existing client base is, or revenue and margin targets that the asset needs to achieve , that is one ? Second, can you give us some color in terms of what are we doing for the key leadership retention in Encora and how does that play out? And

thirdly, I am not sure if you answered this earlier but the investors who are coming in, are there any applicable lock -ins for their 20 -21% stake?

Sudhir Singh: When it comes to the size of the acquisition Rishi you might recall then that when we were 12,000 people organization we had acquired SLK which was a 7 ,000 people organization. Of course, today we are a 35,000 people organization acquiring a firm which has 9 ,200 people , so in terms of relative size, from just a relative basis perspective, this is a smaller acquisition . And the SLK acquisition as you know had gone off exceptionally well. From a leadership retention perspective, we will follow the same playbook that we have used in the past, which has been very successful. We ha

ve a point of view, and we will continue to work both with the sellers and the management team to make sure that the retention structures including stocks and retention bonuses that we put in play , are structures that are effective. Saurabh, would you like to add anything?

Saurabh Goel : No, I think, Sudhir, so you have answered it. So, I think the shareholding is already agreed there is nothing to be done. Lock -in is beyond statutory lock -in and all the other details are actually part of Regulation 30 and will be there in the postal ballot that is going out tonight because it will be coming up for shareholders' approval.

Sudhir Singh: Rishi, did we answer your question?

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Page 14 of 20 Rishi Jhunjhunwala : Yes. Thank you if you can hear me.

Moderator : Thank you so much. Our next question is coming from the line of Sandeep Shah of Equirus Securities. Please go ahead with your question.

Sandeep Shah : Thanks. My questions are slightly similar to what Ka waljeet has asked. If I look at the revenue CAGR over the last three years, it has been at 13% despite the Company is more into AI -led new generation kind of practices , so in that scenario do n't you believe the growth could be better at their scale and that to new gen kind of services , which has a higher demand and if I am not wrong there are some acquisitions they have also done in the past example DMI in February 2025 so can you break down this 13% CAGR into organic and inorganic?

Saurabh Goel : So, as I mentioned that the organic growth over last two years, just two years was around 7 - 8% and the reported numbers were higher and even this year FY 2026 is an estimated number. The number that they will deliver or they have at least shared with us, they will deliver is higher than this, we have just taken a run rate of H1. The reported number of FY20 26 will be whenever FY2026 gets over so that is point number one and maybe on growth Sudhir?

Saurabh Goel : Sandeep when we look at the capability that this organization has and when we look at the client portfolio that they have both in terms of size and in terms of tenure we have looked at this for a while, we feel very confident that when you put the Cofo rge sales processes and execution intensity side -by-side with the capability that this team has, and it is a very strong team and the clients that they have exceptional trust with growth numbers should really see significant acceleration given the smaller scale of the asset also.

Sudhir Singh: Maybe just to add to that, as part of the diligence process when we looked at their business, we looked at the client profile s, top 30 clients over the last few years and the reason why there was either a upsell or a downsell . Because at a \$600 million they were very sharply focused on AI -led engineering, data and cloud . Nothing more than that . And because of which, maybe the growth in certain cases were muted because whenever the vendor consolidation was happening, they were not able to either participate in the larger RFP because they did n't have incremental services or additional capabilities that Coforge has. I think everyone talks about cross -sell. As a firm we have delivered in the past, we have walked the talk . I think we have done the analysis around how the cross -sell will play out, both at the front end and at the back end after the closing is done and that is why we believe that the growth rate will only accelerate rather than decelerate.

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Page 15 of 20 Saurabh Goel : Very significantly accelerate is our conviction, not just a minor acceleration we think it will very significantly accelerate.

Rishi Jhunjhunwala : Just the followup. S aurabh Sir, just wanted to understand when you call out adjusted EBITDA what is the GAAP EBITDA of that Company and amortization per annum at a gross level without tax you

have spoken about 37 %, 38% so if I do the backward calculation this Company for your expectation of 14 % consolidated EBIT margin need to do clos er to 21 %, 22% kind of EBITDA margin after the intangible amortization versus the

current being 19%.

Saurabh Goel : Two parts to it. One, the adjusted EBITDA actually has only adjustments related to the initiatives they had taken because of which they were one-time costs that had come, for example, either to do with the transaction diligence or the acquisition that they do or any integration-related costs that had to happen so adjusted EBITDA includes that and as I mentioned that historically when you looked at whether we acquired SLK, whether we acquired Cigniti, the margin accretion that has happened on the EBITDA side has been very, very significant. Over here, we are only looking at maybe a couple of percentage points to be improved, and you can imagine if two organizations of this size, \$600 million and \$1.9 billion are coming together, there are significant synergies that will be laid out between both on the G & A front and at the front end. So at least keeping all of that in mind, we believe that at least 14% EBIT is not out of sight and because they don't have debt, they have cash, and the debt was more to do with the leverage buyout. Operationally, there was no debt, they don't have a working capital line. That is why we believe that at least the margins, the EPS will be accretive. So, I think that is where we are coming from. Don't want to bet on beyond whether the amortization will be \$37, \$35 or \$38 million but whatever that number will be, yes, but it will be within that zip code. I am not even betting on the benefit that we will get on the accumulated amortization or the losses that we have in certain GEOs, which are profitable for us and the synergies on that front, so there are enough synergies both on the front-end, back-end and the balance sheets that we are taking over, which gives us confidence that at least EPS accretion will be there.

Rishi Jhunjhunwala : Just last couple of few questions. So Saurabh Sir you are talking about intangible amortization could be in the range of \$35-40 million, which you say, yes, finalize and let us know earlier or before or after some time and the second thing is I am slightly confused if they have a debt and we also want to raise the equity why not continue with that debt, is it higher cost in terms of the debt in the books of the acquired Company?

Saurabh Goel : Yes, that is a debt that is there wherein the current shareholders, it was a leverage buyout.

So, there is a debt that is sitting there, which is very expensive, and we will have to retire that debt for sure. Anyways we are not saying that we will do QIP for sure, we are looking

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Page 16 of 20 at funding options in the overseas GEOs and that is why we mentioned as part of my prepared remarks we had mentioned that we are looking at both the options, taking debt overseas depending upon at what cost it comes in and we will also look at other options of funding the retirement of debt that is there but we will not continue with the debt that is currently there because it is not an operational debt it was more of a structural debt in the business.

Rishi Jhunjhunwala : So, if you do QIP there would be further dilution and that as of now we are not calculating in our EPS accretive calculations as and when it happens.

Saurabh Goel : I have included if there is dilution only thing is right now not betting on whether see because either we take interest cost or we take dilution. Right now, we don't know at what rate we will do QIP and what we did we will not but even if I assume that the QIP is done at the current rate of Rs.1815 and not below that then the EPS accretion will be there the EPS will not be diluted.

Rishi Jhunjhunwala : Thanks for

my opportunity and all the best.

Sudhir Singh : Thank you.

Moderator : Thank you so much. We have our next question coming from Sumit Jain of CLSA. Please go ahead with your question.

Sumet Jain : Thanks for the opportunity. Sudhir, if I look at your previous two acquisitions, SLK Global and Cigniti, I guess both of them you mentioned were semi-distressed assets and then you had a lot of synergies to turn them around. Whereas this time around it is a pretty high-quality asset with decent kind of growth and very good margin profile, so can you just explain more deeper into the synergies that you are trying to create both on revenue side as well as on the cost side. I know you guys have mentioned around the geography card, the vertical card, the tenure of the clients but can you talk about the services beyond AI-led engineering cloud and data what they already have what additional can you offer to those tenured clients, which can actually take up the growth of this asset from 7%, 8% of the last two years to probably mid-teens what Coforge has been delivering?

Sudhir Singh : Sumeet, thanks for the question. As I said at the outset, we are not just confident of incremental growth over the organic growth that Encora has recorded, we are confident of very significant growth. You are right, in our initial remark, about the fact that in the past SLK and Cigniti, the play that we had was largely focused on making sure that we mine the client portfolio and we also had a certain play when it came to increasing the EBITDA profile of those firms. Both of which in both instances we did very successfully. In this

Page 17 of 20 case, when it comes to Encora, we are extremely excited about the client portfolio that they have, particularly 11 , \$10 million plus clients Coforge has 11 technology led service lines AI-led engineering is only one of them. As we have had conversations with leaders of the top accounts of Encora, it is very apparent to us that they have lost or walked away from a lot of business just because they did not have scale when it came to BPS, when it came to AI-led QE, when it came in some cases to enterprise platforms, especially cloud -based ERP platforms, and in some cases when it came to data and cloud -based operations as well. So, a firm that has largely been focused on AI -led engineering and has had ins into data and cloud will now approach the market and the same 11 , \$10 million plus clients and the significant number of \$5 million plus clients they have with 11 technology service lines going in. Finally, when it comes to this asset, the point that Saurabh made earlier is we see significant revenue synergies, Co forge going together into existing core accounts and also AI -led engineering capabilities now being cross bled very aggressively into the current Co forge existing client , so there are revenue synergies and there are very , very significant cost synergies that we see because these are two scaled organizations coming together. Both revenue and cost synergies should be very strong. S aurabh would you like to add to that? Saurabh Goel : Yes, so on the margin front, I totally agree. One, SLK Global, was not a distressed asset. When we acquired, they were already operating at 18 %, 19% margin and when we took over them there was a headwind that came into the business. It was a \$70 million asset because of mortgage rates going up it came down to 50 and then not a single quarter we came back and said that we have not grown because we have taken a hit in the BFS business of theirs in the mortgage side because of interest rates going up , so you are able to bring in front -end synergies which Sudhir has already elaborated. In Cigniti, the marginal profile of the business from 11% went up to 18.5% because obviously the business was a distressed asset or was not operating at optimal lev

el. Over here we are only pegging around

2% odd points and that is just because of the G &A and a bit on the capability side organizations coming together and synergies playing out because of leadership team which is there and because of the G &A functions , because of facility overheads , because of other overheads around investments around licenses and all of those. So just putting all of that together, just 2% point is what we are talking about synergies to play out. The revenue synergies will be over and above and it could be exponential ; I am not even betting on that right now and that is why we get confidence that we will be able to get synergies. We are not pegging 6-7% like we have done in the past, we are only pegging 2%. To your point it is already an asset which is operating at a decent level.

Sumit Jain : Got it , now that is very helpful and secondly just if you can comment around the changes to your Board, I guess a couple of Board members will be appointed from Advent and Warbu rg Pincus, so what kind of changes are you expecting and how it will help to shape the direction of Cofor ge?

Page 18 of 20 Sudhir Singh : We expect two leaders from Ad vent to join our Board. Our Board is very excited to welcome these leaders. We expect them of course to bring the entire breadth of Ad vent's experience to bear as they work with the other six Board members to guide the Board. The second thing of course we have not talked about this is, we will possibly be one of the largest, if not the largest Ad vent investment in tech services and we will explore working with Ad vent very closely and with Warburg as well the opportunity to start radiating across their portfolio companies. You will recall that since we don 't have a promoter, since we don't have a large industry house behind us, most of the growth that has come our way is growth that the enterprise sales engine of C oforge has created. Now with two leaders from Advent on the Board we will work with them to make sure that we go across all Advent portfolio firms and try to sell aggressively and expand our footprint.

Sum eet Jain : Great, that is very helpful and all the best.

Sudhir Singh : Thank you, Sum eet.

Moderator : Thank you so much. We will take our next question from the line of Divyesh Mehta of Invesco India.

Divyesh Mehta : Thanks for taking my question. I just want some context on who would be or what is the sort of the top 10 clients which Encora has? What is the concentration? Which areas are they present in just for some context ?

Sudhir Singh : The top 10 client spread would be largely in line with the spread of their revenue mix by industry, which is heavily weighted towards high -tech, towards healthcare and towards banking.

Divyesh Mehta : So, is it possible to clarify if it would be the hyperscaler semiconductor companies or just to narrow it down a bit more and what would be the concentration of top 5, top 10?

Sudhir Singh : Let me just bring it down first to high -tech. We did talk about the fact that when it comes to healthcare there is significant presence across MedTech pharma. When it comes to HighTech roughly about 30% of the revenue is coming from what the Encora leadership calls the H1 firms, which are digital natives 70% is the switch that has happened towards enterprise IT players in the high -tech space. Banking of course is spread more or less in lines with the Co forge banking spread when it comes to clients. Did we answer your question, Di vyesh?

Divyesh Mehta : Yes, fair a nd the client concentration how that stacks up?

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Page 19 of 20 Saurabh Goel : So, client concentration is probably inline with Co forge and if we look at their top five clients won't be contributing more than 19 % - 20%, it does not have a high concentration , it is pretty much diversified and that

is why we look at almost 11 accounts more than \$10

million coming into the mix. The concentration almost mirroring Coforge right now.

Divyesh Mehta : Revenue per employee which they have, and I think if you take into the account that this asset is more on -site based, isn 't this still a bit lower? Just if you try to compare it, revenue per employee for them versus even if they are more on -site based, then that number should be higher ?

Saurabh Goel : Yes, their current revenue per employee is close to \$74,000 per employee and Co forge has a concentration towards US, UK, Australia. Their concentration is near shore. So that is why the near shore bill rates are not as high as US or UK or Europe and that is why when we look at the \$74,000 revenue per employee and that is what also leads to higher margins that they have. I mean, Sudhir, do you want to add to it?

Sudhir Singh : Divyesh, I just want to be clear. They do not have predominant onshore delivery model.

Their onshore percentage delivery headcount distribution is more or less on par with what the Co forge headcount is , so they are not weighted there. Their non -onsite presence is split largely across India, which is where we operate from, and from countries in the South American continent , so we just wish to be clear and as we say, when you look at Coforge , our revenue per employee has jumped by about 17% over the last 12 months and on the technology side is \$69,000 per employee they are at \$74,000 and that is why we made the earlier assertion that is a testament to the quality of the services and the pricing power that they have.

Divyesh Mehta : Thanks, Sudhir. This is very helpful. Just one last question. If there is an ESOP pool for them, that will be from the existing or there has to be something fresh which has to be created?

Saurabh Goel : As of now, I guess we have enough in the pool to offer the leadership team.

Divyesh Mehta : Thanks.

Sudhir Singh : Thanks, Di vyesh.

Moderator : Thank you so much. We will wait for the question queue to assemble. Thank you so much.

Ladies and gentlemen, due to paucity of time we will take that as the last question for today.

I now hand over the call to management team for their closing remarks. Over to you.

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Page 20 of 20 Sudhir Singh : Thank you very much for your interest and for your time ladies and gentlemen. Saurabh, Manish, and I will be in Mumbai and in Singapore on Monday and Tuesday. We shall endeavor to make sure that we offer more time to address any questions, any remaining pending questions that you might have. As we said at the outset, this is, we believe, a defining moment for the organization. We look back with great satisfaction at what Coforge has accomplished over the last eight years. We think this is the move that will ensure that the next eight years are as if not more exciting than the last eight years have been. Thank you very , very much once again for your time, for your interest. We look forward to seeing you in Mumbai on Monday and in Singapore on Tuesday as well. Thank you.

Moderator : Thank you , members of the management. Ladies and gentlemen on behalf of Coforge Limited that concludes today 's conference. Thank you for joining us .

Call: Feb 2026

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Coforge Limited Q3 FY2026
Earnings Conference Call

January 23 , 2026

MANAGEMENT :

Mr. Sudhir Singh – Chief Executive Officer – Coforge Limited
Mr. Saurabh Goel – Chief Financial Officer – Coforge Limited
Mr. Simon Pearson – Global Head , Consulting & Solutions – Coforge Limited
Mr. Manish Hemrajani – Head of Investor Relations – Coforge Limited

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Moderator : Good da y, ladies and gentlemen, and welcome to the Coforge Limited Q3 FY2026 Earnings Conference Call. All participant lines will be in the listen only mode. We will open the floor for questions post the management's opening comments. Please note that this call is being recorded. Joining us today from the Coforge leadership team are Mr. Sudhir Singh, CEO, Mr. Saurabh Goel , CFO, Mr. Simon Pearson, Global Head, Consulting and Solutions, and

Mr. Manish Hemrajani, Head of Investor Relations. I now hand the call to Mr. Manish Hemrajani. Over to you Sir.

Manish Hemrajani : Thank you. Good morning and good evening to everyone on the call and thank you for joining us today to discuss Coforge's financial results for the Q3 of FY2026 that ended on December 31, 2025. As Inba indicated in her introduction, we have Simon Pearson filling in today for John Speight . Before we begin, a reminder that today's discussion may include forward -looking statements, which involve risks and uncertainties. Actual results may differ materially, and Co forge assumes no obligation to update these statements. With that, I will hand the call over to Sudhir for his opening remarks.

Sudhir Singh: Thank you, Manish, and a very good day, ladies and gentlemen. Thank you for joining us today as we share our Q3 FY2026 performance and our outlook for the years ahead. As Manish has shared, John is on vacation in sunny Kerala. He sends his regards to all of you and he is keen to rejoin our call starting next quarter. Simon, my colleague, shall stand in

for him during the call today. I shall provide an overview of our performance, touch upon the current market context, and then do a deep dive on results and operations data along with my colleagues.

In Q3, we registered a growth of 4.4 % in CC terms, and our year -to-date dollar revenue growth is now 32.8%. What we find particularly reassuring about our growth performance is the large deal velocity and the key accounts growth that underpins it.

The six large deals that we have signed in the seasonally weak Q3, o ur next 12-month signed order book that is 30% higher than where it was at the same time last year and sustained growth across almost all key and top accounts has set us up for continued robust growth performance not just in FY2026, but in FY2027 and hopefully beyond. Equally importantly, on the margin front, it is pertinent to note that our reported 13.4 % EBIT for the quarter and our plan to register a 15% EBIT in Q4 will lead us to the 14% EBIT

guidance for FY2026 . In the current quarter, excluding hedge losses, the underlying EBIT for the firm is 14.4%. Finally, free cash flow for the quarter came in at 110%, significantly ahead of our guidance of around 70 % to 80% FCF on a sustained basis. We believe we are set to close a very successful FY2026, and we are headed towards an exceptional FY2027 .

With that, I shall now move on to the current market context.

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Outside the usual narrative around discretionary spends linked to macro environment, it is important to note that the tech services landscape is shifting in ways that we at Coforge believe create extraordinary opportunities for firms with the right capabilities and, importantly, resolve. While two years ago, every board was asking, how can we adopt AI? That question has now fundamentally changed. Our customers are no longer interested in AI strategies or pilot programs. They are demanding proof of business impact. They want measurable KPI improvements. They want clear paths to operational transformation. The age of AI experimentation is over . What we are witnessing is a market inflection point. The new era of enterprise tech is emerging, one where AI driven by cloud and data is becoming

the engine of enterprise reinvention. The next gen enterprise will have its business capabilities defined and executed via a combination of humans and AI agents, underpinned by an enterprise data core and a cloud foundation that is purpose-built for AI. This shift is separating those who can talk about AI from those who can actually deliver it at enterprise scale.

Today, let us be frank, most enterprises are not truly AI ready. Decades of technical debt, fragmented data landscapes, patchwork infrastructure block AI ambitions. Clients need partners who can modernize their foundations while implementing AI, not as separate multi-year initiatives, but as one integrated transformation.

In this emerging world, enterprises are done managing fragmented partner relationships. They are asking for partners who combine digital native innovation velocity with enterprise grade delivery maturity. Partners who can move at startup speed while managing enterprise scale risk. It is in this context that the acquisition of Encora is a defining moment for our organization. It establishes a scaled AI-led engineering, data services, and cloud services based capability mode for the firm. This allied with Coforge's hyper-specialized industry expertise and execution intensity is likely to further accelerate our industry leading growth. It also sets us up as the tech services firm that is likely to be the first to deliver upon the promise of the AI infused future that lies ahead of our industry.

With that, let me walk you through how all of this translated into our Q3 performance.

Revenue Commentary

As mentioned earlier, the firm registered sequential revenue growth of 4.4% in cc terms, 3.5% in US\$ terms and 5.1% in INR terms. The 4.4% sequential CC growth came after registering 5.9% and 8.0% CC growth in the two previous quarters. At the end of Q3, we are now growing YTD at 32.8% in \$ terms.

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On a YTD basis Healthcare and Hitech vertical, which now contributes 10.5% to the total revenue, has nearly doubled over where it was at the same point last year. Travel vertical has grown 66% YTD, BFS vertical has grown 21% YTD, Govt outside India has grown 20% YTD and Others bucket which includes Retail and Manufacturing has grown 23% YTD. All this data with the six large deals that I have talked about. Two out of the six large deals in Q3 came from banking. One came from travel. Yet another one came from insurance. A fifth came from the new healthcare vertical of the organization and interestingly, that one deal was a large NN contract that we won.

Our top 5 clients and our top 10 clients grew 51% and 47% YTD respectively in \$ terms.

They contributed 21.0% and 30.7% respectively to our overall Q3 revenue.

ORDER INTAKE

Moving on to order intake. Q3 was yet another strong quarter both from an order intake and large deals closure perspective.

During the quarter, and I have said this earlier, we signed six large deals. The total order intake during Q3 was \$593 million. It was almost within kissing distance of \$600 million. The executable order book, which reflects the total value of locked orders over the next 12 months stands at a record \$1.72 billion. This number is 30% higher than at the same time last year.

PEOPLE

On the people front, our total headcount at the end of Q3 stood at 35,341. We saw a net people addition of 445 during the quarter. We continue to hire aggressively from campuses and laterally. Utilization during the quarter stood at 81.8%. This is a metric that we think will sharply increase in Q4. Last Twelve-Month (LTM) attrition for the quarter fell further and is now at 10.9%. We remain, as always, one of the lowest attrition firms across the industry.

I will now hand over the call to my colleague Simon Pearson, who is the Head of Consulting and Solutions for Coforge, and I will request him to provide insights into our operations and our capability creation. Over to you, Simon.

DELIVER OPERATIONS & CAPABILITY BUILD

Simon Pearson: Thank you, Sudhir.

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We continue with our strong progress in Agentic-AI, delivering business impact at scale.

Through our AI assets, we are making engineering faster, smarter, and more resilient, enabling speed -to-market, architectural modernization, and precision in delivery. For example, in a recent landmark win at a leading Global Systemically Important Bank based in Europe, we deployed autonomous agents across data silos to transform cashflow forecasting for its corporate clients. It was a win that proves, at the intersection of Deep Domain expertise and Emerging Technologies, Coforge is the partner of choice for mission-critical transformation.

This quarter, ForgeX , our integrated Agentic -AI engineering platform, delivered on further strategic engagements, each addressing complex engineering challenges. Some examples include: A leading global Airline , where we have accelerated delivery and improved operational resilience for a critical program through an AI -led “Software Development Life Cycle”.

In a large US financial services provider, we have built a platform with a roadmap of more than 20 domain-specific agents to industrialize automation and governance.

We have modernized the legacy architecture of one of Australasia's largest general insurance brokers using agentic -AI accelerators to automate the refactoring process, strengthening reliability and quality.

And in a leading Investment Management company , we have deployed intelligent agents for Product Ownership and Quality Engineering to automate testing and defect analysis.

Along with ForgeX , our AI asset portfolio continues to grow with two further additions this quarter: Integration Studio , and XtenderAI . These assets, along with the broader portfolio, are deployed at scale across 54 clients, solving complex engineering and business challenges.

Our cutting -edge, Gen -AI powered platform, CodeInsightAI, is a state -of-the-art Legacy Modernization toolkit available directly in the Microsoft Marketplace, “Deployment ready” in Microsoft Azure's secure, cloud -native platform, it is already in use across large format programs in Travel, Insurance and Banking, reducing risks, bridging legacy skills gaps, and accelerating transformations.

Onto our successful engagements delivered in Q3

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In Banking and Financial Services , we have been acknowledged by a leading UK bank for our work in secured loan migration, advanced mortgage transformation and deploying end-to-end bereavement automation. This program was recognized as their “Transformation of the Year”.

At a global bank, our conversational analytics solution went live, reducing turnaround time by over 60% and improving case resolution quality.

We executed platform upgrades and experience modernizations across multiple financial institutions ; rebuilt a core digital interface for a major US utilities provider ; enabled process -led savings for an ANZ financial institution and completed a complex SAP HANA upgrade for a global manufacturer.

In Insurance , we delivered a “Surety Claims” platform for a large US insurer , migrating bonds and payments from a legacy estate into a modern digital platform.

For a major “supplemental benefits provider”, we completed one of the industry's largest conversions, migrating more than 5,000 groups, and 2.6 million policies, to a new policy administration platform.

We also implemented governance uplift for a specialty insurer's Excess and Surplus casualty -clearance process, reducing manual entry by around 80% and enabling straight -through processing via AI -driven rules and digitization.

Moving onto Awards and Recognition

This quarter analysts have reaffirmed our leadership positioning across, AI Based Analytics & Automat

ion, AI -Driven ADM Services, Application Development and

Application Managed Services, and the Travel and Hospitality Ecosystem.

ISG has recognized Coforge with a Star of Excellence award in IT Operations and secured two ISG Provider Lens awards in Multi -Cloud Public Services. Additionally, ISG has positioned Coforge as a “Leader in Insurance ITO Services Specialists” in the ISG Provider Lens Quadrant study “Insurance Services - Strategic Capabilities” 2025

And finally, NelsonHall have positioned Coforge as a Leader in AI Based Analytics & Automation, GenAI Use case capability, Overall QE Services and SAP Testing capability in the NelsonHall Quality Engineering 2025 NEAT

And with that, I will now hand over to our CFO, Saurabh Goel .

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FINANCIAL OVERVIEW

Saurabh Goel : Thank you, Simon.

We are pleased to report revenue of INR 41,881 Mn in Q3 of FY26 reflecting a sequential growth of 4.4 % in CC terms and 5.1% in INR terms. EBIT margin for the quarter stood at 13.4%, up 191 bps YoY and down 60 bps QoQ. The reduction in EBIT was mainly on account of wage hikes which had an impact of 150 bps on margins, which was partially

offset by various margin initiatives that we have been delivering within the organization for last three quarters and lower ESOP cost.

We also had a headwind on account of increase in hedge loss during the quarter. The hedge loss reported for the quarter amounted to INR 434 million as compared to INR 307 million in the previous quarter, reflecting adverse impact of 26 bps in the reported EBIT. As you know, we take the hedge losses in the top line, the same had an impact of 90 bps on EBIT margins.

There were exceptional items to the extent of INR 147 crores during the quarter out of which, INR 118 crores are on account of New Labour code introduced by Government of India, INR 13.5 crores related to expenses for the proposed Encora acquisition and INR 16.2 crores of legal expenses have been booked on conservative basis related to cybersecurity incident which happened in August 2023. We have E&O insurance cover and part of these expenses will be reversed once we receive the money from the Insurance company. As we have just concluded a large acquisition and are in the process of taking regulatory approvals, we are expecting expenses associated with the transaction included integration and funding expenses over the course of next two quarters to the extent of \$ 10 – \$15 million.

Excluding exceptional items during the quarter, Earnings per share for the quarter stood at INR 10.9 per share. EPS for 9 months is INR 31.6 per share which is 83% higher than last year same period. This is further expected to go up post approval of Cigniti merger because minority interest will get added back to profits, the impact of that will be far more than the impact of increase in number of shares.

Coming on to cash flows we are pleased to report that FCF increased to \$45.7 million, resulting in an FCF to normalized PAT of 110%. We have excluded the impact of exceptional items to arrive at this ratio. Billed DSO was 67 days, unbilled 28 days, and contract assets 14 days, totaling 109 days. We also have deferred revenue and current liabilities to the extent of 60 days reflecting a working capital cycle of 49 days. This was 48 days in previous quarter. Capital expenditure for the quarter stood at \$3 million.

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During the quarter, the firm entered into a Share Purchase Agreement for the acquisition of equity shares of Encora for an enterprise value of \$ 2.35 billion. Out of the total \$ 1.89 billion are getting financed through share swap arrangement and balance through term loan to retire the borrowings of Encora Group.

During our last call on 26th December, we mentioned that we are looking for multiple option like bridge loan or a term loan or QIP of

\$550 Mn to retire the term loan of Encora.

We are very close to finalizing a term loan of \$550 Mn for a period of 3 years with a consortium of 4- 5 banks. We are comfortable with the pricing that we have negotiated with the banks and have concluded that we will not need to do a QIP for retiring the term loan in the target company. The guidance related to no dilution of EPS in FY27 of the combined business stays intact even after this debt.

With that I will hand over the call back to Sudhir.

SUMMING UP AND OUTLOOK

Sudhir Singh: Thank you, Saurabh. Proceeding with the summing up and the outlook, over the last eight and a half years, the revenue run rate of Coforge has gone up almost five times and the market cap has increased almost 20 times. As we've shared in the past, it remains our intent to ensure that the next eight years see us maintain and improve upon the sustained business performance of the previous eight years. We hope to continue to be the industry leaders when it comes to growth, with increasing margins and investor value creation.

5.9% CC, 8% CC and now 4.4% CC sequential growth in the first three quarters of this year, Top 10 accounts growing at a 47% YTD clip, a next -twelve -month signed order book which is 30% higher YoY, a sales execution engine that signed 14 large deals last year and has already closed 16 large deals in the first three quarters of this year, a pathway to 14%

EBIT in FY'26 cumulatively set us up to close a very successful FY'26 and head towards an exceptional FY'27.

With that, I conclude my prepared remarks and my colleagues Saurabh, Manish, Simon, and I look forward to hearing your comments and to addressing your questions. Thank you.
Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. The first question is from Abhishek Pathak from Motilal Oswal. Please go ahead.

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Abhishek Pathak: Hi, team Morning. Congrats on a good strong quarter. So a couple of questions, Sudhir. Firstly, on the vertical mix, very, very strong showing in healthcare, high tech, transportation, etc. BFS and insurance seem to be a little bit soft on a Y-o-Y basis for the past couple of quarters? Just wondering on the BFS side, is this temporary? And sort of, is this partly attributable to the transitional leadership we have seen in this vertical and do you expect this to kind of reverse meaningfully, over the next couple of quarters considering, BFS remains a very strong vertical from a macro discretionary perspective as well, and the second question was around pricing the deals and how the delivery is changing for us in context of using AI tools. So just wondering sort of, how are we pricing deals differently? How are we structuring these deals differently from a year back? Do you see more and more margin gains coming in as we change that balance between humans and AI? And just lastly, a bookkeeping question for Saurabh. The unbilled revenues long-term seem to have kind of, increased a bit Y-o-Y and Q-o-Q. If you could just explain sort of, why, I mean, what is happening there and how should we kind of model that going forward? Thank you.

Sudhir Singh: Abhishek, thank you for all the three questions. I will take the first two and I will request Saurabh to take number three. Vertical mix, let me start off by saying, Abhishek, that we signed six large deals in Q3, which is a short quarter. And one third of those, two out of those six were from Banking. Given the large deal momentum we have seen in Q3 and what we think is likely to happen in Q4, we would suspect that while healthcare and high tech will continue to grow at a tear, banking might be the fastest growing core vertical of the firm next year. Given the growth momentum that we see ahead of us, both in terms of large deals and key account growth that is ahead of us, banking

we feel very assured about where things are. Banking, as you noticed, YTD is still growing 20% plus. As far as Insurance is concerned, Insurance has not degrown. Insurance has grown on a Q-o-Q basis. One out of those six large deals was insurance. We expect robust growth in insurance in FY2026 which is almost done. Very robust, possibly higher growth in insurance in FY2027 than what we registered even in FY2026. That is the growth momentum there. We feel extremely assured. And finally, the sector that did see a Q-o-Q decline was government outside India. We expect to close one of the largest deals that we have ever signed in that sector in Q4. Outside the Q-o-Q data mix, if you were to look at YTD numbers, they are strong. And given the large deal velocity and the very strong growth of our top accounts and key accounts, I guess you are going to see them getting stronger starting Q4 itself. That was answer to question one.

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Question two, pricing and delivery, We have always talked about execution in the context of delivery and the fact that our clients believe that the age of AI experiments is over and they need digital native velocity with enterprise grade delivery maturity. We have transformed our core delivery model. We are not adding AI as a separate offering, but we are infusing it into every engagement. Our platforms, Code Insight AI, BlueSwan, Forge-X, Quazar, have helped us now for almost two years to embed AI in the way we deliver value to our customers from day one and that's important. We have restructured how we deliver. We are moving towards hybrid delivery models that combine agentic workflows with human expertise. And finally, to the other subtext around that question, Abhishek, critically, we are also willing to underwrite outcomes. Our risk reward commercial models tie our fees to our clients achieved results. We believe in the integrity and the strength of our delivery execution to be able to do that. And when we say we put skin in the game, we mean it contractually as well. That was answer number two. Saurabh, I am going to request you to take number three, please.

Saurabh Goel : Sure, Sudhir. So, Abhishek, the increase in whether it is debtors or it is long-term unbilled, it is tied to the nature of the contracts that are being signed up. And the way we are tracking our numbers internally is we are making sure that there is FCF to PAT as a ratio that is

getting delivered quarter on quarter and that are the guardrails that we have put which will restrict the investments beyond a certain point in any particular account. So, I think that is the short answer to that.

Abhishek Pathak: Got it. Thank you and all the best. Thank you.

Moderator: Thank you. Our next question is from Vibhor Singhal of Nuvama. Please go ahead.

Vibhor Singhal: Thanks for taking my question and congrats for Coforge team on a rock solid performance yet again. Sudhir, my first question was, on basically the changing mix of the business that we might see over the coming quarters. You had mentioned in the analyst meet that health

care, high tech, and public services are the verticals that we are focusing on going forward as basically in terms of diversifying our base. This quarter also, you mentioned that we have won a large deal in healthcare and probably another in the public service coming in the coming quarters. So if you could just take through the dynamics of these two sectors, how are we positioning ourselves in this pre-Encora? Of course, there is Encora also, which will start contributing into it. In healthcare, how are we looking in terms of payers and providers? In public services, are we looking more at UK public services or is it US as well? And what are the kind of growth avenues that we are looking in these verticals as we look to expand these verticals?

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Sudhir Singh: Thank you for the question and for the kind comments, Vibhor. As we discussed earlier in the investor meet that we have done in Mumbai, we believe Healthcare, Hi-tech, Public Sector will grow on steroids next year, if I were to put it euphemistically. Even if you were to reflect on their performance right now, these two verticals, just Healthcare and Hi-Tech, and this is all pre-Encora - we are not factoring in everything that will happen after Encora comes in on high tech, are already 10.5% of our aggregate revenues. And if I remember my numbers right, we are growing 95%. We have almost doubled it over the last four quarters. As I said earlier, we signed a nN large deal in Q3 in healthcare. We believe we will sign another nN large deal in the quarter that has started Q4. We also believe that in the allied vertical, which you referred to the UK public sector, we signed one of the largest deals that we ever have in that sector in the current quarter that is going on right now. We haven't announced it because this is the Q3 result call for now. In Healthcare, we continue to focus on Life Sciences and we continue to focus on Payer. However, please recognize that we are still relatively small. The Encora and the Coforge business, once it comes together, will only be about \$170 to \$175 odd million. And therefore, we will also look for tactical wins too. The large win in Healthcare that we do expect to close in Q4 is likely to come from a Provider client, an nN client, even though our primary focus longer term is going to be around life sciences and payors. Public sector, we continue to focus as we have. It takes a long time to build those relationships in UK and in Australia public sector. We have no plans, no intention of approaching the US public sector. I trust I have answered your questions, Vibhor. Thank you once again for the question.

Vibhor Singhal: Yes, very much, Sudhir. Thanks a lot for that. So in that context, do you see that going forward, the breakup of our deal wins is also going to change a bit maybe? So for example, in this quarter out of six large deals, four were in our traditional segments of banking, travel, and insurance. Do you think we could see a mix of more large deals in health care and public services maybe going forward? Or do you believe banking, travel, and insurance will continue to remain the forte of our growth, and that is where still the large part of the large deal and the demand remains?

Sudhir Singh: We believe that the total number of large deals on an average will go up. Banking, as I said earlier, we feel really confident about the pipeline that is building up. In Banking, even this time, two out of the six large deals came from Banking. Banking is likely to do extremely well. Travel, we think, is likely to do exceptionally well. Out of the three core verticals, Insurance, we think, next year will do better than it has even in this year, FY2026. Having said that, Banking and Travel should outpace Insurance. Hi-Tech, Healthcare, and this is all pre-Encora, will, we believe, continue to grow on steroids going forward.

Vibhor Singhal: Got it, got it. Thank you so much for the detailed explanation. Just one last question for Saurabh. I think this time the numbers are quite very well explained and there. Just on the Coforge Limited

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timelines of the two things. So, I think Cigniti shareholder approval, as you mentioned, I think we have all seen has all come. So when do you think Cigniti could finally get fully integrated into numbers in terms of financially? And in terms of Encora also, what is the timeline that you are looking for the share swap to be executed and thereafter the term loan

to be retired?

Saurabh Goel : So Vibhor two things one shareholder's approval was received and the second motion application to NCLT was filed in

the month of December itself. There is a hearing with

NCLT in March and I guess we should be able to get a result in one or two hearings. Our take is that maybe by March end latest sometime before our results for sure we will be able to get the approval for Cigniti merger and as and when the merger notice is received as I mentioned earlier the effective date of the merger is April 1, 2025 so which means we will if we have not reported our numbers for Q4 and the financial year FY26 we will restate the three quarters and when we report the full year numbers hopefully there will be no minority interest and new shares to Cigniti shareholders would have got issued so from a financial perspective, the integration would happen or the merger would get consummated by the time we report FY 2026 financials. That is point number one.

Number two, when it comes to Encora acquisition, number one, we had mentioned last time and I had mentioned that in the call as well, that we are looking at a bridge loan or a QIP. I think with the discussions that we have had with multiple banks and the rates that have got negotiated, we have finally decided that there is no need of QIP that we need to kind of do to retire the term loan in Encora. And the interest rates are very, very lucrative. The terms, the other terms in the term sheets, the agreements with the banks are now getting finalized. And the period of the loan will be three years. More details around the loan that we will take will be shared once we have kind of signed up the loan with the banks. That is one. Second, on the timeline for acquisition closure, we have already filed all the regulatory approvals that had to be filed either with RBI or with the exchanges or with the U.S. Competition Commission which is HSR or any other geography. The HSR approval, which is Competition Commission Equivalent Approval in India, is expected sometime in Feb.

And I think by March timeframe, we should be able to get pretty much all the approvals between March and April. And that is the time when we will start consolidating in quota as well.

Vibhor Singhal: Got it. Great. Thank you so much for taking my questions, and I wish you all the best.

Moderator: Thank you. Our next question is from Manik Taneja of Axis Capital. Please go ahead.

Manik Taneja: Thank you for the opportunity and congratulations for the steady performance. I basically had a question related to some of the cost split-up during the quarter as well as the

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segmental margins first. So, Saurabh, basically, is there some sort of a onetime element to the other expenses line item in 3Q, because that seems to jump up very sharply in 3Q. If you could help us understand that, that is question number one. The second question is with regards to our segmental margins. If you could help us understand what drives the sharp move across segmental margins on a Q-on-Q basis, that will be helpful. And the last question is with regards to Sabre Deal. Even we have been executing on that through the course of now I guess probably about anywhere between six to nine months. If you could help us understand how that essentially is shaping up, are we on track with regards to some of the product delivery there and talk about the progress there. Thank you.

Saurabh Goel : So, Manik, the other cost typically includes a cost related to either if there is any large SI deal and which includes any third-party component. So that cost is included there and that goes up and down depending upon when a milestone is achieved. So the cost gets recorded accordingly and then it goes up and down. It had happened the same quarter last year also when the third party cost had gone up significantly and I am not referring to the subcontractor cost, but the third party cost. So that is because of that but you will also note that when we look at the expense lines and we look

at people cost, this was a quarter

wherein we give wage hikes and but the wage hikes, the cost lines around people cost has not significantly gone up purely because of the optimization initiatives that are going on within the organization so that is the answer to other cost and yes it is seasonal it is not that

it will continue to stay where it is. It keeps moving up and down depending upon when the costs are hitting and when the revenue is getting recognized. What was your second question?

Manik Taneja: My second question was with regards to the segmental margins from a geography standpoint even the volatility that we see across regions through the period.

Saurabh Goel : Yes, so one is a large impact because of the currency. I think that's the biggest impact that we are seeing, because hedge losses get allocated not to the overall revenues, but largely to Americas and Europe. And that is where the amount of hedge losses that we are having in our top line, because we report hedge losses in top line that is impacting the reported

EBITDA margins of the segments that we are in. And the third thing is about Sabre deal. I think from a Sabre deal standpoint, when we look at the ramp up that was expected to happen in Q1 and Q2, the deliverables that had to be delivered during that time frame. We are on track and the cost that had to be incurred, we are less than the plan that we had to incur. So, I think from a Sabre deal standpoint, we feel very, very comfortable in terms of what we have delivered so far, what our roadmap is as we move along and we get into next calendar year which is calendar year 2026. And from a comfortable around the contractual obligation standpoint, I think we are on track and Sudhir, maybe if you want to add something on Sabre.

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Sudhir Singh: Thanks, Saurabh. Manik, to your question on how the Sabre project is doing, we would characterize it, and I guess John and Sunil would characterize it more appropriately as going swimmingly well. We had a meeting earlier this month around the first week of the new calendar year with the CEO, the CAO, the CIO, and the head of the transformation program. The feedback from them was exceptional. The feedback from our team to them around the partnership and where we are against the agreed upon milestones again was exemplary and of the highest order. So things are moving exactly where we expected them to be and possibly slightly better than that. Did we answer your question, Manik?

Manik Taneja: No, that is quite helpful. Thank you and all the best for the future.

Sudhir Singh: Thank you, Manik.

Moderator: Thank you. Our next question is from Kawaljeet Saluja of Kotak Securities. Please go ahead.

Kawaljeet Saluja : Hi, Sudhir Sir. Congratulations on a good print. I have a couple of questions. First is on the nature of the deal that drove strong growth in India. Can you just elaborate on the type of deal that would have contributed to such a large number? And would this end up being a headwind to your growth as you move into 4Q? That is the first question.

Sudhir Singh: Kawaljeet at this point in time, we aren't reliant on one, two, or even three axes for growth.

We referred earlier to the kind of growth that we see around Healthcare, around Public

Sector, potentially getting accelerated, post-Encora coming together around High-Tech.

Banking, we have alluded to the fact that two out of the six deals came from Banking itself.

Banking is likely to do really well next year as is Travel, given the large deals we are looking at. So we think FY26 has been a very good year for us. FY27 is likely to be an exceptional year if the growth momentum continues. A lot of our confidence is also coming from the balanced nature of the growth across account-size cohorts, the pipeline, the relationship status across the top 10, the top 20 clients is extremely robust and

and then it is also

coming from the next 12 months signed order book that we talked about. It is 30% higher than where it was four quarters back. So we have a lot of prongs that give us significant confidence that what has been a very good year is likely to be followed by an exceptional

year coming our way. Did we answer your question? And Saurabh, would you like to add anything else?

Kawaljeet Saluja : Sudhir if you can just elaborate, what was the nature of contract in the India business that drove that sharp growth in the December quarter?

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Saurabh Goel : So Kawaljeet, couple of things, one when we look at the other direct cost okay so it has grown almost 4.5% Y-on-Y and so there was a seasonality so similar spike in Q3 last year it happened in the other cost and it happens in case there is any third party component which is included as part of the solution to the customer and you recognize revenue and book cost once the solution is delivered. So that spike came in Q3, which led to increase in DSO and also increase in liabilities and also increase in direct cost.

Kawaljeet Saluja : Okay, got that. The second question that I had, Saurabh, is that what is your hedging policy and, are the hedge losses purely on account of the Euro leg of hedging, GBP or USD? And if that is the case, what is the average rate of cash flow hedge book that you are carrying right now?

Saurabh Goel : So, one, Kawaljeet we have been using the same hedging policy consistently for last I guess a decade or so and we hedged 90% of the exposure in a respective currency for next quarter followed by 80%, 70%, 60%, which is total exposure of 75% over a course of one year and

we do cash flow hedges and our hedges are effective because of which the hedge gains or losses go and sit in the top line. The reason why the hedge losses have come in it's not because of just Dollar and Pound I mean it is largely because of Dollar because Dollar has just continued to run up quarter-on-quarter and month-on-month. We are also now

revisiting the hedging strategy wherein we will stop taking the cash flow hedges, which will

then allow us to at least take the hedge gains or losses as part of the other income so that it does not impact our EBITDA or operational EBIT performance and so that 's where we are.

Kawaljeet Saluja : Okay so are you going to basically pull back from hedging of cash flow sort of largely balance sheet hedges in future?

Saurabh Goel : Again nothing finalized yet but yes it is between cash flow and balance sheet hedging maybe we will do something balanced. Maybe something to do with debt that we are taking maybe there will be natural hedge that will come in so allow us a quarter or two and we will be able to provide more clarity on that. But it is under works and there will be some update on this if not later , but maybe next quarter for sure.

Kawaljeet Saluja : Thank you so much for answering my questions.

Moderator: Thank you. A quick reminder to our participants if you wish to ask a question you may click on the raise hand icon again. We take the next question from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta: Yes, thanks for the opportunity. A couple of questions. I think first about, you said risk reward where we are taking a risk of about let us say deliverable kind of things. Sir can you

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help us understand how we get the sense about it, whether it would be part of contingent liability, about the potential risk, which we are looking as a part of contract, so some color around it. Second question is about the employee cost. I think Saurabh partly touched upon about some of the cost optimization actions or initiative which we have taken. Can you elaborate and provide more detail around it? Thank you.

Sudhir Singh: Let me take a quick stab at it. Risk reward, as you

can imagine, has multiple flavors. Each one of those goes through our own risk assessment framework. This is something that Saurabh as the CFO of the organization owns. And this is something that our Controller also gets into, as does the Pricing Head . When it comes to commercial constructs, there are decisions that are made strategically around engagement structures, whether they are joint ventures, BOTs, reverse BOTs, standard fixed price contracts, or milestone based deliverables. Decisions are taken jointly by the CFO's office along with the CDO's office, which is Sunil Fernandes , the global head of delivery of the organization. These are reported three times in a year to the Risk Management Committee of the Board to make sure that we stay aligned with where we are. You will have noticed, given the increasing margin and the very sharply increasing growth rate, not over one, two, or three years, but for now eight -and-a-half years. With this approach, we have been commercially judicious, but have also been open to newer paradigms . It has worked very, very well for us. That is the broad risk management framework that we apply. I am going to hand this over to you, Saurabh, to address the employee cost issue that was asked.

Saurabh Goel : Sure and also on the contingent liability piece, Dipesh, typically what we do is we contain the revenue recognition, because there is a risk in reward. So we do a balance assessment, and we contain the revenue recognition. And once we pass the toll gate, we of which is a contractual tollgate then the revenue gets recognized so there is no contingent liability in the balance sheet that you will see but it is the revenue recognition which is contained so that is one. Second employee cost, you would recall I mean in Q4 of last year we had said that we are taking margin improvement initiatives maybe we have actually been talking about it for over a year now wherein we were looking at improving ARC s, we were looking at containing bench, and we were looking at containing overheads. So, I think those initiatives were on and we had taken a lot of actions between Q2, Q1, and Q3 is the period when at least we have seen the impact of those in the P&L, because of which even after wage hikes, the salary costs have not gone up and because we have not been only able to optimize the headcount but even after headcount addition and wage hikes the salary cost has not gone up significantly and you will continue to see this and which is a function of actually reduction in ARC and you will continue to see this benefit flowing down and that is what gives us confidence for Q4 EBIT margins as well.

Dipesh Mehta: Whether it partly reflect your pyramid change kind of thing.

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Saurabh Goel : It is function of everything, Dipesh. Even not just the pyramid , at the same band people getting replaced with lower cost. It is even function of that as well.

Dipesh Mehta: Thank you.

Moderator: Thank you. Our next question is from Rishi Jhunjunwala of IIFL Capital. Please go ahead.

Rishi Jhunjunwala: Yes. Thanks for the opportunity. Two questions. Firstly, Sudhir and Saurabh , ESOP costs

have been a lever for us over the last a year or so has given us 100 bps on margins. We have mentioned in the past that we do not expect this number to go up. In fact, if at all, it may trend downwards. With a large acquisition like Encora, do you think the trajectory may again change on the ESOP side given any potential retention through ESOP schemes in there? Saurabh Goel : So as a percentage of revenue Rishi, you will not see impact on margins. The absolute number might change. We are not going to come right now for any incremental pool. But even if ESOPs are getting issued, the cost, the margins that we have spoken about will continue to be intact.

Rishi Jhunjhunwala: Fair enough. The second question is on headcount, right? S

o if we look at in the last one

year, our headcount has grown at about 8% to 9% year -on-year, 3Q to 3Q without any material improvement in utilization, which Sudhir called out as a lever going forward whereas our revenues, of course, have grown at 25%. Is it possible to just give a breakdown in terms of what is driving this gap between revenue and headcount into how much of it is non-headcount linked revenues versus how much of it is driven by automation,

productivity, and some of the other initiatives? And how do we expect it to, trend going forward?

Saurabh Goel : So I will answer that in two parts. One, obviously, it is a function of the kind of contracts which are outcome based, which are getting signed, which gives you higher realizable revenue. And that is what you see, which is getting reflected in revenue per employee that we report. You look at current quarter, we almost we have crossed \$71,000 per annum. So

that is reason number one. Second, the utilization levels that we are reporting today, I think there is a significant upside that is possible. The reason why we are right now not seeing an upside is because we continue to induct freshers and that is why we continue to maintain lower levels of utilization but as those freshers are getting billed that has helped us in bringing down our ARC. So that is answer number two. Number three is that the point that Sudhir was making that not just contracts which involves third party cost but outcome based contracts , which has now become a significant portion or which is now continuing to become part of our deals as we are signing those deals. Over there it is not just the revenue

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per employee but the margins are high because of the risk that is being taken in those deals that is leading to higher revenue per employee and leading to lower headcount addition as compared to revenue growth.

Rishi Jhunjhunwala: Understood. Thank you. All the best.

Moderator: Thank you. We take our next question from Ravi Menon of Macquarie. Please go ahead.

Ravi Menon: Hi, thank you for the opportunity and congrats on good revenue performance. Two questions here. One is, you know, this unbilled revenue trend, as we take on more of the system integration contracts, is this likely to continue going up and is there is an absolute kind of unbilled DSO number that you will be comfortable with? Because this is the level of risk that we are taking on and how do you actually plan in controlling that? Second is on this other direct costs. Again, there are seasonality, I understand? This is also something that we should see going up because as you do these large system integrated contracts, this is another line item that might go up.

Saurabh Goel : So, I will take one by one. So, Ravi, when we look at our balance sheet, we look at total working capital cycle okay? So, I think today sitting around close to 48 to 49 days and I think that is a number. So, there are two lenses. One, you look at overall working capital cycle. Second, you look at FCF to PAT. We are committed to make sure that we continue to deliver an FCF to PAT that we have already talked about and also maintain a working capital cycle, which is closer to 50 odd days. If these two guardrails are kind of there in place, we will continue to sign large deals. We will make sure that, as I mentioned, FCF to PAT is getting delivered, EBIT margins are getting delivered, and within these guardrails, we will continue to kind of invest in the customers or sign deals, which if requires investment in the customers upfront, we will do that. So that is answer to question number one. Number two, other cost. It is not that this will continue to go up. I mean, as I said, over the last one year, the revenues have grown almost 28% odd but if you look at year -on-year this cost has only grown 3% to 4% so it is not that this line item will continue to

grow. It is

seasonal in nature. It will start coming down from Q4 or Q1 onwards and you will also see as a percentage of revenue even the sub -con cost for us has now started as a percentage of revenue started coming down. I had mentioned that it has gone up because of certain either deals getting signed or certain acquisitions that were done, which had larger subcontracting cost. So these costs will start coming down because at the end of the day, if these costs continue to go up, there is no way we can keep delivering the EBIT margins.

Ravi Menon: Thanks so much. And you know, it is all that the salespeople cost has gone up a little faster than revenue. I mean, is this because of payouts related to some of the last deals you signed
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or is this is a sign that are investing a bit more in sales to scale up some of these smaller verticals?

Saurabh Goel : You are referring to quarter -on-quarter or year -on-year?

Ravi Menon: Year -on-year? It looks like it is a bit faster than revenue.

Saurabh Goel : Yes, I mean, year -on-year, 23% to 25%. So if I look at growth, between 23% is revenue growth, year -on-year, salespeople cost is 25% . So I think it is the function of the investment that we have done, but you will look at that the G &A cost has gone down. So what our focus has been that we make sure that the investments in the sales is there because it is not because of the commission, but it is because of the absolute investment in the salespeople.

Ravi Menon: Thanks. And one last question on travel, because of the Sabre deal and the whole new platform that Sabre is creating, do you think there is a cross opportunity with airline customers, and their own transformation programs?

Sudhir Singh: Yes. Ravi, thanks for the question. The Sabre deal has already had impact. It is not in the realm of the hypothetical .When we look at the post -Sabre scenario for Coforge, we are on the verge of standing up a \$20 million relationship with an airline, which was not a material customer by any stretch for Coforge, but was one of the biggest customers of Sabre. So that cross -sell has already happened. And we believe there is significant runway for more such relationships to get constructed over time, because Sabre is not just a client for us, it is also a partner for us on an ongoing basis.

Ravi Menon: Thanks, Sudhir . And with Encora, is that something that you think you can replicate in other segments too, where you do more product engineer work and use that to cross -sell into different verticals?

Sudhir Singh: You are right, Ravi. That is the intent. And if Cigniti is any reflection, the success of that acquisition, hopefully Encora at a minimum, will be as good as Cigniti was. And the intent, of course, is to take it up a few notches from even the Cigniti success.

Ravi Menon: Thanks so much and best of luck.

Sudhir Singh: Thank you, Ravi.

Moderator: Thank you. We take our next question from Dhanashree Jadhav from Choice Institutional Equities. Please go ahead.

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Dhanashree Jadhav: Yes, congrats on good set of numbers team. So it was a great performance. My question is on Encora integration. Sir as you said, the approvals will be done by the end of March. So should we see the integration taking off in terms of numbers during end of the first quarter or how should we look at it? And some qualitative in terms of numbers post EBIT margins with the integration would be helpful.

Saurabh Goel : Dhanashree, so again, as I said, regulatory approvals are going on and there are expenses related to regulatory approvals wherein the legal expenses are getting incurred. That will be coming in Q4 and the integration expenses will not be very significant in the current quarter but there will be expenses related to again legal expenses around funding that we are going to ti

e up with banks and other than that there will be W &I insurance expenses also so I think as of now I have only this much of detail , but the whole integration -related expenses would largely hit either towards the end of Q4 or March start coming in then when we are closer to the approvals from all the regulatory authorities or in Q1 so but again right now too early to say. The only three line items that I can expect between now and next couple of months that our visibility of is the line item which I just mentioned. The balance integration -related expenses should actually come in Q1, which would be largely on account of, there could be short close of certain contracts, the licenses and what not. There could be other expenses also. So, I will provide more details once we have more clarity, but we will have to just wait till we get closer to the regulatory approvals and then I will have more details around that.

Dhanashree Jadhav: And if I can just get some color on the rates at what we are, I mean, whatever interaction we are having with the banks. So, whether lower single digit or if that would be helpful.

Saurabh Goel : It will be around mid -single digit.

Dhanashree Jadhav: Yes, thank you. Yes that is it from me.

Moderator: Thank you. Our next question is from Manik Taneja of Axis Capital. Please go ahead.

Manik Taneja: Thank you for the follow -on opportunity. This was once again a clarification on the other

expenses line item. You said there is some seasonality to it related to certain contracts. So, just trying to understand is this largely linked to pass through license sales? That is one and given you are talking about very strong robust growth going into the next year, how should we be thinking about while you have given wage hikes only in the prior quarter, but how should we be thinking about some of the supply side factors going into FY27?

Saurabh Goel : So, Manik, as I said that when we look at our P&L, which is year -on-year, the revenue growth in the P&L is close to 23% odd from a dollar perspective and the other direct

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expenses have actually gone up only 4.5% to 5%. If you are looking at the result sheet then it also includes the sub -con expenses which actually shot up for us in Q1 of this year and which have now started getting contained at \$50 million to \$51 million levels and have started actually this is the first quarter it has actually started coming down so yes there is seasonality to it and Q3 last year the same thing happened this number then came down to close to \$40 million in Q2 and again gone up so it will be a number which will move up and down. We expect this number to come down either as I said in Q4 or Q1 and despite that again the pipeline that we have in place the deals that have already got signed or on the verge of signing between now and next few weeks or so gives us confidence in terms of the revenue growth that we will see in coming future.

Sudhir Singh: Manik, to your last question around supply side pressure, as you can imagine, given where the industry is right now, on the cost side, supply side pressure is very muted. A wage hike has just been announced. It is obviously not going to be done at least for the next four odd quarters .Four quarters at a minimum. Therefore, the confidence around margin increase, further margin increase in FY2027 over FY2026 is also strong.

Manik Taneja: Great. Thank you and all the best for the future.

Sudhir Singh: Thank you, Manik.

Moderator: Thank you. That was the last question for today. I now hand the call back to Mr. Sudhir Singh for closing comments.

Sudhir Singh: Thank you, Inba and thank you, ladies and gentlemen. We know it is early morning for those of you joining in from India. We really appreciate the time and the intent. We always find these calls extremely productive and instructive from our vantage. W

e look forward to meeting all of you over the virtual call three months from now. Thank you very much. Have a great day.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Coforge Limited, that concludes today's call. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you all for your participation. Goodbye.

Call: May 2026

COFORGE LIMITED EARNINGS CONFERENCE CALL
Q4 FY26

Tues

day, May 05, 2026

MANAGEMENT: Mr. Sudhir Singh

Chief Executive Officer and Executive Director

Mr. John Speight

President and Executive Director

Mr. Saurabh Goel

Chief Financial Officer

Mr. Lalit Vadhwa

Executive Vice President, Chief Technology Officer

Mr. Vic Gupta

Executive Vice President, Head – AI Practice

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oderator: Good day , ladies and gentlemen , and welcome to the Coforge Limited Q4 FY26 earnings conference call. All participants will be in listen -only mode. We will open the floor for questions and post the management's opening comments. Please note that this conference is being recorded.

Joining us today from the Coforge leadership team:

- Mr. Sudhir Singh, Chief Executive Officer
- Mr. John Speight, President and Executive Director
- Mr. Saurabh Goel, Chief Financial Officer
- Mr. Lalit Vadhwa, Chief Technology Officer
- Mr. Vic Gupta, Executive Vice President

Su

dhir Singh : Before we begin, please note that some of the statements made in today's discussion relating to the future should be construed as forward-looking statements and may involve risks and uncertainties.

Please refer to the disclaimer to this effect in the company's Q4 FY 2026 earnings press release. With that, I now hand the call to Mr. Sudhir Singh. Over to you, sir.

Thank you, Inba . Good evening and thank you for joining us today. Please allow me to start today's call with a quick reflection.

This month marks the beginning of my 10th year at Coforge. It will also mark the 10th year since John, Saurabh, Madan, Vic, and I started the turnaround at Coforge. We were a \$400 million firm when we started nine years back. We hope to close this, the 10th year of our turnaround story, with the firm having grown almost seven times in just 10 years. The turnaround of Coforge has been driven by an execution intensity that is uniquely our own and also by an insatiable hunger to make a mark on industry. Today, as we look at FY27 and beyond, that execution intensity remains undimmed , and our hunger for growth remains unquenched. Our margins are poised to take a big step up starting FY27, and we believe that our growth story is not even half done.

Over the last nine years, we have as a team delivered:

- A revenue CAGR over nine years of 21.7%
- An EBIT CAGR of 24.6%

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- A PAT CAGR of 24.1%
- An EPS CAGR of 22%
- and a Free Cash Flow CAGR of 19% that is over nine years

There is no firm in our industry that can present metrics at that level for the extended nine -year period that we have.

During these nine years, there were periods when we made contrarian bets and shared a positive contrarian growth outlook on calls like these even when the macros were bleak . We have proved each one of those contrarian bets and backed each one of our guidance statements and made sure they came true on the basis of our subsequent performance.

Illustratively:

- Five years back, when COVID struck, we shared that despite our material exposure to the travel vertical, we would grow smartly in that year itself, at a time when our peers were projecting declines on account of COVID. And we did grow, and handsomely at that.
- Again, two years back, on a call like this when we acquired Cigniti, there were concerns that a publicly listed testing services

firm with a 12% EBITDA would kill the Coforge growth story.

However, two years later, today, that portfolio operates at a 19% EBITDA and the growth of the constituent clients that came into Coforge from Cigniti has exploded on the back of very effective cross-sell. The top two clients of Cigniti that offered USD 25 to 30 million revenue per year when we acquired them two years back have scaled up to \$75 million per year collectively.

I say this because, as you hear our commentary today, and as you reflect on what we share by way of our expected performance trajectory going ahead, we would urge you to please remember that we are the team that has delivered unfailingly for nine years on all plans that we have shared with you. We have every intention of coming true on

all the outlook commentary that we share today with you on this call.

With that preamble, I shall now cover

our performance for Q4 and fiscal year '26.

Last quarter, during our Q3 results call, I had shared that we believed we were on course to close a very successful FY26 and that we were headed for an exceptional FY27. We

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are pleased to report that FY26 has panned out as indicated and, equally importantly, FY27 is poised to deliver on that promise of exceptional performance.

ANNUAL PERFORMANCE REVIEW

- Moving on to the Annual Performance Review, I am pleased to share that FY26 was a very successful year for the firm. The firm grew 29.2% in U.S. dollar terms.
- The quality of our growth was remarkable in that all our key industry units grew strongly through the year, and the growth was led by our top 10 and top 20 client relationships.
- We signed 21 large deals through the year, with 11 of them coming through in the second half of the year.
- Growth was broad-based, with all key industry units performing strongly.
- Reported EBIT of the firm grew by 370 bps in FY26 over FY25.
- Beyond these immediate metrics, the real highlight of FY26 has been the quiet yet vital work that was done at our backend to truly automate and AI-enable our backend processes and functions, and to reshape and right-size our delivery and G&A organizations. That quiet effort, unshared till now, has now structurally reset the margin profile of Coforge for FY27 and beyond.
- Coforge was always an industry leader on the revenue growth front, yet our EBITDA and EBIT numbers were middle of the pack. Starting in FY27, that is this year itself, we believe we will, along with retaining revenue growth leadership, emerge as one of the highest EBITDA and EBIT performers across the mid-cap segment.
- Moving on to the quarterly performance review.
- The quarterly sequential CC revenue growth of 2% in Q4 followed the sequential CC growth of 8%, 5.9%, and 4.4% recorded between Q1 and Q3
- The Q4 year-on-year growth rate was 21.2% in US dollar terms
- Free cash flow to PAT for the quarter came in at 110%, significantly ahead of our guidance of around 70% FCF on a sustained basis

I would like to draw your attention to the fact that Q4 FY26 EBIT of the firm is 16.6%, while it was 12.3% in the same quarter a year back.

More detailed revenue commentary is as follows.

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In Q4 FY26, the firm registered a sequential revenue growth of 2% in CC terms, 1.7% in US dollar terms, and 5.2% in INR terms. For the year, as noted earlier, we have grown 29.2% in dollar terms. Our ability to grow at this rate in a very challenging environment is driven by our ability to increase wallet share, particularly across our key accounts.

An exceptional market-based industry solutioning and AI specialist cadre drives this by staying laser-focused on continually crafting business solution-led proactive deals and solutions. Twenty one large deals in FY26 is reflective of the success of that engine and that cadre. In FY26, in US dollar terms:

- The healthcare and high-tech vertical grew by 98%
- The travel vertical grew 62%
- The BFS vertical grew 12%
- Government outside India grew 17.5%
- Other emerging verticals, which include retail and manufacturing, grew 27%

Our key accounts drove significant growth this fiscal, outpacing the broader business. The top 5 accounts of the firm grew 45.8% year -on-year in US dollar terms , and accounts ranked 6 through 10 grew at 30%. Collectively, these 10 accounts contributed 30.8% of the total revenue , and they grew at 40.4%. We would like you to note that the top 10 clients are spread across industries. Five are BFS clients, three are travel clients, one is an insurance client, and one is a public sector client.

On an annual basis, and this is information that we're sharing starting this quarter, Coforge now has:

- 1 client with revenue greater than \$100

million

- 3 clients with revenues between \$50 million and \$100 million
- 9 clients with revenues between \$20 million and \$50 million
- 23 clients with revenues between \$10 million and \$20 million
- 42 clients with revenue between \$5 million and \$10 million
- 167 clients with revenue between \$1 million and \$5 million

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This client set, the addressable wallet, is going to expand now that Encora integration is complete.

- Moving on to Order Intake - Q4 was a very strong quarter, both from an order intake and a large deal closure perspective. During the quarter, we signed five large deals. The total order intake during the quarter was 648 million US dollars.
 - The executable order book, which reflects the total value of locked orders over the next 12 months, stands at a record 1.75 billion USD. This number is 16.4% higher than at the same time last year.
 - This number does not include the impact of framework agreements that we have already signed and that are nearly assured revenue streams for FY27 and beyond. We expect revenue realized in FY27 from those signed framework agreements not accounted for in the signed order book to also be material.
- On the people front, our total headcount at the end of Q4 stood at 35,777. We saw a net people addition of 436 during the quarter.
- Utilization during the quarter stood at 82.5%.
 - Last 12-month attrition for the quarter remains one of the lowest in the industry at 10.8 percent. We remain, as always, one of the lowest attrition firms across the industry.

With those remarks, I shall now hand over the call to our CFO, Mr. Saurabh.

Saurabh Goel:

Thank you, Sudhir.

I would like to begin with two accounting matters that had an impact on the financials in the current quarter.

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Effective FY26 realized gains and losses on cash flow hedges are reported under other income expense within forex gain loss. Earlier, they were adjusted to revenue. The change aligns our presentation with peer practice and isolates revenue and EBIT margin from currency fluctuation. Profit before tax and profit after tax are unchanged. All comparatives have been restated , and reported revenue and EBIT margins reflect this change.

The second accounting matter is related to the reversal of deferred tax liability due to the Cigniti merger. Following the effective implementation of the Cigniti amalgamation scheme in FY26, deferred tax balances on the merged entity were remeasured.

- A deferred tax liability of approximately 181 crores has been reversed and credited to provision for tax in Q4 FY26. This adjustment has resulted in an ETR , which is the effective tax rate for the quarter , of negative 7%.
- The normalized effective tax rate for the quarter is 22%, the reported effective tax rate for the year is 13%, while the normalized effective tax rate for the year is 23%. This is a non -cash one -time benefit. Cash taxes paid in quarter 4 remain unchanged.
- Steady state effective tax rate guidance for FY27 is between 23 % and 24%.

Moving to margins in FY26:

- EBITDA expanded to INR 30,464 million , up 77% versus the previous year . EBITDA

margins came in at 18.6% compared to 14.3% a year ago

- EBIT expanded to 23,645 million rupees , up 83% versus the previous year . EBIT margin came in at 14.4% as compared to 10.7% a year ago

More important to note is the Q4 exit rate of EBIT margins. EBIT margin came in at a record 16.6% , up 231 basis points quarter on quarter , driven by the following tailwinds:

- SG&A leverage contributes 100 basis points.
- Foreign exchange fluctuation adding 80 bps.
- Direct cost reduction due to the third- party cost added 50 basis points.
- Lower marketing spend added 40 basis points
- and lower ESOP cost at a 20 basis points in the quarter.

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This is partially offset by the headwind related to provisions we made on account of certain doubtful debts, which is to the extent of 60 basis points.

Moving to cash flows,

- FY26 FCF of USD \$135 million experienced a 68% YoY increase. In FY25, this metric was USD \$80 million.
- Please note that the quarterly phasing of free cash flow was:
 - Negative \$21 million in Q1
 - \$37.5 million in Q2
 - \$45.7 million in Q3
 - \$73.7 million in Q4
- The Q4 FCF of \$73.7 million marked the highest quarterly FCF in any quarter in the past.
- Net cash improved to USD \$117 million from \$93 million in quarter one despite a \$36 million reduction in our working capital line and paying dividends of \$61 million.

- Q4 FCF to P AT ratio incorporates the impact of DTL reversal resulting from the Cigniti merger. On a normalized basis, Q4 FCF to PAT is actually 156%.

- Looking ahead, we anticipate free cash flow to PAT to be maintained at 100% from FY27 onwards in contrast to our earlier guidance of 70 to 80%.

In summary, FY26 witnessed significant improvements in all the financial parameters. Revenue grew 36% in INR terms, EBITDA grew 77%, EBIT grew 83% , and PAT grew 92% and FCF 68%, resulting in structural profitability and cash flow enhancement.

With Q4 FY26 EBITDA margins at 20.5% and EBIT margins at 16.6%, we are confident of achieving :

- EBITDA margins of 20.5% to 21% in FY27 on a consolidated basis, which is including Encora and ,
- EBIT margins of 16.5% to 17% on a standalone basis, that is, excluding Encora, and 15.5% on a consolidated basis, which includes Encora.

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This increase is coming largely on account of the following factors.

- Adoption of AI at scale, not just in delivery, but in functions, resulting in capping of G&A in absolute terms.

- G&A synergies of 20% to 25% in the combined business including Encora .

- A planned closure of a \$20 million low- margin portfolio of the India business.

With this, I would like to hand over the call back to Sudhir Singh.

Sudhir Singh Thank you, Saurabh. Mr. Lalit Wadhwa, Chief Technology Officer, Coforge, who has joined us as part of the Encora merger, and I shall now share our plans around what we are doing to address the AI imperative.

These are exciting times indeed. In our industry, labor as a default has been disrupted.

and is being replaced by AI native process redesign and domain -specialized agents. We

are moving from a world of IT delivery to one of business orchestration. And as this happens, firms that are engineering outcomes for customers are compounding, while

firms that continue to bill hours are getting left behind.

Just like the advent of cloud created downstream opportunities for tech services, AI too is creating its own set of new value pools. As agentic systems rise, there is a growing

need for tech firms that can help clients address the following asks at scale.

- The first ask is a need for AI -ready data pipelines.

- The second ask is agent lifecycle management.
- The third ask is recurring high -margin managed services to monitor models and govern agents.

We believe there are six moats that will define the model -winning firms that will capture this massive, fast -growing AI opportunity. Coforge has not just identified the moats but also built proprietary assets and differentiators to back each one of them.

- Moat number one is deep domain expertise. As firms upskill their staff on AI, the horizontal AI skills will commoditize quickly. In a world where everyone has access

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to Cloud or GPT -5, where does the value sit? We believe it sits in the domain.

Generative AI is a commodity. Applied AI is a clear differentiator. We are driving deep, with specific knowledge of business context, workflows, regulations, and operating reality. With more than 150 scal

ed AI engagements completed across BFS, insurance, travel, and health care, delivering production- grade outcomes, this is an agenda we are pushing.

- The second moat is strong client intimacy. AI will never commoditize relationships. Trust, context, and proximity to decision makers still shape demand. Clients value firms that understand their business, and that takes time to develop. And there is no better example, we think, of a firm that is closer to its clients than Coforge.
- Moat number three, reinvented delivery models are needed that orchestrate and monetize humans along with AI agents to deliver faster and more powerful outcomes. Our hybrid AI mod squads that we announced earlier are unique delivery units comprising of AI agents and senior AI specialists, driving 40% to 50% faster time to market for clients.
- Moat number four, agility at scale, which means being built for agility with AI -first offerings. It warrants internal adoption of agent- tech AI and a lean talent pool to adapt to each stage of AI evolution.
- Moat number five. Scalable AI platform with purpose -built agents. Enterprise -grade governance. In this context, Coforge's OneAI platform is a composable, enterprise -grade, agentic AI platform with 100 -plus domain -specific solutions and 75-plus horizontal capabilities.
- And finally, moat number six. an AI -enabled workforce with specialized engineers, forward -deployed engineers, and an agile management team. We have more than 30,000 AI -enabled trained workforce members, more than 11,000 data and AI practitioners, more than 600 advanced AI practitioners, all created using significant investments in AI upskilling.

These assets have enabled us to move quickly to capture emerging opportunities across five growth vectors or value pools.

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- Opportunity number one is ModSquad Monetization, which helps redefine how clients buy from us through hybrid delivery pods that are priced on outcomes, not hours.
- Opportunity number two is helping client enterprises plan multimodal AI strategy across LLM providers and AI tools without a vendor lock- in.
- Opportunity number three is Brownfield Modernization, which accelerates legacy modernization via proprietary platforms, such as Coforge's CodeInsight. AI, that are delivering more than \$40 million plus in client savings as we speak.
- Opportunity number four is AI -led engineering transformation, which warrants improving productivity and quality while lowering costs and is backed by Coforge's multi -layered knowledge graphs, pre -built agents, and enterprise -grade governance.
- Opportunity number five is the agentic AI platform -related opportunity. Out here, we're deploying engineers from routine work to agentic AI orchestration. This is the highest margin and the most strategically valuable work.

Finally, we are eating our own cooking by embedding AI across both the SDLC and our internal operations. On the SDLC front, AI is deeply embedded into how we build and deliver. We are driving 25% to 35% productivity uplift in development, 40% to 60% in code generation, and up to 10 times faster modernization timelines. Internal operations and Saurabh talked about this.

We are always client zero for our AI interventions. We are using AI to drive 40% to 60%

lower effort spent on financial analysis and 30% to 40% lower screening cost for recruitment.

The market is clearly recognizing our momentum on AI. We have received over 25 AI recognitions from leading analyst firms, including seven leader positions from firms such as Everest, HFS, Constellation Research, ISG, and Avasant.

With that, I will now hand over to our CTO, Mr. Lalit Wadhwa, to provide further nuances of how we understand, and are approaching the AI opportunity.

Lalit Wadhwa Thank you Sudhir.

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Most enterprise AI pilots nev

er reach production. The gap is not just the model, it is the surrounding architecture and the way the work gets delivered. Pilots run in controlled conditions that mask the structural issues production really exposes. We have closed this gap with two things built together.

- Number one, a reference architecture. designed for production -grade behavior,
- and number two, a delivery model that leads with business outcomes.

Our reference architecture enforces deterministic guardrails around probabilistic LLM outputs, solving the two failure moats that trap clients in pilots, hallucinated domain logic, and lost agent coherence in long- running processes. This architecture, the reference architecture, has three layers.

- The top layer is called the business architecture layer and consists of business goals, high- impact use cases, and organizational change management, or the OCM -led operating model redesign.
- The middle layer is the decisioning engine, or the decisioning atlas, which is a differentiated proprietary asset that enforces domain -specific reasoning chains with ontologies and coding business entities, a knowledge graph mapping cross -system compliance hierarchies, and a temporal context that maintains state coherence across multi -step agentic workflows.
- The bottom layer is a composable AI backbone, swappable with hyperscalers compute or a sovereign AI cloud or any model provider. It also contains an AI gateway used for model routing, a model context protocol, that's called the MCP gateway, token ops, and the ability to do canary releases in AI deployments.

We have operationalized this reference architecture with our proprietary AI ModSquads and the forward -deployed engineers, also called as the FDEs.

In ModSquads, we implement agent harnesses for long- running, durable agents. The harness or the scaffolding has a RAG loop with planner, generator, and evaluator agents all tied together with guardrails or contracts and anti -leniency or adversarial patterns by design to ensure that agents do not go off the rails. A governance protocol for human -

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in-the-loop checkpoints is implemented with templates, registration, versioning, and lifecycle management of the 110 agent archetypes that we have.

Now, let me contextualize the above two key ingredients with brief case studies of systems in production.

- Number one, for a large tier -one bank, we executed an AI -led COBOL to Java 21/Quarkus modernization of a module with 11,000 lines of mainframe COBOL code with C copybooks, VSAM, and Assembler dependencies in half the time that the client gave us. Our highly specialized decomposition agents reverse- engineer ed legacy structure, legacy logic, and the intent directly from the source artifacts. Our forward -deployed engineers, which consisted of one senior FDE and two junior consultants, along with the coding agents, generated production- grade code into a hexagonal architecture with non- blocking reactive IO, JWT authentication, open telemetry, distributed tracing, and container native deployment.
- In the second example, A large group insurance benefits provider deployed our architecture on Azure with Trust AI, enforcing responsible AI guardrails at inference time. Model garden abstracting multi -LLM routing and enterprise retrieval augmented generation, or RAG, services, orchestrating retrieval across multiple vector databases using a combination of the EM25 algorithm and the semantic search. The platform enforces governance as code, automated security policies, token -level FinOps, and operational kill switches across LLM access, agent orchestration, vector databases, and CI/CD pipelines.

A combination of FinOps, governance, and increased throughput resulted in productivity

benefits of 40% and velocity gains of 50%.

So to summarize, the path from pilot to production runs through a

rchitecture and

delivery, not through model selection. The three- layer reference architecture and the ModSquad delivery model that you just heard of are the two key ingredients that close the pilot to the production gap, and both are now proven in production at enterprise scale.

With that, back to you, Sudhir.

Sudhir Singh Thank you, Lalit.

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And the final section, the outlook section, ladies and gentlemen. And before we do that, before we share our outlook, we would like to offer our views on the recent commentary around our industry. We believe that the true cost of AI code is an important concept to be understood in the context of the evolving AI landscape. The deflationary argument assumes code generation is the entire job. It is not. AI -generated code is cheap to build, but it is expensive to own.

It is expensive to secure and it is expensive to maintain. Just like cloud migration, agent ic AI will create a massive managed services layer. And once these systems are in production, someone has to monitor the models, retrain the agents, and ensure governance. That is a recurring, high- margin revenue stream for firms that can seize it. For Coforge, the demand tailwind is structural and pure. We were built for agility. We have no bloated delivery pyramid to manage. Every AI advancement accelerates our growth. We are positioned for the near -term modernization surge. We are positioned for the medium -term agentic deployment wave. And finally, for the long -term expansion of the global technology market.

All three phases, ladies and gentlemen, play to our strengths. We shall lean on our exceptional record of creating value through acquisitions, which in turn rides on our growth. intensity that is uniquely our own. SLK is an example. Cigniti is an example. And Encora will be the defin ing example.

We plan to compound on our success, focusing on four key priorities.

- The first priority is building pipeline momentum in AI transformations across our top verticals.
- The second priority is expanding our AI client base rapidly through both hunting and farming.
- The third priority is scaling vertical agent workflows in verticals like banking, insurance, and airlines.
- The fourth priority is continuing to invest in talent, growing our specialized pool of FDEs while upskilling 100% of our workforce in AI.

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To conclude, FY27 is shaping up to be an exceptional year for Coforge despite the significant AI -driven flux.

We believe revenue growth will be robust. We are confident of achieving an EBITDA margin of 20.5% to 21% in FY27 on a consolidated basis. EBIT margins are expected to be in the range of 16.5% to 17% on a standalone basis and 15.5% on a consolidated basis. We believe the FCF to PAT metrics going forward will be 100% plus.

That concludes our prepared remarks.

Moderator: Ladies and gentlemen, we will now begin the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We request participants to restrict themselves to two questions and return to the queue for more questions. To rejoin the queue, you may click on the raise hand icon again. We will wait for a moment while the question queue assembles.

We take the first question from Abhishek Pathak of Motilal Oswal. Please go ahead.

Abhishek Pathak : Congrats on a good quarter. I have a couple of questions.

Firstly, if I apply a conservative revenue conversion multiple to your 12- month forward executable order book, I arrive at a very punchy FY27 growth number of almost 18% to 19%. So, does the previous 1.3x to 1.4x multiple to your 12 -month order book still hold?

Should we assume a higher conversion rate or a lower conversion rate, depending on the global macros or AI deflation?

The second question is

, how much of the margin upgrade is down to AI usage internally, and how much of it is down to pricing and getting into more identified solutions that can lead to better pricing?

Lastly, on the hedge book reclassification side, what prompted that change? Any guidance on that would be helpful.

Sudhir Singh: Thank you for the question, Abhishek. I am going to request Saurabh to take the hedge question towards the end.

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As far as revenue is concerned, last year when we started off the year, we had indicated that we would deliver robust growth. The intent always is to grow as much as possible, and that is how we landed up at 29.2% USD growth.

This year, again, the intent is to deliver robust growth, but the intent is equally not to classify that or to offer hard numbers around it, which you well know. The environment is challenging, and yet the confidence is high that we should be able to deliver industry-leading growth.

As far as EBIT is concerned, we believe the EBIT reset in Q4 has been a structural reset. It has come off the back of automation and AI-led interventions. It has also come largely off the back of a deeply held conviction that in an AI-infused era, our G&A costs have to be held constant in absolute terms, and it is AI-based interventions that are allowing us to do it.

Saurabh Goel: On the hedge front, we were working with our auditors. We thought it was better to do it towards the year-end, so that the reporting gets aligned more with market practices.

Just to mention, if you add back the hedge losses against revenue in the current quarter, the EBIT margin was 15.2% against our guidance of 15%. So, we did better even if the hedge losses were being reported where they were being reported earlier.

The improvement that has come in margins in the current quarter is operational. That is why we believe that going forward, we will be able to not only sustain it, but also improve it in FY27.

Abhishek Pathak: Thank you so much, and all the best.

Moderator: Thank you. We take the next question from Sulabh Govila of Morgan Stanley. Please go ahead.

Sulabh Govila: Thanks for taking my question, and thanks for the detailed presentation.

My first question is on revenue growth. Last year, when we entered the year, we had a tailwind of the mega deal that we had won in March. This year, given that we do not have a tailwind of that level, how should we expect growth to pan out, particularly from

a cadence perspective, given that 1H was quite strong last year versus 2H? How do you

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think about 1H versus 2H this year, not from a number perspective, but from a cadence perspective?

Also, could you provide some color on the framework agreements that you talked about? Are they different versus the usual?

Sudhir Singh: You are absolutely right about your observation around the fact that we had the \$1.56 billion tailwind this year. We believe the tailwind comes from framework agreements that we have signed and not recognized under the order executable that we have shared with you.

These are agreements where the MSA does not spell out a specific amount, and hence, we do not add that to the order executable number. We have already signed a material framework engagement. We think we will, in reasonably short order, sign bigger framework agreements too, where pipeline closure is in its near-final stages.

A lot of our confidence around revenue growth also comes not just from the order executable, but from how balanced the portfolio is. At this point in time, whether it is travel, healthcare, banking, or insurance, we feel good about all of them. We are not

hitching our wagon to one star. The entire constellation seems to be moving in the right direction from our point of view.

Sulabh Govila: My second question is for Saurabh on free cash flow. What are the

specific drivers

behind the change from 70% to 80% FCF to PAT to 100%?

Saurabh Goel:

We had earlier mentioned that we would maintain 70% to 80% FCF to PAT. But the rigor that we have brought into the organization, in terms of the way collections are being followed, the way payables are being managed, and the way contracts are being structured, gives us confidence that 100% is the bare minimum FCF to PAT we will deliver in FY27, along with the significant step-up in profitability that we mentioned in our prepared remarks.

Sulabh Govila: Understood. Thanks a lot

Moderator: Thank you. We take our next question from Vibhor Singhal of Nuvama Equities. Please go ahead.

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Vibhor Singhal Thanks for taking my question, and congrats Sudhir, Saurabh, and team for the solid performance again.

My first question is on the AI opportunity. You mentioned that while AI code might be cheaper to write, it is much more expensive to maintain, implement, and integrate into the existing systems of companies. From a broader industry point of view, do you believe that this AI opportunity will lead to an overall expansion for the industry?

Let us say the IT industry today is around \$250 billion. Will we actually see this become much bigger than \$250 billion two, three, or four years down the line?

A related question is that in the last cycle, which was the digital and cloud cycle, a large part of the opportunity was initially captured by Tier 1 players because Tier 2 players were quite small at that point in time. In this cycle, because mid-tier players like us and our peers have now reached a certain size and capability level, do you believe the winners or beneficiaries of this cycle could be different?

Sudhir Singh : So Vibhor, The AI opportunity that we see is multifold, and I am going to request the head of our AI practice, Mr. Vic Gupta, to add to this.

As we have said, we are seeing a very significant near-term modernization surge using AI technologies. That is real. That is now. There is another wave building up very strongly, which is the agent deployment wave. Firms that ride those waves are firms that will continue to do well.

It is difficult for me to talk about whether the Indian IT industry will do well or not, but the tech services industry has to do well. There is a clear need for:

- AI-ready data pipelines
- Agent lifecycle management
- Recurring, high-margin managed services to monitor models and govern agents

Vic, would you like to add more color to AI demand?

Vic Gupta : Sure. Thanks, Sudhir.

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If you look at the ecosystem, at least in our client base, there is a lot of application entanglement and a lot of opportunity around brownfield migrations of applications to modernized systems and agentic systems.

No Fortune 1000 company has no integration problems. Every one of them has an integration problem. They need to identify their workflows, but they also need to integrate with their existing systems, systems of record, systems of engagement, and systems of interaction.

We also feel that responsible AI or governance of AI is non-negotiable for the regulated industries in which we operate. Each one of them offers us a value pool that brings us closer to our clients and delivers value to them.

We feel that, for us, we are faster to execute and nimble to change. As we mentioned earlier, client intimacy is an important aspect of our moat. With that, we see great opportunities around brownfield modernization, migration, and agentic areas.

Vibhor Singhal :

My next question is on the travel vertical. Given the Gulf War and where crude is, do you foresee a headwind in that vertical in the immediate future? Have any client conversations started around airlines temporarily pulling back technology spends?

Sudhir Singh : At this point in time, Vibhor, from our

perspective, the travel vertical continues to do really well, even in the short term. We saw a press report yesterday that talked about the impact of Spirit Airlines on Coforge. We want to reiterate that the impact is negligible to none. The budgeted revenue from that airline was about 10 bps for FY27.

So the near-term travel business is on the up and up. Saurabh talked earlier about the fact that there is a low-margin portfolio in India that we will discontinue immediately, and the negative impact of that will flow into Q1. Despite that significant portfolio, we expect to be flattish in Q1 and to be on a very fast growth trajectory from Q2 onwards.

Travel, healthcare, banking, insurance, public sector, and even high-tech, the new vertical we have started, should do extremely well in FY27.

Vibhor Singhal : Just one or two bookkeeping questions for Saurabh. Since Sudhir mentioned discontinuing the India business operation, could you quantify the amount of that business we intend to discontinue from Q1?

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Saurabh Goel : It should have an impact of roughly \$15 million to \$20 million in pass-through revenue in Q1 itself.

Vibhor Singhal : So, revenue for Q1 should be down by \$15 million to \$20 million because of this discontinuation?

Saurabh Goel : Because of the India business, yes. But the other deals that we had signed in the current year and the order book that we have will still make up for it and probably nullify the

impact of this reduction.

Vibhor Singhal : Net-net, are we expecting a flattish quarter next quarter?

Saurabh Goel : Yes, on a QoQ basis, on a reported basis.

Vibhor Singhal : There is a 150 bps margin gap that we are talking about in FY27 between standalone and consolidated margins. I assume that is because of amortization?

Saurabh Goel : You are absolutely right. It is because of amortization. Otherwise, we feel very good about hitting 16.5% to 17% EBIT margins if there was no amortization.

Vibhor Singhal : What is the amortization we are looking at on an annual basis?

Saurabh Goel : Roughly \$40 million a year.

Vibhor Singhal : Thank you so much for taking my questions and wish you all the best.

Moderator : Thank you. We take the next question from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta : Thanks for the opportunity. My first question is on hedge losses in OCI, considering the change in accounting practice. Could you provide some sense of what the OCI number will be?

Saurabh Goel : The OCI will not change. The hedge loss in other income will be INR 164 crores for the year and INR 70 crores for the quarter, which is already there as part of the fact sheet.

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Dipesh Mehta : What is the balance sheet number considering the hedge position at the end of the quarter?

Saurabh Goel : I will come back to you on that.

Dipesh Mehta : My second question is on the framework agreement. How should one understand its conversion into the order book in coming quarters? Will it be gradual conversion, or do you expect some of it to be relatively large -deal- like? Also, is it different from the usual 12- to 18 -month structure?

The second question is on BFS. BFS remained softer than the company average in FY26 and even in Q4. Could you provide some sense of the BFS growth trajectory and the demand drivers there?

Sudhir Singh :

I am going to request our President, Mr. John Speight, to address the framework question because that demand comes from the UK public sector, and that is a business he supports.

John Speight: Thank you, Sudhir.

It is not an atypical framework deal in the neutral state. This is a typical way that the UK public sector business works. You will have seen the press that we were awarded a \$150 million plus deal in the UK public sector. That was a sole award to Coforge, structured over five years.

The expect

ted run rate as a base is around \$4 million to \$5 million per quarter. During the quarter, what happens is that there are multiple TSRs or SOWs against that award, purely to Coforge.

Sudhir Singh : As far as the BFS question is concerned, Dipesh, we see structural demand drivers ahead of us. BFS in our case came in at 12%. In relative terms, it was low, but in absolute terms, that was still a solid performance in a year like this. We expect performance around BFS to improve in FY27 over FY26.

Moderator : We move to our next question from Ravi Menon of Axis Capital. Please go ahead.

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Ravi Menon : Thanks for the opportunity. I appreciate the long -term bullish commentary on AI demand and the detailed remarks on that.

Could there be some near -term headwinds, especially in product engineering, probably more with Encora than with the Coforge portfolio? Some smaller SaaS companies may face pressure. Could we see some revenue headwinds near term, even if longer term we gain share by adopting AI for coding early?

Sudhir Singh : Ravi, thanks for the question. The answer is no.

The high -tech business of Encora that we have taken over is under a new leader, based out of a new office that we were planning for and have already established. It is functioning. We expect the high- tech business to start growing from Q1 itself and grow handsomely through FY27.

Ravi Menon : On FCF conversion, the rough math indicates that if FCF to PAT goes above 100%, it would be about 60% or north of that. That is good, but still a little lower than best -in- class. What do we need to do to move towards best- in-class?

Saurabh Goel : Ravi, it is a step -up from where we were, whether it is margins or free cash flow. It reflects the investments we have been making in client relationships and in the business. The results of those investments are now visible in profitability and cash flow.

In another couple of years, this can move towards 110% to 120%. It is a gradual move from not focusing on FCF to PAT, to giving guidance of 70% to 80%, delivering on that,

moving to 100%, and then looking at how next year goes before probably upping it further.

Ravi Menon : One more question on ESOP cost. How much should that be next year as a proportion of overall compensation or revenue?

Saurabh Goel : It will stay where it is. Around 0.8% to 0.9% is where it will stay. It is not going to go up or significantly go down.

When the new plan was rolled out, we were close to 2%, and it has come down gradually.

It will stay around 0.7% to 0.8%.

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Ravi Menon : So you are not envisaging that to move up even with new leaders from Encora being onboard?

Saurabh Goel : No, we are not expecting that to go up.

Moderator : Thank you. Next question is from Sandeep Shah of Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity and congratulations on good execution. I wanted to understand the framework deal from the UK government. Is it fair to assume the potential that we may consider in our budget is the \$150 million TCV over five years that John disc loscd, and that \$4 million to \$6 million additional revenue may start flowing from Q1 itself?

Sudhir Singh : Yes, the revenue, as John said, is going to start flowing from Q1 itself. The \$150 million deal is already signed. That is the award. John has strong conviction, and I will let him speak about the future pipeline as well.

John Speight: We are very well placed in the UK public sector space. We have had significant successes in engagements. You would have seen one in Scotland not long ago, in the press, about the rollout for the 111 services there.

Our reputation across the public sector is very high. We have a number of opportunities at the moment, many of them in the \$10 million to \$100 million size. The \$150 million is signed, and there

are others that we think are locked and loaded, and we will be awarded those as well, in addition to what is signed.

Sandeep Shah: And this will again be in UK public sector?

John Speight: Yes

Sudhir Singh : As John confirmed, in UK public sector. Plus, the momentum across every vertical is strong. At this point in time, healthcare grew 98%; travel has secular tailwinds around One Order and airport reconstruction as retail malls. These are secular tailwinds and will not fade away despite what is happening. Banking and insurance are very strong.

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Sandeep Shah: Are you saying framework deals would not just be restricted to UK and could be in other sectors also?

Sudhir Singh : No. Framework deals only come from UK public sector in our case.

Sandeep Shah: For Saurabh, the capex looks like there is an inflow in the cash flow statement. What has led to that? Second, the discontinued business of \$15 million to \$20 million, is that quarterly run rate or yearly run rate?

Saurabh Goel : On cash flow, the positive inflow is because part of the assets pertaining to the AI -led data center that we built in Q1 have been sold. They have been bought back by the client, which led to an immediate inflow during the quarter.

On the India discontinued business, it was the quarterly run rate for the last couple of quarters. We are now going to close that and not sign up such deals. This business had generated \$40 million last year, out of which \$40 million came in over the last two quarters.

Sudhir Singh : We can afford to do that given the confidence we have in our revenue pipeline right now. We also believe we will structurally and permanently reset the margin to the levels that Saurabh talked about.

If we were stressed on revenues, if we were not confident of the materiality, and if we were not convinced around the revenue pipeline, we could not have pulled the trigger.

But we have, because every business is firing. We feel very good about revenue growth in FY27, and this would be another lever to make sure that a business that delivered 14.4% reported EBIT in FY26 will, on a standalone basis, jump to 16.5% to 17%.

Sandeep Shah: On minority interest, there is a quantum decline this quarter. Is it fair to assume we have already taken 100% stake effective FY26 -end? Why does the P&L still reflect a bigger charge?

Saurabh Goel : Going forward, you will see minority interest come down from INR 53 crores to INR 54 crores in one quarter to almost INR 9 crores. The reduction in minority interest is yet to happen. It will happen from Q1 onwards because the share allotment is happening. The

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record date for share allotment is 16 May, and hence minority interest is being carried in the P&L up till that time.

If you look at the P&L, the minority interest is INR 54 crores in Q4, which will come down to INR 9 crores. That will give upside from a profit after tax perspective. But the number of shares will also go up when the allotment of shares to Cigniti shareholders happens. It will still give upside on the EPS front. That is more to come in next quarter.

Sandeep Shah: So, will an effective merger entry happen from Q1?

Saurabh Goel: Yes

Moderator: Thank you. We take our next question from Kawaljeet Saluja of Kotak Securities. Please go ahead.

Kawaljeet Saluja : Great to see the margin focus and free cash flow guidance. My first question is for Sudhir. When I look at the banking vertical, revenues are stuck in the \$120 million to \$123 million range for five quarters. We also hear about clients in the banking sector expanding captives. Is anything hurting that portfolio, which used to be a big growth driver?

Sudhir Singh : What slowed down our growth to only 12% for the current year, Kawaljeet, was the fact that one of our top three banking clients did

not grow this year. That client account has now been transferred over to John's personal stewardship, and we feel far more positive about it.

It has nothing in our mind to do with the GCC movement. It is more to do with a client-specific issue that we had and we believe we have addressed.

John, would you like to address the prospects of that client?

John Speight: Thank you, Sudhir.

We have completely refactored how we are engaging with that client. We have a brand-new team. We are also recognizing that we have to disrupt in that account. We have a large footprint, and we are using our AI capabilities to completely transform how we engage and how we run.

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On the back of that, we expect significant growth. It was one single large client-specific issue. It is reversed. So next year, FY27 banking should show better numbers.

Kawaljeet Saluja : My second question is on durability of margins. It is great to see consolidated EBIT margin going up to 15.5%. Any thoughts on durability of it? Is this guidance only for FY27 or is there a greater runway?

Sudhir Singh : We should be able to improve FY28 over FY27, obviously not by this quantum. But at least incrementally, Kawaljeet, the threshold that we have shared for FY27 will be the minimum. That should be expected from us starting FY28 onwards.

Kawaljeet Saluja : My third question is for Saurabh. I see a big decline in hedges for the quarter on a sequential basis. Is there any policy change?

Saurabh Goel: We have taken a dollar loan of \$550 million, and it gives us a natural hedge. That loan has been taken in India. It is to ensure that the cash flows and the balance sheet are aligned to the liability we have in the balance sheet. We are moving towards balance sheet hedges, and that is where you see a decline in the cash flow hedges.

Kawaljeet Saluja : On that loan point, the \$550 million loan is good, and the headline interest rate is 4.5%. Do you intend to hedge that, given that the rupee has been depreciating?

Saurabh Goel:

That is where we get the natural hedge, because our receivables are in dollars in India.

The number of hedges has gone down because we have a natural hedge, with receivables in dollars and payables in dollars.

Kawaljeet Saluja : On your P&L and hedges, the average rate is 90 for \$300 million. A calculation at current spot rate indicates hedges of around INR 140 crores to INR 150 crores. Is that correct?

Saurabh Goel : That is correct. That is the mark-to-market. There may be losses for one or two more quarters, and then I think from the third quarter it starts tapering off.

Moderator : Thank you. We take that as the last question for today. I now hand the call back to Mr.

Sudhir Singh for closing comments.

Sudhir Singh: Thank you, Inba . Thank you, ladies and gentlemen, for your time, interest, and insights.

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As we said at the outset, these are exciting times, these are heady times, and we look forward to staying in touch and to delivering on the outlook that we have shared with you today. Thank you once again.

Moderator: Thank you, members of the management. On behalf of Coforge Limited, that concludes today's call. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you for your participation. Goodbye.